Aurobindo Pharma Ltd. (AUROPHARMA)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Aug 2022

AURO BIND 0
August 19, 2022
To To
Listing Department, The Corporate Relations Department
NATIONAL STOCK EXCHANGE OF INDIA LIMITED BSE LIMITED
Exchange Plaza, Phiroz Jeejeebhoy Towers,
Bandra Kurla Complex, Bandra (E), 25th floor, Dalal Street,
MUMBAI ·400 051 MUMBAI ·400 001
Company Code No. AUROPHARMA Company Code No. 524804 ~~~~ ------------------------ ---- I.--~
Dear Sir/ Madam,
Sub: Transcript of earnings call.
Please refer to our letter dated August 8, 2022 wherein we have intimated the schedule of Investors/ Analysts call on August 12, 2022. We are attaching herewith the Transcript of the analyst / investor call on the Unaudited Financial Results of the Company for the first quarter ended June 30, 2022 and the same is being uploaded on the website of the Company and is available [n the following web link.
https://www.aurobindo.com/investors/resu lts-reports-presentations/conference -call-trahscripts/
Please take the information on record.
Thanking you,
Yours faithfully,
For AUROBINDO PHARMA LIMITED
r::, .\k,
B.AdiReddy
Company Secretary
Encl: As above.
CIN: l24239TG1986PlC015190 AUROBINDO PHARMA LIMITED PAN No. AABCA7366H
Corp. Off.: Galaxy, Floors: 22·24, Plot No.1, Survey No. 83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad . 500 032, Telangana, India.
Tel: +91 406672 5000 /6672 1200 Fax: +91 4067074044.
Regd. Off.: Plot No.2, Maithrivihar, Ameerpet, Hyderabad· 500 038, Telangana, India. Tel: +91 4023736370/23747340 Fax: +91 4023741080/23746833
Email: info@aurobindo.com Website: www.aurobindo.com
“Aurobindo Pharma Q 1 FY23 Earning s Conference Call”
August 12, 2022

Mr. P. V. Ram Prasad Reddy - Chairman, Aurobindo Pharma USA

Mr. K. Nithyananda Reddy - Vice Chairman and Managing Director of Aurobindo Pharma Limited.

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Sanjeev Dani – COO & Head Formulations, Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CFO, Aurobindo Pharma USA

Ms. Deepti Thakur - Investor Relations & Corporate Communications , Aurobindo Pharma Limited

Moderator: Ladies and gentlemen, welcome to the Quarter 1 FY23 Earnings Conference Call of Aurobindo Pharma Limited. All participants’ line will be in the listen -only mode and there will be an opport unity for you to ask questions after the presentation concludes. In order to ask a question, please signal by using 'a raise hand' option on the bottom of your screen.

I now hand the conference over to Deepti Thakur. Thank you and over to you.

Deepti Thakur: Thank you, Aditya. Good morning and a warm welcome to our First Quarter FY23 Earnings Call. I am Deepti Thakur from the investor relations team. We hope you have received the Q1 FY23 financials and the press release that were sent out yester day. These are also available on our website.

I would like to introduce my senior management team today on the call with us, represented by Mr. P. V. Ram Prasad Reddy – Chairman, Aurobindo Pharma USA; Mr. K. Nithyananda Reddy – Vice Chairman and Managing Director of Aurobindo Pharma Limited; Mr. S Subramanian – CFO; Mr. Sanjeev Dani, C OO, Head Formulation, Aurobindo Pharma Ltd; Mr. Yugandhar Puvvala – CEO of Eugia Pharma Specialties Limited, and Mr. Swami Iyer – CFO, Aurobindo Pharma USA.

We will begin t he call with summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitation, statements relating to the implementation of strat egic actions and other affirmation on our future business, business development and commercial performance.

While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risk s, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to in reflect future events or circ umstances. With that, I will hand over the call to Mr. S Subramanian for the highlights. Over to you Sir.

Santhanam Subramanian: Good morning, everyone. I hope that all of you and your families are safe. We are here to discuss the results of the first quarter of the fiscal year FY23 declared by the company.

For Q1 FY23, the company registered a revenue of INR 6,235.9 Cr, an increase of 9.4% year -on-year, the EBITDA before forex and other income was INR 964.7 Cr declined by 1% quarter -on-quarter, EBITDA margin for the quarter was 15.5%. Net profit decreased by 9.6% quarter -on-quarter to INR 520.5 Cr.

In terms of the business breakdown, formulation business in Q1 FY23 witnessed a growth of 9% year -on-year, to INR 5,329.4 Cr and contributed around 85.5% of the total revenue.

API business contributed around 14.5% of the total revenue and clocked a revenue of INR 906.5 Cr for th e quarter registering a growth of 11.6% on a year -on-year basis led by improved demand for some of our key products and declined at 0.7% quarter -on-quarter.

On a constant currency basis. US revenue increased by 6.1% year -on-year and 6.2% quarter -on-quarte r to US $386 million. We have received final approval for 10 ANDAs and launched 7 products in the quarter under review. We have filed 13 ANDAs including 4 injectables during the quarter. Revenue for Aurobindo USA , the company making the oral products in the US has increased by 5% year -on-year to US $214 million. Revenue for Auro Medics, the injectable business increased by 16% year -on-year to $71.7 million. The company has on 30th June '22 has filed 741 ANDAs on a cumulative basis of which 516 has final approval and 35 has tentative approval including ANDAs which are tentatively approved under the PEPFAR and the balance 190 ANDAs

are under review.

For the quarter, the European formulation revenue clocked INR 1,548 .1 Cr, a decrease of 2.2% year -on-year mainly due to the depreciation of Euro currency and in absolute Euro terms, the Europe revenue was at EUR 189 million with an increase of 5.9% year -on-year.

For the quarter , the growth market witnessed a growth of 3 0.8% to INR 430.6 Cr including the domestic formulation sale s of INR 4 5.6 Cr. The quarter performance led by strong growth in Canada business.

For the quarter, ARV business stood at INR 379.6 Cr with a growth of 28.1% year -on-year. And in US $ terms, ARV revenue was at $49 million with a growth of 23% due to shifting of certain sales from the last quarter to this quarter amounting to US $17 million.

R&D expenditures was INR 310 Cr during the quarter which is 5% of the revenue . Net organic cape x during the quarter is $61 million and average Forex rate was 76.9795 in the quarter ending June 22 and 75.0917 in the quarter ending March 22.

Net cash and investments at the end of June '22 was US$ 337 million. The average finance cost is 1.8% mainly d ue to earning multiple currencies.

The business generated a free cash flow before capex and other items of US$ 121 million during this quarter. Out of this cash flow , US$ 53 million was spent towards the capex , another $8 million was on PLI project , US$ 34 million for dividend and US $22 million for acquisition of business and thereby increasing the available cash , by about US$ 3 million. As a result of the above cash flow generated during the quarter, the net cash portion including the investments at the end of March '22 improve to $337 million.

Also, we reduced the gross debt significantly to $277 million from $313 million end March '22. We have been reducing the gross debt quarter -on-quarter in the past quarters also.

This is all from our end and we are happy to take your questions now. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may use the raise hand icon on the bottom of your

screen. Once your name has been announced, you will be unmuted, and you can ask the question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. First question is from Mr. Prakash Agarwal. Please unmute yourself Mr. Prakash.

Prakash Agarw al: The first question is obviously you did fairly well in the US market which has shown Q -o-Q growth, is it our preferences volume versus getting into better pricing given the gross margin decline or gross margin is largely due to the cost inflation or we have gone for volumes in the US also to grow the business.

Swami Iyer: In the US we have grown the volumes compared to the last year similar quarter and we have taken a fair amount of business. We have done, grown in terms of volume and the bottom line has various factors. One of the main reasons is the price erosion. And there has been inflation also in terms of transportation. We believe that going forward we can look for better numbers in terms of gross margins and for the years.

Prakash Agarwal: And when you say price erosion what kind of price erosion we are talking about here? It is in line with the previously seen trends of 5%, 7% or it is as reported by some of the peers it's double digit or how are we facing? What is the trend we are facing?

Swami Iyer: we are seeing some kind of tapering . We believe that the price erosion for example, this quarter, compared to the previous quarter is about 2% plus , and includ ing the shelf stock adjustment , it's closer to around 3%.

Prakash Agarwal: Okay. And what about injectables? I mean that growth doesn't seem to pick up, so what's happening there?

Yugandhar Puvvala: Prakash, I think in terms of the growth , we have gro wn by 16% in U

S.
And the overall growth is in the single digits at the global level. And we expect whatever approvals what we received during quarter one, and we expect some more approvals to flow through in this quarter. We are very confident of hitting t he double -digit growth this year. Growth is not a concern at all.

Prakash Agarwal: No, but we have a big milestone, right? I mean, we have talked about almost doubling the business in next two years. So where are we in that journey?

Yugandhar Puvvala: we are still on track to hit the guidance what we have given for FY24, which is $650 million to $700 million. And as I indicated last year, we closed at a pro forma level of around $440 million in FY 22. And we expect to cross half a billion this year in FY23. And we are on track for our guidance for FY24.

Prakash Agarwal: So, you're saying it would be largely back en ded? Or how should we think about in terms of scale up?

Yugandhar Puvvala: No, it won't be back ended, it will be a quarter -on-quarter growth and which you will continue to see the double -digit growth every quarter.

Prakash Agarwal: And one question for Sub bu sir is on the gross margin. So, clearly the price erosion is stable, 3% is stable in my view, but what is the outlook on the gross margin from here on given we have seen a substantial drop in this quarter.

Santhanam Subramanian : overall if you really see the gross contribution has come down by about 2.8% which is a combination of multiple factors including the price erosion which Swami has mentioned and there was some raw material prices increase also have happened. Even though the price started becoming stable, but because of the weighted average of some of the cost s which ha ve not been charged up earlier , have come this quarter. So , all put together around 2.8%. And we believe going forward must be in this range in the coming quarter a nd probably there must be softening coming in Q3. We are getting some indication but not from everyone. So we can start seeing the improvements in the margin Q3 onwards. I'm talking about the gross contribution, gross margin, not the EBITDA margin.

Praka sh Agarwal: Any colour on EBITDA margin, sir.

Santhanam Subramanian : EBITDA margin, even though this quarter looks low as we had additional expenditure to the tune of around INR 60 Cr on account of the freight because we had to reschedule our production process etc. to meet certain regulatory compliance because of which production shifted to the later part of the quarter , which made us to airlift the material to achieve the commitment we ha d given to our customers. So hopefully going forward this should not be there in the coming quarter or at least at a very reduced level it should be , that’s what our feeling.

P. V. Ram Pr asad Reddy : One or two quarter will be there, Subbu , this last quarter and this quarter also some extent is there. then it will taper down.

Prakash Agarwal: And last question for RPR, sir. We had Govind sir as our CEO. So, is there any update on looking out for a professional CEO going forward?

P. V. Ram Prasad Reddy: As on today we are not looking . we are happy with the present system. And we have for biosimilar and vaccine and the peptides, Dr. Satakarni as the CEO and Yugandhar is taking care of Eugia Specialities Group and Nithyanand a is taking care of the overall and raw material business. I'm taking care of formulation and reporting to Nithyanand a. I don't t hink we are looking but, we are going to appoint in next two to three years.

Prakash Agarwal: Okay, perfect, sir. Thank you and all the best.

Moderator: Thank you. Next question is from Neha Manpuria.

Neha Manpuria: Hello.

Moderator: She has muted he rself. Neha, please unmute yourself. Okay. We'll take the next question. Next question is from Shyam Srinivasan.

Shyam Srinivasan: Hi, good morning, everyone.

Shyam Srinivasan: thank you. So, just I missed little bit of the opening remarks. So, just in the US revenues, I think we talked about lower price erosion, but Q -o-Q and Y -o-Y we have grown. So, what's driven that new products or new contracts and old products, if you can help u s understand?

Swami Iyer: Shyam, one is we have done additional volumes across some of our business. First and foremost, we had some supply chain constraints. So, we could not bring in those kinds of volumes. And this quarter, there has been an improvemen t in terms of volume. So, the demand for those products were good, so we could increase the volume for those products. And apart from that, we also tried to get some of the base business additionally. So, we have been partly successful in that.

P. V. Ram Prasad Reddy: Generally, in second and third quarter s, some seasonal products also will improve and particularly like antibiotics and those things. This is also one of the reason s, and then other thing what Swami is telling.

Shyam Srinivasan: Swami and RPR sir, but the volumes came at much lower prices, because the gross margin comment you made on pricing question, is it US only what we have seen it elsewhere as well.

Swami Iyer: Shyam, as far as the gross margin is concerned there will be lag for improvement after these prices go into effect, there is an inflation in terms of transportation and we have taken on additional volumes and some of the additional volume products may have product mix wise the margins are below . But like Mr. Reddy mentioned, we are looking forward to higher volume and the mix could be better. And we believe that the lag in the price changes that we have seen that were might somewhat be nullified a bit going forward in the second and third quarters.

Shyam Srinivasan: Got it, very helpful. Second is on Europe and also on biosimilars. So Europe as a business, we've seen it, you're accounted for FX reasons, but clearly, even here, we have seen like lacklustre growth for quite a few quarters. So while the U S engine is probably slower, and Europe has remained and these two are like almost two thirds of your business. So just want to understand what's happening in the Europe front and the linking point is there any update on the biosimilars in terms of either approval or queries from EMA anything.

Sanjeev Dani : Yes, so, Shyam just to put it in perspective, the Europe business is pretty stable and growing. This quarter, we have the 6% growth, the previous quarter was 7% growth and the markets are about 0% to 3% growth. So we are expecting 5% to 8% growth year -on-year and that has been always the guidance. we are not looking at double digit unless we have made in the past acquisition then only it is grown. Secondly, the future growth drivers are of course a new p roducts. So, we have several new products which are waiting for approval something close to 43 and we have another 118 oral products under development then we are looking at the oncology products injectable and oral which are another close to 50. And injec table the new plant which is expected to start filing early next year that we are looking at about 50, close to 50 products and then biosimilar which are t wo, which are already filed for now almost nine months. So, all put together the addressable market i s $34 billion and

even considering the net price etc. And then 5% to 10% market share we are looking at about $300 million plus in the next couple of years. So , I guess that the new products once they are there the speciality driven, we will be able to gro w faster.

P. V. Ram Prasad Reddy: So as far, Shyam, the biosimilars as we told in the last call two products we've filed in UK and Europe and 180 days will be in

the next one week from date
of filing . Then we will have a lot of clarity where we stand. And we have filed in UK third product and that is not the global clinical but US as we told as on today we have four global clinical work going on. And out of those one we are going to file in the first quarter of 2023 -24. And in the same year in the last quarter , we are filing second product in the US. So yes, we will file two products and next year we will f ile total five products in the Europe.

Shyam Srinivasan: One from data point , where we are margins in E urope at this point of time, still above double digit.

Sanjeev Dani : Yes, margins are, EBITDA is in early double digit .

Moderator: Thank you. Next question is from Neha Manpuria.

Moderator: Neha, can you unmute yourself? Okay, we'll take her again. Next question is from Praveen Kale.

Praveen Kale: Hello, good morning.

Praveen Kale: I would like to ask the question on behalf of the retail investors. So in terms of our investment in the stock, we haven't seen much appreciation, what is the re sult mean, for retail investors like us, because we had a lot of hope on also the Eugia Pharma investment. So that did not come through. And the prices in the stock hasn't been reflecting the progress that you've been making. So as a retail investor what s hould I be expecting in the days ahead?

Santhanam Subramanian: Mr. Praveen, while we may not like to comment on the mo vement of the share price or where it is ; in terms of the performance, we have given a very clear roadmap where we are heading to on var ious things. And if you have seen our annual report, also, we have said what are all our growth pillars, which is what going to deliver it in the coming years. And I'm sure for your benefit, I'll repeat one is the biosimilars, second is Eugia, as Yugandhar just explain ed and we are g etting into Pen-G project, we are getting into the China project. So many projects, and as on date, there are six plan ts are under commissioning, and once th ese have been succe ssfully commissioned, this will also add to the top line and bottom line, etc. So from our side what are the company ’s growth levers and the management has to do in terms of working out strategy to improve the top line and bottom line; we have been doing that.

Parveen Kale: Well, I really appreciate your efforts in this regard. And I do hope that I mean as a retail investor who has a lot of hopes in the progress of your company, you guys do really well in days ahead. Thank you.

Moderator: Thank you. Next question is from Anubhav Agarwal.

Anubhav Agarwal: Subbu sir, there are couple of clarities first, you mentioned about $17 million number, is that shift which has happened the US segment or the ARV segment?

Santhanam Subramanian: It is a t the ARV segment, Anubhav, because we follow the AS 115 revenue recognition, if the material has not been loaded into the vessel, we will not rec kon the sales, last quarter we could not do which has happened in the month of April. That's the reason why g ot added here. And similarly, this quarter also sum of around $5 million got deferred to the next quarter. So this is a continuous phenomenon. But since the number is a significant one, we thought better to inform the market /investors . On an average the A RV business, we have been looking at , which has been explained to you in the past quarter also , will be around $35 million. At least we have been targeting to achieve not less than $35 million, quarter -on-quarter.

Anubhav Agarwal: Helpful. Second questi on is just a clarity on the other expenses actually even adjusted for the INR 60 Cr number that we talked about; other expenses has gone up significantly quarter -on-quarter. There is even if I adjust for INR 60 Cr, there's INR 100 Cr jump, I understand thi s quart

er has integration of the India acquisition that you have done that
would have added some, but still a higher number .

Santhanam Subramanian: Anubhav, what is happening is you're looking into the numbers in rupee term ; we need to translate all the Euro , US$ and everything into rupees, which has also added up significantly is one of the reasons plus as we said in the past when you can comp are exactly Q1 FY22 versus Q1 FY23 so much of freight cost etc. has increased in the Q2 or Q3 of last year , it is not comparable . If I demonstrate some number , the freight costs which are there in Q1 last year has nearly doubled in this quarter even though I mentioned about INR 60 C r which is the additional only pertaining to this quarter compared to last qtr , but overall freight cost, solvent , all the expenses for everything has gone up substantially in the last one year which we have been explaining in every quarter.

Anubhav Agarwal: Subbu sir, I was not comparing year -on-year, actually if you look at March quarter versus June quarter, our total other expenses has almost increased by INR 170 Cr, so let's excl ude the INR 60 Cr number that you talked about. Now freight costs, I am not sure how much they've increased March quarter versus June quarter.

Santhanam Subramanian: If I am right, Q4 other expenditure was INR 1,457 Cr vis -à-vis INR 1,504 Cr this qtr , which is an increase of around INR 50 Cr. Th is INR 50 Cr increase, I can clearly said INR 60 Cr on account of the freight plus we have the Indian domestic integration etc. I really do not know which number you're comparing.

Anubhav Agarwal: I am comparing the same numbers but it in this numbers your R&D has reduced by significantly right as well.

Santhanam Subramanian: R&D is not only the other expenditure, it involves the payroll employees which is the biggest cost, we are nearly so much of payr oll cost and other things plus it is a question of translation also.

Anubhav Agarwal: But won't bulk of R&D be captured in other expenses rather than the personal cost?

Santhanam Subramanian: Everything it will go into, it's spread over all the elements of cost like in payroll it will be there, in other expenses , will be there everywhere.

Anubhav Agarwal: Okay, let me simplify. Is this a new base or just so INR 60 Cr is adjustments we make for this then is it a base that we work with until unles s the freight cost comes down?

Santhanam Subramanian: I think around 1 500 cr; this is what when we said INR 1,504 cr at least it has the incremental cost of around INR 50 Cr to INR 60 Cr pertaining to this quarter alone. And probably the INR 1,450 cr is what we need to look at it subject to the translation effect on a quarter, the forex and other things.

Anubhav Agarwal: And R&D we should think about somewhere between INR 350 Cr to INR 400 Cr range a quarter or like what ?

Santhanam Subramanian: I think that is what we see typically. As chairman explained while talking about the biosimilar , we are getting four biosimilars into the clinical trials in this year, probably the impact of it, you can start seeing it from Q3 and Q 4, So you can see the biosimilar costs going up, And by the time we hope as explained know the freight costs are a little bit softening probably that impact may come down and we are also trying to ensure we are moving the material more into the sea route r ather than to do airfreight. So we are also trying to do all the possible things by which the cost is controlled.

Anubhav Agarwal: And just last question $22 million that you talked about in acquisition, question, what does it pertain to?

Santhanam Subr amanian: It is the Veritaz which we are explaining around INR 170 Cr plus GLS INR 9 Cr.

Anubhav Agarwal: Yes. Okay. Got it, clear. Okay. Thank you.

Moderator: Okay, thank you.

Next question is from Surya Patra.

Surya Patra: Yes, thank you for this opportunity. Sir, the first question on the US business. Pardon me if I ’m repeating this, I have joined relatively lately. Sir, there is a kind of positive surprise in terms of the US generic growth what we have seen in this quarte r, despite our earlier guidance that possibly a 13%, 14% kind of price erosion that we have been seeing for our base business. So and simultaneously obviously, there is a kind of impact on the gross margin also that we are witnessing. So is it fair to link these two things, and think that the growth would be possibly in the US market is coming at the cost of margin, because the volume was so –

Swami Iyer: Surya, thank you. First and foremost, I ’d like to clarify last time Mr. Reddy had mention ed that we have to watch one or two quarters as far as the erosion is concerned. And

he hinted that probably it may not happen the way it has happened. And that is kind of a factual statement, it turns out to be factually correct, we are not experiencing that kind of erosion that we did last quarter. That ’s number one. Number two, with regard to the margins, the margins, there are various reasons for it. One is, of course, the increase in certain costs, I had mention earlier, that there would be a time lag for some of the realization, that's all the savings that could happen. For example, just to tell you, the gasoline prices have gone up. So the transportation costs are shot up and now we have seen in this quarter, the prices coming down, naturally, that ’s going to translate into lower costs for us. So I don ’t want to get into those kinds of deta ils, but primarily what we are saying is Q1, we did have certain increases in costs, and these were not matched in terms of realization. We did take a lot of volume and there could be quarter -to-quarter, there could be a product mix issues. So, we earlier, I do remember one of the investors call we mentioned that you should not take quarter -to-quarter. Overall, I think we will do better.

Surya Patra: And regards to this India Business foray obviously, initially we had indicated about the branded formulation foray in the market, but our expectation was really low, like INR 1,000 Cr kind of base in two-to-three -year time. So, that will not influence at all our overall business model. So, and we are currently doing multiple small acquisitions to build up. So, what is the ultimate plan here and can it really be more influential positively to our overall business? If we can throw some light here, how should we think?

Sanjeev Dani: Surya, I do agree on for an INR 25,000 Cr company , INR Cr 1,000 Cr will not contribute so much, but that is how we want to make a start because launching organically we will not reach anywhere around even that number. So, in the timeframe that we are discussing, so we have to make an acquisition, but I gu ess we have to keep on looking opportunities and look at the strategic f it and also not at a very high valuation which is the current level. So, I guess that we will be spending our money or investing money wisely.

Surya Patra: sir on the European operati ons, Sanj eev sir, so although we haven't targeting the kind of more integrated manufacturing activities in India, should ultimately be driving the overall profitability to the company levels. And I think the major trigger on that front is the launch of inj ectables. So, there when should we really consider this injectable ramp up happening or launches happening in Europe and that should be bringing at least the profitability beyond 15% level because it has stuck at that level of 11% 12% levels in some time.

Sanjeev Dani : not only injectable we also talked about biosimilars, so that also will give higher profitability margin, but I remember CEO of Eugia talking, Yugandhar

, who is also on the call
talking about filing the products in early next year, so I guess it takes abo ut a year to get the products approval. So you can look at FY24 onwards these impact coming but meanwhile some of the capacities are being expanded. So even existing approval, we will be able to meet the demand.

Surya Patra: Okay, just last one bit, sir, on the PLI side, so with a significant change in the pricing scenario of the Pen-G and all that. So, do you think this proposition has changed meaningfully from the time of that we accepting the contract and now the situation becoming even more significant ly better for our operation and what is the stage of that PLI project?

Santhanam Subramanian: Surya, just to address the status of the PLI project the project ha s already started and will be expected to install the entire thing by about maybe Q2 and then do the pilot batches etc. Hopefully, we'll be completing by Q4 2024. And we are expected to commission the project as on first of April 2024. That is what we think, while our endeavour is to complete it earlier, but this is the target which we have been w orking on. In terms of the prices , I think we are 18 -months away from the commissioning date and we will not like to make any statement depending upon the current price etc. So, let us face it as and when it comes to near the date. But yes, there is a posi tive but whether this is a sustainable pricing etc. we do not know at this stage.

P. V. Ram Prasad Reddy : And Subbu , it is not only pricing , the input costs of Pen -G also has increased , coal increase d, power increase d, and all these things, the increase in the price also because of the costs also are increasing. we are going to complete the plant before December ‘23. And we're going to start before March of ‘24.

Surya Patra: Thank you, sir. Wish you all the best.

Moderator: Thank you. Next ques tion is from Nitin Agarwal.

Nitin Agarwal: So, thanks for taking the question. So, my question is on your China business. Can you just give us more update on where we are on the China business in terms of this meaningful commercialization revenues coming in from there?

P. V. Ram Prasad Reddy: On the China business as we told the plant was completed, we have taken around 11 exhibit batches and the filings will start from October onwards because six months stability we have to put. Nowadays any formulation plant after you complete the plant, it is taking four years or five years to become the commercial production because commercial production means you have to take the products, file the products, approval has to come then the meaningful approvals some five six approvals come then only commercial will start. So, this will take time, in 2024 we expect our commercials will start in Jan.

Nitin Agarwal: And on your inhaler business filings, which are there in US, can give us some more colour on how many product s that we filed and when we are looking at approvals for this segment.

P. V. Ram Prasad Reddy: No, we have filed only one product as on today that is year before, year end up before. And we are working for another three projects and maybe if everything is alright in 2023 second half we can file, at least one product.

Nitin Agarwal: Okay. And secon dly on the oral business. There has been during the quarter lot of talk about certain companies talking about withdrawing from certain products. Are you seeing any changes in the dynamics in the business, has pricing beginning to improve in certain product s? Is there anything improving any signs of improvement in the oral business in general?

P. V. Ram Prasad Reddy: No, there is no improvement, as we told in the first quarter also the sizeable of 2% to 2.5% the price erosion , 1% of the shelf stock adjustment

, it is more or less
similar or little more than the last year, last year including shelf stock it is 10% - 11%. This year in the first quarter itself is around 2% - 2.5% and 1% the shelf stock, shelf stock is only one time, it is not a regular thing, one quarter at a time, but we hope let us see the further quarters because I cannot estimate whether it is going to substantially reduce the price reduction or

something.

Nitin Agarwal: And then are you seeing opportunities for shortages and all beginning to improve again or the situation is a very few shortage of products, I think there have been a reduction, the shortages have reduced quite a bit over the last few quarters. Yes. Is there any change on that or that's also a similar?

Swami Iyer : No, we have not seen any opportunities because of that, at least I would say we are not seeing any major opportunities as of now.

Nitin Agarwal: And sir last one, we have a very large capital work in progress on our books right now, can you give us some sense on which are the large blocks of CWIP and when will they get commercialized?

Santhanam Subramanian : Nitin, we have three plants in US under installation and commissioning. And apart from that, in India, also we have the injectable Vizag plant, then the biosimilar plant, then China plant .

P.V. Ram Prasad Reddy : Then vaccine plant, India around three or four plants. In US our Dayton plant, Puerto Rico and as well as the Raleigh plant, all these are under various stages, these plants has to come to commercial. almost seven plants are in Work -in-progress.

Nitin Agarwal: And, sir, by when do you see commercialization of all these seven plants coming through?

P.V. Ram Prasad Reddy : It starts in a year, and end with the next three, four yea rs.

Nitin Agarwal: Okay, thank you, best of luck.

Moderator: Thank you. Next question is from Vinod Pathiparampil.

Vinod Pathiparampil: first, a quick question. I believe earlier, you have said that generic Revlimid in the US would be a FY24 launch for you. Is that, does that hold true even now? And would that be a significant opportunity for you?

Yugandhar Puvvala: Yes, it is in FY24 la unch, but as the settlement discussions with the innovator are confidential, I cannot comment on the financial percentages, but yes, we are launching in FY24.

Vinod Pathiparampil: Okay, great. And next a general question, when I look at your US portfolio, a large part or look at your overall business portfolio, a large part of that is US and

Europe. And in both these market terms slow growing markets, you already have a reasonable market share, the kind of growth we can see is around 5%, 6%. Not significan tly more than that. And you mentioned that some a little while ago as well. So and of course you add all these new things you're trying to do biosimilars, China etc. maybe it adds a percentage point or so. So is that a 6% or 7% the kind of growth we should look forward to over the next two, three, four years? Or am I missing something?

P. V. Ram Prasad Reddy : Yes, that's what we can expect, that's what we are also expecting, until unless there is no other any surprises don't happen in the global side, the present costs are more or less stable. And we hope next after a quarter also the prices slightly may come down also. And that is what we are also expecting because one after the other six, seven plants should go into the commercial and profitable . that wil l take some time. So all these things will come then definitely more growth may expected after one or two years.

Vinod Pathiparampil: So my question was more like do you have anything in mind to take this growth from 6%, 7% to say 11%, 12%? Is there any such plan in mind?

Yugandhar Puvvala: Vinod, I can just try and explain in terms of each and every business unit has a different growth t ra

jectory. Let's assume in a speciality business, whatever you're
mentioning that double digit growth is possible. In terms of OSD, it will be different, in terms of biosimilar it will be different. So like you need to just look at in a different segments and opportunities and the growth trajectories will be different for different businesses.

Vinod Pathiparampil: Okay, understood, thank you very much.

Moderator: Thank you. Next question is from Tushar Manudhane.

Tushar Manudhane: So just on this extend ing previous participant's question, so while these products under your different niche categories are under development, and we already have a huge base of existing products under approval or pending approval already filed. So how do we see the filing pac e of ANDAs over let's say next two years?

Santhanam Subramanian: Tushar, we have been filing around 10 – 12 products . even this quarter also we filed 13 products with them. In the past, also, we have been filing around 50 products plus year -on-year . may be around COVID time it has come down. So , we don't see a reason why it has to come down dramatically. And we will endeavour to make it continue the same filing.

Tushar Manudhane: And secondly, on the operational costs, like in recent months, we've been hearing they are softening. So , if you could just put some numbers, let's say is it down 5% 10%? Or even that is too much for us.

Santhanam Subramanian: 5% 10% on what?

Tushar Manudhane: In terms of this inflation link down drill cost or in terms of this logistics cost? We have been hearing that there is some reduction that has happened. So , any ballpark would you like to put?

Santhanam Subramanian: Yes, we expect the reduction will start happening. But whether it will have full impact in this quart er is not sure. But as Chairman said, the prices are stable, and it started coming down and probably we will be able to see the full impact of it in the next quarter ie Q3 . But certainly , some impact will come in this quarter.

Tushar Manudhane: Sure, sir. That helps. Thanks, thanks a lot.

Moderator: Thank you. Next question is from Charul Agrawal.

Charul Agrawal: Hi, thank you for taking my question.

Charul Agrawal: Yes, thanks, this is Charul from Bank of America. I wanted to understand that you have $300 million in your cash, given the current stock position, do you have any plans for stock buyback?

Santhanam Subramanian: This is the matter which cannot be talked, there is no proposal as on date on the table. As and when this proposal is talked about it, it will be dealt by the board and any decision taken we will immediately inform the stock exchanges. But as on date, there is no proposal .

Charul Agrawal: Okay, understood. And the second question is regarding the value unlocking in injectable b usiness. So now that strategic investments have seemed to be delayed, are there any other plans for the value unlocking that we're looking for?

Santhanam Subramanian: So this matter has been discussed both by the COID and the Board of Directors. And they will look into any option in the best interest of the shareholders at the appropriate time in the future. As on date, we don't see in the next six months anything will happen like that. But if at all anything happen, board will decide in the best interest of the shareholders.

Charul Agrawal: Okay, understood. And my last question is on the depo t injectable. Do we have any update on the same?

Yugandhar Puvvala: Charul, i t is the same thing what I said last quarter. Our 3 depo t products are under execution. And we will keep the investors updated every quarter in terms of the progress but it is on track as I mentioned last quarter.

Charul Agrawal: Thank you, that was all.

Moderator: Thank you. Next question is from Damyanti Khera i.

Damyanti Khe

ra i: Hi, good morning.

Damyanti Khera i: Thank you for the opportunity. So my first question is on Vizag injectable grant. Did you mention majority of supply pickup will happen after FY24?

Yugandhar Puvvala: Damyanti it is like this. Vizag injectable plant will start the validations and filings in Q4, Q4 we will be doing valida tions. And then Q1, Q2 of FY24 is where we will be filing and in all probability and by FY24, quarter four, we should start commercializing the plant. And it depends on inspections and other matters as you said. So it is, we'll start with the emerging mark ets and Europe and then subsequently also commercialize the plant for US. That's the plan, but this is an additional plant and which we want to use it as both the de - risking and capacity enhancement for a number of molecules where we have additional demand.

Damyanti Khera i: Okay. So, for this target of $650 million to $700 million sales for generic injectable, there is less dependence on Vizag plant and you believe the existing capacity should be able to meet the s tated goal.

Yugandhar Puvvala: You're absolutely right.

Damyanti Khera i: So, in existing plants, where all you have expanded capacity?

Yugandhar Puvvala: See, we have existing four commercial plants ; one oncology and hormonal plant, one Penem plant and so, everywhere we have added additional lines wherever we have excess demand, we have added additional lines and so, in three plants, we have expanded the capacity and the fourth plant also we are planning to expand the capacity. So, that is a continuous p rocess, Damyanti.

Damyanti Khera i: Okay and all these expansions are good enough to meet the target which you have set for yourself.

Yugandhar Puvvala: Absolutely. In fact, whatever we feel is with these four plants can take care of demand up to FY26.

Damyanti Khera i: Up to ’26, okay. And my second question is on any update on the unit seven and unit five which had undergone FDA inspection in previous month?

Santhanam Subramanian: regarding unit seven we are already informed the stock exchange that we have been classified as VAI and the unit 5 also we have informed the stock exchange at least a month back that it has been cleared. and we have given a proper disclosure to the stock exchange.

Damyanti Khera i: Okay and my last question is on vaccines. How should we look at this opportunity moving up in next two to three years and what are the key near to medium term goals for new year?

P. V. Ram Prasad Reddy : As we told in previous calls one product we may launch if the clinical trial go through in one or two months. We hope the outcome will come, once it is there we will launch in India and then we are also working in another two vaccine projects, this will take another one and one and half year. So that is the way that it's going slow b ut it is getting very steady.

Damyanti Khera i: So mostly two years from now, we should be seeing good ramp up happening.

P. V. Ram Prasad Reddy : Yes, two years we can see profits in this company. That is what I am hoping for.

Damyanti Khera i: Thank you. I'll get back in the queue.

P. V. Ram Prasad Reddy: Thanks, ma'am.

Moderator: Thank you. Next question is from Prakash Agarwal.

Prakash Agarw al: Thanks for the follow up. Yes, just two things. One is during Q3 call, we had talked about acquisition of 40 ANDAs , 32 I guess within market. So, is it a function of that that is playing out in this Q1 where the sales have improved?

P. V. Ram Prasad Reddy : No, that is - work is going on that CP30, PAS out of that 40 and there is nothing has come into to the commercial. And we are hoping and it will come from September, October onwards one product after an other product will come definitely ; because it is

CP30 or it is PAS, it won't take much time because the only thing is we have to take the product and take the batches here and keep the stability and file it, maybe CP30; this will take some time. So that is the reason most probably you can t ake in the early next year the commercial, the result will come from this 40 products. 31 is the o ral and, three are injectable, and around six are derma products.

Prakash Agarwal: So correct our understanding, so these are not currently commercialized products which are having running sales.

P. V. Ram Prasad Reddy : Not in our portfolio.

Prakash Agarwal: Okay, so this gets transferred to your portfolio through your filing and then you start monetizing the same.

P. V. Ram Prasad Reddy : Yes, From early Ja nuary, we already transferred to Aurobindo name, and we already working on the filings. We already filed around seven products. And the commercial benefit will start from early January.

Prakash Agarwal: Early January, perfect. And what is the running, I mean expected sales run rate from these? How would it start? It would be like a step function. And what would be the expected sales from this portfolio?

P. V. Ram Prasad Reddy : I will come back, Prakash, I'm not sure , how many to what products I filed, I have to look into that I will come back on that.

Prakash Agarwal: Okay, perfect. And lastly on clarification on the first question that I had asked. So, I think what I understood was this gross margin wo uld be still softer in the upcoming quarter from 3Q, you would start seeing some improvement with the function of improving freight and raw material cost. Is that correct understanding?

P. V. Ram Prasad Reddy : That way as long as if the R&D expenditure is not going up, otherwise, the profit has to start to see a little bit improv ement .

Prakash Agarwal: And so when you say R&D, what is the rate that you're looking at for this year and next year, given that we have lot of complex products under development and that we would also see filing? So, how do you see that ramping up or what is the guidance on that?

Santhanam Subramanian: So there the program which has been explained, Prakash, first quarter we have done 5% , on an average we have been meeting around 6% to 6.5% last year. So, we will continue to do that probably on the overall basis anywhere could be 5 .75% to 6.5% could be the thing based on their programs, and depend on how the other programs are going fast.

Prakash Agarwal: Yes, but would it not be fair to think that this will go up given that you have significant range of complex products which will require CT

P. V. Ram Prasad Reddy : From the biosimilars and from the Rale igh plant , the MDI projects, and other plants more or less every quarter are going in a structured way. So there may not be additional and so these two areas, some additional expenditure as to increase , it may little bit increase some another one percent but less than 1.5%, it may increase the additional R&D , If this clinical expenditure comes into the account.

Santhanam Subramanian: We need to see, Prakash, adding to what Chairman said. We need to see the timing, whether it can spill over between Q4 of this and Q1 of next year like that, we need to see that.

Prakash Agarwal: Okay. Thank you.

Moderator: Thank you. Next question is fro m Kuldip Yaqik.

Kuldip Yaqik: Hello, thank you for the opportunity. So I'm very much confident on pharma business, but could you please elaborate about the vaccine like how many products are there in R&D now, and as you said that two, three products will be rolled out in couple of years maybe two to three years . So what is our future prospect on other R&D products.

Santhanam Subramanian: we are working on multiple things, Kuldip. We are working on Nasal we are working on Derma

, as Chairman explained on the inhalers also, we are working, transdermal we are working etc., if you really see in the case of Nasal , we have already got two product s approved and we have filed one product and under development is around nine products and Derma we are working more than 30 products and we have already filed some products.

Kuldip Yaqik: Sir, you're talking about Derma but I have talked about vaccines. So yes, is it the type vaccines? Yes, I am talking about vaccine.

Santhanam Subramanian: As on vaccine, as Chairman explained, we have already done the PCV vaccine and the outcome of the results will be known in two, three months we will come to know of it and that is what we are working as on date.

P. V. Ram Prasad Reddy: And another two projects we are working.

Kuldip Yaqik: Okay. And you said that it will be launch ed in India. So is there any other competitors are also there for these products?

P. V. Ram Prasad Reddy: Yes, there must be another one or two people definitely and we are willing to take up after that to WHO that will take another one year.

Kuldip Yaqi k: Okay. Thank you. And what could be the market size if it is launched maybe in two years?

P. V. Ram Prasad Reddy: let me check with the concerned person, and come back, but I’ll come back to you in the next one.

Kuldip Yaqik: Okay. Thank you, sir. Good luck.

Moderator: Thank you. Next question is from Vishal Manchanda.

Vishal Manchanda: Thanks for the opportunity. Would you have a number as to what would be Aurobindo's market share in the oral solid dosage category in the US? By prescription volumes?

Swami Iyer : Vishal, by prescription volume, we are number one in the US. And that is just by Aurobindo itself. We also have some private labels that would be additional. So we had done in the last one year through May based on the IMS, we have done about 4.4 billion tablets, approximately. And with this, we are the number one on an annual basis, we are close around 20 billion.

Vishal Manchanda: Okay, and 20 billion is in terms of number of tablets, you said?

Yugandhar Puvvala: That's correct. And this is only from o ur Aurobindo si de plus, as you know, we also have some partners.

P. V. Ram Prasad Reddy: what is the percentage he is asking, Swami. Our 's around 7%, 7.1% or how much is, Swami?

Santhanam Subramanian: If I recollect it is 8.3%, Swami.

P. V. Ram Prasad Reddy: Somewhere around that. And we will come back.

Vishal Manchanda: That's in the oral solid dosage category eight point.

P. V. Ram Prasad Reddy: Yes, that's what.

Santhanam Subramanian: We'll come back to you, Vishal.

Vishal Manc handa: Okay. And, sir, the second question is on Folotyn, so there's a settlement in November 2022. So, what if assuming Generic centre post that would be -- would that materially impact our EBITDA or it will not be a material event for us?

P. V. Ram Pras ad Reddy: And some extent it will impact from end of this year.

Vishal Manchanda: So, do we have launches that could set this off or this would obviously be large for the company?

P. V. Ram Prasad Reddy: No, two Derma products, they are already in the middle way of the clinical trial and then this gap will come in 2023 from 2024 onwards calendar year approximately this will cover up and that is what we are expecting.

Vishal Manchanda: Okay. And just one fundamental question on oral solids, I think even Aurobindo would be doing mid to high single digit ROC E and probably be I think, Aurobindo would be the lowest cost player in this space. So how long do you think the situation can persist? So based on your assessment of capacities that will be available in this --

P. V. Ram Prasad Redd y: We are not the lowest cost of production, whatever in the In

dia
people are producing same cost only we are also, as we have a good number of ANDAs. So, we are producing little more, but we hope this will continue and some more additional products are expected to join in this out of that at least some will get click and this will continue or we hope next seven to 10 years maybe or more.

Vishal Manchanda: Maybe what I mean is that ROC E would be in low single digit. S o can this go further down or what? How do you think the industry will shape up? Because this is an unsustainable number.

P. V. Ram Prasad Reddy: This further going down is a very difficult , but still we don't know exactly what is going to happen. But you ask me , it should not go as per theory. It is already gone down like anything.

Vishal Manchanda: Okay, thank you.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to Ms. Deepti Thakur for the closing comment s.

Deepti Thakur: Thank you all for joining us on the call today. If you have any of your questions unanswered . Please keep in touch with the investor relations team. The transcript of this call will be available on our web site www.aurobindo.com in due course. Thank you and have a great day.

Moderator: Thank you on behalf of Aurobindo Pharma Limited. That concludes this conference. Thank you for joining us. And you may now disconnect your lines.

End of Transcript

Call: Nov 2022

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panm aktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., INDIA Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com

November 18, 2022
To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q2FY23 earnings call.

Please refer to our letter dated November 8, 2022 wherein we intimated about the schedule of Investors/ Analysts call on November 14, 2022 . We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the second quarter and half year en ded September 30, 2022 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

“Aurobindo Pharma Q 2 FY23 Earnings Conference Call”
November 14, 2022

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptides businesses

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Sanjeev Dani – COO & Head Formulations, Aurobindo Pharma Limited

Mr. S. Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma USA

Ms. D eepti Thakur: - Corpo rate Communication & Investor Relations,
Aurobindo Pharma Limited

Moderator: Hello and good morning. Welcome to Aurobindo Pharma Q2 FY23 Earnings Call. Please note that all participants line will be in the listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded.

I now hand the conference over to D eepti Thakur for the opening remarks. Thank you and over to you.

Deepti Thakur: Thank you, Aditya. Good morning and a warm welcome to our Second Quarter FY23 Earnings Call. I am D eepti Thakur from the Investor Relations team.

I would like to introduce my senior management team today on the call with us, represented by Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses, Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited, Mr. Sanjeev Dani, CEO, Head Formulations, Aurobindo Pharma Limited, Mr. S Subramanian – CFO and Mr. Swami Iyer - CEO, Aurobindo Pharma, USA.

We will begin the call with summary highlights from the management followed by a n interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, busi ness development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business a number of risks, uncertainties and other important factors may cause actual deve lopments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S Subrama nian for the highlights. Over to you Sir.

S. Subramanian: Good morning, everyone. We are here to discuss the results for the Second Quarter of the Fiscal Year FY23 declared by the company. For Q2 FY23, the company registered a revenue of Rs. 5,739 crores ; a decrease of 3.4% over last year. The EBITDA before Forex and other income was Rs. 836.9 crores. EBITDA margin for the quarter was 14.6%. The Net Profit decreased and for the quarter stood at Rs. 409.4 crores.

In terms of the business breakdown, formul ation business in Q2 FY23 witnessed sales of Rs. 4,770 crores and contributed around 83.1% of the total revenue. API business contributed around 16.9% and clocked a revenue of Rs. 969.4 crores for the year.

For the quarter, revenue from US Market declined by 11% year -on-year to Rs. 2,637.6 crores. We have received final approval for nine ANDA s and launched six products in the quarter under review. We have filed 14 ANDAs including two injectables during the quarter.

Revenue for Aurobindo Ph arma USA, the company making the overall products in the US has decreased by 19% year -on-year for the quarter in US Dollar terms. Revenue for E ugia US, formally known as Auro Medics, the Injectable business decreased by 27.6% year -on-year to

$49 million fo r the quarter.

The company as on 30th September'2022 has filed 756 ANDA s and on cumulative basis of which 527 has the final approval and 36 having a tentative approval including 8 ANDA s which are tentatively approved under PEPFAR and the balance 193 ANDA s under review.

For the quarter, the European formulation clocked to Rs. 1,516.2 crores; a decrease of 8.8% year -on-year mainly due to Euro currency depreciation. On base currency business, the revenue was Euro 189 million against Euro 191 million on year -on-year basis.

For the quarter, the Growth Market witnessed a growth of 17% year -on-year to Rs. 451.9 crores. The quarter performance was led by strong growth in Canada. Also , this in

cludes
domestic Indian sales of Rs. 65 crores

For the quarter, ARV Business stood at Rs. 164.3 crores; a growth of 13.3% year -on-year.

R&D expenditure is at Rs. 276 crores during the quarter which is 4.8% of the revenue.

Net Organic CapEx during the quarter is ~$82 million.

The average forex rate was Rs.79.6123 in Se ptember'22 and Rs.76.9795 in June'22.

Net Cash including investment at the end of September'22 was $337 million.
The average finance cost is 1.9% mainly due to availing multiple currency growth.

The business generated a free cashflow before CapEx and oth er items of $82 million during this quarter. This was spent towards CapEx including $31 million for PLI Penicillin G Project. With this, so far, the investment in PLI Penicillin G Project around $63 million against the budget of $235 million dollars.

This is all from our end and we are very happy to take your questions now. Thank you.

Moderator: Thank you very much. We will now begin the Question -and-Answer session. Anyone who wishes to ask a question may use the raise hand from the 'Participants' tab on your screen. Participants are requested to use headphone or earphone while asking a question.

Ladies and gentlemen, we will wait for a moment while the question queue assembles.

First question is from Mr. Dam ayanti.

Dam ayanti: Hi, Good morning. I hope I am audible.

Moderator: Yes.

S. Subramanian: Yes.

Dam ayanti: Okay, thank you. Thank you for the opportunity. Sir, my first question is on the US Business. So, what has happened like this quarter was obviously much lower than what we have seen in the previous quarter? And, especially, if you can comment on the EUGIA's performance and how do we sales moving in coming quarters? And my second question will be, do you maintain your guidance for global generic injectable sales what you have provided earlier $650-700 million by FY24?

S. Subramanian: Swami.

Swami Iyer: First you would want to take Injectables?

Dam ayanti: No Sir, first please comment on the US like what has happened and how do we see things moving.

Swami Iyer: Yes, okay. So, thank you, Dam ayanti for the question. Now, there are two components to this, obviously, the Oral Solids and the Injectables. I will talk about Oral Solids. We have seen lot of competition and then this led to price erosion during the quarter and shelf-stock adjustment. So, we also saw some drop in volume or demand for certain key products which could be seasonal because we don't think this is long -term. This is the m ain reason for the shortfall in the revenue for the quarter.

Damyanti: Okay. So, that's under Oral Solids portfolio specific or same is true for Injectables Business also?

Yugandhar Puvvala : I will comment on this, Dam ayanti. I think, you asked two quest ions. One is on quarter performance for the Injectables. Let me put is as speciality, overall speciality business and the future guidance. Let me address both of the things. Number one, yes, Q2 is a bad quarter and in fact we have seen 2 -3 effects. Number one, we have seen volume drop to the tune of around 20% and also, we have seen price erosion but that is in single digits. But we also had to take some shelf-stock adjustments on Vasopressin, from Q1 to Q2. That has decreased the revenue. But, in general, we don't see this as trend going forward but this is one-off quarter that's what we feel.

Dam ayanti: Okay.

Yugandhar Puvvala : It should come back to the normal run rate. Number two, going forward our future guidance , going by the current events what's happening is we are still observing what's going on in terms of the elective surgeries and everything, hospitals are full and what we are seeing is there's a significant volume drop not only for us in Q1 and Q2 , we have seen that for multiple competitors. So

, probably, it has to do with some inventory adjustment and
it should come back. But our guidance, based on current events, we feel it might get delayed by a year unless something substantial and some upside happens. B ut going by the current events we feel like it might go into FY25.

Dam ayanti: Okay, Sir. I think that's very helpful. And, my last question is, if you can update on the Vizag Plant in terms of where the plant is currently standing, whether it started supply etc. Yes.

Yugandhar Puvvala : No, in fact the construction is complete and we are doing the line qualifications and as I mentioned in the last quarter we will be taking exhibit batches in this year and we will start filing in H1 of FY24 and we still are confident that by end of FY24 it should start generating some revenues. We wi ll be filing it for all markets – US, Europe and Emerging Markets from this plant. The plant construction is complete and lines are under qualification right now.

Dam ayanti: Okay, Thank you very much for your answers.

Yugandhar Puvvala : Thank you.

Moderator: Thank you. Next question is from Alankar.

Alankar: Hi. Good morning, everyone. Sir, my first question is on the recent promoter development. Given that Mr. Sarath has been relived from his executive responsibilities can you, please, explain what were his exact roles and responsibilities in the first place and who will be taking charge of his responsibilities?

S. Subramanian: Yes, Mr. Sarath has been looking after the Information Technology, Engineering purchases as well as the logistics. So, that has been allocated between the whole - time directors and that will be continued.

Alankar: And, Sir, any particular reason for retaining him as a Director considering that his ability to discharge those responsibilities as well would be limited now?

S. Subramanian: No, he's not going to be an Executive Director. So, he will continue to be Director on the Board as Promoter -Director .

Alankar: Alright, okay. And maybe one other question on this front, Sir, any other member from the promoter family who is involved in some of the non -Aurobindo businesses wherein Mr. Sarath was involved because we have been getting those questions from investors? A ny clarity on this would be really helpful, Sir.

S. Subramanian: See, let's me put it like th is - the matter is under sub judice. We don't want to talk about this matter and to the best of my knowledge no other Directors are involved in that business.

Alankar: Alright, Sir. And my second question is, given that shareholder wealth creation has been an iss ue for the last 5 -6 years now, how are we thinking about this as well as capital allocation? Now considering that we have been generating good cash for the last few years, is the Board incrementally open to buybacks?

S. Subramanian: So, let me put it like this. See, as on date we are having around $337 million Net Cash and if you really see we have embarked on couple of projects which are very important both from the company point of view as well as from the nation point of view especially the Pen -G Project which involves a capital outlay of around Rs. 2,000 crores, right. Probably, we are thinking of ‘Can we be able to accelerate that?’. So, at this stage probably unless some clarity comes on that and we move forward , this issue relating to the capital allocation like buyback etc. will not be taken up.

Alankar: Understood, Subbu Sir. That’s all from my side. Thank you.

S. Subramanian: Probably, maybe in another 6 months we will get some better clarity on the Pen-G project .

Alankar: Understood, Sir. That’s all. Thank you.

Moderator: Thank you. Next question is from Neha Manpuria.

Neha Manpuria: Thanks for taking my question. Sir, when you say

clarity on the Pen -G Project,
I mean Rs. 235 million is already earmarked for that, right. So, do you mean additional CapEx on the Pen -G Project over and above what is year marked?

S. Subramanian: $235 million is the budget based on the current currency exchange rates etc. and what we mean is we have not taken any bank loan etc. as on date. So , what we are saying is if we are able to accelerate probably the $337 million Net Cash we are carrying in the books will come down. Going forward in the next two quarters, the major outflow will happen and based on that outflow and what is the new cash ge neration etc. will be known. We also committed, if you have really seen, we are going to put additional Biosimilar plant ~Rs. 300 crores apart from other projects . So, keeping in mind various projects it will be deferred and will be reviewed only in the May Board Meeting in my view.

Neha Manpuria: Okay. So, basically, any additional buyback or dividend etc. will be considered only in the May Board Meeting?

S. Subramanian: I am not saying it will be considered. It will not be taken till the time.

Neha Manpuria: Alright, understood. Thank you so much. Sir, on the US Business given there was a fair bit of shelf stock adjustment in both the Oral Solid and Injectable business would it be possible to quantify that number for the entire US Business? I know you can't mention product -specific, hence I am asking. Just wanted to understand, you know, how much of the impact that we have seen quarter on quarter is actually one -off and what is the new base for the US Business.

Swami Iyer: So, first let me take the Oral Solids. After that, Yugandhar can talk about the Injectables . So, the Oral Solids shelf stock adjustment has been pretty normal the way it happens. Only thing is, since we had the price erosion which was little higher, so the shelf stock adjustment would be proportionately higher otherwise I would think that there' s no abnormal increase in shelf stock as far as the Oral Solids are concerned.

Yugandhar Puvvala Yes, I think, it is the same, it is one -off product which we had to take the shelf stock adjustment. It is not a general phenomenon and, as I said, it is driven by the 3 factors. One, is the volume drop and which we feel with the way things are going and all the business back to normal in all the hospitals, we feel the volume should go up going forward. Two, is related to the price decline what we have seen in single digit and third is, on -off shelf stock sdjustment. Mainly, I can say that it is on Vasopressin. So we had to take that. That's why I said this quarter is bad, but we are very positive going forward.

Neha Manpuria: Sir, you know, sorry to harp a bout this but in that case is it fair to assume that the $330 million that we have reported this quarter becomes the base for the US Business? And I am just trying to understand our ability to regain the volume that we have lost, is this Market Share loss both in the Oral Solid and the Injectable business? Or, you know, how much of it is actually something that we can get back in the subsequent quarters?

Yugandhar Puvvala : Like as I said, number one is, we haven't lost market share . We have seen a significant volume drop across various categories. It has nothing to do with the market share loss. We haven't lost the market share . What we are seeing is a general lesser offtake in t his quarter both in Oral Solids as well as Injectable and which has nothing to do with the market share loss. That's why we feel it will come back.

Neha Manpuria: Understood, okay. And my second question is, you know, on the Injectable you mentioned that the speciality guidance has been delayed by a year but in terms of a more one year outlook, do you see Injectable momentum…Now, you know, we have not even gone back to pre -COVID levels, so h

ow confident are we of our pipeline coming through to go back to the $70 million run rate that we were doing pre -COVID?

Yugandhar Puvvala Yes, number one is from a perspective of future outlook, we have been launching significant number of products and I expect to launch roughly around 20 odd products in this financial year and we are filing 20 odd products every year. So, from a pipeline point of view we have been very robust and substantial in terms of the filings. Number two is, we are expecting some limit ed competition product approvals hopefully starting from next week and I am sure that that should give us a significant impact going forward. Third is, as you know, like we do have a settlement on Lenalidomide and that will give us the impetus which is required for us to go towards FY25 and our delayed guidance because some of the upsides what I thought would pan out didn't pan out the way they were supposed to. That's why I am just saying that it might get del ayed by a year.

Neha Manpuria: Understood, Sir. Thank you so much.

Moderator: Thank you. Anyone who wishes to ask a question may raise your hand from the 'Participants' tab on your screen. Next question is from Surya Patra. Yes, Mr. Surya, you can unmute yourself and ask the question.

Surya Patra: Yes, okay. Thank you for this opportunity, Sir. when you said about across board volume decline in the US Is it an industry wi de phenomena sir?

Swami Iyer: So, I will say this from Oral Solid s side. We cater to certain portfolio of products. Among the top 20 products that we have seen for overall product decline, we have seen some decline there. I don't want to comment on industry, but we are talking about the products that we are dealing with.

Yugandhar Puvvala: Surya, it is similar because we don't want to comment on the overall industry but what we are seeing is, the category of products what we are dealing with. I have seen a decline in volumes , it is general. It can be one -off here , and ther e might be some market share loss , but mainly driven by at this juncture our guess is, it is lower op rate and probably related to inventory adjustments at wholesalers and distributors. But the way things are going we feel that the volumes will come back.

Surya Patra: Ok. Sir, my 2nd question is on the branded oncology business. So, trend wise what we are witnessing is, there is a gradual drag although it is not very significant from the time of acquisition. So, this portfolio, how should we think going ah ead? Whether our specialty product will be complementing this one or we will continue to see a kind of a drag till sometime when our specialty will probably start contributing beyond FY 24 or so?

Swami Iyer: Yes, thank you. I will take that question. We a re talking about the oncology brand ed product. Correct?

Surya Patra: Ya.

Swami Iyer: So, the oncology brand ed product has been steady, that's what I would say and it continues to be steady. We have been looking for businesses development opportunities outside and we have been successful in tying up with a few of them and we expect some of these products to start generating business sometime in late FY24 and ear ly FY25. I would say. For FY25, we expect some business to be generated in other products. We are very optimistic about the branded products. We have few other things which are under development. So, we feel very optimistic about it.

Surya Patra: Ok. Rega rds the US injectable plant and its piling momentum sir, can you update us, what is the status there? And also, if you can provide some update about your special ity project, let's say biosimilar, vaccines, like that.

Yugandhar Puvvala: I think I will just talk about the US plant and I will ask my colleague Satakarni to talk on the Biologics part. US plant you know, we have completed the project and w

e have already done exhibit batches and we expect to start filing from Q1 of next financial year and we have a pipeline of 20 odd products which we have identified. Every quarter, our target is, we want to do 3 products and the 1st product we will start filing from May '23 and after that it will keep going on. That's on the US plant. So, both Vizag plant and US plant, the timelines will be similar in terms of filing products. Satakarni, would you like to comment on biologics?

Satakarni Makkapati:
Yes, thanks Yugandh ar. Thanks for the question on biosimilars. I would answer your question in 2 parts. One for the biosimilars and one for the vaccine. The 3 biosimilars in phase 3 efficacy trials are progressing as desired. If you remember my last update, I had talked abou t the oncology biosimilar and the large trial that we have been doing in m etastatic breast cancer patients even during the covid headwinds period. Now , I am pleased to inform that we have completed randomization of all 690 metastatic breast cancer subjects in our phase 3 efficacy trial comparing CuraTeQ's version of biosimilar to the innovator's product. We plan to unblind the clinical trial data starting end Q3 this financial year, with a series of filings to begin from Q1/Q2 in the next fiscal year, starting with India and Emerging Markets before June 2023 and the big filings of EMA, which we expect to close by August or September 2023, and FDA filing by October or November 2023. So, that's a big filing that we are looking at in the next year.

The other two biosimilars in phase 3 clinical trials are also progressing really well. What is important to note is also that from earlier oncology therapeutic seg ment focus, we are now also advancing our immunology pipeline. One of our immunology products which we think, we are one of the first 3 or 4 to be filing in FY24 or FY25 is now closing on its phase 1 trial in Australia and New Zealand. This is a product wh ich serves both respiratory as well as in dermatology segments. The dermatology segment is very important to our portfolio of products for Aurobindo's (portfolio) differentiation. We will be entering into phase 3 first patient injection milestone by Q4 of this fiscal year for this immun ology program. This is a large trial which will be carried out in around 13 countries and in 85 sites. We are excited about the prospects that we will be able to close this trial somewhere by Q1 of FY24 and initiate the filin g process in Europe and US. So, that's (the update) about biosimilars.

With respect to the vaccines question, in the area of vaccines, I am also happy to inform that our PCV -15 vaccine comprising of the 15 serotypes conjugated to carrier protein CRM 197 had shown to be immunogenic and generated the functional antibodies for all vaccines serotypes, in the 3+0 trial that we conducted in paediatric population. 13 serotypes that w e were evaluating vs. Pfizer's Prevnar 13 showed similar or slightly higher immune response and the clinical end points have been met. The two other serotypes which we additionally have other than those in Prevnar 13 have also shown non -inferiority. We have s ubmitted this filing last week for a (Market Authorization) approval to the Indian regulator. I expect the regulatory process for approval to unfold in the next 2 -4 months' time. Meanwhile, as part of the regulatory requirement and as part of our aspiratio ns to make it a WHO program, we have also initiated on this 7th October, a 2+ 1 regimen paediatric trial in India. At this time, I think we are well on track to get this p roduct approved in India followed by our continued impetus to make this product better and increase the safety database by conducting an additional 2+1 trial and building on another trial for the WHO markets and we believe that we will have a WHO filing in 2024. We will p

rovide a guidance on this product as the regulatory queuing
procedu re (unfolds) in accordance with the Indian regulator. Probably in the next earnings call, I will be able to provide you good news on this product.

The other early -stage vaccine programs are progressing as expected. I hope I have answered your question.

Surya Patra: So, sir, is it fair to believe that the contribution of this special ity project from the advanced market is likely in let's say FY26 or so?

Satakarni Makkapati: Can you elaborate your question a bit more?

Surya Patra: From the advanced market let's say Europe and US, that is the target market if you consider, then those are like the incremental business from those advanced markets from these specialty products is likely in FY26 or FY27 or beyond 25, FY25. Is it so?

Satakarni Makkapati:
So, in the area of biosimilars, we are expecting a product approval next year with the filings that we have in Europe. So, we expect the revenues to kick in sometime in Q3 or Q4 of the next year. So That's when we will see the commerci alization to begin for biosimilars in certain regulated markets. With the ongoing clinical trials, the three large antibody clinical trials that we are doing globally, (FY24 end or) FY25 is a fair assessment for the revenues to kick in because the regulato ry process takes anywhere between 9 -15 months in Europe and US (after filing).

Surya Patra: Ok. Just one last question from my side. So here, about the European market and in general about the margin profile of the consolidated operations, so obviously generally the cost pressure what we are witnessing, it is common for all the markets and our key market which is a key earning contributor that US is facing is obviously the pricing pressure as well as the cost pressure. So same should be there even in the European market I believe should have pressurized the overall margin. So here, if you can share some idea about what is the current situation and the current challenges that you are facing in the European markets and how long that can have similar kind of impact on the overall margin profile. And having kind of seen a correction in the gross margin level from last year for the consolidated operation, how should one really build in the gross margin scenario for Aurobindo going ahead for this year and say next year?

Sanjeev Dani: So, on the European business I will answer, and CFO will answer on the overall for Aurobindo. During the quarter, we have not seen a margin compression. In fact, our margins have strengthened because of the various opportunit ies which were thrown up because of the supply chain disruption in Europe with other competitors. So, if you really see, our business or top line has been rock steady at about 190 million in Euro terms and we discontinued two loss making country's business in the first 6 months. So actually, if you discount for the last year's base of these 2 companies, we have grown by 3 % in the top line and our EBIT DA has strengthened actually to 13 % to net sales. I do agree that there is a pressure on gross margin and al so maybe expenses, but we are better positioned versus competition.

Surya Patra: Sure sir.

S. Subramanian: Surya, as Sanjeev said, if you really recollect, last year we have been telling about the low te ens and the position has slightly improved and going forward with the Euro appreciating, (hopefully it will get appreciated), I think we can see some improveme nts only. In terms of the overall company, the percentage of the overall European business remains at

around 26% and continues to remain in the same position. So overall if you really see the Company as a whole , the gross margin and EBIT DA margins will slightly improve based on the performance of the Eur

opean business.

Surya Patra: Ok, yes sir. Thank you. Thanks a lot.

S. Subramanian: But it may not be very significant, in bps, around 10 -20-30 bps, like that it can start to mov e up.

Surya Patra: But next year should be different sir.

S. Subramanian: See at this stage, we would not want to comment on the European business.

Surya Patra: Generally for the consolidated operations.

S. Subramanian: For Consolidated operations , quite a significant manufacturing has been started in India if you recollect in the last 3 -4yrs , they have really taken around, if I am right Sanjeev can confirm, we have already moved around 50 % of the products to India .

Sanjeev Dani: Ya, it is about 5 5%

S. Subramanian: Ya, 55% cost effective manner and this process is being continued . Sanjeev, would you like to talk about European business, injectable moving to Europe, biosimilars etc. Do you want to elaborate?

Sanjeev Dani: Ya, actually going forward, we have seen that our business has been growing double the market growth rate. So, we expect 5 -7% growth to continue. Secondly, we are developing more than 200 products which includes injectables, biosimilars but mainly broadening the product portfolio of Oral Solid also. So, over the next 2yrs, we will be launching these products. So, we see that there are a lot of opportunities which are coming up because of competition, we are not able to maintain the steady stocks in the market.

Surya Patra: Ok, Ya. Sure sir. Thank you. Wish you all the best.

Moderator: Thank you. Next question is from Kunal Dhamesha .

Kunal Damesha: Good mor ning. Thank you for the opportunity. First on the Pen-G project where we are planning to invest $235 million dollars. Can you provide colour on what are the major parts to that $235 m illion dollar including let's say equipment, the outer infra, the land c ost etc .

S. Subramanian : The overall project of $235 million , the major will be, we are planning to put a de -salination plant, the fermentation process , power block s, etc. like multiple sub-projects are being done and those purchase orders have been issued and work is being done by the respective suppliers etc. The material is expected to receive in this quarter and the next quarter. Significant portions of the buildings and blocks have been done. So, we believe

by next September or October, the installation should be over. After that, the trial or the pilot batches will take place starting Octobe r next year onwards. So, our target is to complete the projects by March ’24 and it’s our endeavour to advance it.

Kunal Damesha: Ok. And the capacity of production – how much will be the production capacity?

S. Subramanian : The production capacity will b e around 15 ,000 Metric Tonnes .

Kunal D hamesha: 15,000 Metric Tonnes . Ok. Sure. Coming to the R& D expense which seems to be kind of guided between 5 -6% of the revenue and this quarter its 4. 8%. Do we expect it to go up given that we now have phase 3 trial for biosimilar running or would you say that the majority of cost for those phase 3 trials are already on and you would see similar run rate?

S. Subramanian: Kunal, you are absolutely right. Coming quarter I think , December quarter and the March quarter, some of the phase 3 trials are being conducted as Satakarni explained very clearly. So, we expect the overall percentage to go up and probably it may go up to 6% level. This quarter is 5% beca use of the timing of the expenditures and other things but certainly we are looking at 6%.

Kunal Damesha: Sure. One follow up on the profitability of the biosimilar business specially in Europe where the price erosion seems very strong. So, what are your views? Currently we are doing low double digits in the Europe. Once the biosimilar business comes in, could that have a mat erial delta or how should we think about it?

Sanjeev Dani: Yes, Europe business, even without this specialty products will strengthen the EBIT DA margin that is what our endeavours are with the launch of more new products . But biosimilar , oncology and injectable will definitely help to improve the margins. However, it depends on the expectations, but we think that it should reach beyond 15% In the coming quarters.

Kunal Dhamesha : And the last one on the biosimilar, we have said again, we are investing another Rs. 300 crore, what kind of bioreactor capacity we are looking at with that investment?

Satakarni Makkapati: So, Kunal we are looking at about (multiple) 15KL manufacturing bioreactor (capacity) that probably makes it the largest monoclonal antibody manufacturing capacities when it becomes fully operational in the country. We also think the 15KL manufacturing cap acity would provide the foundation for our company's contract manufacturing aspirations and also add in additional capacities for our own products. We look at this plant becoming operational and ready for commercial supplies in FY 25-26.

Kunal Dhamesha : And what would we have current capacity for biosimilars and current gross block?

Satakarni Makkapati: At present, we are having 140,000 square feet manufacturing footprint with four 2,500 litre (mammalian cell culture) bio reactors that is around 10 KL capacities for our internal programs. So, for the first two or three monoclonal antibodies that will come out of our CuraTeQ facility , we are well aligned to capture up to 5% to 10% of the market share without any (capacity) hiccups. If you can go through the press release that we have made about this Rs. 300 Crore investment , this is primarily to stretch our aspirations into contract manufacturing, creating a huge manufacturing footprint that allows us to make solid foundati on to attract contract manufacturing opportunities in this segment.

Kunal Dhamesha : Sure, thank you. I'll move back in the queue.

Moderator: Thank you. Next question is from Prashant Poddar.

Prashant Poddar: Hi guys, thank you very much for the opport unity. Su bbu, first of all, there are two concerns I will point out. First one is on the governance standards given the experience of the Chairman in compliance, investors who have been with you for more than five years, a decade, etc. would expect better governance standards, wherein the side businesses of directors should also be reported and should be public rather than we coming to know about it much later. The second one is on your use of cash; I just could not understand your response, honestly. We d on't want a buyback or anything to be announced immediately. Obviously, the use of cash is something that the board of directors have to decide, but your confidence in saying that this money will be needed till May you do not have any clarity on that, and the response that the capital expenditure will suddenly be increased. I just could not understand that bit. $337 million cash and Rs. 800 crores a quarter EBITDA it just does not, I mean, we can ’t understand how this cash can be so quickly utilized and we don ’t want it to be used for buybacks or anything but your lack of clarity on what it will be used for, you just could not add numbers for me. So honestly, this is a disappointment from our perspective. We just want a candid feedback and we need better communication from Aurobindo on all these things.

S. Subramanian: Yes, Prashant your point is taken . In terms of the Pen-G plant, we are already putting around Rs. 2,000 crores and out of that we have spent around Rs. 500 crores, Rs. 1,500 crores are going to be spent in the coming year . We like to accelerate it as much as possible. Second point if you really see once we get a clarity, we are already having a gross deb t of ~$490 million we wo

uld like to use the cash and reduce it. It is not the entire cash that is going to get used , the cash is kept as a reserve and there is a gross debt of nearly Rs. 4,000 crores , which has been forming part of the earnings presentati on also, we would like to use it and reduce the debt. So, we are working on that . In this quarter we could not do because of the volatility we do not know when we need to bring it and whether the rupee will touch the 85 rupee or not, we don't want to bring it at a low price and then later rupee getting depreciated. The third point which I want to say is we talked about Rs. 300 crores which has already been announced and Satakarni has explained that . Apart from above money , which is expected to complete and we are already guided in the past, we will be doing a CapEx of around $125 to $150 million every year, since we are already having around 23 plants and

some more plants will come into operations in the coming year also. So, because of these reasons, we are a little bit conservative, and we'll like to look at it in the month of May. When I say May, it is during the March results.

Prashant Poddar: Yes, we understand that Subbu. Only that at the beginning of every year, you know, when the Board of Directors meet, like any large company needs to do, you need to, you know, be very, very clear about the use of cash rather than thinking it through as it happens, the CapEx is not you know, it's not easy to just increase the CapEx as I mean, as you said as much as we can. So, the use of cash, you know, large shareholders would only want it to be more stable, to get a more stable outlook on that rather than a very, you know, quick changing once. And last one, the corporate governance, you know, serious work needs to be done there about what directors are doing etc. I mean, just because some of them are promoters, they cannot do anything that they want, right? I mean, such a responsible position that of a director of a large company, which is making more than $400 mill ion E BITDA year and such large responsibility as an exporter, the largest exporter of pharma from the country, largest manufacturer or supplier to the drug industry, the drug consuming industry of the US, it is disappointing to, you know, because this woul d not even work well with your buyers. I mean, they would also want you to abide by certain corporate governance, I would believe.

That's all from my side. Thank you very much.

Moderator: Thank you. Next question is from Rahul J eevani.

Rahul J eevani: Yes, hope I'm audible, sir?

Moderator: Yes.

Rahul J eevani: Yes, sir. I just wanted one clarification. Your injectables speciality revenue guidance from $650 to $700 million dollar , does that factor in contribution from R evlimid as well?

S. Subramanian: Yes, it does.

Rahul J eevani: Okay sir. So, then how do you see the revenue momentum on the injectables business to sustain given that R evlimid will be a short -term opportunity for most of the players so that opportunity might last only two -to-three -year period. But beyond that, how do you then see the growth on the injectables business?

Yugandhar Puvvala : What we have done is based on what we feel is based on our filings and the approvals what we are getting, we feel double digit growth, on a regular basis even if I take out R evlimid, growth will continue to happen, quarter and quarter, that is what we have baked in and we have good enough pipeline to take care of that. Also , we have added significant capacities looking at the future growth of this business at a double -digit growth.

Rahul J eevani: Sure sir.

Yugandhar Puvvala : So, I'm also keeping Revlimid as well, it will start fr om FY24 and it will remain till FY26 or FY27. So, I'm just keeping that three -four years of opportunity. I'm keeping that aside, going forward, whatever it is, it's a regular, normal trending of business should happen in double digits.

Rahul Jeevani : Sure si r. So, if you can just come in, what was the global injectables revenue for the quarter? I missed that number.

Yugandhar Puvvala : In fact, we don't put it as segment wise results, but it is in the range of around $100 million.

Rahul J eevani: Okay, sure sir and at least the thought process which I was working with, was that given R evlimid at the end of the day is an oral product although I know you classify speciality or Onco as part of your global speciality business but my sense was that the $650–$700million growth will be driven by the injectables portfolio rather than R evlimid being such a large contributor to the growth, which we're talking about.

Yugandhar Puvvala : Yes, I appreciate that. But that's why like, if you see R evlimid initially, based on our settlement, we were supposed to launch only in October 2023. So, in FY24 revenue, R evlimid would have been an insignificant portion from an overall number's perspective. But, and most of the numbers were supposed to come from the regular portfolio of products. But the guidance I'm giving as I said, like it is going into FY25 is mainly that regular portfolio also should go to that level. But we need to wait and watch at this juncture, it is too early f or me to comment based on the last two quarters events.

Rahul J eevani: Sure sir. So, then that implies that your contribution assumption from Revlimid would have been very negligible, given that you were launching only in second half of FY 24.

Yugandhar Puvvala : That's right.

Rahul Jivani: Okay. Sure. Thank you. That's it from my side.

Moderator: Thank you. Next question is from Tarang Agarwal. Tarang, please unmute yourself.

Tarang Agarwal: Hi, good morning, am I audible.

Moderator: Yes.

Tarang Agarwal: Okay. Just a couple of follow ups. One did Yugandhar did you suggest, that you would be p roperly launching 20 products in this financial year?

Yugandhar Puvvala : That's right, Tarang.

Tarang Agarwal: So, in the next half a year, we should see 20 products. Is that how I should look at it?

Yugandhar Puvvala : Yes, overall, this year, we should have around 20 launches.

Tarang Agarwal: Okay, that's one. Second, if you could give us a sense on what's happ ening on the Depot business? Is it status quo from your earlier update or has there been any developments there?

Yugandhar Puvvala : It is status quo there and as I mentioned, last time, we have finished one product and that is on stability. The other two products also, we should complete it in this year and post that we expect the filings to happen from FY24 onwards, and status quo, literally. Everything is going as per what I updated last time.

Tarang Agarwal: Thank you. D r.Satakarni, just wanted to get a sense on, I mean, I think the three Biosim ilar products that have been filed, they've been filed somewhere in September and January. Any status on Product Approvals Inspection (PAI) from the regulator?

Satakarni Makkapati : That's a good question, Tarang. So, we had two filings with the European Medicines Agency (EMA) in the oncology space with an abbreviated clinical path. We have (adopted) the EMA suggested clock stop for seven months (after) we have completed all the procedures and resp onses leading up to Day 120. But , because of the paucity of auditors to come and do a GMP inspection, the clock has been stopped by EMA . So that's something which is not under our control. The clock stop will be until the June of 2023 (for two programs). I f the situation changes, the inspectors are (become) available ahead of time, then (I believe) EMA will give us a notice in month

s' time for the GMP inspection. With
respect to our filing for non-squamous small cell lung cancer d rug biosimilar with MHRA in the UK where we filed this product with only phase 1 data , (i.e.) three arm phase one data of our test biosimilar versus the US and EU registered reference products , this is (possibly) the first time ever that the monoclonal antibody has been filed with only phase 1 and not including the phase 3 (data) of the efficacy trial. So, you should understand that we are pushing the regulatory barriers here. But I'm pleased to inform that the Day 80 (which is an equivalent to Day 180) with EMA (the Day 80 procedure) has been adopted by MHRA and it is highly likely and now this is a forward -looking statement, it is very highly likely that this may become the world's first monoclonal ant ibody biosimilar that may be approved by the developed market's regulatory agenc y without the need for a phase 3 efficacy trial . I'll keep you posted on it. You should understand that this is a forward -looking statement and th at we are pushing the regulato ry barriers here. B ut the only point that is left after Day 80 is the GMP inspection. So, we are waiting for a GMP inspection for all the EMA as well as the MHRA filings. We will keep you posted as and when things evolve.

Tarang Agarwal: Correct, just a f ollow up. So, on the Europe filings, would it therefore, given that the regulator, there's a paucity of inspectors or impediments from the regulators end, would it therefore mean that your product approval inspection might perhaps been pushed to June 2023?

Satakarni Makkapati : No, what we have been told, what we have been communicated by them is to take a clock stop until June 2023. They are expecting the regulators scheduled to be available starting Q1 of the next calendar year. If the situation changes, they will keep us infor med and carry out the inspection with one month's notice (I believe). But based on the formal letter, we expect the inspection to happen in June. But, an inspection between January to June cannot be ruled out, Tarang .

Tarang Agarwal: Got it. That’s simple and Swami sir just wanted to check, I mean, this is again to an earlier question. Does the base which is the US base between OSDs, injectables, OTCs and everything will just come down to about $330 million, would it be fair to presume that this $330 million would be the new base going forward or different numbers as a base just for us to understand how, if we were to ignore the one -offs of this quarter, how should this number or how should this business look like going forward from Q3 onwards?

Swami Iyer: Yes, so, actually, we need to split this into two. One is the injectable side and then the other one is others, speciality side and others. Because as you know injectable business, we are considering separately from Eugia , this speciality. But with regard to the other business , as far as the oral solids are concerned, the generic market would continue to remain competitive in the next few quarters. We believe that this could be due to overcapacity or number of approvals that's coming in. But you know, we have a very broad and s trong base portfolio and we have a fairly robust pipeline. And recently we got the Unit VII clearance, we also have other ANDA which are ready to be launched. So, we are looking at a potential launch of around 40 products for the next 12 months. So, we thi nk that we should be able to regain from the market in terms of value. We have such a broad portfolio of products , we also see some time surge in demand. Right now, we are seeing good surge in demand as far as antibiotics are concerned with the onset of fl u season. I think overall our base should be better when we should go back to the earlier base or at least to that level, that's what we think. With regard to the OT

C product, they are doing well and they continue
to do well. So, we have no issues at this point. Yes, I think Yugandhar , he has already answered on the injectable part.

Tarang Agarwal: Yes, that's been answered. Yes. Thank you.

Moderator: Thank you. That was the last question. I now hand the conference over to the management for the closing c omments.

Deepti Thakur: Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel free to keep in touch with the Investor Relations team. The transcript of this call will be uploaded on our website ww.aurobindo.com in due course. Th ank you and have a great day.

Moderator: Thank you on behalf of Aurobindo Pharma that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar.

(END OF TRANSCRIPT)

Call: Feb 2023

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyde rabad Knowledge City, Raidurg Panmakth a, Ranga Reddy District, Hyderabad – 500 032
Telangana, India. Tel.: +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044 E-mail: info@aurobindo.com
Regd. Off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., India Tel.: +91 40 2373 6370 / 2374 7340 Fax: +91 40 2374 1080 / 2374 6833

February 17, 2023

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q3 FY23 earnings call.

Please refer to our letter dated February 3, 2023 wherein we intimated about the schedule of Investors/ Analysts call on February 10, 2023 . We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of t he Company for the third quarter and nine months period ended December , 202 3 and the same is being uploaded on the website of the Company and is availabl e in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/inves tor-meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

"Aurobindo Pharma Q 3 FY23 Earnings Conference Call"
February 10, 202 3

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide business.

Mr. Yugandhar Puvvala: - CEO of Eugia Pharma Specialties Limited

Mr. Sanjeev Dani - CEO, Head Formulations, Aurobindo Pharma Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma USA

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Ms. Deepti Thakur : - Investor Relations & Corpo rate Communication , Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q3FY23 Earnings Call. Please note that all participants line will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to management for opening remarks. Thank you and over to you.

Deepti Thakur : Thank you, Vandit. Good morning and a warm welcome to our Third Quarter FY23 Earnings Call. I am Deepti Thakur from the Investor Relations team . We hope you have received the Q3FY23 financials and the press release that was sent out yesterday. These are also available on our website.

I would like to introduce my senior management team today on the call with us, represented by-

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines , and Peptide Businesses
Mr. Yugandhar Puvvala: - CEO of Eugia Pharma Specialties Limited
Mr. Sanjeev Dani - CEO & Head Formulations, Aurobindo Pharma Limited
Mr. Swami Iyer - CEO, Aurobindo Pharma, U.S.A. and
Mr. S. Subramanian – CFO, Aurobindo Pharma Limited

We will begin the call with summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations s tatements relating to the implemen tation of strategic actions and other affirmations on our future business , business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business a n umber of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that , I will hand over the call to Mr . S. Subramanian for the highlights . Over to you , Sir.

Santhanam Subramanian: Good morning, everyone. I wish you all a very happy and prosperous new year. We're here to discuss the results for the third quarter of the fiscal year FY23 declared by the company.

For Q3FY23, the company registered a revenue of Rs.6,407 crores an increase of 6.7% over Q3 of last year and 11.6% over the previous quarter. The EBIT DA, before Forex and other income , stood at Rs.954 crores. EBIT DA margin for the quarter was 14.9% ; an improvement of 30 bps over the previous quarter. The margins improved on a quarter on quarter despite increased R &D spen d during this quarter by Rs.140 crores over previous q uarter. The additional R&D spen d amount to 1.7 % on the EBITDA margin . The Net P rofit stood at Rs.491 crores increased by 19% over previous quarter.

In terms of the business breakdown, Formulation business in Q 3FY23 witnessed a growth of 9.2% year on year to Rs. 5,452 crores and 14.3% quarter on quarter and contributed around 85% of the total revenue .

API business contributed around 15% and clocked revenue of Rs.955 crores for the quarter .

For the quarter , the revenue from U .S. market has improved by 9.3% year on year to Rs.3,001.2 crores. O n a constant currency basis U.S. revenue of flat year on year and improved by 10.3% quarter on quarter to USD 3 66 million.

We have received final approval for 15 ANDAs and launched 11 products in the quarter under review . We have filed 11 ANDAs including six injectables during the quarter .

Revenue for Aurobindo Pharma USA , the company making oral products in the U.S. has increased to 2.5% year on year for the quarter in rupee terms.

Revenue for U .S. Specialty business in the U. S. increased by 6.1% year on year to Rs.501. 5 crore s for the quarter .

Including the direct sales , the overa ll oral sales amount to USD 252 million against USD 230 million of the previous quarter growth of 9.5%.

The company as on 31st December ’22 has filed 767 ANDA o n a cumulative basis of which 542 has a final approval and 38 having tentative approvals including 8 ANDA which are tentatively approved under the PEPFAR and the balance 187 ANDAs under review .

For the quarter, European Formulation revenue clocked to Rs.1 ,701 crores; marginal increase of 4% year on year growth and increase of 12.2% quarter on quarter. On a constant currency basis, Europe revenue touches Euro 203 million against Euro 189 million of last quarter.

For the quarter, the growth market witnessed a growth of 26% to Rs.499 crores. The quarter performance was led by a strong growth in Brazil and Canada business es.

For the quarter, ARV business stood at Rs.251 crores; growth of 61% year on year. In dollar terms, the growth was 47%.

R&D expenditure is at Rs.415 crores during the quarter, which is 6.5% of the revenue against 4.8% of the previous quarter.

Net organic CapEx during the quarter is USD 82 million. This includes normal CapEx of Rs.43 million , Penicillin G Project Rs.23 million and third -party development expenditure around Rs.16 million . The cumulat ive PenG- capital expenditure is US dollars 89 million against the estimated expenditure of USD 250 million as on 31st December.

The average forex rate was Rs.82.1075 in December ’22 against Rs.79.6123 in September ’22.

Net Cash including investments at the end of September was Rs. 203 million. The average Finance C ost is 4% mainly due to earning multiple currency loan and with the increase in the Fed rate the interest cost has gone up. Against the total Finance Co st of Rs.45 million , we earned Rs.42 cro res as investment income from our investment s. So, our Net Finance Cost is around Rs. 3 crores.

Gross Debt t remains at Rs.495 million. The Gross C ash reduced from Rs.831 million to Rs.700 million at the end of the quarter.

This is all from our end and we are happy to take your questions now. Thank you.

Moderator: Thank you very much. We will now begin Question -and-Answer session.

Thank you very much. We will now begin the Question -and-Answer session. Anyone who wishes to ask a question may raise your hand from the ‘Participants’ tab on your screen.

Attendees are requested to use headphone s or earphone s while asking a question.

Ladies and ge ntlemen, we will wait for a moment while the question queue assembles.

First question is from Damyanti Kerai.

Damyanti: Hi, good morning. I hope I am audible.

Moderator: Yeah

Damyanti: Okay . Hi everyone. So, thank you for the opportunity. My first qu estion is on U.S. So, quarter to quarter you have seen good recovery, so how should we see U.S. trending ahead? And which are your focus segments? So, we understand Injectable is one which is picking up well but if you can just talk about U.S. outlook in c oming quarters or so.

Swami Iyer : Thank you, Dam ayanti. So, this has been a good quarter for us. We witnessed relatively better quarter on all major parameters like demand, volume, net sales and we had stable pricing. There had been higher demand for some of the product s, partly due to seasonal factors. We also anticipate that the present trend would continue going into the next quarter and next fiscal year.

Damyanti: Okay. You mentioned stable pricing, so this is for your portfolio ? Or you are observing in general similar trend for the industry?

Swami Iyer : We can talk about our portfolio because that is something we have first -hand knowledge. We really can't say beyond that. See, this is on a net basis. There are always some prices which goes down, some prices which goes up. We have seen in the past that mostly it has

been going down. But now we see , if you ask me net-net, I think we are pretty neutral.

Damyanti: Okay. And my second question is on your R&D. So, obviously I understand due to some progress in clinical trials etc. we have seen sharp jump but in general how should we again look at this part moving ahead?

Santhanam Subramanian: So, the overall R&D cost, we had Rs.415 crores for the quarter against Rs.276 crores in the previous quarter. The main constituent of the R&D co st is the CuraTeQ Biosimilar. I suggest, Satakarni, would you like to elaborate on the Biosimilar.

Satakarni Makkapati: Yeah. Thanks, Subbu. So, Damyanti, as Subbu had mentioned the contribution towards the R&D expenditure primarily is because of the adva ncing Phase III portfolio of our programs. As we talk now, we have three products in Phase III clinical trials. One of them reaching the closure of the clinical trial and two of them actually in clinical trials now with about 30% -40% of the recruitment done. So, we forecast the clinical expenditure to continue for at least another 6 -7 quarters time from Biosimilars because the pipeline is maturing which is good news for the organization. So, yeah , that's my guidance on this subject.

Dam ayanti: Okay. And my last question, Sir, last quarter we obviously heard a lot of I think issues due to what was there with the management team etc., so in terms of govern ance improvement what steps you have taken s o far say compared to a previous few quar ters?

Santhanam Subramanian: So, in terms of, what is that you said? ?

Dam ayanti: Sir, like previous quarter, obviously, I think we have seen some development

Santhanam Subramanian: you're talking about that. during the quarter what we have done it based on the discussion which was going on with the investors in the last one year etc., we have increased our independent director ship by one number and the Board of Directors have appointed Mr. Shantanu Mukherjee who was the ex -Managing Director of one of the subsidiaries of State Bank of India . He c omes with a rich experience of about 30+ years and this is one significant step which we have taken, and he will be forming part of the governance board for the company.

Damyanti: So, like we have plus one Independen t Director now and you think like this is a major improvement

Santhanam Subramanian: Yeah. I think . now the number of Independent Directors in our company is 5 out of 10. So, almost 50% are now independent director

Damyanti: So, almost 50% are now Independent.

Santhanam Subramanian: Yeah, 50% are Independent Directors and we have 3 Executive Directors and 2 Promoter non-executiv e Directors.

Damyanti: Okay, Sir. Okay, thank you.

Moderator: Thank you. The next question is from Raunaq. Please unmute. Yeah.

Raunaq : Yeah. Hello ?

Moderator: Yeah.

Raunaq : Hi, good morning. I just want to understand recently you got a US FDA Approval for Linaclotide, so can you just throw some light on that that what's the expected revenue you are envisaging for the next few quarters ?

Santhanam Subramanian: Yugandhar.

Yugandhar Puvvala: it's not an injectable product. Which product are you referring to?

Swami Iyer: Okay. So, we got a recent approval but the issue there is we've also got settlement on that, and we will not be able to launch it now. I think you're talking about Linaclotide capsules.

Raunaq : Yes.

Swami Iyer : Yeah. So, that we can’t commercialize it because we have a settlement on it. It's sometime beyond the immediate future.

Raunaq : Okay, thank you.

Moderator : Thank you. The next question is from N. Jayakumar.

N. Jayakumar : Hi, good morning. Can you hear me?

Santhanam Subramanian: Yeah, very much, Sir. Morning, Mr. Ja

yakumar .

N. Jayakumar : Yeah, good morning. In line with you know shareholder value and everything else, I think governance you have addressed but one of the things that you know for a company that 's trading at 5 , 5.5 times EV /EBITDA and almost single digit P/E multiples , it's almost logical when you have net cash to look at buyback as a way of rewarding shareholders and reducing the undervaluation if you will, especially you know, in comparison wit h other peer group Pharma players. Any steps towards that because I noticed certain changes in Articles that you've talked about ? Anything to do with this that you can throw some light on ?

Santhanam Subramanian: Yeah, I'll address it in two parts. The first part , this question came up in the last quarter itself and we have addressed it. If at all it will be addressed, it will be addressed in the May Board meeting because we are taking a very huge task of accelerating the Penicillin G Project which is one of the future potentials for the company and that involves quite a significant money to the tune of around USD 250 million , right. So, we said we will be addressing that.

And in terms of second part of the question which you said Article , yes, you are right to some extent because the Articles which we are having it's a pretty old one and it is not in full compliance with the Compan ies Act . So, what we have done is we have reviewed the entire classes and we have replaced wherever it is not in congruence with Table F Schedule 1 of the Companies Act. W e replaced it which involves the b uyback provision s also apart from the other pro visions.

N. Jayakumar : Could you be more specific?

Santhanam Subramanian: Yeah. Because our existing Articles of Association will not permit for the Board directly to approve any buyback if it is less than 10% of the net worth . we need to go to shareholders which means another 50 days. So, what we have done is, first we want to amend the Articles in line with the Companies Act Table F of S chedule 1. That is what we have done, which means the Board will be at liberty as and when they decide to move ahead with the buyback , it can be implemented quite fast .

N. Jayakumar : Understood. I have , in fact , a second question , which is I don't know if I missed this thing and it has been addressed earlier, which is the pricing pressures in the U.S. and logistics cost. I understand from other this thing that the logistics cost in general have come down which has been the cause of some margin compression in earlier quarters. Is that the case with us as well? And in terms of pricing pressures significantly?

Swami Iyer: Yeah. So, as far as the logistics cost is concerned Subbu can corroborate this because India sends the product to us. We have seen better pricing in terms of logistics, that's number one. As far as U.S. pricing on our products is concerned, I had mentioned earlier that we see some kind of stability. There'll always be some price changes, there'll be some downs and the re'll will be ups. In the past few quarters, it has been mostly down. So, now we see fairly stable prices. That's what I would like to say.

N. Jayakumar : Thank you.

Santhanam Subramanian: Yeah. In terms of the freight cost which Swami has mentioned, we are seeing a significant price freight cost reduction in Q2 as well as Q3, right, overall, there has been a reduced freight cost between Q1 to Q 2 as well as Q2 to Q3.

Does it answer your query?

N. Jayakumar : Yeah. Thank you. Thank you very much and all the best.

Santhanam Subramanian: Thank you.

Moderator: Thank you. The next question is from Nitin Agarwal

Nitin Agarwal : Thanks for taking my questions. Sir, 2 -3 questions . One is on the U. S. business have you started to see a pickup in new business orders again? You know, given the fact th ere have b

een a recent round of FDA regulatory action on certain companies and that has led to an increas e in NBOs in the past , have you seen the trend happening all over again?

Santhanam Subramanian: Swami.

Swami Iyer: Okay, so we have seen better demand, better volume growth in this quarter and we believe that this will sustain . This could be various factors, one was seasonal, the other could be some o ther comp etitor or some other company not being able to supply , we have seen definitely better growth and we are confident that this will sustain going forward .

Nitin Agarwal : And, Swami, just from that, you know , through the last maybe three or four months as we've been through , for example , October to January and now have you seen this trend improving or it's been sort of steady ? How would you call it?

Swami Iyer: I am sorry. Improving what?

Nitin Agarwal : I mean the demand trend or the volume growth trend? Has there been improving through the months over the last three or four months? Is it getting better?

Swami Iyer: I would believe so. You know, see part of this could be se asonal but I think on an overall basis even other than the Antibiotics and seasonal product, we have seen some amount of surge.

Nitin Agarwal : Okay. And , Sir, secondly on the U .S. business apart from the base now in terms of the new product launches what can we look forward to? How many launches and how many potential launches that in your assessment could be more than 20 million dollars plus for the year ?

Swami Iyer: In the last Quarterly Earnings Call , we had mentioned that we are looking at some new ANDA's being commercialised over the next 12 months. I think we talked about 40 ANDA's being commercialised. We still hold that view. In fact, we have got some approvals and we are in the process of launching in the current quarter. In terms of topline, I would say conservatively we would expect about USD 50 million, on an annual basis maybe little higher, but that's what we'd expect. Obviously, it's not going to happen next quarter, next month, it's going to be over a period of time. I'm talking about the next 12 months; we would see some kind of increase.

Nitin Agarwal: Mr. Yugandhar, on the injectable business, we've seen a pretty strong recovery. I mean, this was probably one of the better quarters we've had in the injectable business for some time . How should we look at this business now and on a next few quarters basis?

Yugandhar Puvvala : We are quite positive in terms of the way we have weathered the form. The first 2 quarters were not great, but in the 3rd quarter we have seen stable pricing and increased volumes. And with the new products, w e are launching almost 5 new products every quarter. Some of the new products are sustainable pricing and volume recovery. We feel that going forward into Q4 and Q1 of next year, we do feel that it would be a double -digit growth QoQ . We already launched Amphotericin B in January, and we do have some interesting launches coming forward.

Nitin Agarwal: Sir just to reconfirm, you said we were about $74 million this quarter. Are you talking of a QoQ growth in Q4 and Q1 on th is number?

Yugandhar Puvvala: That's right.

Nitin Agarwal: Thanks, that's very helpful. And lastly, on the USA, in terms of non -orals presentations, non -orals, non -injectables, you've had some filings for inhalers, transferable and some of the other new presentation formats. Do you see any of those getting commer cialised this year?

Swami Iyer: When you say this year, by March no, we don't see that happening.

Nitin Agarwal: No, March 2024. I mean, FY24, I'm sorry.

Swami Iyer: I think that would be a very aggressive timeframe, it could possibly be a little later. But we have got oral so

lutions now from one of the facilities. So obviously, we are looking froward to other introductions. This could take a while.

Nitin Agarwal: Just the last one. Subbu sir, on the Pen G project, if you can give us some sense on th e project size, the commissioning time and what can it really entail in terms of possible revenues at the current levels of Pen G prices?

Santhanam Subramanian: Regarding the Pen G project, the size of the project we are working on is around $250 million +/- 5% contingency. So far, we have spent around $89 million. The D-date for the Pen G project is 1st April 2024. While the D -date is 1st April 2024, it is always our endeavour to advance it, that's what we are working on. As on date, the installation is expected to be over by September -October of this year, and we will be doing the pilot batches between November -December. I mean, till the time it succeeds we will do it, but in any case, it will not be later than March and if the pilot batches succeed in the 1st iteration itself, it can be advanced also. In terms of the execution a lot of people are working and things are moving pretty fast. We are looking forward to this project, really speaking. I'm sure, the government being the major sponsor for the project b y way of the PLI Incentive Scheme, they are also looking at it .

Nitin Agarwal: Okay sir. Thank you very much.

Moderator: Thank you. The next question is from Bino .

Bino : Hi, good morning to all of you. Subbu , could you please explain a bit on this sale of non - antibiotic API to the subsidiary. What's the rationale? What's the thought process?

Santhanam Subramanian: The thought process is, API business today including antibiotic and non-antibiotic , we are having around 10 units. What we are planning to do is, bring all the regulatory API units under one wherever there's major contribution and which is r egulatory in nature, we will try to bring it under one umbrella. This is to mitigate the risk factors like regulatory risks and margin risks. We want to bring everything and give a massive focus into

the overall value creation for the stakeholders; that i s the whole idea. And this also will help in terms of improving the operational efficiency. Today if you see the regulatory units, what we have been selling around 75% is supplying internally and about 2 5% external. So , by creating under one umbrella with a new management, can we be able to focus more on the external also? Like this we are looking at all possible options by which we can create value for the shareho lders.

And at the end of the day, if we can have any strategic tie -up, etc, we can always look into that. Like, what we have been trying to do for Eugia, we'll try to bring under a separate professional management.

Bino : Okay. Does this have any tax implication?

Santhanam Subramanian: There is no tax implication, it is a 100% subsidiary. Any 100% subsidiary is exempted under tax on the transfer of the assets. It is exempted as per the income tax l aw. So that's not an issue.

Bino : Understood. Last question on generic Revlimid. The market has formed, a lot of your competitors have entered and you also have settlement. Would you b e able t o give some timeline about your launch? Would it be FY24 or FY25?

Yugandhar Puvvala: It's Q3 FY24.

Bino : Okay great. Thank you very much.

Moderator: The next question is from Aishwarya.

Aishwarya: Can you hear me?

Santhanam Subramanian: Yeah Aishwarya.

Aishwarya: Thank you very much. Sir, I have 2 -3 questions. How should we see the compliance, especially when you guided that there should be increase in the revenue numbers by 50 million in the next 12 months. So, which are the key 2 -3 plants which are associated wit h this revenue growth and how is the compliance level over there in terms of FDA inspect

ion and any 483 resolutions ?

Santhanam Subramanian: Aishwarya, this question is in two parts, if I'm right. One is relating to the increase, which Swamy can address. I n terms of the compliance, I think today if you really see the formulation, all the units are under VAI. Apart from that, couple of units 2 units – APL Health Care Unit 1 and 3, that has been inspected and we have informed that to the exchanges. So as on date, in the formulation business, we don't have any issue in terms of the regulatory compliance. In terms of capacity, there is enough capacity to augment the supplie s, etc. In terms of the growth percentage, Swam i can explain.

Swami Iyer: With regard to what guidance, we are saying is about 40 products are likely to come in the next 12 months, we have factored in any compliance issue that could be there.

But it's known as on date that if an API plant has a problem, we consider those factors while deciding what are these 40 odd products that we're going to commercialise. So, we believe at this point of time, this is realistic. Going forward, obviously, if there is any inspection, we need to see the outcome of it. But we have factored in this compliance matter.

Aishwarya: Sure, thank you sir. And one more question from my side – how should we see the free cashflow generation going forward in the next 2 years? Where do we need to factor in how much is spent on R&D, how much is capex?

Santhanam Subramanian: We have achieved Rs. 415 crores this quarter , is the maximum R&D spend we have done in any quarter, to the best of my memory. Even if you continue with that, and I don't think we'll be continuing for 415, probably it might be slightly low. And, with the P en G project and some of the projects going to take place next year, we will be able to achieve good free cashflow coming from the project. Even with Biosimilars also, as Satakarni said in the past meetings and earnings call that we have filed 2 products. One more product we are going to file, etc. This is expected to generate cashflows starting FY25 onwards. So, I can clearly see FY25 Pen G project will generate cash and our Biosimilars will generate cash. Plus, various project s are in the process of commissioning, if 1-2 of them have been successfully commissioned apart from what I mentioned earlier , that also will generate cashflows. I think going forward, I can see very clearly cashflow generation will be very good starting FY25 onwards.

Aishwarya: Sure. And how about FY24 sir?

Santhanam Subramanian: FY24 also I think we should we be able to generat e cashflows because apart from the existin g ones, we have not undertaken any new project. No new project, except the one which we announced recently, the Biosimilar, one CMO facility we are thinking of putting it. Other than that, I don't see any new major greenfield projects being thought of. If there's any decision taken, we'll inform the normal earnings call.

Aishwarya: Sure sir.

Santhanam Subramanian: Most of the projects are either 40 -50% completed. Like Biosimilars capex is over, it's only the clinical trial which is forming part of the R&D cost which is being factored as part of the P&L. Then if you really see the US capex, most of the projects have been completed , they are waiting for the exhibit batches and the final approval. China plant installation is over, and we are doing the exhibit batches. And like that, So, we don't see a major stress on the cashflow on account of the projects. The business is also doing well and we expect to do a good cashflow.

Aishwarya: Sir, we kno w that the US business is turning a bit more difficult because of the competition. With that into consideration, we have less control on the revenue side. Anyway, we are doing extremely well despite that we don't see very meaningful growth coming o

n the
topline. So, the levers left out are how to control the cost side or the capex side? So, do you see any levers which are visible in say 2024 -25 which have not been discussed so far?

Santhanam Subramanian: If you really see the Annual Report dated 31st March 2022, we have identified the 5 levers. One is Biosimilars, second is the API Pen G plant, third is the API business, fourth is Eugia . In the last earnings call Yugandhar gave a clear roadmap for the Eugia business and the fifth is the India business. The India business, because of the other priorities , has not taken off, but other things have taken off and going in an accelerated pace.

Aishwarya: Talking more on the absolute numbers in terms of cost side or the capex side .

Santhanam Subramanian: You are right. One of the significant steps which we have taken is carving out the API business to achieve the operating efficiency, to improve the capacity utilisation and service the market. We are already carving out and are in the process of doi ng that, and this will take flight from 1st April, we are working on that . We can see improved performance from the API business, which is the main cost base for the entire company; you can see an improved performance.

Aishwarya: Sure sir. I'll connect with you offline. Thank you very much for these details.

Moderator: Thank you. The next question is from Nikhil.

Nikhil: Hi, am I audible?

Yugandhar Puvvala: Yes Nikhil, please go ahead.

Nikhil: Sure. Sir, I wanted to first check on the R&D side. Now, there's a pretty sharp jump on our QoQ basis. I understand that the re are few clinical trials that are ongoing, but I also wanted to check, is there some change on the R&D front, strategy front that has happened in the last quarter or so? Is it that the US outlook seems a bit improved and because of that, there's a step j ump in the R&D spend, ex of Biosimilars as well?

Santhanam Subramanian: No. The key contributor to the R&D spends this quarter is the Biosimilar. Compared to Rs 75 crores expenditure of last quarter, this is Rs 180 crores this quarter. We have explained in the last quarter itself; our R&D spend for the year will be somewhere between 6% to 6.5%. The first half it has not taken place and we'll be incurring more cost because of the timing of the clinical trial also required, and because of that, these 2 quarters there will be good R&D spend that will happen, which has already been informed in the last earnings call.

Nikhil: Okay. So, sir this quarter, the R&D to sales at around 6.5%, do you see a gradual moderation in this number in the coming quarters or year?

Santhanam Subramanian: Ideally, we should take around 6 % to 6.25% , 6.5% will be an outer limit, but I'm talki ng from an absolute amount; it's a function of the turnover also. So, 6 % to 6.25% on the achieved turnover is the norm which we are looking at.

Nikhil: Okay. So, if the revenue goes up, this number will come down?

Santhanam Subramanian: Yeah, because we're talking about the absolute number.

Nikhil: Okay understood. And Subbu sir, I just wanted to revisit the CWIP number. I think at around September this was 3,200 odd crores. So, what is the Capital Work in Progress today?

Santhanam Subramanian: The Capital Work in Progress today is ~4,200 crores , tangible and intangible around 800 crores. The major capex is the China plant, which is more or less completed. As I told you, 600 crores installation is over. Curateq, we have already incurred the cost, it's in the process of clinical trials only, which I explained. And we are putting one Eugia manufacturing plant in Vizag, so that expenditure is still going on. So like that, some of the projects are m ore or less 90% on the installation le

vel, and others it may be in the process
of 40 %-50% over. As I said, these are all expected to start commissioning by 31.03.2024 onwards.

Nikhil: Okay, so it will still take a year for the expensing out of this CWIP to happen?

Santhanam Subramanian: No, at least some of it will get capitalised on or before 31st March 2024.

Nikhil: Okay, understood. Also, in this CWIP number, how much is the pre -operating expenses that has been capitalised, whether R&D or whether other plant related expenses?

Santhanam Subramanian: I'll get that data separately Nikhil. I don't have it right now with me. I have the overall number only.

Nikhil: But it is the sizeable number ?

Santhanam Subramanian: It may not sizeable. Any project if you are talking 4,200 crores is the tangible number, you can take something like 10% to be pre -operating including all, and that is a guess. But I will get the exact number later.

Nikhil: Okay, understood. Also sir, revisiting the PLI project as well, so $90 million out of budgeted $250 million. The timeline seems pretty tight; I mean, you have only 5 -6 months to incur the remain der capex. So, I wanted to understand, does the entire $250 million need to be spent to commence the project, or you can commence the project partly as well .

Santhanam Subramanian: No, what we need to look at lije this. , in the case of projects, when we said $90 million is the cash spent, it doesn't mean we are going to start some of the work now. We have issued the purchase orders long time back. So , all these projects will have a gestation time in terms of completing the work a nd then installation and the payments will be on successful implementation, or on successful dispatch of the material. So, most of the material will start coming between April to June and it will get installed between July to September. So that's the wa y you have to look at it. as and when they start dispatching, we need to make the payment or based on the successful assembl ing, it has to be paid

Nikhil: So, civil works have been done?

Santhanam Subramanian: Civil works, more or less, I would say, around 75 %-80% is already completed. Even the mechanical and electrical is also , purchase orders have been issued to the tune of more than 1,500 crores already. I think in the last earnings call itself, if I'm right, we have issued more than 1,500 crores of purchase orders. Probably, by this time, they would have issued the balance als o, so that could be another 200 -300 crores.

Nikhil: Right. And finally on this one, 15,000 tons was the planned capacity, and there was a captive and a merchant share. Can you also again share those numbers please?

Santhanam Subramanian: No, 15, 000 tons is the total Pen G capacity. As we said in some of the previous calls, our captive consumption equivalent Pen G is something like around 7,000 tons . Balance will be for external sales.

Nikhil: Okay. And sir, what is the pricing scenario today? I mean, when the project was envisaged versus now, how have the prices moved?

Santhanam Subramanian: Today the prices are very high because of various reasons. But we will not guess anything now because the project is at least one year away and I don't like to guess any number right now.

Nikhil: But sir, with China opening up, my limited understanding of what's happening in other commodities, I think normalization can happen. Would you mind shar ing some ballpark sensitivities around if pricing dips by this much percentage, you will still be making good economic value. Can you share?

Santhanam Subramanian: Yeah, we will make economic value. That much I can say. With all your contacts and the interaction with the international, you have limited, so we don't have that much of interaction with anybody. But I can say one thing, even if the price goes to pre COVID l

evels, etc. also, we'll be well within the selling price i.e., cost will be well within the selling price.

Nikhil: Okay, understood. And sir, one final question on the biosimilars front. Can you share some quantitative guidance on what absolute sales you are targeting from biosimilars in 2 years', 3 years' time frame? And in the US, how many field force strength is there from the spectrum acquisition and would that be leveraged to commercialize the initial biosimilar? So, would there be any incremental spend required initially to commercialize the biosimilars , especially in the US?

Satakarni Makkapati: I will answer your question in two parts, Nikhil. With respect to biosimilars, for the next 2 years, as you know that we have two products filed right now with EMEA. We have filed a monocl onal antibody in onc ology with MHRA. With the antibody oncology segment, we have completed the necessary regulatory procedure with MHRA with one major pending action, which is the GMP inspection. The required onsite inspection is hindered by the availability of inspectors eac h time and our regulatory team is continuing to work with MHRA on the subject. At this time, the agency and we have agreed to take a clock stop until April and are hoping to have GMP inspection announced within this time frame.

So once that happens, then I probably think we'll have at least one quarter of sales in this year, provided I will be able to obtain an approval for this antibody by Q2 of the next fiscal.

With the biosimilars filed with European Medicines Agency, I have provided an extensive guidan ce in the last earnings call that owing to the COVID -19 workload and paucity of inspectors, we are stuck at day 180 of the clock, and on the advice of European Medicines Agency, we have taken a clock stop until the June of 2023. Now, the agency had mention ed that the situation will change as and when inspectors become available to travel and audit us. At this point I am pleased to state that auditors have indicated end March as the dates for onsite GMP inspection. So, in the last week of March we are having a GMP inspection announced.

So, with this development, we are reasonably confident that the post audit regulatory process will conclude at least for one of these products, and we shall be able to initiate the commercial activities in EMEA or the European region for at least one product before the end of next fiscal and for the second product, probably in the first quarter or the second quarter of the next fiscal. So, I am hoping for a continuing engagement with the agency and with necessary regulatory formalities at this point of time. A dditionally, we have also started filing with Health Canada and Health Canada also had acknowledged the receipt of our file and started the review procedure. We have an audit announced with Health Canada in the first week of May. So, I believe if things go well, we will also have the commercial sales kick in either in Q4 of the next fiscal or the early Q1 of the following fiscal which is FY25 in Canada as well. So, I think overall, we are looking at least two biosimilars to be commercialized in EMEA, Hea lth Canada and MHRA.

And importantly, as you know that we are concluding a large metastatic breast cancer trial in 690 subjects. We will start the filing process of this monocl onal antibody in India and Emerging Markets in July of the next fiscal and by September, we will file it with European Medicines Agency and by December it is our intent to file with the US FDA. Now, I am optimistic that in FY25 we will have this product approved with EMEA and hopefully if things go well, we'll also be approved with FDA. So, I see FY25 as an inflection point with this antibody kicking in the commercial markets both in EMEA and FDA. I expect at least one quarter sales in this antibody in India to start within t he next fiscal with EMEA being 2024 -2025. So, that's the guidance on biosimilars which is part one of your question.

The second one is about the Spectrum or the commercial field force that we have in the US with Acrotech Pharma. We have a presence in oncology segment , we are going to leverage the commercial front sales team or the team that we have with Acrotech who will also be the front end for biosimilars in the US. We expect the first biosimilar in the US to be approved in 2025 and we will leverage on t he field force that we have with Acrotech Biopharma to take this product into the market. We are also planning to bring an immunology biosimilar by 2025 - 2026 in the US which is used in dermatology indication. Again, as you see, if you have followed Acrotec h Biopharma, they are investing in dermatology products and brands. So, essentially the idea is that Acrotech Biopharma will position our biosimilar brands in the US market.

I stop here and ask if I have answered your query or if there is any fur ther follow up.

Nikhil: Yes Dr. Satakarni. I think it's very clear and I think it's very helpful and all the best for this initiative for the company.

Satakarni Makkapati: Thanks Nikhil.

Moderator: Thank you. The next question is from Tarang.

Tarang: Hi, good morning. Three questions from me. First one is on Europe. I think it's good to see that you've come to a € 200 million quarterly run rate. The last time this happened, if I recall, was in March ‘20. What I understand was there was some bun ch up of sales that happened then. So, from here on, is this a base that we can expect you to maintain? If you could give us some sense on what's happening in Europe and how should we look at it going forward from here?

Sanjeev Dani : Yes. So, we had a good quarter in Europe in the third quarter and you have seen that actually in Q2 we were at € 190 million and this quarter we have exceeded €200 million. But quarter three is always strongest for us. But on year -on-year we have a 7% growth and even on a quarter -on-quarter, as I said, that is a seasonality 2% growth. But considering the discontinued business, then the quarter -on-quarter was a 5% growth. So, I guess that about €185-190 million is the base line, and actually based on the seasonal ity and some of the opportunities which come up, we may grow at a middle level of a single digit growth.

Tarang: Thanks, that's helpful. Second is on Eugia, Yugandhar. When should we see the Vizag plant revenues starting in? My sense is, you'll commercia lize it, the exhibit batches approve it from the regulator. So, if you could just give us an updated timeline on this. And second, last quarter at least the commentary that we received was that especially in injectables, there was heightened competitive in tensity which was showing up in your numbers and in the numbers of the peers. And that seems to, at least, from a number basis for Eugia, that seems to have reduced. So, if you could just give us some sense on what's happening in the injectables market space?

Yugandhar Puvvala: The first thing is on Vizag plant , we will be starting ex hibit batches from this month onwards and we already requested European authoritie s to inspect the plant in November of this calendar year, which is November ’23 and we expect that in the best -case scenario it might be a Q4 of FY24 commercialization, worst case it might be Q1FY25 . And we are also going to file some of the shortest products of US to trigger an early audit for the plant , That's on the Vizag plant. So, you can take it as FY25 as commercialization for Vizag plant and in this entire fiscal year, we'll go into various exhibit batches, inspections a nd all that stuff.

On the US front, in terms of what we have seen for the first two quarters, there was a significant pricing pressure for variety of reasons

. But Q3 and Q4 how we are observing is, the
pricing has stabilized. The demand and the volumes a re improving significantly. Also, I think probably regulatory action on some of the other competitors is giving some m inor tickling business at this point of time. But we will see how it goes. What I'm very confident of and very hopeful of is, my team can generate a double -digit growth going forward.

Tarang: Okay. And how much was 9 months FY23 revenues for Eugia and what was the similar number for 9 months FY22?

Yugandhar Puvvala: It is flat because we don't give a separate in our P&L because it's on a proforma level. But as I can see, it is just flat from FY22 to FY23.

Tarang: Okay. That's helpful, thank you. The next is on biosimilars. Dr. Satakarni, you spoke about doing some filings in Canada. Is it one of the products that you've already filed in Europe or MHRA? Or is it a different product?

Satakarni Makkapati: Essentiall y the same product we have filed in Europe and MHRA, one of them is filed in Health Canada and we are planning to file the second one also with Health Canada.

Tarang: Okay, that's helpful. And second, I mean, I noticed that in Q2 of FY23, there is a biosimilar subsidiary that was incorporated. If you could give us some sense, what was the purpose and second, some update on what's happening on vaccine, specifically, you did get some regulatory pathway in your PCV vaccine this quarter.

Satakarni Makkapati : So, on the vaccine front, we are encouraged by the fact that the Subjects Expert Committee panel operating under the CDSCO or DCGI has reviewed our Phase III paediatric data for the pneumococcal 15 valent vaccines . The data suggests that our 15 valent pneumococcal vaccine would be anticipated to help protect against the serotypes covered by the Pfizer's PREVNAR 13 and also expand coverage to include two additio nal pneumococcal serotypes causing potentially serious disease in infants.

Thereby, how do we view at this SEC recommendation? The S EC recommendation should be viewed in the sense that they have granted a recommendation for manufacturing and marketing of the PCV 15 vaccine to our JV company. So, at this stage, we are going through the regulatory process of obtaining a manufacturing license, which is a normal course of regulatory procedure. I am optimistic that this procedure will conclude in the next few weeks, probably around 6 to 8 weeks' time. Since the 15 serotypes included in our vaccine are responsible for a good majority of global pneumococcal disease cases, I'm excited by the potential, the broader coverage we can offer with the PCV 15 vaccine. I plan to commercialize it two quarters from now, provided we will receive the manufacturing license in April -May, then two quarters from now we would commercialize this PCV vaccine. So that's part two of your question on the vaccine side.

What was your part one of the question, Tarang?

Tarang: There is a biosimilar subsidiary that's been incorporated .

Satakarni Makkapati: That's right. So, there is this subsidiary called Theranym Biologics, which you are talking about, right?

Tarang: Yes.

Satakarni Makkapati: it incorporated, and we talked about it in the earnings call, I think the last quarter or the previous quarter. So, the idea is to expand on the capacities to support any CMO opportunities in biologics space. At the same time, with our oncology biosimilar coming in, we wo uld like to scale it up to an extent where we become extremely cost competitive in the low-and middle -income countries. So that's the idea. But right now, we are still discussing on how to shape up this project in the next fiscal year. So, I will provid e guidance as things evolve. But the idea is to become a CMO and use additional capacities to mak

e it more cost
effective for our biosimilars to go into low-and middle -income countries. That's the vision

behind this.

Tarang: Got it. That's very helpful. Thank you.

Satakarni Makkapati: Thank you.

Moderator: Thank you. The next question is from Sriram Rathi.

Seems like he's not here. The next question is from Abdul Kaleem.

Abdul Kaleem: Hello. Sir, I just wanted to get a clarification on this one. You said that there is some process that is going on for making the buybacks easier for this one. Technically I did not understand what exactly that was. But I just wanted to know whether the ma nagement is seriously thinking about the buybacks at least in the near future and what will be the timeline for that.

Santhanam Subramanian: See, we are not averse to buy back . At the same time, it is the decision of the Board and Board will decide keeping in mind various financial commitments on various projects and other things. Board will take the decision at the appropriate time.

Abdul Kaleem: Okay. You can't give any timel ine for that one.

Santhanam Subramanian: Management cannot give a timeline for that.

Abdul Kaleem: Okay. But there is a thought process that is going on .

Santhanam Subramanian: Yeah, there is thought process going on. That's the reason why we have bee n trying to amend the Articles and other things.

Abdul Kaleem: Okay. Another last thing, sir, because it is repeatedly coming in the social media so that if the clarification comes from your side, it will be helpful for the shareholders. What is the formal relation between the Aurobindo Pharma and Aurobindo Realty, si r? If you can just enlighten on that.

Santhanam Subramanian: Aurobindo Pharma and Aurobindo Realty are totally independent. They are no way connected except both are having a common promoter.

Abdul Kaleem: Okay. So, there is no formal .

Santhanam Subra manian: No connection between Aurobindo Realty and Aurobindo Pharma. If at all there is a small connectivity, it is the Galaxy building where we are put up , where in that is held by a company called Raidurgam Developers where Aurobindo Pharma is hav ing a 40% stake and promoter group is having 60%. But Aurobindo Realty is no way directly connected.

Abdul Kaleem: That is very helpful, sir. Thank you.

Moderator: Thank you. We will take the last question from Shyam Srinivasan.

Shyam Srinivasan: Good morning and thank you for taking my question. Subbu sir, just on margins, just going back. I know R&D has gone up but historically we used to be a 20% EBITDA margin company. So just want your thoughts on when we can look forward to those kinds of margins . We have now started growing and looking from the commentary on this call, seems to suggest that growth can be sustained. So just want some of the levers of say, reaching historical margins. Is there any timeline or any specific produ ct mix that you would like to highlight that will help us reach there or is it just ongoing growth?

Santhanam Subramanian: One is ongoing growth and second is one of the key things which the management is embarking on the action plan is to increase the ca pacity utilization. That is also one of the reasons which we have said we will bring in more focus on the API. That's the reason why we are carving out into a separate subsidiary company. That 20% if you ask me, while we may not be able to give you a guidance, but certainly with the Pen -G Project being successful, we may be able to reach that. It's my feeling at this point of time.

Shyam Srinivasan: Sir, Pen -G Project will start 1st April 2024, right?

Santhanam Subramanian: 1st April 2024, because it will add some more top line as well as it can reduce some cost . We don't want to guess at this point of time, nearer the date. Probably in the November earnings call, we may be able to give clarity on

these aspects.

Shyam Srinivasan: Sir, so just following up on this. From a cost perspective, you talked about logistic costs, you also talked about input cost inflation, those you are now having a better visibility.

Santhanam Subramanian: Yeah, we have been tracking, all the freight costs, etc. We are trying to optimize all the cost from overall leveraging the capacities, overall operational leverage, we are doing everything. Whatever possible we want to do, we have been doing that. And at the end of the day, all are a functi on of the top line, which there is some improvement started taking place which Swami has clearly explained with the new products coming, what are the new launches he's planning, everything Swami has clearly explained. With that, hopefully we'll also move t owards that goal of 20%.

Shyam Srinivasan: Got it, sir. Just my last question is on injectables again. I think $73 million, I'm just calculating it from the $366 million, at least for the US business. But what is the global injectable size? I think Yugan dhar mentioned it is flat Y -o-Y. But is it closer to the $100 million still and what are aspirations for $650 million? I think we pushed it out by a year. But just wanted to know if some of those aspirational targets can be reiterated, please. Thank you.

Yugandhar Puvvala : Yes Shyam, I think you said it right. We are 100 million plus for quarter and we want to go towards $121-$125 next financial year. We are still quite hopeful that even after pushing by one year like FY25, we should be around the numbers what we have indicated in the past.

Shyam Srinivasan: Got it, sir. Thank you and all the b est.

Yugandhar Puvvala: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for the closing remarks.

Deepti Thakur : Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel free to keep in touch with the investor relations team. The transcript of this call will be uploaded on the website www.aurobindo.com in due course. Thank you have and have a good day.

Moderator: On behalf of Aurobindo Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

(END OF TRANSCRIPT)

Call: Jun 2023

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyde rabad Knowledge City, Raidurg Panmakth a, Ranga Reddy District, Hyderabad – 500 032
Telangana, India. Tel.: +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044 E-mail: info@aurobindo.com
Regd. Off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., India Tel.: +91 40 2373 6370 / 2374 7340 Fax: +91 40 2374 1080 / 2374 6833

June 1 , 2023
To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q4 FY23 earnings call.

Please refer to our letter dated May 19 , 2023, wherein we intimated about the schedule of Investors/ Analysts call on May 29 , 202 3. We are attaching herewith the Transcript of the said analyst / investor call on the Audited Financial Results of t he Company for the fourth quarter and year ended March 31 , 2023, and the same is being uploaded on the website of the Company and is availa ble in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/inves tor-meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

Aurobindo Pharma Q 4 FY23 Earnings Conference Call
May 29, 202 3

Dr. Satakarni Makkapati - CEO of Aurobindo Biosimilars , Vaccines and Peptide business.

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Sanjeev Dani - COO, Head Formulations, Aurobindo Pharma Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma USA

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Ms. Deepti Thakur - Investor Relations & Corporate Communication , Aurobindo Pharma Limited

Moderator: Ladies and gentlemen, welcome to the Quarter 4 FY23 Earnings Conference Call of Aurobindo Pharma Limited. Please note that participants' line will be in the listen -only mode, and there will be an opportunity for you to ask questions after the opening remar ks. Please note that this conference is being recorded.

I now hand the conference over to the management for the opening remarks. Thank you and over to you.

Deepti Thakur: Thank you, Van dit. Good morning and a warm welcome to our 4th Quarter FY23 earnings call. I am Deepti Thakur from the investor relations team. We hope you have received the Q4 FY23 financials and the press release that were sent out on Saturday. These are also available on our website.

I would like to introduce my senior management team today on the call with us, represented by Dr. Satakarni Makkapati - CEO of Aurobindo's Biosimilars, Vaccines and Peptides Businesses, Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited, Mr. Sanjeev Dani – COO and Head -Formulations, Aurobindo Pharma Ltd., Mr. Swami Iyer – CEO, Aurobindo Pharma USA, and Mr. S. Subramanian – CFO.

We will begin the call with summary highlights from the management, followed by an interactive Q&A session. Please note that, some of the matter s we will discuss today are forward -looking, including and without limitation statements relating to the implementation of strategic actions and other affirmation on our future business, business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. A urobindo Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect future any events or circumstances. With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you sir.

Santhanam Subramani an: Thank you Deepti, and good morning and welcome to all of you for joining this earnings call. This year has been very challenging due to various factors, namely, challenging macro environment and competitive industry landscape, etc. Despite these issues , we have delivered a good result in this fiscal year.

We'll now discuss the results for the 4th quarter of FY 22-23 declared by the company. For Q4, the company registered a revenue of 6,473 crores, with an increase of 11.4% year on year. The EBITDA befo re forex and other income grew by 2.8% year on year, and by 5% quarter on quarter to Rs. 1,002.2 crores. EBITDA margin for the quarter was 15.5% and for FY23 was 15.1%. Net Profit increased by 3% quarter on quarter to Rs. 505.9 crores. EBITDA margin before R&D is 21.8% for the quarter against 21.4% of the last quarter.

In terms of the business breakdown, Formulation business in Q4 FY23 witnessed a growth of 11.4% year on year to 5,455 crores and contributed around 84.3% of the total revenue. API business contributed around 15.7% and clocked a revenue of 1,017 crores for the quarter, registering a growth of 11.4% on a year -on-year basis, led by improved demand for some of the key products. For the quarter, the revenue from US Formulation increased by 11.6% year

on year to 3,045 crores. On a constant currency basis, US revenue increased by 2% year on year basis to USD 370 million.

We have received final approval of 26 ANDAs and launched 10 products during the quarter under review. We have filed 12 ANDAs inc luding 3 injectables during the quarter. Revenue for Aurobindo Pharma USA, the company making oral products in USA, has increased by 1% quarter of quarter. Revenue of US injectable products in US, increased by 3% year on year an

d 18% quarter on quarter to USD 71.9 million in Q4 FY23. The total Eugia speciality sales in US, including the speciality OSD amounted to USD 81 million. During the quarter, Eugia performance in various financial parameters were better than that of last quarter. We have a total of 17 1 injectables filed as of 31st March, 2023, out of which, 126 have been received in final approval, and remaining 45 are under review, or have tentative approval.

The company as on 31st March, 2023 has 774 ANDAs filed with the US FDA on a cumulative basis, out of which 565 have final approval and 34 have tentative approval, including 8 ANDAs which are tentatively approved under PEPFAR and the balance 175 ANDAs are under review. For the quarter, US Formulation clocked revenues of Rs. 1,660 crores, an incre ase of 7.7% year on year. In constant currency terms, Europe business clocked a revenue of Euro 188 million against Euro 183 million of last year for Q4. For the quarter, growth market revenue increased by 18.6% quarter and quarter and witnessing a growth of 51.2% year on year to Rs. 592 crores. This includes PLI incentive of Rs. 48 crores against 8 crores of the last quarter due to improved sales of eligible products during the quarter.

For the quarter, ARV formulation business clocked a revenue of Rs. 159.3 crores year as a whole. We reached an amount USD 119 million against an estimate of USD 120 milli on. R&D expenditure is at 411.7 crores during the quarter, which is 6.3% of the revenue. This is similar to last quarter R&D revenue of Rs. 415 crores. Th e average raw material cost remained flat during the quarter, and the freight cost also reduced during the quarter. Net capex for the quarter is around USD 105 million, of which capex for existing businesses 62 million, including USD 14 million for ANDA pu rchases. PLI capex of USD 31 million and capex for new business for new markets amounts to USD 12 million. The PLI cumulative capex till March 2023 amounts to USD 121 million. The average forex rate was 82.1936 in Q4 FY23 against 82.10 for Q3 FY23. The average finance cost for FY23 was at 4% mainly due to availing multiple currency loan.

We have clocked an income from investment of Rs. 74 crores for the quarter, and cumulatively it is Rs. 148 crores for the year. This is accounted in Other Income. This needs to be read in conjunct ion along with the Finance Charges.

The business generated a free cash flow of USD 61 million during the quarter, as result of strong cash flows generated during the quarter. The Net cash flow, including investments at the end of March 2023 was at USD 194 million. The gross debt is USD 591.7 million. Our endeavour is to bring down the debt going forward. The high cash was due to some good collections in the month of March 2023, by the US business.

Board Composition – During the quarter, we have inducted one new Independent Director in the parent company and one new Independent Director in Apitoria Pharma, the API arm of

the company. With this, the total number of Independent Directors in the company is now 5 out of total 10 directors. Also, we have appoi nted CEO for the API arm Apitoria. We'll be appointing one more new Independent Director in Apitoria.

Facility Status – Out of the total 8 US FDA regulated API units, 6 units have VAI status, 1 unit recently got inspected, earlier it was in VAI status, and the balance 1 is under Warning Letter. We are putting our efforts to get it cleared. All the total 11 US FDA approved FDF units are under VAI status as on date.

Major plans are under commissioning - We have three plans, including one Eugia plan under commissioning in US. Of th ese, a part of the US Raleigh facility was commissioned in March 2023. The bal ance is expected to get commissioned by FY23 or during FY25. The China plant is fully installed and is expected to be commis

sioned in Q1 FY25. We are in the process of
manufacturing the exhibit batches. The Lyfius plant which will produce Pen -G, is expecte d to be commissioned by '23, however it is our endeavour to complete ahead of schedule. We are

conducting clinical research study phase 3 for biosimilar product, and the biosimilar plant is expected to commission by FY23. So far, including the R&D revenue expenditure in biosimilars, we have invested more than 1,900 crores on biosimilar till date.

Outlook – While our financial performance FY23 indicates our resilience to withstand economic adversity on the back of our strong fundamentals, we remain focused on continuing our growth and we are cautiously optimistic on the business growth going forward. We are committed to deliver good performance in the coming quarter s, while adhering to the regulatory and quality standards.

Some of the key focus areas for the coming quarters are summarised as below:

- PLI implementation will be as per schedule as informed earlier. Post PLI implementation by March 2024, most of the major capex will be done. To improve the capacity utilisation across the plants, we may be doi ng some debottlenecking on the maintenance cap ex. We will continue to acquire ANDAs from market authorisations to leverage the existing capacity and resources.
- Our differentiated business, biosimilar, is expected to contribute to margin enhancement from F Y25. New pipeline approvals will include high margin new generation product categories like peptides , biosimilars, etc.
- Pricing has stabilised in the US, and there is price normalcy in the market. Both RM cost and logistics cost have reduced during the quarter, overall resulting and emanating a better business situation for the coming year.
- Eugia continues to do well and a chieved various financial parameters, which are better than those of the last quarter. We expect to continue this.
- We expect to see some good cash generation from FY2 5 onwards after capitalising all the assets which have been enumerated above.

This is a ll from our end, and my colleagues will give a better clarity in our Q&A session. We are happy to take your questions now. Thank you.

Moderator: Thank you. We will now begin the Question & Answer session. Anyone who wishes to ask question may raise the h and from the participant tab on your screen. Participants are requested to use headphones or earphones while asking your question.

The first question is from Damyanti K. Rai.

Damyanti Rai: Hi, good morning everyone. Thank you for the opportunity. Sir, my first question is on your generic injectable portfolio. For the US, we have been seeing sales hovering somewhere around USD 70-75 million a quarter. And similarly, branded oncology sales is hovering somewhere around USD 30 million in the last few quart ers. So, how do you see these injectable sales picking up ahead, given the approval rate is very healthy. Would you say, you would be achieving your guidance provided earlier with this kind of run rate, or do you see pick up ahead?

Yugandhar Puvvala: Hi, Damyanti. In fact, I stick to my earlier guidance of double -digit growth. As you rightly said, we are doing as per our plan and we'll be continuing our journey with double -digit growth, on the back of healthy approvals, we feel that it is achievable. That 's on the generic injectable side. Swami, in case you want to address on branded injectables?

Swami Iyer: So, on the branded injectables i.e. Acrotech, this is an asset we acquired from Spectrum, and we have a larger plan here to market other products too. We have got into business development deals with couple of other companies, this could take some time. Bu t right now, we're looking at maintaining this kind of revenue line at about USD 20-30 million a quarter.

Damyanti Rai: So sir, you already have so

me products which you have identified which will
be part of your portfolio ahead, and then you might see a pick up from the current run rate?

Swami Iyer : Yes, but that could take a little time, yeah.

Damyanti Rai: Okay. And, if you can also update on the status of the Vizag plant, which I think was mainly intended for European supplies.

Yugandhar Puvvala: Damyanti, like we started doing the exhibit batch es in the Vizag plant as per plan, and the first filing is expected to be in September 2023. It is not only for European and Emerging Markets . We have identified multiple products even for US filing, because this plant is big and we have lot of scope for expansion. So, we wanted to use this as a global plant rather than for a specific market plant. But, it's on track and as per the project timelines, because it's almost , all the lines are up and running and w e started doing the products.

Damyanti Rai: Okay, thank you. And my last question is if you can comment on your R&D spend ahead? How do you see it moving ahead in the coming quarters?

Santhanam Subramanian: The R&D spend for the quarter was 6.3%, and t he year was around 5.7%. We will be having something around 6 % to 6.5% anywhere. But more than that, I would say, we'd be incurring around Rs. 400 crores per quarter, is very likely, irrespective of how the turnover is going to be .

Damyanti Rai: Rs. 400 crores R&D spend?

Santhanam Subramanian: Per quarter.

Damyanti Rai: Okay. Thank you, sir . I'll get back in queue.

Moderator: Thank you. The next question is from Kunal Dhamesha.

Kunal Dhamesha: Hi, good morning. Thank you for taking my question . So, first on the Pen -G PLI scheme, would you provide some update as to what would be… how cost competitive we would be versus, let's say, the Chinese players, and what kind of scenarios would you have assumed while going for this plant? In terms of prici ng, right now it remains high. But, do you expect it to become more competitive once you enter the market?

Santhanam Subramanian: I think this question has been asked in the last quarter, wherein I said we'll be able to give a picture only in the month o f November. There is no point in guessing a price which is going to happen in April 2024, right? But certainly, we believe with our financial metrics, etc, we are very cost competitive, and we'll be able to withstand any of the price erosion also. So, we w ill see it only at that time.

Kunal Dhamesha: Sure. And then, on the US price erosion, you said in your opening remarks, it has kind of stabilised, normalcy has returned. But would you be able to quantify what kind of price erosion we saw in the quarter on a sequential basis, or on a year on year basis? That would be helpful.

Swami Iyer: Hi Kunal. On the US price erosion, if you ask for a year on year basis, in the first three quarter s we had a fair amount of price erosion, and then the 4th quarter was somewhat stable and we see the continuity. Right now , we are pretty stable, I would say. So, if you talk about year on year, yes, first 3 quarters was fairly high and, I don't want to hazard a guess exactly how it is, because we had some chang es in the 4th quarter, we had requested some changes. So overall, net -net, I would think we are in a better position today. That's what I would like to say. today, we are pretty stable.

Kunal Dhamesha: And, let's say, the trend that you saw in Q4, would that have continued in April and May as well?

Swami Iyer: Yes.

Kunal Dhamesha: Sure, perfect. I have more questions, I'll join back in the queue.

Swami Iyer: Sure.

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. Swami sir, on the US oral solid business, despite the fact that pricing erosion has normalised, as you mentioned. We've seen

launches.

Data shows that Aurobindo is gaining share in lot of the disrupted products. We have n't seen the commensurate increase in revenue in oral solid. So, could you give us some colour there? Do you expect more of this to reflect going forward, because it's pretty much flat. I think it's up 1% quarter on quarter.

Swami Iyer: Sure. So, you kno w the 4th quarter was , that's when we got some of the awards and we have ramped up some of the supplies. I think, we would see more of this starting this Q1, and I think the impact would be more Q2 timeframe. Even though we got the awards, we had to give a quick turnaround. It will be a little difficult, especially for the kind of product that we got. We did see some surge in terms of sales, but it's not completely reflected, I would say, based on t he awards that we received.

Neha Manpuria: So, you're saying the bulk of the benefit of the incremental volumes that we've been awarded, will be seen in the 2nd quarter; not even in the 1st quarter?

Swami Iyer: 1st quarter, we would have some and then it would continue from there. If you recall, in the last two earnings call we'd mentioned that we're also launching some newer products. So, the new products would also contribute to our top line in the next 12 months.

Neha Manpuria: Got it. and sir, ove rall, on the market environment in the US, do you think these NBO opportunities, as we call them, is more short -term, or do you see this being slightly more part of the base business and not necessarily a one -time opportunity? How would you see the environ ment?

Swami Iyer: You know, the one -time opportunities, that I'll leave apart from the NBOs. NBOs have been pretty decent, and I would not assume that these are short -term, I would assume that these are medium -term. I think the customers are looking for stable supplies and we have been able to provide them that.

Neha Manpuria: Got it, thank you so much and Subbu sir, on the gross margins, despite the fact that price erosion has stabilised the ARV sales are lower, injectable sales are higher, we didn't s ee a gross margin improvement in the quarter, and we had the PLI benefit. So, was there any factor impacting gross margins?

Santhanam Subramanian: We had certain one -off items which have reflected in the reduced the top line item, because of some claw back taxes in one of the European countries, which has really reduced the overall gross margins , sales as well as the gross margins, this is also one of the reasons, from the EBITDA margin perspective . Also we have taken some one -off write -off, around Rs. 20 crores. Overall, if you really see, around Rs. 45-50 crores is the one -off amounts we have taken during the quarter .

Neha Manpuria: Sorry sir, I missed that number. Rs. 40-45 crores?

Santhanam Subramanian: Rs. 45-50 crores is the one -off write -offs we have taken during the quarter.

Neha Manpuria: This is both on the cost and the revenue?

Santhanam Subramanian: Yeah, both on the cost and on the revenue, maybe in equal proportion… ie 30:20 type.

Neha Manpuria: Okay, got it. Thank you so much sir.

Moderator: Thank you. The next question is from Prakash Agarwal.

Prakash Agarwal: Yeah hi, good morning. A question on the outlook. Last 2 years, obviously, a lot has happened, growth has come down, gross margins have come down a nd so have the EBITDA margins. Multiple factors, or US pricing pressures, some US FDA issues. So, how do you think the next couple of years will shape up? What are the big building blocks? If you can share which segment in your differentiated R&D assets wi ll start coming out first, and how do you see the margin trajectory?

Santhanam Subramanian: So, I'll give the broad direction and my colleagues will be able to explain in detail. S

wami has already explained that sale s is expected to move in the 1st quarte r followed by 2nd quarter . The range of sales is going to increase, right? If you go into 3rd quarter, 4th quarter . Mr. Yugandhar has already said in the last meeting itself, that he will be launching Revlimid , which is also going to contribute to that. Next year if you really see, probably in Q4 some biosimilar product may get launched, and next year by April quarter onwards we can start seeing the Pen -G deliver ing. We will start to see some more biosimilar impact coming. I mean, the full year impact will start coming rather than some one -quarter impact of this year. So, I would request Yugandhar and other colleagues t o explain this in detail.

Yugandhar Puvvala: I think Subbu you covered most of the things. From generic injectables which is under Eugia, we will continue to grow and our endeavour is to grow double -digit. We will keep R evlimid as one -off and that we wil l count as over and above the base business for the next 3 years. But, the base business, with a slew of launches and filings, we expect quarter on quarter, we should have at least five approvals and five launches. We just wanted to do 20 launches a year g oing forward every year and that should provide us that double -digit growth. We will keep Revlimid as a one -off opportunity.

Prakash Agarwal: So, you're saying in your base business in US you're expecting double -digit growth in fiscal '25 on a large base ?

Yugandhar Puvvala: That's right. That's for the Eugia business, which is a generic injectable business.

Prakash Agarwal: No, your generic business, I was asking?

Yugandhar Puvvala: That's right. That is for injectables and speciality products.

Santhanam Subramanian: Which is USD 81 million for this quarter, which I explained in the opening remarks .

Prakash Agarwal: Yeah, but a little colour on the US generic business ex -injectabl e will also help sir.

Yugandhar Puvvala: Swami, would you like to take it?

Swami Iyer: Yeah. Prakash, we talked about new products being commercialised during the current fiscal. All that I can say is, that we would have steady growth. We anticipate about 40 ANDAs to be commercialised during the year; that's a fairly conservative number, an d that would add decent amount of dollars to the top line. And, I think we would consistently, at least for the next few quarters, we would see this kind of product being commercialised based on the approvals that we are expected to receive.

Prakash Agar wal: So, approvals we are still getting a lot, sir. I'm just trying to understand little quantitative idea also, that with this high base, can we expect high single -digit or atleast mid single -digit growth on the US generic base business? Or, given the ero sion and the state the US generic market is, that will be difficult? Or, with the R&D pipeline, we can manage?

Swami Iyer: So, all that I can say is, prices have stabilised. We are able to able to ramp up volume. There's a good demand. So, on an overall basis, I think we should see a pretty decent demand. I don't want to put a number to it, but I think it would be fairly decent. It could be probably in the higher single -digits, that's something we expect and we are very optimistic about it.

Prakash Agar wal: Okay, thank you. And Subbu sir for you, on the margins, if you could give some qualitative and quantitative….

Santhanam Subramanian: I think, before that, if I request Satakarni to talk about his launches, etc, because that is also going to make an i mpact on the overall margin profile improving in the coming years. Over to Satakarni.

Satakarni Makkapati: Yeah, hi Prakash. So, continuing our journey to build on a differentiated portfolio, one of the key elements to us to achieve margin enhancement in future and also sustainable gro

wth, is bringing in biosimilars into the regulated market(s). So, we are fairly confident that towards the end of this year, we will have at least one product in the market. Next year, we see at least 2 to 3 products in the European market with our first filing happening in the US market (in this period). So, I really see the inflection point for biosimilars to start from FY 2025 -26. The amount of effort that had gone into conducting these clinical trials for biosimilars, we (now) have a robust portfolio of biosimilars. As we talk now, we have two product filings which are already made with European Medicines Agency, we had three product filings made with the MHRA in the UK, and we have two product filings with Health Canada. I expect the regulatory procedures and the procedural nuances to conclude anytime between Q2 of this year to Q2 of the next year. That will bring in a series of launches in regulated markets.

Now, staying on the same subject and continuing my guidance for the last three quarters' earnings calls till now, I'm happy to state that we have completed the treatment phase of (clinical) trial in 690 metastatic breast cancer subjects of a Trastuzumab biosimilar, biosimilar

to Herceptin, where our test product was tested for efficacy, safety and immunogenicity versus the innovator's Herceptin. After the completion of treatment phase and after initial read of the raw data, we are confident the study (which is a three -year long study) has achieved similar objective response rate to that of the innovator's product in women with HER2 -positive metastatic breast cancer. We are confident that the filing process in Emerging Markets will begin in June -July. The first filing will happen in India. We will file with European Medicines Agency by September and we will file with the US FDA by Q4 (this FY). We are prioritising the filing of this very important life -saving biosimilar in India, with an aspiration to launch it in our country this year. We believe that more women will benefit from this life - saving oncology therapy on the back of such extensive clinical data in 690 patients, usually not heard of in submissions that are done domestically. We believe, it will give the oncologists and the patients an access to a good and reliable cancer therapy option for treating our women, our mothers and sisters. So, this is my update on Trastuzumab .

Likewise, as the discussions on differentiated portfolio (go), as the filing process for our oncolog y biosimilar across markets is slated to begin, we are showing signs of advancing our differentiated portfolio to various autoimmune diseases. Autoimmune diseases are a huge market in the US. I'm pleased to state that a full -fledged global phase 3 clinical trial of a biosimilar Xolair (we are announcing the name of the biosimilar for the first time) i.e. the phase 3 clinical trial of biosimilar Xolair, which is Omalizumab has begun. Our (clinical) trials sites are being readied now and our subject's recruit ment is ongoing. The patent expires in US in November 2025. We have followed the due process of submitting the clinical trial plan and application for our biosimilar candidate (in Europe) and this is a phase 3 clinical trial, a comparative study on the eff icacy, pharmacokinetics, pharmacodynamics, safety and immunogenicity, which is being conducted in 600 subjects with chronic spontaneous urticaria. The reason why I bring this up is to tie in this discussion with what Swami is saying. (The) Arcotech Biophar ma, which is our brand(s) business in the US, is investing in dermatology. Now, if you look at our biosimilars and how we are positioning them in immunology and autoimmune diseases (read: also, dermatology), this adds to our commercial front end and the bu siness that we are establishing and nurturing in the US with a long -term view to increase margins and to sust

ain our margins in the US. We believe that this biosimilar presents
a sizeable opportunity in a potential market of USD 4 billion with very limited biosimilars competition. It is our intent to file this product in 2025 just in time, maybe two quarters ahead of the formulation patent that expires in US in (Nov) 2025.

Further to share on the differentiated portfolio, we are strengthening our immunol ogy pipeline competitiveness in the autoimmune therapy segment by kicking off a phase I three arm PK, PD, (and) safety study of another biosimilar aimed at treating osteoporosis. This is also (an) immunology biosimilar; this will also fit very well into t he portfolio for both our US and European commercial front end teams. Phase 3 clinical trial application for this product is being submitted (as we talk) in this week to European Medicines Agency and we are gearing up to initiate a phase III trial by Q3 of this year. Likewise, a third immunology biosimilar, (again a strong focus of the entire company on differentiated portfolio) we have already begun a phase III clinical trial where we completed around 40% of the recruitment already. We plan to file this product in the next fiscal year in India and Emerging Markets, to start with.

So, to answer your question, (overall) as a company and as biosimilars (company), we are nurturing our R&D so that we can sustain our business in the future especially with an e ye on the regulated markets – especially, Europe and US. Prakash, I hope this answers?

Prakash Agarwal: This is very elaborate. Thank you so much and some color on the margins will also help?

Satakarni Makkapati: It will be too early .

Prakash Agar wal: The overall community level Sir?

Satakarni Makkapati: Then Subbu would answer that. Subbu?

Santhanam Subramanian: The overall company level, if you have really seen last quarter we ended with around 15.5 %. We will not be limping, but certainly we will go in an incremental fashion. Probably, I don't think a step jump approach will happen this year right, so incrementally probably we may not touch 20%, but could be the mid-point in this year is what my feeling .

Prakash Agarwal: Okay. Thank you very much and all the best.

Moderator: Thank you. The next question is from Shyam Srinivasan.

Shyam Srinivasan: Yeah, good morning and thank you for taking my question. Just the first one on the Eugia, what is the full year number now for the revenue I think USD 81 million per quarter also has some global part which is non -US, I assume and that is for the quarter , so what's the full year number and did I miss it in terms of the guidance that we are talking about double -digit growth. So, the 650 -700 million would that come with the generic Revlimid on top, sorry if you can help us reconcile with the past on how we were thinking about this business?

Yugandhar Puvvala: Even though like we don't give specific numbers on Eugia, but I'll just give you a proper guidance in terms of we closed around Rs. 3,300 crores of top line, which is roughly around USD 411 million t his year, this is a flat growth compared to FY22, but we didn’t decline. In fact, in a challenging environment we could able to grow a single digit and going forward I am guiding based on the current pipeline what we have that we will continue on Rs. 3,300 crores of base. We will continue our journey of double -digit growth and on top of it Revlimid will get added , that's how it is here.

Shyam Srinivasan: Got it Mr. Yugandhar. So, just help us understand on the base business you're talking about launche s, like you said 20 launches I think in your previous comment, so just want to understand how is the I think we've got a lot of questions on the oral solid side of things on price erosion, but what is happening on generic injectables anything that you

can
comment, what explains the flattish growth right I'm still assuming OSD is a very small percentage of your overall thing and largely injectable, so just help us understand pricing

environment on the generic injectable side?

Yugandhar Puvvala: I mean like first two quarters of FY23 were really like challenging and I think the first time when the market opened up post -COVID in the Q1 -Q2 of last financial year , this is FY23, we had almost a double digit price decline which was unseen, unheard in an injectabl e and specialty business, but from Q3 onwards things have stabilized and right now the competitive environment is I think , let me put it this way that we are in a good footing with respect to the competitive environment is concerned and last two quarters t he pricing decline, has been almost negligible, and that is what we feel that going forward with and also one more thing which is helping us is in terms of unfortunately the drug shortages in the US are at the highest level in its history and all these thi ngs and on top of it slew of launches will help us grow the business and as guided earlier our gross margins in Eugia should be between 60% to 70 % and EBITDA levels will be around 25 % to 35 %. It's a broad range okay, one quarter we might be here, one quar ter we might be there depending on how launches will shape up.

Shyam Srinivasan: Got it, Sir and just follow up on Revlimid, is there anything that you've disclosed in terms of the timeline for the launch, how large it is will likely be for you in terms of because it's a crowded space, is there still elbow room for everyone 6 -7-8 players now right, so just want to understand your thoughts on generic Revlimid?

Yugandhar Puvvala: In generic Revlimid, we already secured the final approval as per the settle ment , we will be launching in October, but we cannot disclose the percentage of settlement, so I will leave it there, it won't be a significant part of my revenue, it will be like pretty good bottom line for my business and as it is as that like this is go ing to be limited share for multiple players, so we expect the price pricings to be stable and it doesn't matter before Jan 2026 whoever or a number of launches might happen, but like only thing is we don't expect because each player is it will be restrict ed by the percentage of like share what we settle for and we expect the pricing to be stable up to Jan 2026.

Shyam Srinivasan: Got it Sir, last question is in growth markets. I think you've seen a good bump up there 18% -19% quarter -on-quarter growth, so what is driving some of this growth, is it sustainable? I think 9% now is domestic formulations in India, so some qualitative color on that business? Thank you.

Santhanam Subramanian: I have already said in the opening remarks itself Shyam, this quarter we have got a good PLI incentive of around Rs. 48 crores against last quarter Rs. 8 crore the incentive is depending upon the eligible product which has been approved by the ministry a nd this quarter the sales of the eligible products have picked up a lot and because of that we got this Rs. 48 crores, we are in line with the overall number agreed with the ministry and it is the number which has been achieved.

Shyam Srinivasan: So, Sub bu Sir, you classify the PLI income as domestic formulation.

Santhanam Subramanian: Yeah, because it is only for the Indian subsidiaries, - achieved by the Indian subsidies they don't give it for the US or any other sales achieved in other foreign coun try, only for domestic.

Shyam Srinivasan: Okay Sir and last follow up, Sir if I may quickly when you're talking about mid-teens margin, are we talking exit quarter or full year fiscal 24? Thank you.

Santhanam Subramanian: You're asking to Yugandhar?

Shyam

Srinivasan: No, no, I'm asking you, Sir. When you talk about between 15 .5% and 20% you talked about the margins being that, are we looking at an on a quarterly exit basis, are we looking at full year fiscal 24 EBITDA margins? Thank you.

Santhanam Subramanian: I have taken it only quarterly basis because we do not know at this stage as Yugandhar has clearly pointed out, the Revlimid will happen only in the Q3, which will have a significant addition to the bottom line. At this stage I'm saying moving on - excluding the Revlimid etc. we should be in midpoint between current and 20% , that's what I feel at this stage.

Santhanam Subramanian : We will see the shift next quarter. Every quarter we will revisit.

Moderator: Thank you. The next question is from Tarang.

Tarang Agarwal: Hi, good morning. I have three questions, Sir. One, Subbu Sir you in your opening commentary you suggested that the free cash generation for the business would perhaps begin fro m FY27 .

Santhanam Subramanian: I said FY25, not FY27 okay.

Tarang Agarwal: My bad, my bad.

Santhanam Subramanian: The Pen -G plant will be completed by March 24, by the time we would have incurred most of the Cap ex and there is no other big project which we are thinking of as on date of this size or magnitude to incur in the couple of years and the Pen -G should give good cash generation . So, because of various factors I feel there will be a good cash generation starting next year onwards.

Tarang Agarwal: I understand Sir, I misheard it for FY27, apologies. Dr. Satakarni on biosimilars and peptides, one if you could give us a sense on the status of regulatory inspections and second some sense on what's happening on peptides?

Satakarni Makka pati: On the regulatory inspections, I gave you guidance in the last earnings call that with the two filings that we had with EMEA, we are expecting a regulatory inspection which had happened (now) and we are waiting for a formal report of the precommerci al audit or the inspection from EMEA. We believe this will become part of the day 180 clock stop procedure and response from EMEA, so we are expecting that. With the delay in the audit, let me also give you a guidance because we have submitted this file l ast year, we are close to exhausting the time on the procedural clock stop that EMEA or CHMP allows us. We have a clock stop until June 20th, so once we receive the draft observations of GMP inspection from the agency, we will have to work with CHMP on th e way forward and how can we provide any additional data if they require within the time frame allowed by the clock stop for the (Day 180) procedure. Now, this is the guidance on EMEA inspection. Now, with Health Canada, I told you last time that we are expecting a Health Canada inspection. The review process of

our products had begun (with Health Canada), so we were expecting an onsite evaluation as communicated by Health Canada, but because of the paucity of the auditors, the auditors have pushed the d ates back. We are expecting (now) the Health Canada audit inspection to coincide with the review procedure, which is around November, so that's my expectation. But again, I'm pre -empting. I need to talk with Health Canada over a period of next 2 -3 months, engage with them as the review procedure unfolds to see when I can have the inspection from Health Canada. With MHRA unfortunately, with all the three filings that we had, for example (more importantly) with one of our monoclonal antibody filing, we have concluded day 150, which is at the point of approval and we still did not get any inspection date from MHRA. We are following it up with them. So, this is about the update on the inspections. What was your second question Tarang?

Tarang Agarwal: Statu s on peptides?

Satakarni Makkapati: On the peptides, as I t

old you, we are now focusing on two majority segments in peptides API development, which is essentially Oncology peptides and (Anti - diabetic) diabetology peptides. So, last October if I did not give this guidance earlier, we have filed a Drug Master File for liraglutide, which is now an active DMF. We are hoping to file a DMF for another GLP 1 analogue by the end of this year. So, I'm reasonably pleased with how the peptides business is shaping up. It is also contributing to Eugia' s injectables. I think we have two ANDAs approved this year. Yugandhar may correct it (and) may give you the right picture. So, we are convinced about how we are working on peptides and the focus that we have on diabetology and oncology segments in pept ides.

Tarang Agarwal: That's helpful. Thank you. The third question to Swami Sir, Sir just wanted to get a sense today about 774 ANDAs field, I mean in your view what will be Aurobindo's coverage for the generic market in the US just to get a sense bec ause my sense is by volumes you're probably the largest dispenser, so I just wanted to get a sense on how big the uncovered market is for you and how should we see this number moving forward over the next two or three years?

Swami Iyer: So, if you talk about approvals, if you talk about the potential, yes, there is a fair amount of uncovered market and today we are covered the market to the extent we can and we are launching new product s. So, the priorities change depending on the prof itability of the product and then how quickly we can do this product. I think there is a lot of scope for coverage that's all I would like to say at this point. Even today we have number of approvals that we are in the process of launching, month after m onth we have launches. So, it would be at this point I can only tell you that we have a fair amount of market that we have not covered yet.

Tarang Agarwal: Would it be more than 50%, the uncovered market?

Swami Iyer: I wouldn't hazard a guess, but on the overall term we you know we have the largest, I would not put such a high percentage, all that I can tell you is we have uncovered market, today we are a large player. Obviously, being a large player, you cannot compound the growth with huge percentag e, but I think we have a fair amount of market to recover.

Tarang Agarwal: Okay. That's all Sir. Thank you.

Santhanam Subramanian: I would request everyone to ask only one question because quite a lot of people are waiting and restrict to one questio n, please. Thank you.

Moderator: Thank you, Sir. The next question is from Nitin Agarwal.

Nitin Agarwal: Hi, thanks for taking my question. Sir, if you can provide any more color on our plans and outlook for the Chinese business given the fact that you said the plan t should be in place by next year sometime?

Santhanam Subramanian: Yeah, as we said we have more or less installed the plant and we have been doing the exhibit batches, we will be filing around five products from the China plant and we'll be starting with the European despatches because it takes quite a lot of time to get the regulatory approval from the Chinese regulators, so we'll be starting with the European manufacturing starting first quarter FY25, that is April next year follow ed with probably by third quarter or fourth quarter for the Chinese market, so this is our plan for China plant.

Nitin Agarwal: And Sir on the products that you're looking to file from this facility are the injectables, these are inhalers .

Santhanam Sub ramanian : As of today , we are doing on ly OSDs.

Nitin Agarwal: Okay Sir, okay. Thanks.

Moderator: Thank you. The next question is from Bin o.

Bino : Hi, good morning and good evening. Just a clarification on the Capex , on PLI so far we have spent ab out $120 million, how much of that would

be for the Pen -G project?

Santhanam Subramanian: Entirely for the Pen -G.

Bino : It is entirely Pen -G plant okay and how much more will be done in this year for Pen -G?

Santhanam Subramanian: I think this year means the FY24 if I'm right?

Bino : Correct.

Santhanam Subramanian: As I said now , most of the capex will be done by FY24 that mean Pen-G project as on date it is estimated around USD 250 to 265 million plus or minus contingencies right . So that much of amount will be spent by the end of the year that means another USD 130 to 140 million will be spent th is year.

Bino : Understood okay. Any significant Capex plans in biosimilars for this year?

Santhanam Subramanian: No, see already the plan for biosimilars in place already, as we inform to the exchange sometime back in October, we want to put one unit, which we will take, we have already informed, but the timing wise Satakarni will decide when to start that plant, but that may not be a very big plan like Rs. 2,000 crore, it must be around Rs. 300-400 crores only.

Bino : Understood okay and all put toge ther what would be the total Capex for FY24?

Santhanam Subramanian: See, as I said the maintenance capex will be very less in terms it will be around one USD 120 to 130 million existing plan ts capex . Any new products, new market etc., which is going to give you a return in terms of the new turnover, new profits everything that will be depending upon what we close it by end of the year, that could be anywhere I'm just guessing anywhere between USD 75 to 100 million . You see that I think it's too early because our objective is to complete the existing projects .

Bino : Right, sounds good. Thank you.

Moderator: Thank you. The next question is from Surya.

Surya: Yeah. Thanks for the opportunity. Sir, my specific question about this thing is that it's about Eugia is that so after doing all this integration and all what all means what kind of benefit of integration that we have started witnessing and how is that going to help you incrementally going ahead that is one and just if you can also clarify on the Pen -G, having seen the kind of changed price, dynamic price as well as demand dynamic recent past how has that changed your potential as well as outlook for the project and starting from which mont h or which quarter or which period that you are expecting contribution from the Pen -G project?

Santhanam Subramanian: It is expected from Q1FY25 that is April 24 onwards we need to start generating the revenue from that project. How fast the ramp up can take place etc , we will be able to tell only in the November or maybe in February quarter, as it is in the process of installation. The installation is likely to complete only by October -November and then after that we will do some pilot batches to ensure the product is coming out successfully. In terms of the demand forecast etc., we don't need to guess for the product, which is going to be launched one year down the line . Maybe we will address this at a later date.

Surya: Okay, sure S ir. Regards the integration benefits of this Eugia putting all the assets - relevant assets into that and the integration advantage what is that you're trying to see going ahead if you can talk about?

Santhanam Subramanian: As we said in the Stock Excha nge notification , so the purpose of it to bring , a) focused management to improve the performance which Yugandhar has been explaining very nicely what is his plan, double digit growth and other things, those are all the things and b) also to have a control on the quality standards. Yugandhar you may like to add more?

Yugandhar Puvvala: No.

Surya: Basically Sir, I just wanted to have a sense about the contribution at the margin level
or the profitability level because many of the assets would be also seeing developmental cost and all that which is currently and may not be compensated by incrementa l revenue that is one and even the two injectable facility what we have been building up in US, one in India, so when are they likely to contribute incrementally, so this segment how should it really be contributing to the overall profit or margin improvem ent of the company?

Santhanam Subramanian: The answer has already been given by Yugandhar very clearly. He said, he will grow the base business, existing business by double digit and he also said Revlimid will be over in addition to that. He said there is a significant profit and addition in the profit will come from Revlimid . Plus he also said that what are all the new projects on Vizag plant etc., when he is going to launch. I think all the questions which have been answered already . Yugandhar has g iven you all answers what is the EBITDA margin etc., band also he has given.

Surya: Okay, so then Sir specifically if you can just indicate let's say what is the kind of cash burn that we are seeing because of the kind of initial activity, the developmen tal activities one and then incrementally this US plant is likely to see the revenue because that is currently possibly in the filing stage right?

Santhanam Subramanian: Yeah, that Yugandhar can answer it?

Yugandhar Puvvala: Yeah, it is in the filing stage. We already did the first filing, so we have plans to do around 5 -6 filings from that plant during this fiscal and in case if FDA triggers the audit, it will get commercialized in FY25. In case if the FDA delays the audit, we don't know, but our an ticipation at this point is that in FY25 this plant should get commercialized.

Surya: Okay and the India plant is a FY26 opportunity Sir?

Yugandhar Puvvala: It is also will be FY25, not FY26. I have four commercial plants under Eugia and two new plant s. One plant is in Vizag and one plant is in the US. These are the two non-commercial plants. We expect both these two new plants to be delivering some revenue starting from FY25.

Surya: Okay, yeah sure Sir.

Moderator: Thank you. The next question is from Vishal Manchanda.

Vishal Manchanda: Hi. Sir, my question is, have we witnessed any failure to supply penalties during the year?

Santhanam Subramanian: Swami.

Swami Iyer: No failure to supply is normal commercial practice that the suppliers generally get into failing to supply. As you know there are several types one is the service level penalty, other one is actual failure to supply. So, all this comes under the broad gamut of failure to supply. We do that have as a practice and we do incur that.

Vishal Manchanda: Sir, can you kind of share whether it was higher YoY or the trend is broadly similar on a YoY basis?

Swami Iyer: You see, it's too early to say how exact ly this panned out because , first and foremost for the last year, there were many customers who did not , who gave some kind of leeway because it was post -COVID and there were other issues. So, it's not comparable that's number #1 and #2, if there's a fai lure to supply it doesn't mean that you're actually going to pay that kind of money because you are going to contest it, if we give you a failure to supply on a product that you don't supply to him at all which you supply two years back or so these are all questions it gets normally settled after a point of time, but yes there could be failure to supply and this is a normal commercial practice. Our idea is to try and control it to the extent we can.

Vishal Manchanda: Got it. Sir you provide for it in your numbers?

Swami Iyer: Yes, absolutely.

Vishal Manchanda: Got it.

Vishal Manchanda: Just one more

Santhanam Subramanian: The

re are another three people waiting Mr. Vishal if you don't mind.

Vishal Manchand a: Okay. Thank you.

Moderator: Thank you. The next question is from Puneet Pujara.

Puneet Pujara: Yeah, hi, thanks for taking my question. So, my questions are for Dr. Satakarni. Now, I understand you are developing a global biosimilars portfolio, but my questions are just for the US part of it. first question is, do you think it makes sense to incur additional cost for say interchangeability, not for the currently filed products, but the products that you'll file later on and that's first and sec ond what are your thoughts around the regulatory framework around the interchangeability converging with what we have in the European market? These are my questions.

Satakarni Makkapati: Puneet, it's a good question. It actually requires a huge discussion because the regulators, the policymakers, and the industry is engaged in a major debate across the regulated markets. But, I will try and give my perspective or Aurobindo's perspective on (the subject of) interchangeability. One, I think going by what is happening in other regulated markets, if you see what I have predicted before, interchangeability as a scientific norm doesn't make any sense for biosimilars. So, it has been my policy that I would not invest in any interchangeability clinical trials for the time being because I believe as Europe and MHRA has shown the way, going forward maybe towards the end of this decade interchangeability as a concept for additional clinical trial w ill be nullified even at the US FDA. Now, this is my personal opinion and the opinion on which CuraTeQ designs its clinical trial.

What is interchangeability's relevance in biosimilars? There is a good debate, there is a bad (read: needless) debate ar ound it. The good debate is that in chronic segment, when I say chronic segment - where a patient uses has to use a drug for a longer period of time. Say for example, in diabetes you are using an insulin. So, the patient should be armed with an interchan geable data, so that he can confidently switch from one drug to another drug. Now, by definition we don't agree to it as scientists because by definition biosimilar (when approved) is in all means a similar to innovator biologic. Now, again after proving that there is no residual uncertainty, and proving totality of evidence through a stage wise development that is doing preclinical trials, (establishing) analytical biosimilarity, (demonstrating equivalence by conducting) phase I. (PK/ PD) and phase III (safety efficacy, and immunogenicity) trials, why is there an additional need to show interchangeability is the question that industry is asking?

Now, this (interchangeability) has been widely accepted already and you are seeing signs of it in countries like Canada, Europe etc., I think US will also follow suit. So, in a nutshell, at Aurobindo and CuraTeQ, I don't do any interchangeability trials for my biosimilars. I don't think it will significantly impact me in the market. Maybe in the first 2 to 3 y ears (in the market), because I have to always create a new customer base and I will not be able to switch the old customers into my product (owing to lack of interchangeability trial data). But, towards the end of this decade, I believe interchangeability as a definition, interchangeability as a concept will die down from a requirement of doing an additional clinical trial. I hope that answers?

Puneet Pujara: Sir, that's very helpful. Thanks. I'll join back in the queue .

Satakarni Makkapati: Thank y ou.

Moderator: Thank you. The next question is from Alankar.

Alankar: Yeah, hi. Thank you for the opportunity. Sir, just one question. Couple of quarters back so you had spoken about the possibility of some kind of buyback or higher dividend, so just wa

nted to check are we still thinking on both sides, any update on tha t thing?

Santhanam Subramanian: That is a good question. We are discussing that, but the timing wise it has not been decided because we are accelerating the Pen-G project and also we are looking at the possibility of moving the cash, which is available in various parts of the globe especially Europe . We are sitting on around USD 200 million cash, but the exchange rates are not very conducive to bring it at this stage. So, we are working on all these things so that we are able to ensure that we are opti mizing that. Probably, we may do it at some point of time, when - Board only will know.

Puneet Pujara: Got it Sir. Thank you.

Satakarni Makkapati: Give me a second. This is Satakarni. I would go back to Puneet and leave a punchline, by definition we at Aurobindo and CuraTeQ believe “all (approved) biosimilars should be interchangeable.” I will leave with that thought. Thank you .

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Deepti Thakur: Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel f ree to keep in touch with the investor relations team. The transcript of this call will be uploaded on our website www.aurobindo.com in due course. Thank you and have a great d ay.

Moderator: Thank you, Aurobindo Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

End of Transcript

Call: Aug 2023

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., INDIA Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
August 18, 2023

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir,

Sub: Transcript of Q1 FY24 earnings call.

Please refer to our letter dated August 4, 2023, wherein we intimated about the schedule of Investors/ Analysts call on August 14, 2023. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the first quarter ended June 30, 2023, and the same is being uploaded on the website of the Company and is available in the following web link.

aurobindo.com/investors/disclosures-under-regulation-46/investor-meet/conference-call-transcripts

Please take the information on record.

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Aurobindo Pharma Q1 FY24 Earnings Conference Call
August 14, 2023

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Sanjeev Dani - COO , Head Formulations, Aurobindo Pharma Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma USA

Mr. S. Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Ms. D eepti Thakur: - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q1FY24 Earnings Call. Please note that all participant's line will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to management for opening remarks. Thank you and over to you.

Deepti Thakur: Thank you, Vandit. Good morning and a warm welcome to our First Quarter FY24 Earnings Call. I am Dipti Thakur from the Investor Relations team. We hope you have received the Q1FY24 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce my senior management team today on the call with us, represented by -
Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses.
Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited.
Mr. Sanjeev Dani - COO & Head Formulations, Aurobindo Pharma Limited.
Mr. Swami Iyer - CEO, Aurobindo Pharma, USA. and,
Mr S. Subramanian - CFO.

We will begin the call with summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without li mitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligations to publicly revise any f orward -looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you, Sir.

Santhanam Subramanian: Thank you. Good morning to all and a warm welcome to this earn ings call. The quarter has been robust in topline and margin expansion due to overall performance improvement across the business segments. We will now discuss the results for the 1st quarter of fiscal year FY24 declared by the company.

For Q1, the company registered a revenue of 6,850 crores with an increase of 9.9% year -on-year and 5.8% quarter -on-quarter. The EBITDA before forex and other income grew by 19.3% year -on-year and 14.9% quarter -on-quarter to 1,151.4 crores. EBITDA margin for the quarter was at 16.8% . Net Profit increased by 12.8% quarter -on-quarter to 570.8 crores. EBITDA margins before R&D is 22.5% for the quarter against 21.8% of the last quarter.

In terms of the business breakdown, Formulation business in Q1 FY24 witnes s a growth of 6.6% quarter -on-quarter to Rs. 5,817.2 crores and contributed around 84.9% of the total revenue.

API business contributed around 15.1% and clocked a revenue of 1,033.3 crores for the quarter, registering a growth of 14% on a year -on-year ba sis, led by improved demand for some of our key products.

For the quarter, the revenue from US Formulation increased by 11.2% year -on-year to 3,304.1 crores. On a constant currency basis, US revenue increased by 4.2% year -on-year basis, to USD 402.2 mill ion.

We have received final approval of 19 ANDAs and launched 15 products in the quarter under review. We have filed 12 ANDAs, including 1 injectable during the quarter. The total number of ANDA filings at the end of June 2023 is 814.

Revenue for Aurob indo Pharma USA, the company marketing oral products in USA has increased by 11.8% quarter -on-quarter. Revenue of Eugia Injectable in US business increased by 11.7% year -on-year and 11.4% quarter -on-quarte

r to USD 80.1 million for the quarter. The
total Eu gia Speciality business in US including the speciality OSD amounts to USD 91 million.

During the quarter, the Eugia performance in various fiscal parameters were better than the last quarter. Gloabally, Eugia Pharma Speciality has achieved a sale of USD 122 million on a pro forma basis.

We have a total of 169 ANDA filings as on 30th June 2023, out of which 130 have received final approval and the balance 39 are under review or have tentative approval s.

The company, as on 30th June, 2023, has 814 ANDAs filed with the US FDA on a cumulative basis, out of which 613 have final approval, 34 have tentative approval, including 8 ANDAs which are tentatively approved under the PEPFAR, and the balance 167 ANDAs are under review.

For the quarter, Europe Formula tions revenue clocked at 1,836.8 crores, an increase of 18.6% year -on-year growth. In base currency terms, the Euro clocked a revenue of 205.4 million against Euro of 188.8 million of Q1 last year.

For the quarter, growth markets increased by 12.9% year -on-year to 486.1. This includes PLI incentive of 40 crores against Rs. 63 crores of last quarter.

For the quarter, ARV Formulation clocked a revenue of 190 crores.

Gross margin for the quarter was marginally lower at 53.9% against 54.7% of last quarter, mainly due to business /product mix. Also, around 0.6% drop can be attributed to lower other operating income, mainly t he export benefits on account of timing issues.

EBITDA margins have gone up due to improved operating leverage. Capacity utilisation for major businesses have gone up well in this quarter. R&D expenditure is at 387.6 crores during the quarter, which is 5 .7% of the revenue.

As on date, out of 18 US FDA regulated units, 17 units have a classification of VAI, and only 1 unit is under warning letter.

Net Cap ex for the quarter is 95.3 million, out of which PLI Cap ex is 34 million. The cumulative Capex for the Pen -G PLI project till June 30th amounts to USD 160 million.

The average USD -INR exchange rate is 82.15 in Q1 FY24, against 82.196 in Q4 FY23. The average finance cost for the quarter was at 4.7% mainly due to availing multiple currency roles.

The business generated a free cash flow of USD 29.5 million during this quarter before the PLI investments and investments in new markets. As a result of the strong cash flow generated during the quarter, the net cash position, including investments at the end of June was USD 178 million. The Gross Debt is USD 644 million.

Outlook: Our financial performance in Q1 was on the back of a positive business environment in key market, as well as our continued focus on driving growth and efficiency. We remain committ ed to strong execution in the coming quarters while adhering to the highest quality standards. Some of the key highlights for the coming quarters are summarised below.

Q1 clearly indicated the price s for now have been flat. We remain optimistic in Q2 in t erms of the margins. Our endeavour is to achieve an internal target of 18% + EBITDA for the year, plus margin on special product, and we are on track.

PLI facilities and investments are targeted to be completed before 1st April, 2024. Commercialisation of some of our other new projects in China and India by Q1 FY25.

With the above actions, including commercialisation of PLI and other projects over a period of time and stabilisation of the manufacturing processes, EBITDA margin is expected to cross 20% based on the current market conditions.

The board of directors have decided to explore the possibility of restructuring of Eugia vertical.

Acquisition of ANDAs and market authorisation based on market opportunities, thereby reducing the gestation periods.

Progression of our Biosimilar Pipeline and other commercialisation starting from FY

25
onwards.

Continuing Cap ex related to debottleneck ing and maintenance, thereby increasing the manufacturing capacity and efficiency.

So, this is all from my end. My colleagues will give more clarity on it in our Q&A session. We are happy to take your questions now. Thank you.

Moderator: Thank you Sir. We will now begin the Question & Answer session. Anyone who wishes to ask a question may raise your hand from the ‘Participant’ tab on your screen. Attendees are requested to use headphones or earphones while asking a question.

The first question is from Damyanti Kerai.

Damyanti: Hi, good morning. Thank you for the opportunity. I need some clarity on margin outlook. You said, by 2nd quarter we should be crossing 18% margin, and for full year it should be ahead of 20%.

Santhanam Subramanian: No, I neve r said that. For the year it is 18% plus margin on special products, I made it very clear.

Damyanti: For special products, not on the consolidated basis?

Santhanam Subramanian: Consolidated basis. What I meant by special products is, as on date, Revlim id. Mr. Yugandhar will talk about it when he addresses the Q&A. Excluding that, I’ll be targeting around 18% for the year.

Damyanti: Okay. So, excluding Revlimid , 18% plus. And, post Revlimid launch in 2nd half, it could be in 20% plus?

Santhanam Subramanian: No, I have not said that. I said, for the year 18% excluding Revlimid , plus whatever margin R evlimid will be having.

Damyanti: Okay, got it Sir. Thanks. Sir, you talked about Eugia vertical restructuring. Can you tell us a bit more. What is going to change and how we should look at that vertical?

Santhanam Subramanian: So, if you recollect, last year we made an attempt to do the restructuring of Eugia vertical by carving out a separate entity. But, due to market conditions and slowdown in the US FDA inspections, at that particular point of time we put it on hold, and then terminated the process. Now we are planning to re-start the process. How will it take s shape, we'll come to know maybe in the next 1 -2 months. That decision has only been taken on the 12th of August, so we'll come to know of it clearly in the next 2 -3 months.

Damyanti: Okay. My last question is Europe has seen very good pick up. What has led to strong performance? Are we seeing better supply, especially injectables to Europe now?

Sanjeev Dani: Yeah. Damyanti, the real driver of the performance has been overalls. And, because of our broad product portfolio and excellent custo mer coverage, we are in an excellent position to gain market share when the competitors have shortages. So, this has resulted in our better performance and better margins as well.

Damyanti: So, it is driven by orals, as you said, market conditions are more conducive?

Sanjeev Dani: Exactly, yeah. The injectables will get a full blast when we start getting supply from Vizag.

Damyanti: Okay. Thanks. I'll get back in the queue.

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria: Thanks for taking my question. Just wanted to get some colour on the US business. We have done very well quarter -on-quarter, particularly on the oral solid business. But that does not seem to reflect in our gross margins. I mean, gross margins were still pretty okay quarter -on-quarter. Was there any one -off in the US business also? What would be the impact of the P uerto Rico shutdown and how should we think about that for the subsequent quarters?

Swami Iyer: Thanks Neha. Subbu, can you talk about the gross margins?

Santhanam Subramanian: Yes, I will talk about the gross margins.

Swami Iyer: Do you want to take that first ?

Santhanam Subramanian: No, I will do it next, after the revenue.

Swami Iyer: Okay. So,

from the US side, there have not been any one -offs which has been negative. That is number one. Number two, in P uerto Rico again, whatever has happened, Subbu can give more colour on it . But, I think, there's been no impact right now, because we had some revenues which is marginal, and the bottom line, the profit for that is very minimal. But, Subbu can probably give more colour on that too. Otherwise, we hope to redo the facility and get ba ck into business quickly.

Santhanam Subramanian: So Neha, let me address the gross margin issue which you raised. The first point, if you really see the press release, the API business has overall grown by 1.6%, but really we are grown on beta -lactam by 12.8% and the non -beta -lactam degrown by 17.3% this quarter, I'm talking about the external sales . As you are aware , the beta -lactam gross margins are lower and the non -beta -lactam gross margins are higher, so there was a product category mix within the business of API. And second, the Europe business has done extremely well. While the Europe gross margins are lower compared to the overall corporate gross margins, but they have done well, so it has slightly pulled down the. Having said that, the increase in the European business has led to increased operating leverage, which has helped in improving the overall margin of the company.

The third point is, in terms of the export benefits, PLI we are entitled for 200 crores in a year , as per the last guidelin e, official or unofficial I don't know . The last proposal which has been circulated, which is under discussion, every company is entitled to around 200 crores. And, we have accrued 40 crores because we have to meet certain eligibility criteria. With Revlim id coming in this quarter or next quarter we will be able to achieve that, and in the year as a whole, we are targeting to achieve 200 crores. So overall, that 0.6% drop is attributed to the drop in the export benefits; it's a timing issue. And, as I said, with the improved capacity utilisation and operating leverage, etc, we are poised to achieve the 18% EBITDA margin, and the EBITDA also will move up.

The last point which I'll talk about i s Puerto Rico . In Puerto Rico we are having zero EBITDA, etc. With the shutdown and restructu ring of the entire plant and other things, in the immediate term, we are likely to see our EBITDA margin improving by 0.5%. Do es it answer your queries , Neha ?

Neha Manpuria: So Sir, in P uerto Rico, what was the sales contribution to the US business? Was it 20 -25 million dollars?

Santhanam Subramanian: Typically, they contribute anywhere between 15 -20.

Neha Manpuria: Per quarter, or this is the annual?

Santhanam Subramanian: Last year a s a whole, if you really see the press release which we have issued to the stock exchange, if I recollect, our contribution for last year was around 52 million dollars.

Neha Manpuria: Okay. And so, this sales fo r the time being will go to zero?

Santhanam Subramanian: Zero, but there is no impact on the profitability.

Neha Manpuria: Understood.

Santhanam Subramanian : …rather the overall EBITDA margin goes up.

Neha Manpuria: Okay, understood. And Sir, for the injectable business, Yugandhar, could you give some colour in terms of what we are seeing there? How much of the quarter -on-quarter improvement is essentially existing business, market share gains, product disruptions? And, how sticky do you think the situation could be going forward?

Yugandhar Puvvala: In fact, it is general growth Neha, in terms of overall injectable business, mainly in the US, it is quite sticky . I think, general improvement. There are no one -off opportunities which has driven this number. It's a general gr owth across molecules, and probably driven by better market conditions and good tailwinds.

Neha Manpuria: And,

do we expect to see incremental benefit in the short -term because of the Pfizer plant damages?

Yugandhar Puvvala: I don't think so, because it is mainly the damages to the warehouse and not the manufacturing facility. So, in general what we will see is, probably there will be 1 -2 months of delay in supplies from Pfizer. To that extent, we might get some small business gains. But, we don't expect things changing significantly. We do have overlapping portfolio between that particular plant and with us, but only thing is, we have not seen anything which is significant.

Neha Manpuria: Got it. Thank you so much.

Moderator: Thank you. The next ques tion is from Shyam.

Shyam: Good morning and thank you for taking my question. So, just first one on the US run rate quarterly. So, we have reached 400 million, I think, after maybe 2 years plus. I just want to understand how the base business performance will likely continue, or what's the outlook for the base business for the US? If you could also talk about pricing erosion? We've been hearing commentaries about improving pricing erosion. So, how should it pan out for the remainder of the year? And also, in terms of whatever you can share on Revlimid ? Thank you Subbu Sir for giving the separate margin guidance, that's helpful. But just, how should we look at that as an opportunity as well for us?

Swami Iyer: Subbu, I can take thi s question. First, let me take the two questions. Thanks Shyam. First, let me address your qu estion on the growth in the US. We had a volume -led strategy in the US, and we have delivered strong underlying growth for our business by leveraging our global scale. You know, we have large manufacturing facilities, and this comes in very useful. The dem and for our portfolio products is quite sturdy, and we had strong growth in volumes in this quarter. We are building our strong track record and we are well - positioned for a stronger year across a broad range of products.

Shyam: Swami Sir, so all the dol lar revenue growth, let's assume, is it coming from volume and the price is stable? How do you classify the pricing part?

Swami Iyer: Let me go to the second point you raised, about the prices. I would say, the prices are stable now. We have seen continuation of that. We saw some during the last quarter, and this Q1 has been somewhat similar.

Shyam: And the outlook Swami Sir, do you thin k it will now last for the remainder of the year? And, what's driving this stability?

Swami Iyer: So, I did mention about the outlook. I said that we are building on our strong track record, and we are progressing well with our pipeline. And then, we have also augmented a bit with some NDA purchases. We believe that we would have a decent growth going forward.

Shyam: Got it Sir. Helpful. Subbu Sir, on the Revlimid ?

Santhanam Subramanian: I think Yugandhar is the best person to answer.

Yugandhar Puvvala: Yeah, I think Shyam, let me put it this way. We treat Revlimid as a one off opportunity. I will answer that as well. See, at an overall level in US, we have from 70 -80, to this quarter w e have touched 90. And overall, Eugia as a global entity, we have touched 122 million. So, our endeavour is to make it 100 million plus for US, and the overall to 130. So that takes us to almost 500-million -dollar entity; that's our endeavour for this year , that is excluding Revlimid . And Revlimid , whatever comes, we will launch it from 1st of October, that's the settlement date. So, we will treat that as one -off opportunity, and whatever comes, it comes.

Santhanam Subramanian: I just want to add one poin t. Whatever Yugandhar said, 500 million, you need to look at it against 411 million dollars which the Eugia business achieved on a pro forma basis last year.

Shyam: Sure. Subbu Sir, thanks for that, and Yugandhar. So , the second piece of my question whic h I was coming to is, the Eugia global sales has done better . I know 10 million has increased in US, but I remember it was 100 million overall, or 110 million last quarter, maybe I'm wrong. So, that has moved to this 120. Revlimid we don't have elsewhere in the world, right? We are only in US? Can you clarify that?

Yugandhar Puvvala: Revlimid we do have elsewhere, but the only thing is, US pricing dynamics are different from the rest of the world. We have launched Revlimid in Europe last year itself, but the pricing dynamics in Europe are completely different, and in the US, like you know, it is completely different. So, the opportunity in US is much bigger than the rest of the world. Revlimid it is there all across. Wherever there is a patent expiry, we did launch. But, in case of US, it is percentage -based settlemen ts for various generic companies. So, we'll be launching based on our settlement date with the innovator .

Shyam: Yugandhar Sir, my question was on the non -US global Eugia. How has that grown quarter -on-quarter, that was the question.

Yugandhar Puvvala: Yeah, you're bang on. That's because, we used to be in the midst of around 100 to 110 for the last few quarters. That has gone up to 122 now. And, our endeavour is to grow that business to 130 plus starting from next quarter; that's our endeavour. So that , we wanted to grow that business. That is what Subbu said, that excluding Revlimid , last year sales at pro forma level was 411, and our endeavour is to make it 500 plus for this year.

Shyam: Got it Sir. Thank you and all the best.

Moderator: Thank you. The next question is from Kunal D hamesha.

Kunal: Hi, thank you for the opportunity. So, first one on the Eugia business. When you say restructuring, is it that the out -of-US piece is still not inclu ded in the entity, and hence we are putting it as a pro forma and we are trying to bring i t together.

Santhanam Subramanian: No, US entity has been fully under the Eugia as part of carveout w.e.f. 1st April 2022. There are some smal l markets, I mean, like in Canada, we are in the process of moving because there was a lot depending upon the regulatory approvals for moving the products from Aurobindo to Eugia. So, those are all the small markets. The major markets have been achieved. Europe has been achieved , US has been achieved, which is around 93% which has already been achieved. Probably 4 -5% is what is pending, which we will complete , I think over the next 3 -4 months' time.

Kunal: Okay sure. So then, the entire injectable and speciality business globally it should come under that bucket?

Santhanam Subramanian: Already it is, more or less, 95% is already forming part of the Eugia balance sheet.

Kunal: Okay perfect. And then, we had this guidance of USD 650-700 million, and we are seeing USD 500 million for this year. So, are we still sticking to USD 650-700? And now that within this 500 we have excluded Revlimid , so within that 650 -700 also we'll be excluding Revlimid ? How do we think about it?

Yugandhar Puvvala: In fact Kunal, I stopped givin g that guidance that was given 2 years back, and we said based on the current market conditions, we will see how the business actually grows. But, that 600 and 650, we stopped giving that guidance. So, first thing is, we will treat these as two different t hings. One is, how do we grow the base business. That is th e 500, how we can go to 550 and all, plus Revlimid . Put together, it might be 600 -650, it might happen. But only thing is, at this juncture we stopped giving that guidance.

Kunal: Okay. And then j ust on the US Generics. I think we have grown sequentially by almost around 9% at least in the INR terms. I think you have said the price er

osion has been kind of
flat. Would that be the same assumption you would be making when you will be giving the 18% E BITDA margin guidance for the full year?

Yugandhar Puvvala: I think I'll ask Swami also to respond to this. But what we have seen, at least in the last quarter is almost negligible price erosion. So we expect probably the next 2 -3 quarters to span out th e similar way for the overall injectable and specialty business. And Swami, in case, if you want to just talk about the other business?

Swami Iyer: Yeah, sure. The price erosion, like I said, has levelled off and it's stable now, the price are stable. And we think that this would continue, given all the supply disruptions and the customers wanting stable supply of the product, we believe that this wou ld continue. As far as the gross margin or the EBITDA is concerned, I think Subu can answer that better about what exactly is factored in.

Santhanam Subramanian: Kunal, we have given very clear clarity. As of date, it is 16.8%, right .

With the export bene fits etc. coming back . It's a timing issue , which I said, which will add to another 0.5%, and I also said Puerto Rico will add another 0.5%. So, if you really see the adjusted EBITDA, it's already 17.8 %. Actions have been taken already. And going forward, if the price remaining flat and we are able to improve the operating leverage etc., we will certainly cross that 18 % benchmark, which we have put a target on ourselves, even though we are not given it as a guidance, we will certainly be able to achieve it. It's our strong belief.

Kunal: Sure. And the last one, Sir, from my side on the PLI scheme. I believe that our PLI capacity for Pen G is roughly half of the India usage. But if I have to kind of put it relative to let's say, the global consumption, where that would feature?

Santhanam Subramanian: Everything will go to India etc., we do not know. And second, the plan t which we are putting up is predominantly for Indian market and the rest of the world market as on date, because we are not going to wait for the necessary regulatory approval from the various regulatory agencies. So what we are trying to look at is the Indian capacity .

Even thou gh there is no authentic information, estimated around 20,000 and we have put a capacity of 15,000 and out of that our consumption will be around 40% to 45%. This is what.

Kunal: Okay.

Santhanam Subramanian: But also we said, it'll take some time to ram p up properly because it is not that you put the button, next day all the material 15,000 tons will come like that. So we will gradually ramp it up by which probably next year, mid of this, maybe by October - November, we'll get the full ramp up etc. So it's too early to talk about that. We have to first integrate the entire processes and establish the yields and other things. So, as I said, probably we'll get a clarity in the month of February.

Kunal: Sure, Sir. Thank you. I have more questions. I'll get b ack in queue.

Moderator: Thank you. The next question is from Surya Patra.

Surya Patra: Thanks for taking my question. First question on the o verall injection business . So, I think we are seeing this quarter as the strongest quarter so far, and generall y first quarter is a relatively lean quarter compared to other quarters. So, are we or is it fair to believe that the ramp up subsequently in the subsequent quarter, what we are likely to see that will lead to a kind of a meaningful strong double -digit growth for the injectable business? If yes, then what is driving this, Sir? Is it new product launch or it is the price improvement situation or it is the one time kind of supply benefit that you might be getting? What is the outlook here in the injectable bu siness?

Yugandhar Puvvala: Surya, I think I explained this previously. It's a decent start for the year and w

e expect that it will ramp up further. And if you just see like 122*4, it should be 488.
But we are saying we wanted to hit 500 plus for this yea r; that's our endeavour. But it has nothing to do with current shortages. It is a general growth in volumes and H2 launches and the launches for this year. So, it's a general overall performance of the business, but has nothing to do with the current short ages in the US market.

Surya Patra: Sir, any pipeline related confidence that you are having for your expectations? If yes, then if you can share the key product opportunities that you are targeting apart from rev limit, let's say.

Yugandhar Puvvala: There are no blockbusters. In fact, we have been doing and we expect that we will continue to do well on new product approvals and launches. And we wanted to maintain the 20 plus launches track record for Eugia business. So it will be a timing issue in terms of when each product ramps up. But it will be a general overall trend, no blockbusters.

Surya Patra: Sir, just on the Revlimid because what we have witnessed for a couple of your Indian competitors. So, the volume share what they have grabbed is kind of a decent number - more than 5%, multiple players have grabbed it. So, when you are launching relatively lately and that is also a kind of volume limited, so what is the pricing scenario that you do anticipate once you launch in the third wave, let's say. And what would be your volume expectations, Sir?

Yugandhar Puvvala : I think you answered the question in terms of volume expectations, Surya, we are not supposed to tell what exactly is the volume settlement. So, obviously we are in the third wave. We are expected to be much lower than the other players who have launched in the early settlement regime. But we expect the pricing to be stable because you know it very well, it is a limited volume and that limited volume I can only supply to probably one or two customers. So we expect the pricing to be stable till the end of 2 025.

Surya Patra: And the supply would be evenly distributed, Sir?

Yugandhar Puvvala: Yeah. It is depending on how the settlement terms are and what is the volume percentage, and based on that we will accordingly distribute that.

Surya Patra: Sir, my next question is on the European business. So, here also we are seeing a kind of a best ever quarter. What is driving this and what is the outlook that one should really have? And Sir, currently, what is the share of injectable business in the overall Euro pean business? And going ahead what it could be? Because that was our aspiration to achieve a kind of a sizable share of revenue coming from the injectable even in case of a European business. If you can give some sense about it Sir, that would be fine.

Sanjeev Dani: So Surya, basically I mentioned this earlier in the call that because of our very broad product portfolio and even expanding and excellent customer coverage, we have gained the market share because some of the competitors have been in shortag es. So that we are the preferred partner for pharmacy as well as the hospitals. So that is the first driver. Second is that going forward, we have this transfer of products manufacturing to Indi a source that is driving the margins and making us more competitive enabling to increase our market share. And we a re having more than 200 products under development or already filed. As and when they are launched, we will be gaining in the product portfolio. We don't normally give guidance but we have said earlier that we'll grow faster than the market, about 5% to 8% growth on year -on-year. That is what we are expecting at a constant currency basis. And as far as the injectable is concerned Yugandhar, you want to answer? But it is EUR 18 to 20 million per quarter right now and for Vizag plant, over to you Yugandhar.

Yugandhar

Puvvala: Surya, you're right. Future growth will come from Europe. But currently we are not that big. Out of the overall $500 million what we are aspiring to do for this year probably like Europe will be $60 to $70 million and that is what we wa nt to take it up to $100 million plus. But US continues to be the big brother and US will contribute to significant sales for Eugia.

Surya Patra: And Sir, with the improved European performance this quarter, the best ever quarter, could you give some sens e what is the kind of overall margin that we should be tracking here?

Santhanam Subramanian: We have reached mid -teens in EBITDA percentage to net sale.

Surya Patra: Okay. So that's a mark ed improvement compared to the last full year number, right Sir?

Santhanam Subramanian: Yeah, that's right.

Surya Patra: Okay. Thank you, Sir. Thanks a lot. Wish you all the best.

Moderator: Thank you. The next question is from Nitin.

Nitin: Thank you for taking my question. My question is on Cap ex. Barring PLI Capex , can you just help us what are the major Cap ex, timing of the major Cap ex getting commercialized over the next 12 to 18 months?

Santhanam Subramanian: No, apart from the PLI, we are putting some forward derivativ e plants linking to the Pen G pla nt, right? Those all may not be a very significant, maybe around 150-200 crores like that two, three plants we are putting it so that we will also be able to effectively utilize the Pen G . Apart from that, the China plant also we have done it an d the exhibit batches are getting filed and as you know that European inspection is also over. So those is expected to start if not earlier, at least by April 24 we should start for the Euro pe business. Like that we are working on that. All these things we are working on that.

Nitin: And Sir, the Chinese plant is largely meant for European supplies or are we looking at a captive Chinese market also?

Santhanam Subramanian: No, no, we are working for all markets. Except we have the unit 15 which is dedicated Europe plant in India . I think China plant is for the China market, Europe market. And if possible, the US market als o we may do that.

Nitin: And Yugandhar, on the injectable business. What opportunities do you see for extending our injectable pipeline to the ROW markets?

Yugandhar Puvvala: We keep extending it. In fact, we do have decent size of business in ROW markets and also growth markets, and we are present in multiple markets but obviously not at the scale. The scale is there in six Eur opean countries, Canada, Brazil and Colombia and South Africa. But rest of the markets also we do supply and we do have filings. But the scaling up, I think what we wanted to do is once the restructuring happens, then we will also put significant efforts i n scaling up rest of the world markets.

Nitin: Lastly, on the biologics. You've indicated that we spent almost USD 280 million in the biologics business. In terms of the return on this investment, what kind of timelines do we see? What should we keep in mind?

Satakarni Makkapati: Nitin, can you repeat the question? You are not audible.

Nitin: On the biosimilars, as we talked about, you spent $280 million in both Capex as well as revenue expenditure. In terms of return on this investment, what kind of time frame should we start looking at when this investment begins to yield results for us?

Satakarni Makkapati: As you know that we have completed the licens ure clinical trials for three programs, and we are expecting to have the launches in several mark ets starting next year. In fact, we could have one launch for an oncology biosimilar in th e Indian market this year. But next year, FY25, would see a state of launches, which we expect to start bringing in the revenues for t

his biosimilars business.

Nitin: Do you have a broad indicative number over a period of time that we can aspire to get into the business?

Satakarni Makk apati: No. To be very honest, I stay away from giving any guidance on the revenue projections for biosimilars business because the landscape, the marketplace is evolving fast. But we have our own internal projections. We have a healthy product portfolio spread ac ross oncology and immunology segments. We expect by 2028 we would have at least four oncology products in Europe and at least two oncology products launched in the US. So we expect an overall product portfolio of around six to seven products in the regulat ed markets and exactly the same number, or maybe one or two more in the immunology segment in the ROW markets. So, yeah, I mean, we have internal projections. It will be a healthy one, but I stay away from giving projections which are far ahead from now, w hich is at least 4 or 5 years ahead from now, Nitin.

Nitin: Which is fair. So, lastly, on the pneumococcal vaccine, any update on that, Sir?

Satakarni Makkapati: So, as I have provided guidance in the last earnings call, we received an SEC - Subject Expe rt Committee recommendation for manufacturing and marketing the 15 -valent pneumococcal conjugate vaccine. I also told you that we have an ongoing two plus one dosing trial in about 550 children, where we completed a three plus zero trial already . So, at this point, we have applied for a manufacturing license. We are still hoping to conclude the documentation formalities. Usually, it takes anywhere between 3 to 6 months. It's been 4 months now . So, we are expecting to obtain manufacturing license sometime. But having said that, we are reprioritizing on certain things in the pneumococcal conjugate vaccine business.

As you can see, the national tender which forms the core of the market, that window has passed for the year. the next tender is expected only i n May and June next year. We are not pretty interested in the retail business, which forms a very minor segment of the market in India. So our target is to essentially make a vaccine for WHO markets. With the ongoing two plus one trial, we will add more sa fety database and we still need about another thousand subjects of safety database to really make the solid transition from making it an India only or India centric vaccine to a larger marketplace, which is a WHO market vaccine, or the Gavi vaccine, which covers about 70 plus countries. So that journey is ongoing. While we strive to get the manufacturing license essentially this year, because the national tender phase has passed and we are not keen to bring it into retail segment at this point, the window of opportunity for the next two quarters to bring this product into the market has more or less passed.

Nitin: Thank you very much.

Moderator: Thank you. The next question is from Bino.

Bino: Hi, good morning. A couple of questions from my side. One, on a couple of products in the US on which you have approval. One is generic Opsumit and another generic Myrbetriq. Are these products likely to be launched this financial or next financial year?

Swami Iyer: Okay, so your question was on two products. On e was Opsumit, right?

Bino: Yeah, Opsumit, that is Macitentan.

Swami Iyer: So, that’s a tentative approval, it is under settlement. The launch would take some time.

Bino: Okay. Could you confirm if it's next financial year?

Swami Iyer: Next financial year? You mean 2024 -2025?

Bino: Yeah.

Swami Iyer: No, we don't believe so. It could be sometime later.

Bino: Okay. And Myrbetriq , which is Mirabegron.

Swami Iyer: Yeah, that's an OTC product, I believe.

Yugandhar Puvvala: Mirabegron also will have a subsequent launch. I don't think it will happen anytime soon, Swami.

Swami Iyer: Yeah.

Bino: Okay. Second, I just want to unders tand this final thought process regarding this Eugia restructuring. Is it like separately listing or you plan to spin it out? What's the ultimate thought process there?

Santhanam Subramanian: I think this will get evolved over a period of time. Depending upon the interest levels and other things, it will get evolved. We will certainly keep the market informed as and when some concrete things happen.

Bino: And finally, you mentioned about one biosimilar launch in India this year or next year. How are you going to sell that in India?

Satakarni Makkapati: So we are looking at co -marketing opportunities. We ar e, in fact also looking inward and trying t o see whether we can directly get into domestic marketing ourselves. But the initial first year of sales wo uld technically come from the co -marketing endeavour in India while we will also attempt to establish our own domestic marketing footprint for the oncology and immunology biosimilars in India. I can provide you more

guidance a quarter or two quarters from now about our plans to commercialize biosimilars in the domestic market.

Bino: Got it. Thank you.

Swami Iyer: Just to clarify, just as Yugandhar said, Mirabegron is also not likely to be launched now .

Bino: Understood. Thank you very much.

Moderator: Thank you. The next question is from Tarang Agarwal.

Tarang Agrawal: Yeah, hi. Three questions from me. Congratulations on a strong set of numbers across businesses. One on Eugia and two on Europe. On Eugia Sir, could you give us a sense on what your volume share in that business is in the US? And how has that moved maybe, over last year or over the previous quarter?

Yugandhar Puvvala: I think we are growing by around 10% volume. And we have reached to 6th position in US in the injectable segment. We used to be around 9. Then we reached 7. Now we are, as per latest figures, we reached 6th. So, as I said, it is a general portfolio growth, and the volumes are also growing.

Tarang Agarwal: Okay. That's helpful. Thank you . On Europe, congrats on getting north of EUR 200 million. How should we see this moving forward? Should we be able to maintain this level? Or we could see some glitches going forward?

Sanjeev Dani: Yeah, you can expect. I mean, we have not given specific number but around this, depending on the seasonality because Europe does have a purchase pattern in terms of season, holiday season etc. So, I think within plus or minus 5% of this range should be retained.

Tarang Agarwal: And Sir second question. Given the nuances of the market, what would be the drivers of improvement of margins in the business? I mean, is there a potential to improve gross margins from where they are currently? Or perhaps gross margins might remain where they are and we will probably see the benefits of operating leverage to drive EBITDA margins moving forward?

Sanjeev Dani: You're talking about Europe ?

Tarang Agarwal: Europe.

Sanjeev Dani: So there are two parts to this. First is that the gross margin also is fluctuating because of the mix of the country. Because there are different business model where there are higher gross price and then we give discount and then we achieve the net sale. But there are certain tenders where there is a straightaway sale is the price is quoted. So actually, the gross margin in both the businesses will be different. So it is slightly fluctuating plus/minus 2 -

3% of gross margin will be affected. But overall, you are right. We are looking at operating leverage because of our br oad product portfolio, which is expanding. At the same time, we have a very good positioning with the customer. So when there are gaps in the market from competition, we should be in a better position to cap

italize on that. Having said that, we also have s ome shortages. But I think overall, we have managed better than the competitors. So going forward, I would look at operating leverage much better than just gross margin expansion.

Tarang Agarwal: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Deepti T hakur: Thank you all for joining us on the call today. If you have any of your questions unanswered, please fee l free to keep in touch with the investor relations team. The transcript of this call will be uploaded on our website www.aurobindo.com in due course. Thank you and have a great day.

Moderator: On behalf of Aurobindo Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

(END OF TRANSCRIPT)

Call: Nov 2023

Corp. Off.: Galaxy, Floor s: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowled ge City, Raidurg Panm aktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyder abad - 500 038 T.S., INDIA Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo. com Website: www .aurobindo .com
November 15 , 2023
To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q 2 FY24 earnings call.

Please refer to our letter dated October 31 , 2023, wherein we intimated about the schedule of Investors/ Analysts call on November 10 , 2023 . We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 2023, and the same is being uploaded on the website of the Company and is availabl e in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

Aurobindo Pharma Q 2 FY24 Earnings Conference Call
November 10, 2023

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses and Director of Aurobindo Pharma L imited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited

Mr. Sanjeev Dani – COO and Head Formulations, Aurobindo Pharma Limited

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma USA

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q2FY24 Earnings Call. Please note that all participant s' line will be in 'listen -only' mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to management for opening remarks. Thank you and ove r to you Sir.

Shriniwas Dange : Thank you , Vandit . Good morning and a warm welcome to our Second Quarter FY2 4 Earnings Call. I am Shriniwas Dange from the Investor Relations team . We hope you have received the Q 2FY24 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce my senior management team on the call with us, represented by-
Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses and Director of Aurobindo Pharma L imited
Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited .
Mr. Sanjeev Dani - COO & Head Formulations, Aurobindo Pharma Limited .
Mr. Swami Iyer - CEO, Aurobindo Pharma, U.S.A. and
Mr S. Subramanian - CFO.

We will begin the call with summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations , statements relating to the implementation of strategic actions and other affirmations on our future business , business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business , a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that , I will hand over the call to Mr . S. Subramanian for the highlights . Over to you , Sir.

Santhanam Subramanian: Thank you Shriniwas . Good morning and a warm welcome to our Q2FY24 earnings call. I am extremely delighted to inform it has been yet another quarter with highest ever sales. The sales growth was seen across the market and businesses. This is further augmented by the highest EBITDA in the past 12 quarters. Now let me take you through the details of the results for the 2nd quarter of FY24 declared by the company.

For Q2, the company registered a revenue of Rs. 7,219 crores with an increase of 25.8% year - on-year. The EBITDA before forex and other income grew by 67.7% year -on-year and by 21.9% quarter -on-quarter, to Rs. 1,403 crores. EBITDA margin for the quarter was at 19.4% against 16.8% for the last quarter. Net profit increased by 83.6% year -on-year and by 31.7% quarter - on-quarter, to Rs. 752 crores.

In terms of the business breakdown, formulation business excluding Puerto Rico in Q2 FY24 witnessed a growth of 29% year -on-year to Rs. 5,968 crores and contributed around 82.7% to the total revenue.

API business contributed around 16.2% and cl ocked a revenue of Rs. 1,166 crores for the quarter , registering a growth of 20.3% on a year -on-year basis. The growth is mainly driven by higher volumes on account of the improved asset utilization and de -bottl enecking .

For the quarter, the revenue from U.S. formulations without Puerto Rico increased by 35.7% year -on-year to Rs. 3,385 crores. On a constant currency basis, U.S. revenue increased by 30.7% year -on-year basis to USD 409 million. Please note that these numbers are without gRevlimid which have started to contribute during Q3 FY24. The growth was mainly driven by volume gains, stable demand and new product la

unches. Price erosion has moderated and
continues to be neutral. Our wide range of approved baskets has helped us optimally manage the price erosion.

We have received final approval for 15 ANDAs and launched 19 products in Q2 FY24. We have filed 10 ANDAs during the quarter.

Revenue of Aurobindo Pharma USA, the company marketing oral products in USA, has increased by 23.3% year -on-year to USD 212 million in Q2 FY24. Revenue of Eugia Pharma Special ities Ltd. in the U.S. increased by 64.2% year -on-year. The year -on-year growth was driven by improved volumes o f existing products and new product launches. This was coupled with a stable pricing scenario in this quarter with a low single -digit price erosion. The total Eugia Special ities sales in U.S. including the Specialty OSD amounted to USD 91 millio n.

During the quarter, the Eugia performance in various financial parameters were better than the last quarter. As informed by my colleague during the previous quarter earnings call, we are on track to achieve the USD 560 million globally for the Eugia Special ities for FY24.

We have a total of 169 injectable ANDA filings on 30th September out of which 133 have received final approval and the remaining 36 are under review or have tentative approval.

The company as on 30th September 2023 has 817 ANDAs filed with the U.S. FDA on a cumulative basis out of which 628 ha ve final approval and 32 have tentative approval including 6 ANDAs which are tentatively approved under PEPFAR and the remaining 157 ANDAs are under review.

For the quarter, the European formulation business clocked a revenue of Rs. 1 ,769 crores, an increase of 16.7% year -on-year growth. In constant currency terms, Euro pe clocked a revenue of EUR 197 million against EUR 189 million of last year Q2.

For the quarter, growth market revenue increased by 24.7% year -on-year to Rs. 564 crores. In U.S. dollar terms, revenue grew to USD 68 million in Q2 from USD 58 million in Q1. For the quarter, ARV formulation business revenue increased by 52.1% year -on-year to Rs. 250 crores or USD 30 million.

During the quarter, the raw material cost and freight cost have improved further aiding our gross contribution which stood at Rs. 3,983 crores. Gross margin for the quarter was higher at 55.2% against 53.9% last quarter mainly due to low material cost and favourable product / business mix.

R&D expenditure stood at Rs. 300 crores during the quarter which is 4.2% of the revenue. Previous quarter expenditure was high on account of clinical trial expenses for multiple projects.

Capacity utilization has gone up well this quarter driving the operating leverage. Consequently, EBITDA has improved to Rs. 1,403 crores reflecting a margin of 19.4%.

As on date, out of the 18 U.S. FD A regulated units, 15 units have classification of V AI, 2 units have received one observation each and 1 unit is under warning letter .

Net CAPEX for the quarter is USD 154 million which mainly includes USD 48 million towards acquisition of marketing authorization in Indonesia and USD 42 million towards PL I CAPEX. Cumulative CAPEX for P en-G PLI project till September 30 amounts to USD 188 million.

The average USD -INR exchange rate is 82.68 in Q2 against 82.15 in Q1, FY24 . The average finance cost was 5.3% mainly due to avail ing multiple currency loans.

The business generated a free cash flow of USD 48 million during this quarter before the PL I investments and the investments in new markets.

Our API business was transferred to the new subsidiary Apitoria Pharma Private Limited effective 1st October 2023 .

Outlook : Our financial performance in Q2 was on the back of a positive business environment across our market as well as our continued focus on driving growth and efficiency. We are confident of continuing the growth traje

ctory across the top line and bottom line fuelled by
new launches, cost efficiencies, healthy product pipeline and new business opportunities. We remain committed to strong execution. Our structural strength through the significant volumes and pricing are the underpinnings of the U.S. -gener ic growt h.

Some of the key highlights for the coming quarters are summarized below.

• We launched Generic Revlimid in October 2023.

• In Q2, U.S. continued to improve , price erosion remained neutral. All raw material costs and logistics are continued to reduce . We remain optimistic in Q3 in terms of margins.

• We are on track to achieve the 20% plus EBITDA margin target set internally for the year.

• We have the following plan ts under commissioning.

■ China plant is fully installed and has received the EU GMP approval. It is expected to start revenue generation from end of Q4 FY24 or early Q1 FY25.
■ The Pen-G plant and the 6 -APA plant are under installation and are expected to be operational from Q4 FY24 or Q1 FY25 ..
■ Further, we are conducting clinical studies for our biosimilar product s and the plant is expected to be commissioned by FY25 or early FY26.

• With the above actions including commercialization of Pen-G plant and other projects over a period of time and stabilization of the manufacturing processes, base EBITDA margin is expected to improve considering the current market conditions. This margin is without considering the margin for biosimilars, etc.

• We are strongly focused on biosimilars and peptides and these are significant levers for the future. Strategic partnerships like Merck announced recently will continue to fuel growth and margins for the future beyond FY25. My colleague Satakarni will provi de more insights.

• We will continue to explore opportunities for any bolt -on acquisition aligned with our company strategy, especially acquisition of ANDAs and market authorization based on market opportunities, thereby reducing the gestation period. Indonesia opportunity is one such. Sanjeev will talk about it.

• The CAPEX of Gen erics over the near to medium term, except towards the major plants as mentioned earlier, will be more focused towards the debottlenecking, some additional lines and maintenance, thereby increasing the manufacturing capacity and the efficiency.

This is all from m y end. My colleagues in the panel will give more clarity on any specific aspects in our Q&A session. We are happy to take your questions now. Thank you.

Moderator: Thank you very much. We will now begin the Question & Answer session. Anyone who wishes to ask a question may raise your hand from the ‘Participant’ tab on your screen. Participants are requested to use he adphones or earphones while asking the question. Requesting everyone to refrain to two questions at a time.

The first question is from Kunal Dhamesha.

Kunal : Hi, good morning. Thank you for the opportunity and congratulations on a good set of numbers. So first one on the LOI that we have signed with MSD. I just wanted to understand what's the kind of investment that we could be looking here as well as what kind of capacities that we would be putting and what is our right to win versus already established players, I mean, regionally or even globally like Lonza, Samsung Bio. That would be the first question.

Dr. Sat akarni Makkapati : Kunal, this is Satakarni. So, to answer your question, I'll provide you some context into it. The limited letter of intent that we signed with MSD entity allows us to create infrastructure for contract manufacturing of innovator biologics. Now, the market for the originator biologics right now is about 300 to 350 billion US dollars. With more biologics approvals and their success that we are

seeing in treating debilitating diseases worldwide, the
need for reliable manufacturing, improving le ad time efficiencies and reducing supply chai n lengths is becoming more relevant than ever in this industry. Personally, I believe biologics contract manufacturing industry is growing immensely and is poised to grow to about 30 to 40 billion US dollars by 2030.

Now, if you look at the landscape of , that’s part B of your question, the landscape of competition, most of these innovator biologics or innovator companies opt for contract manufacturing in the West. You have contract manufacturers like the Lonza, like Bohringer - Ingelheim , Patheon , etc. In Asia, you have companies like the Wu Xi Biologics, the LG Life Sciences and the Samsung. Now, the kind of capacities that we are installing for mammalian cell culture manufacturing are over 15KL bioreactor scales. Now, th is is way -way higher than the capacities that you see in India in contract manufacturing.

So, the ideation here is to essentially have a large mammalian cell culture drug substance manufacturing facility with a series of 15KL bioreactors and which is also complete with fill and finish capabilities. Now, in contract manufacturing space, either you see drug substance manufacturing capabilities in biologics or the fill and finish capabilities and it is very rare for a customer to come in and do both drug substance and the finished product in one site. So, in this regard, I believe this is a unique proposition vis -a-vis the competition. It is being positioned to supply the product commercially right from day one to the collaborators or the partners. So, we are positioning this to compete with the CMOs, the large CMOs in Asia and outside over a period of time. But the objective and the intent is that.

Now, in terms of investments, as we have made a press release and disclosure to the exchanges, we have signed a limited letter of intent, and we are continuing to negotiate the final terms with the partner. We hope to conclude these negotiations by 31st of March 2024, which is when we will have a clear idea of the sort of investments that we are going to have in this plant. But right now, we are going ahead with some investments. The final investments that we will be making to complete this plant, there are a few items which are still to be sorted out between us and I will be able to provide a clear picture four to five months from now. I hope this answers your question.

Kunal : Yes, Sir. These answers my question s to a great extent. So, we are seeing that unique USP is drug substance plus drug product. At some point, we are going for the scale.

Dr. Sat akarni Makkapati : Yes. Because if you look at the Indian contract manufacturing space, Kunal, I am sure you have checked it. There is no one of this scale in biologics who are positioning it and trying to call in. See, we need an anchor industry here. I mean, India needs a WuXi sort of a moment to make sure that we have a contract manufacturing setup that can compete globally. And for us, I think we have done to a great extent the right steps. We have a good anchor, who is a partner. And then we are investing in good scales. And we are planning to get into commercial space right from the first supplies. So, let's see how this

unfolds. I am thoroughly excited by it. Aurobindo is excited by it. It's now the time for execution of this project in the next two to two and a half years. And we'll keep you posted on the progress that we make with this project.

Kunal : Sure, sir. Thank you. And one for Subbu sir, if I see Gross Debt has gone up by almost around $160 million . And I see that we have done some acquisition in Indonesia as well. So, could you throw some light as to what that acquisition, how that fits into our number and where do we see the Gross Debt number by the year

end?

Santhanam Subramanian: See, the Net cash we are having, we had end of June was around $179 million, if I'm right, or say $180 million. And today we are having around $130 million net cash , predominantly that $50 million has gone for the acquisition finance. So, in terms of the cash generated from the business, etc., we have effectively ploughed back into the PL I project, which is in the fag end of the completion of the project. We need to complete the project by March. Before that, everything will be expended. And the existing accruals which is happening will be spent towards the PL I projects and other things. So, the Gross Debt and cash put together, probably by end of the year, will be anywhere between $0 to $50 million. That's what I think. Because after that, once the PL I project has been commissioned, which is the biggest project from next year, first quarter onwards, we will start able to generate the profit. Once again, it will help us to get the net cash back to $200 million over a period of maybe in a year's time, or maybe 6 to 9 months' t ime.

Kunal : Sure. And just one clarification, this 20% EBITDA margin guidance for FY24 includes gRevlimid contribution?

Santhanam Subramanian: Absolutely. Today we are having 18.2% is the YTD EBITDA margin. So, thanks to Revlimid and the entire Eugia team, we should be able to make it 20% year as a whole. That's what we are working on.

Kunal : Great. Thank you and all the best and Happy Diwali.

Moderator: Thank you. The next question is from Neha.

Neha: Yeah, thanks for taking my question. S ir, on the US business, if I were to strip out the Puerto Rico, there seems to be very strong traction that we've seen in the Oral Solid business. So, one, is there any one -off sale which is there in this number or should we assume that the gRevlimid build happens on the existing base of US sales? And what happened in Oral Solid?

And second, we haven't seen any improvement in the injectable business quarter on quarter, you know, the generic injectable business in the US. So, you know, what's our expectation in the second half of that business? Is this the new base for injectable? Will we get any large approval? You know, any colour th ere would help.

Santhanam Subramanian : Swami

Swami Iyer: Yeah, Subbu. Okay. So, let me handle the Oral Solid. Thanks Neha. We had earlier talked about in the ear nings call, we talked about the introduction of new er products,

launching of the new er products and /or surge in volumes generally in the Oral Solid area. We have been having steady improvement in terms of volume growth and we've been able to leverage our large manufacturing capabilities and our demand has also been very steady. You know, we have a very broad portfolio. So, we continue to grow and surge which volumes across our broad and diverse portfolio. And this is driven by new launches plus the base business. We've also seen some positive outcome in new opportunities. Thus, I think we ar e fairly positioned for a steady performance in future.

Neha : So, there isn't any one -off in this number, right? That's the right way to…

Swami Iyer: No.

Neha : So, we build on the existing base as we launch new products.

Swami Iyer: That's correct.

Neha: And I think in the opening remarks, sir mentioned that Oral Solid pricing was neutral for the quarter.

Swami Iyer: Yeah.

Neha: Okay. And on the injectable business, if Y ugand har sir can help.

Swami Iyer: Yeah, Y ugand har will take the question.

Yugandhar Puvvala: Hi, Neha. Yeah, you're right. In fact, injectable business from year on year, it is a significant growth but quarter on quarter, it is single digit growth. And from a base level of overall injectables, we have gone from a USD 100 million run rate to USD 120 plus million run rate and we expect th

e same trend to continue. So, it will be a… if you compare
Quarter 1 to Quarter 2, it's USD 122 to USD 127 million at a global level. But if you compare year on year, it is 60 plus percent growth. And all these are without any one -offs. And obviously, we have launched gRevlimid in October. And we expect gRevlimid to continue to give us good revenues from Quarter 3 and Quarter 4. But base business will continue to be in the range of USD 120 million plus globally.

Neha: Yes, Yugandhar sir, I understand the Eugia number and gRevlimid contribution. I'm talking about generic injectable business, right? Because, we had guided to that base improving as we are launching more products, you know, pricing there is also improved. So, the $81 million that you've got for the generic injectable business, not the Eugia number, can that improve as we go ahead? Or is this the new base where we get some large product revenues?

Yugandhar Puvvala: So, at this juncture, it is generic injectable business has stabilized around USD 80 million per quarter for the US market. And we expect that it can go up to 90. But as you see, like we are getting significant number of approvals. And we expect that this run rate can go up from USD 80 to USD 85 million and USD 90 million .

Neha: Understood. And Subbu Sir, on the margin number that you 've mentioned, I think that our R&D spend is trending below what we saw in the second half, you know, last year. So, should the R&D be at the current level, for 5% that we 've done in the first half?

Santhanam Subramanian: See, our R&D spent approximately in a quarter will be around Rs. 375 crores. This quarter, it's Rs. 300 crores. Because some of the major clinical trial studies which has happened has been completed in the month of June. Before the next phase starts, which may take place starting October. And some of the milestones are being met in October, November only. So, we'll be back to around anywhere between Rs. 350 to Rs. 400 crores in the third quarter.

Neha: Okay, got it. And your 20% margin guidance is after assuming a higher R&D number?

Santhanam Subramanian: Yeah, obviously.

Neha: Okay.

Santhanam Subramanian: It is not guidance, that is our internal target set ourselves and we'll be working on that.

Neha: Got it. Thank you so much, sir.

Moderator: Thank you. The next question is from Surya Patra.

Surya Patra : Hello. Yeah, thank you, sir. Congratulations for the great set of numbers and their broad -based performance across segments and across line items. My first question is on the strong double -digit growth, what we are witnessing in the US oral solid business. Whether this is a kind of temporary momentum, as you mentioned that you are witnessing volume growth as well as new product launches and all that. But is it a temporary momentum that you are witnessing, or it is kind of a sustainable run rate that we are now having? And can we maintain near double -digit growth consistently in the near future for the oral solid business , Sir?

Swami Iyer: I'll take this question, Subbu. Thanks, Surya. There are a couple of questions that you asked whether our growth is temporary. I think that's a question Neha had also asked. We don't have in a different way. We don't have a one -off in this. This is the actual demand and this is the actual sale. Based on that, these are the numbers that we achieve. And we have been talking about this in each of the earnings call that we expect growth in the US market because we were expecting approvals. And we did mention that we will be launching 40 new products. I mean 40 products over the next 12 months. And we are on track with that. And this is one which is a new product launch. Apart from that, even in our existing business, we have been given new opportunities and there have been

some positive outcomes. And
then this is positioned as well for the current quarter. And I believe that in future too. Bu t, you know, these are markets which you can never say. As more people come into the market, there could be competition and then we have to beat the competition. We believe we are well positioned because we have got that kind of manufacturing capability. And we have a

very broad portfolio. Somewhere you lose, somewhere you win . Net-net, I think we are in a better shape with a broader portfolio. That's all I would like to say.

Surya Patra : Okay. Okay. Thank you, Sir. And secondly, on the injectable f ront , basically the gRevlimid . Sir, you have launched the gRevlimid this quarter. But any sense whether our volume share are likely to be kind of average of the existing players? And the pricings are similar to the existing players? I mean, some sense if you can give?

Yugandhar Puvvala: Frankly, like it is, we can't disclose in terms of the settlement terms. So, I will leave that there. But the pricing seems to be almost similar.

Surya Patra : Okay. And do you think, Sir, it will be a kind of streamlined revenue? I mean, even a distributed revenue stream for you or it would be a kind of lumpy one within the year?

Yugandhar Puvvala: No, it is not going to be lumpy. It will be distributed across quarters throughout the settlement period.

Surya Patra : Okay. And in fact, my next question is about this PLI project. Now we are inching ahead towards the completion of the project. And we should be positioning ourselves also commercially. So, Subbu Sir , if you can give some more clarity at this juncture, what you have about that ? And whether you have mentioned in the opening remark that you will get the payback in the first year itself for the project?

Santhanam Subramanian: I never said we will get the payback in the first year. What I said is we are likely to complete the entire project and we will commercialize on 1st April as planned. And we will be starting the project. The phase by phase, the project starting will take place from next year onwards.

Surya Patra : Okay. Okay. In terms of utilization volume, any sense that you can provide, Sir, because you would possibly be making arrangements for commercial launch and all that?

Santhanam Subramanian: No, Surya, actually we have said in the past also, we are out of the 15,000 -ton capacity which we are having , 45 to 50% will be self -consumed. Okay. And to that extent, we are better positioned to take out the project. And it is too early for us to talk about it. I mean, we'll talk about how we are going to do that, which are all the parties, how the commercial for external parties will take place, etc. We'll get a better clarity once the trial runs are completed successfully in the month of January and February for the fermentation process.

Surya Patra : Okay. Okay. My last question is on the European market, Sir. See, in the previous quarter, we had got a kind of a very positive remark that the business which used to hover around to 12 odd percentage kind of margin it has already surpassed kind of mid teen levels. So, if you can update about the European business in terms of growth , growth outlook where from that we are seeing this double -digit kind of growth and what is the margin levels that we are currently at and what outlook that we are having, let's say for next year driven by the injectable launches, what is i n plan for you?

Sanjeev Dani : Yeah, hi, good morning, Surya. European business on the top line has grown by 4.2% on constant currency, but if you discount the discontinued business in a couple of market last year, then it will improve by about 1%. And the margins are growing faster tha n the top line and our focus i

s because we are lower than the average company's EBIT DA, our focus mainly is on improving the margins and our EBIT DA remains in the mid -teens' percentage. So, even though this quarter seasonality is lower in Europe, but still we have with the fixed cost that we have also we have maintained the EBITDA margins. So, that has been the performance and obviously, the margins are growing in double digit . Top line growing double digit is not expected in a market which is growing 2 to 3% per annum. And we are fine with that, unless, some different dynamics happen like withdrawal of some products from major competitor or otherwise, there will not be such opportunity. Going forward, I think that our focus is to grow profit, EBITDA marg in in double digit that is what our main objective is.

Surya Patra : Sir, is it ever possible to achieve the company level margins for our European business?

Sanjeev Dani : Yeah, that is our desire and the goal 20% is what we should be looking at. And the scale will allow that to happen. We are looking at I mean, as you know that for biosimilar, as well as oncology, the distribution platform is this European companies that we have. So , we hope that with specialty product launched, we will further improve the top line.

Santhanam Subramanian: Vandit, as there are a lot of people in the queue . I would suggest only two questions are allowed. Many people are waitin g.

Moderator : Requesting, Surya to fall back in line.

Surya Patra : Of course, Sir, thank you.

Moderator : Thank you. Next question is from T arang, requesting everyone to please introduce themselves and refrain to two questions at a time.

Taran g: Hi, good morning, couple of questions on Europe and Indonesia, and then probably one more on Eugia . Particularly with respect to the Vizag plant coming in Sanjeev sir, and hopefully China coming through , how do you see this business evolving, say, from FY25 onwards . Because it does take care of a lot of bottlenecks that were there in the system?

Sanjeev Dani : Yes, that is true. Actually, our top line would have been better if we had more stocks available, that is true. So , demand was higher than what the P&L will reflect. And we are very hopeful , in fact, the unit 15 expansion is also getting over in December - January. Plus, Europ e is sourcing from unit three and unit seven. So actually, there is some de-clogging and expansion happening in those areas also. So , we think that our stock situation in oral solid should improve in the next 2-4 months. And of course, China facilities backup but we are taking one at a time and the facilit y is already approved for European Union. Injectables , Vizag will definitely allow us to supply some of the products which are already approved in Europe, and plus the new filing will happen.

Taran g: Okay, Y ugandhar Sir, how are you seeing FY 25? When you know, do you see Vizag contributing meaningfully to the business to the bottom line?

Yugandhar : I don't think FY 25 will have a meaningful impact but I think it'll be FY 26.

Taran g: Okay, and just the last one Indonesia, if you could give us a sense on the market, and how does this acquisition help you and how should we see this business evolving?

Sanjeev Dani : Yeah. So Tarang I'll just answer very briefly, but if you have more question, I can answer that. So , Indonesia, you know, is the fourth largest populous country and its economy is doing well. And expected to do well , has a lot of other opportunities. And it is having a universal health insurance scheme, but the acquisition that we have made is the branded products of Pfizer, and they are sold in a private market through the medical representatives and the patients purchase from the pharmacies and these are 16 products. And there are , quite a well -known brand like Lipitor, Norvasc, V

iagra, Lyrica, Neurontin etc.
And the people strength is about 160. The top line is USD 31 million and with a very good margin, and we expect to close the acquisition in this quarter.

Taran g: Okay, I'll join back the queue . Thank you.

Moderator : Thank you. The next question is from Marcel Lewis.

Marcel Lewis: Yeah. My question is that currently how many sites are under US FDA restriction, and what's our like roadmap to get it through ?

Santhanam Subramanian: There is no restriction on any of the units , only one unit is having a warning letter. But still, we are supplying the material and there are no major filings in that. And the t wo units having VAI status have been inspected on one observation each has been given we are yet to get the EI R. So, there are no major issues for us in terms of the compliance. And we look forward to resolve all the issues in consultation with the FDA.

Marcel Lewis : Regarding our power brands , so like what kind of growth prospect do we look in the current quarter from the power brands coming from the like a specific territory or about any new loans or about any 180 days for example, exclusiv ity

Santhanam Subramanian: Yeah . See we don’t have specifically power brands , but if you can put it S wami can reply.

Marcel Lewis : So, but like, do we have any like, did you have any 180 days exclusivity, like in the last quarter or like quarter to come by like, are we going to have 180 days exclusivity, like selling right s for any off-patent thing?

Swami Iyer: No, when you say exclusivity right , we will have something called CGT , right. So, that's for about 180 days. So , we'll have for that, you know, that kind of approvals will be there for maybe a few products, three, four products . At least in the last few quarter s we've been having it. Otherwise, brands wise , we have some brands in the US for the oncology division , branded injectables. And then we have a small branded consumer division that was

acquisition in the last two years. Other than that, we don't have anything with the brand and exclusiv ity wise at least from the US side , there is nothing else other than some CGT items.

Marcel Lewis : And, what kind of turnover growth and EBITDA growth do you see in the current quarter and the next quarter as compared to September quarter?

Santhanam Subramanian: Yeah, we have been working on growing the business on high single digit in US continuously and that is what has been said in the last earnings call and we continue to maintain that. Having said that, it is not that we are restricting ourselves to high single digit growth . Wherever there is a n opportunity , the sales team will be looking for more growth. Okay.

Marcel Lewis : Okay. Thank you.

Moderator : Thank you. The next question is from Bino.

Bino: Hi, good morning . Subbu, this Puerto Rico revenue, as I understand was reported earlier as part of US sales, is it? A nd why have you separated that out now? And has it got something to do with the restructuring you're doing in Puerto Rico?

Santhanam Subramanian : Yeah, we have said know in the last, you know we are shutting down the operation to do the restructuring and modifying the plant and other things. We are planning to put CapEx in a couple of years' time . So, we are scaling down the operations and then bringing it to a close. That is the reason we don't want t o club it, because this is the revenue which has been done as a contract manufacturing for the business of Viatris . That is a reason . Now having completed all our commitments at the time, we may not be doing that, hence we are s howing it separately.

Bino: Okay, so these particular sales will not be there from next quarter onwards.

Santhanam Subramanian : That is what, y eah.

Bino: Okay. Just on two pro ducts in the US Mirabegron and Macitent

an , on which I believe
you have to first to file a status are these products which we can expect in the next 12 to 18 months or so?

Swami Iyer: Bino , I think this question you raised last time also and I did mention that these are under settlement, and we don't expect a launch in the short term. When we say short term anything below 12 months or 12 months is short term. We don't expect to launch .

Bino : Understood and Subbu, just a bookkeeping question . The depreciation number seems to have jumped quite a bit from the previous few quarters. What has led to that and is this a new level of depreciation we 'll see going forward?

Santhanam Subramanian : Periodically we do the impairment assessment in consultation with statutory auditors . The statutory auditors have advised us to make some impairment provision for some of the assets. So , we have done the provision .

Bino: Okay. So, is this level going to continue or this was just this one quarter?

Santhanam Subramanian : The base depreciation will be around Rs. 350 crores a nd whatever is the extra is the impairment and we will continue to have Rs. 350 crores every quarter and if there are any suggestions or advice given by the auditors, we will stick around to that.

Bino : Understood. Thank you very much.

Moderator : Thank you . The next question is from Nitin Agarwal .

Nitin: Thanks for taking my question. Sir , my question is we have about Rs. 6,000 crores of CWIP which is there on the books as of September . Can you give us some sense on the phasing of the capitalization of this CWIP over what period of time some of this will get capitalized ?

Santhanam Subramanian : The Rs. 6,000 crore is tantamount to around USD 700 million Capital Work in Progress . Out of that if you really see the Pen G project itself is nearing USD 185 million dollars as on this day, which will get capitalized by March quarter . And probably China also part of it if we are able to successfully start the operation by Q4, probably we may capitalize some of the portion of China , I mean , the number of li nes which we will be using , it will be capitalized like that. And the other projects I don't think like , Vizag , Yugandhar said we will do it only FY25 end or FY26 and biosimilar will be in FY26 and then you have Auro life and the E ugia m anufacturing US, which will be done in FY26 . Part of it has been capitalized in Aurolife that is the Raleigh plant, part of it has been capitalized and balance whatever maybe it will be capitalized either by end FY25 or FY2 6, so that is a broad thing. The main thing is around USD 185 million is for the Pen-G project which will get ca pitalized by Q4.

Nitin: Okay. And s ir secondly on the biologics CDMO business that we talked about. S ir, what is the date of commissioning of th is business in terms of where do we start revenues coming through and at what stage do we onboard clients barring MSD in this business , in our assessment ?

Dr. Satakarni Makkapati: Nitin, so we expect the plant to be fully commission ed by 26 or early 26. And we expect the revenue streams to flow in the calendar year 2026 or the fiscal year 2027. The steady state of supplies , commercial supplies , I expect these to begin to the potential partner from 2027 onwards. The reason being that when you do a technology transfer into a new plant, you need to carry out the validation batches, which results in the filing in multiple territories. And the procedure unfolds anywhere between 6 to 15 months depending on the markets that the partner would intend to file. So , I expect steady supply, steady revenues to come in from 2027 onward s. So that's one part of your question. What was the other part of your question?

Nitin: Sir, at what stage , do we in your assessment begin to onboard more clients or this is intended to be a single client

business opportunity?

Dr. Satakarni Makkapati: No, no, it is not intended to be a single client endeavour at all. But as you know, when you want it to leapfrog into the CMO ecosystem, that has evolved in the

West, and that has not evolved in India to the levels that we see in the West or in countries like Singapore and Korea . It is important that we have a n anchor and here the anchor is the first strategic partner, which you know, so we would like to develop a client base over a period of time. But having said that, I would like to experience this partnership for at least three years before I go to bigger clients or similar clients. But to answer y our question, it is not going to be a single client endeavour at all.

Nitin: Okay sir. Thank you and best of luck.

Dr. Satakarni Makkapati: Thank you.

Moderator: Thank you. The next question is from Damyanti.

Damyanti: Hi, thank you for the opportunity. So , you have seen strong performance across segments. So , I have a question on two segments, specifically API and ARV. So , in AR V have you seen improvement that has helped this quarter number? And also , API is it a sustainable number or is some kind of seasonal benefit which has come in for second quarter?

Santhanam Subramanian : See, Damyanti this question I've answered in the past also we repeat the same thing. The ARV business, we are looking at your sales on the quarter of around USD 25 million plus or minus five. And we don't see there is a huge growth in case if you're not able to supply the material in a particular quarter , right, that probably it may hit the next quarter that's the reason why you're seeing USD 30 million . But ideally, you should take the ARV sales around USD 25 million, probably plus or minus USD 5 million. That ’s the way you want to take it.

Damyanti: Okay, and on the API part ?

Santhanam Subramanian : API part there is a continuous improvement has been taking place since April and last quarter we have done around Rs. 1,033 crores or something like that. And this quarter we have grown to Rs. 1,166 crores , our capacity utilization has been very good. And apart from that, they are also able to supply to the captive consumption for the formulation business because the formulation business has been requiring more APIs in view of the improved demand in US, which Swami has explained earlier and APIs business continu e to do well.

Damyanti: Okay. My second question is, can you update us on some of the complex or differentiated opportunities in the injectable part , specifically the anti -diabetic portfolio which will open up the next few years.

Yugandhar Puvvala: In fact, Damyanti it is obviously our endeavour is to continue to file significant products and we have a big pipeline of 100 + products and also antidiabetic is part of that. So , we are working on it as in when like we file and as and when we get approvals will keep informing all the investors.

Damyanti: But most likely these would be said more of medium -term opportunity, right rather than something in short term ?

Yugandhar Puvvala: Yeah, obviously nothing in short term.

Damyanti: Okay, thank you. That 's helpful.

Moderator : Thank you. The next question is from Par th Shah .

Nitya Bala Subramanian: Hi, this is Ni tya Bala Subramanian from Bernstein, can you give us an update on your PEG and Filgrastim filings in Europe?

Dr. Satakarni Makkapati: Hello Nitya . So, as you know that we had a technicality last time that the audit got delayed into day 180 where we were not left with more than two weeks. So, we had to , in consultation with CHMP, we had to withdraw and resubmit the files. Now, we had our meetings with CHMP and we have started the process of re -submission. In fact, we have submitted one product already to CHMP and the second product we are waiting for the assignment of rapporteurs. And the sooner that our rapporteurs get assigned, it will be submitted as well. So , I expect all the three biosimilars Pegylated filgrastim, Filgrastim and the important product, the breast cancer drug that we have Trastu zumab , for which we have announced a successful completion of phase three clinical outcome , all three will be aligned and filed before the end of January 2024. For already one product had been filed, and the other two will also be filed in the next four to six weeks' time, or eight weeks' time.

Nitya Bala Subramanian: And it's a 250 odd day cycle and therefore these are FY26 revenue opportunities, right ?

Dr. Satakarni Makkapati: It's roughly going to be day to thin . We expect things to move faster, because for Filgrastim and Peg filgrastim , I expect the clock to really move faster in terms of the time required for us to respond. Because these files are going through the second time and in our discussions with CHMP we don't foresee any time more than two or three weeks for us to respond to their queries. The only thing pending on Filgrastim and Peg filgrastim will be the audit, which we expect CHMP is intending to audit us sometime in Q1 next year. As soon as we file within three to four months. That's the hope . The Trastuzumab , maybe Q4. But the other two, I expect to be faster , because there are absolutely no queries on those files that we foresee coming through . Trastuzumab being the first filing in Europe , we expect queries and some time that we take to respond to the queries within the clock s top. So yeah, to answer your question, Trastuzumab could be Q3 and Q4. The other two can be at least a quarter faster than Trastuzumab.

Nitya Bala Subramanian: Got it. On the CDMO business would Merck's product be occupying both your 15K L bio reactors?

Dr. Satakarni Makkapati: Absolutely.

Nitya Bala Subramanian: Okay. Thank you a nd is M erck's product currently pre -commercial or is that an asset that's already in the market ?

Dr. Satakarni Makkapati: I am bound by my confidentiality norms. I can 't disclose it at this point of time with you unfortunately, but at an appropriate time, we will be making the disclosure.

Nitya Bala Subramanian: Fair enough, t hank you so much.

Moderator: Thank you. The next question is from Tushar Manudhane .

Tushar: I missed the c omments . So, R&D for the quarter was lower at 4% of sales or even at absolute basis Rs. 300 crore . So how much R&D spend will be there in second half FY24 and FY25.

Santhanam Subramanian : Look Tushar a s I said, we estimate around Rs.750 to Rs. 800 crores in the second half, that's what we are estimat ing. But having said that, it depends upon how the things pan out in the next two quarters in terms of the clinical trial CROs guys meeting the milestones .

Tushar: Got you sir, that’s it from my side. Thank You.

Moderator : Thank you. The next question is from Ritesh.

Santhanam Subramanian : You can move on.

Ritesh : Hello. Hello, am I audible ?

Moderator : Yes.

Ritesh : Can you guide on your organic CapEx given first ha lf you already done $ 80-83 million kind of a number?

Santhanam Subramanian : Yeah, this year probably I mean we specifically we don't give the organic CapEx because it includes there are a lot o f strategic CapEx also and m any projects nearly 7 -8 plants are under installation /commissioning . But if you ask what for the existing plan ts, what is the CapEx etc which we may be needing i n probably we have been doing it around USD 125 to 150 million . Any new Greenfield plant etc . is not included in there. Plus , we are also embarking as I said in my earlier on, we are also trying to acquire some ANDA, market authorizations , etc.

, which will be over and above this.

Ritesh : Yeah, which is wh y my second question is, last year you spend USD 74 million in acquiring such for new business or business acquisitions or new market . This year, you have already first half you have done USD 95 million dollars. So, would this number be there continuing for FY25 -26? Like you will keep doing this kind of at USD 80 to USD 100 million annually to enter into new markets new business over and above your organic CapEx?

Santhanam Subramanian : If you really see Ritesh, we have already new market includes China market, which we already explain ed what is happening there. And Indonesia is another market where we are not present , right. So, we don't see any new major market but we do

not know if some good opportunity comes where it makes a lot of sense either new market or new product, new business model , etc., which we can always look into that. So long, it is allowing us to grow significantly over a period of time.

Ritesh : Okay, a nd this existing plant CapEx of USD 120 to USD 150 million, that would sustain in FY2 5-26 or there is a possibility of that coming down .

Santhanam Subramanian : May not be that much. As I explained , we are not embarking on any new major Greenfield plant , right . We are trying to add new lines , debottlenecking. Like that, we are trying to do that by which we are trying to reduce the gestation perio d. If you put a greenfield plant , whatever we say, it takes around four to five years ’ time. So, what we are trying to do is we are trying to add new lines in the existing plan t provided we have adequate space. So, that is the way we are going to put it and also China also we are going to have around a significant capacity , right ? That also will help us to serve various US market , Europe market , may not be US immediately, maybe over a period of time later. But immediately Europe and China we will be doing that and later, if the capacity is still available, we will take it to US market and S anjeev h as clearly explained . He is expanding the unit 15 by which he will take out some of the capacity which has been occupied by Europe in Unit 3 and 7 which will be shifted to unit 15 by which more capacity available for the US market. So, we have been continuously , depending upon the growth of which Swami has been demonstrating , which we have been trying to increase the capacity to meet the demand as on date o ur capacity utilization for formulation is significantly high.

Ritesh : Sir, my question intent was is there a possibility of this coming down dramatically in FY25 -26?

Santhanam Subramanian : Obviously, will come because this major CapEx which is taking place is on account of the greenfield like Eugia Vizag then we have the thing . But strategic CapEx will be there always . Strategic CapEx will always be there 100 and 150 million will be the like biosimilars . Satakarni has explained neatly what is going to happen and CMO, etc., these are all the CapEx which is meant for the future, but for the existing generic business we will be adding l ines we may not be doing any major CapEx.

Ritesh : Okay. That's it from my side. Thank you.

Moderator : Yeah sure. T he next question is from Ayush Bansari.

Ayush Bansari: Thank you. Thank you for taking the question. I just wanted to ask what are the corporate governance initiatives that the company has taken after the incident s which happened last year. Because even after the good performances that the company has kept up over the last three -four quarters, the valuations, still seems to be a bit depressed compared to the other peer companies.

Santhanam Subramanian : What is your question, Ayush?

Ayush Bansari: So, from last year are there any corporate governance initiatives that the company has taken?

Santhanam Subramanian : For corporate governance , we have inducted the new directors etc., we have got CEOs in all the verticals which is driven effectively, and we have inducted Dr. Satakarni who is a specialist in Chemistry. He has got into the board, by which board is getting more information and knowledge. So, we have been doing continuously, this a continuous process.

Ayush Bansari: Okay, Thank you.

Moderator : Thank you. As t here are no further questions from the participants. I now hand the conference over to the Management for closing comments.

Shriniwas Dange : Thank you all for joining us on the call today. If you have any of your questions unanswered , please feel free to keep in touch with the investor relation s team. The transcript of this call will be uploaded on our website, www.aurobindo.com in due course. Thank you and have a great day !

Moderator : On behalf of Aurobindo Pharma, I conclude this conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

(END OF TRANSCRIPT)

Call: Feb 2024

Corp. Off.: Galaxy, Floor s: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowled ge City, Raidurg Panm aktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyder abad - 500 038 T.S., INDIA Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo. com Website: www .aurobindo .com

February 16, 2024
To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q 3 FY24 earnings call.

Please refer to our letter dated February 5, 2024 , wherein we intimated about the schedule of Investors/ Analysts call on February 12 , 202 4. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the third quarter and nine months period ended December 31, 2023 , and the same is being uploaded on the website of the Company and is availabl e in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

Q3 FY24 Earnings Conference Call

12th February 2024

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses & Director Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited

Mr. Swami Iyer – CEO of Aurobindo Pharma, USA

Mr. V Muralidharan – President, Europe Formulations Business

Mr. S. Subramanian – CFO, Aurobindo Pharma Limited

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q 3 FY24 earnings call. Please note that all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the opening remarks. Please note that this conference is being recorded.

I now hand the conference over to the management for opening remarks. Thank you and over to you Sir.

Shriniwas Dange: Thank you, Vandit! Good morning and a warm welcome to our third quarter FY24 Earnings Call. I am Shriniwas Dange from the Investor Relations team.

We hope you have received the Q3FY24 financials and the press release that was sent out on Saturday. These are also available on our website.

I would, now, like to introduce my senior management team on the call with us today, represented by –

• Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses & Director Aurobindo Pharma Limited
• Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited
• Mr. Swami Iyer - CEO, Aurobindo Pharma USA
• Mr. V Muralidharan – President, Europe Formulations Business, and
• Mr S. Subramanian – CFO

We will begin the call with summary highlights from the management followed by an interactive Q&A session.

Please note that some of the matters, we will discuss today, are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and comm ercial performance. While these forward -looking statements exemplify our judgment and future expectations, concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligations to publicly revise any forward -looking statements to reflect -in future events or circumstances.

With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you, Sir.

Santhanam Subramanian: Thank you Shriniwas . Good morning and a warm welcome to our Q3 FY24 earnings call. It has been yet another quarter with the highest ever sales. The sales growth was seen across multiple markets and businesses. This is further augmented by the highest ever EBITDA.

Now , let me take you through the details of the resu lts for the third quarter of FY 24 declared by the company.

For Q 3, the company registered a revenue of Rs. 7,352 crores with an increase of 14.7% year -on-year . [Audio issue starts] The EBITDA before FOREX and other income grew by 67.8% year -

on-year and by 14.1% quarter on quarter to Rs. 1,601 crores. [Audio issue ends]. EBITDA margin for the quarter was at 21.8% against 19.4% f or the last quarter . The net profit increased by 90.6% year -on-year and by 23.7% quarter -on-quarter to Rs. 936 crores.

The revenue of Rs. 7,352 crore was impacted [Audio issue starts] by claw -back tax of Rs. 121 Cr in Europe [Audio issue ends] . Otherwise , the revenue would have been Rs. 7,473 crores and EBITDA would have been Rs. 1,722 crores i.e. 23% margin .

In terms of the [Audit issue starts] the Business breakdown, Formulation business, excluding Puerto Rico, in Q3FY24 witnessed a growth of 17.2% Year -on-Year to Rs. 6,291 crores and contributed around 85.6% to the total revenue. [Audio issue ends] .

API business contributed around [Audio issue starts] 13.9% and clocked a revenue of Rs. 1,022 crores for the quarter, registering a growth of 7.1% on a Year -on-Year basis . [Audio issue ends] The growth is mainly driven by higher volumes on account of improved asset utilization and debott lenecking. [Albeit], the quarter -on-quarter decline was [Audio issue starts] mostly on account of business res

tructuring impac t.

For the quarter, the revenue from the US formulations, without Puerto Rico, increased by 28.9% y ear-on-year t o Rs. 3,756. On a constant currency basis US revenue increased by 27.1% year -on-year to $451 million. [Audio issue ends] The growth was mainly driven by volume gains, stable demand and new product launches. Our wide range approved basket has helped us optimally manage the price erosion which remain neutral.

We have received final approval for 16 A NDAs and launched 21 products in Q 3 FY24. We have filed 7 ANDAs during the quarter.

Revenue from oral generic products in USA has increase d by 22.4% year -on-year to $287 million i n Q3 FY24 . Revenue from injectable and specialty business increased by 58% year -on-year to $112 million [in Q3FY24] . The year -on-year growth was driven by new product launches. The total injectable and specialty sales globally increased by 46.8% and stood at $ 150 million .

We have a tota l 216 injectable and specialty ANDA filings as on 31st December ’23, out of which 164 have received final approval, and the remaining 52 are under review or have tentative approval.

The company on 31st December ‘23 has 820 ANDAs filed with the US FDA on a cumulative basis , out of which 641 have final approval and 31 have tentative approval s, including 6 ANDAs which are tentatively approved under PEPFAR and the remaining 148 ANDAs are under review.

For the quarter , Europe formulation clocked a revenue of Rs. 1,728 crore, an increase of 1.6% year -on-year growth . In constant currency term s, the Europe revenue was € 193 million against € 203 million of last year [Q3] . The revenue was impacted by one-off clawback tax .

For the quarter , growth market revenue grew by 25.6% year -on-year to Rs. 627 crore. I n US Dollar term, th e revenue grew to $ 75 million in Q 3 FY24 from $ 61 million in previous year Q3.

For the quarter, ARV business revenue declined by 28.6% year -on-year to Rs. 179 crore or $ 22 million. The drop in the revenue in this quarter is mainly due to sale s deferment to Q 4 in compliance with the Ind AS-115.

During the quarter, t he raw material costs have improved further aiding our gross contribution which stood at Rs. 4 ,201 crores . Gross margin for the quarter was higher at 57.1%, again st 55.2% of last quarter, mainly due to low er raw material cost s and favourable business /product mix.

R&D expenditure stood at Rs. 398 crore during the quarter which is 5.4% of the revenue .

During the current quarter , R&D expenditure was higher on account of the clinical trial expenses for multiple projects.

Capacity utilization has gone up well in this quarter driving the operating leverage. Consequently, EBITDA improved Rs. 1,601 crores reflecting a margin of 21.8 %.

Net CapEx for the quarter was $103 million , which mainly includes approximately $37 million towar ds PL I project. The cumulative C apEx for the P en-G project , till December 31st, amounts to approximately $230 million.

The average USD INR exchange rate is 83.24 in Q3 FY24 against 82.68 in Q2 FY24 .

The business had a net cash outflow of $7 million during the quarter before the PL I investments and investments in new markets. As a result, the net cash position , including investments at the end of December ’23 was $49 million. The gross debt is $815 million .

Subsequent events –

US FDA inspection : further to our intimation regarding the US FDA inspection of Eugia U nit III dated February 2 , 2024 , we would like to provide the following updates –

• On February 2 , 2024 , FDA com pleted an onsite inspection of Eugia’s Unit III and issued a Form 483 with nine observations. We will submit a comprehensive written response by FDA ’s deadline of February 26th, 2024 .
• In an abundance of caution , the company temporarily pau

sed manufacturing and distribution activities at the U nit III site. We have taken these aggressive measures because we believe it is the most responsible and appropriate course of action until we can conduc t investigation and assessment t o give FDA assurance that we are addressing its observations.
• We are continuing to distribute terminally sterilized and ophthalmic products manufactured at Unit III that we have already shipped to the US .

• We are working closely with FDA ’s drug shortage staff , and we have retained third party experts to assist us in conducting investigation, assessments and restart activities .
• With the progress we have achieved to date, we anticipate resuming production on non-aseptic lines around the end of the month , with a phased return to service on aseptic lines . Also available stocks are being retested and progressive release of tested stock s start s from the second fortnight of February ’24.
• We will continuously work with the US FDA , and we will work tirelessly to achieve and sustain compliance with the FDA requirements and expectations.

My colleague will give further details on this in the Q &A.

Outlook – Our financial performance in Q3 was driven by operational and cost efficienc ies. With our continued focus on developing strong pipeline and driving the commercialization of our key projects combined with positive business environment , we are confident of continuing the growth trajectory across the top line and bottom line. Some of the key highlights for the forthcoming quarters are summarized below -

• In Q3 a t an overall level, US c ontinued to have neutral price erosion. Also, raw material costs have continue d to show reducing trend in Q3. We remain optimistic in Q4 in terms of the margins.
• While the growth in oral solids is expected to be strong and , we see positive signals in our OTC portfolio and steady continuity in branded oncology injectable business , My collea gue Swamy will discuss about it when addressing the Q &A.
• We are confident of achieving 20% EBITDA margin targe t, set internally for the year , as mentioned in the previous quarters .
• Our new pipeline of approvals will include high margin , new generation product categories viz. biosimilar s, peptides etc.

• We have th e following plants under commissioning -
o The China plant is fully installed and we have received EU-GMP approval. It is expected to start revenue generation from Q1 / Q2 FY25.
o The Lyfius plant for P en-G and the 6-APA plant are under installation. The trials are underway. Operations are expected to start from Q 1 FY25.
o The Vizag injectable plant is expected to be commercial in Q1 / Q2 FY25 growth markets. It is expected to start generating revenues f rom US and Europe by FY 26.
o Further, we are conducting clinical trial studies for our biosimilar products and the plant is expected to be commission ed by FY25 or early FY26.

• Considering the current market condition s, EBITDA margins are expected to improve with Pen -G plant commercialization and stabilization of the manufacturing process. The expected margin improvement will be without considering the margin from biosimilar s.

• Apart from that, we will be incurring CapEx for the CMO business in biosimilar s. My colleague Dr. Satakarni will provide more insights on the entire biosimilar s and the other complex generic portfolio during Q&A .

This is all from my end.

I take this opportunity to introduce Mr. V. Mur alidharan - President, European operations. He has been taking charge of Europe for the last 22 years and was instrumental in many M &A transactions in Europe. Welcome Murali for the earnings call.

Now my colleagues will give more clarity o n any specific aspects in our Q& A session. We

are
happy to take your questions . Thank you.

Moderator: Thank you very much. We will now begin the question answer session. Anyone who wishes to ask question may raise your hand from the participant tab on your screen. Participants are requested to use headphones or earphones while asking the questions.

The first q uestion is from Kunal D amesha.

Kumal Damesha : Hi, good morning and thank you for the opportunity. So the first one on the plant inspection, the Eugia III plant inspection. I think , I missed some of the comments. As of now, we have shut down the majority of product ion. Is [this the right] way to understand it? And then within that, the non -aseptic lines are expected to come back in Feb. And then aseptic lines . I didn't get the deadline there. B ut if you could provide some colour as to how many lines are aseptic lines and how many are non-aseptic lines, and also qualitatively, if you can direct at the contribution to revenue etc. would be helpful.

Yugandhar Puvvala: Yes, your understanding is right. In fact, the non-aseptic lines will start off sometime in next few weeks, and aseptic lines will take a month or two. And we expect that entire production to get streamlined by end of this financial year. We expect this stop page can have an impact of around $20 million in Q 4 of this financial year.

Kumal Damesha : Okay. And when you say streamlined by the end of the financial year , is FY 24 or FY 25 year?

Yugandhar Puvvala: I'm talking about FY24.

Kumal Damesha : FY24 , okay. Sure. And then the second question on the EBITDA margin, which you have guided for 20% for this year a nd then we have also said that Pen-G plant at current prices etc. could help us improve that. Beyond that, what other levers do you see for the next year for the EBITDA margin improvement on a year -on-year basis?

Santhanam Subramanian : See, at this stage Kunal, we are talking about achieving 20% for the year. Already we are 19.4% a nd by end of this quarter, we will touch upon 20% , that we are confident. Apart from Pen-G, we a re not saying anything at this stage. Probably next quarter we will be able to talk about it.

Kumal Damesha : Sure. And just last one again on the Eugia III. D o we have a lot of earnings concentration coming out of this plant , like few of the products making up for a lot of our revenue? If yes, can you guide us with top five products from the plant? What could be th e revenue contribution?

Yugandhar Puvvala: See in g eneral, this particular plant is important to us . [However] now we are a bit more distributed in terms of plant concentration , with Eugia -I also contributing significantly. But for Eugia business, this plant contributes to around 40% of revenue. And in fact, there are multiple products where we are market leaders in US, and that's where we are focusing in terms of how fast we can resolve and restart manufacturing.

Kunal D amesha: Sure. Thank you. I have more questions. I'll join back the queue .

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria : Yeah, thanks for taking my question. Just an extension on Eugia Unit III . You know, if I remember , a few years back when we had shut down the bag line, it took us a very long time. I'm not even sure if we are back to the impact that we had seen at that point due to the shutdown . Now when we shut down the facility for an extended period of time , for the next 2 -3 months and the revenue loss that you're mentioning, what is the confidence of bringing back the $20 o dd million numbers, particularly since we are not going to see new approvals till th e time we clear this facility a lso?

Yugandhar Puvvala: Neha, thanks for asking this question . The ba g line issues might be different from the current observations. What we feel is the current observations a

re more
to do with aseptic processing practices, some documentation gaps. We are confident that we are working with the most reputed consultants to ensure that we put the strongest response possible and also resolve the issues. That's where we feel that non-aseptic and aseptic, we are separating it out and ensuring that we start in a phased way b oth the things . Our assessment at this point in time is , this is going to take 1-2 months, and we will be back in full flow from April. That is our current assessment , Neha.

Neha Manpuria : I understand that. But my point is that the $20 million impact that you have mentioned, so there is obviously risk of market share loss in some of the larger products from this facility. What gives you the confidence of us being able to get back market share if we lose that in the next [quarter] . Is that a scenario that we a re pencilling in at this point?

Yugandhar Puvvala: At this point of time, we do have stocks to cover up for the next 60 to 90 days, a nd we feel in some of the big products, we have enough coverage to take care of the market share. But if we lose, we will also gain, because these markets always give opportunities in terms of when you have 100 products, you lose in one and you gain in one. So in general, once we are back on to the full flow of production, w e are expected to continue the similar run rate. There might be a $5 to $ 10 million gap in a quarterly level, but we are confident.

Neha Manpuria : Understood . And based on the data that you have given on the pipeline, it seems like bulk of our injectable pipeline is from this unit. But just want to understand the

approval pipeline in the next two years. How much of that pending 35-40 ANDAs is likely that we were building in for let's say , [FY]25-26.

Yugandhar Puvvala: See in [FY]25-26, anyway we were not expecting any major approvals from this plan t. And as you know, we are putting most of our new products into the Vizag plant as a part of our de -risking strategy, we were always tech transferring and filing new products from a new plant because we also felt that we have put too many eggs in one plant. So we a re just re -distributing and that ha s been going on for last 1-1 ½ years. And from a [FY]25-26 perspective, were not expecting any major approval from this plan t.

Neha Manpuria : Okay. And sorry to h arp up on this , Yugandhar. So where is our FY 25-26 growth going to come from for the Eugia business , other than gRevlimid ? From an injectable pipeline, where would that growth come from?

Yugandhar Puvvala: Yes, you said it right. It's mainly going to come from gRevlimid . But were expecting around $30 to $40 million of new products revenue coming from balance of the plants . As you know, we have total five plants, four commercial and one Vizag new plant. So were expecting 50% of the new product revenue coming from the balance plant s and 50% new products revenue coming from this plant.

Neha Manpuria : Got it. Thank you so much.

Moderator: Thank you. The next question is from Sh yam Sri nivasan .

Shyam Srinivasan : Good morning and thank you for taking my question . Just on the disclosures of the US business, right? I think last quarter, specialt y and injectable were around 90-91 million and now it is showing 112 . Is a majority of this coming from the gRevlimid launch in the quarter?

Yugandhar Puvvala: Frankly, I'm not at a liberty to discl ose as per our settlement terms with innovator the amount of Lenalidomide sales separately. But in general, yes, w hat you are saying is most of it is coming from gRevlimid.

Shyam Srinivasan : Got it. And the 20 million Yugandhar that you are calling out , so we should assume that on the injectable part of the business, that's where the 20 million goes away in Quarter four. Correct , right?

Yugandhar Puvvala:

That's right.

Shyam Srinivasan : Got it. Understood. The second question for me is on the cash flow generation. So we had about Rs. 1,600 crores of EBITDA. But when I look at the slide 14 , cash flow from business after working capital and others, it i s about 45 million. So is there an adverse conversion cycle this quarter? Maybe 9 month numbers could be different. So if you could help us there.

Santhanam Subramanian: Yeah . Shyam, this quarter we have made some of the creditor payments [that] have been due across the group and we have paid nearly around $75 million in terms of the increased creditor over and above the gross current assets.

Shyam Srinivasan : Subbu Sir, you voice is low. Sorry, can you please repeat?

Santhanam Subramanian: In terms of the creditors during the quarter, our creditor payment is more than th e gross current asset generated, t o the extent of $ 75 million. That is the reason for the drop in the cash flow vs. the cash PAT.

Shyam Srinivasan : Understood, okay. So this is just a quarterly phenomenon you are saying?

Santhanam Subramanian: It is a quarterly phenomenon , because now the creditors have come down , we can sustain that additional 75 million which will get generated as part of the normal process

Shyam Srinivasan : Got it. My last question is just I think there is a slide on the biosimilars . Dr. Satakarni, if you could kind of walk us through the update on the biosimilars side, thank you.

Dr. Satakarni Makkapati: Good morning. So, on the biosimilars (front) we have an (SEC) approval for Trastuzumab, which is our anti-HER2 breast cancer drug in India. We have a SEC recommendation for marketing authorization. We are closing down on the final nitty -gritties before we receive a [final] marketing authorization to market in India. So, that's the first approval from CuraTeQ B iologics in the biosimilars business, with respect to the other programs, we have three filings done with European Medicines Agency including Trastuzu mab. A spate of other filings with Trastuzumab is (are) likely to follow in emerging markets, including that of the US in the next quarter. So, that's an important update. It is likely (that) we have a couple of other filings made with MHRA and Health Cana da. So, I expect the programs that are filed with the(se) regulatory agencies to go through the review process and materialize in the next financial year.

With respect to the ongoing (Phase 3) clinical trials, we have two programs, one in ophthalmology and one in oncology - two clinical trials happening globally. Both of them are progressing reasonably well.

As updated in the last quarter, we also have initiated a Phase 3 clinical trial of Omalizumab biosimilar in Europe across multiple countries and sites there. As you know Omalizumab references Xolair which is an injectable drug that targets and blocks immun oglobulin E. The product is approved for the treatment of adults and children with moderate to severe asthma and chronic spontaneous urticaria. The drug had worldwide sales, I believe, of around [$] 4.3 billion in 2023. So, our biosimilar version of this p roduct is already in Phase 3 clinical trials. We hope to complete the recruitment by October 2024 and submit it to both Europe and US in the Q2 or Q3 of the next financial year. It is an important drug for us (and) so hopefully, we will be able to complete the clinical trials on time.

Our second immunology biosimilar also has received a green light from the European agency for conducting a Phase 3 clinical study in Osteoporosis patients. The study has actually begun

this month (read, January 2024). The study is being conducted across European region in multiple sites and the first patient was dosed in January. We hope to complete the recruitment of al

l 450 plus subjects in Osteoporosis trial inside Q2 of this year [June'24] and hope to advance the product to filings in the second half of next (calendar) year.

So, the reason why I bring this up is, you can see , from the wave one of products which was essentially having an oncology focus (to) a gradual and a nuanced shift into the immunology segment. With these two key products with a current market opportunity of around $ 12.5 billion making a shift into the immunology segment is what we aspire to achieve. Especially with Xolair (biosimilars), the competition is very limited and we also expect that there will be additional indications in treating accidental food allergies and hopefully will have a longer product cycle. Hence we are reasonably excited and are aspirational about this product.

So, that's about the guidance on the 7 biosimilars, three of them which concluded the trials and are in the filing phases or have already been filed with certain agencies and four of them in global Phase 3 trials. There is another immunology product that w e are (only) developing, for emerging markets and India, which we will complete the (Phase 3) clinical trial in May this year and I expect it to be filed with DCGI first and other emerging markets by June -July this year.

So, Shyam, does that answer your question?

Shyam Srinivasan : Yeah, that's helpful, Dr. Satakarni. Just one follow up is on the opening remarks from Subbu Sir on the CMO with MSD. So, if you could give an update on that as well. Thank you.

Dr. Satakarni Makkapati: Yes. In the last quarter I mentioned that we have entered into a limited Letter of Intent with MSD Singapore entity enabling us to become a contract manufacturing provider for one of their products. Under the terms of the agreement, Theranym Biologics which is a wholly owned subsidiary of Aurobindo P harma, will deliver cGMP batches of drug substance as well as drug products for supplies to MSD entity. We hope to start supplying from 2027 -28. To this effect we are continuing to deliberate and engage with MSD entity on the terms of the definitive agreem ent, which I have stated in the last earnings call that we endeavour to close by the 31st March 2024. So far, we are progressing in the right direction and I believe we will be able to close the definitive agreement during this period. If there are any changes or extensions that I would take in terms of negotiating and closing and winding down this definitive agreement, I will provide an update in the next earnings call. But in a nutshell, it is progressing well and we hope to close the definitive agreement pretty soon.

Shyam Srinivasan : Thank you, got it and all the best.

Dr. Satakarni Makkapati: Thank you.

Moderator: Thank you. The next question is from Damyanti K erai.

Damyanti: Good morning, all. My first question is again coming back to Eugia III. So, as we discussed you have been putting a lot of effort to bring the plant back to full production. But just want to understand in case it takes longer, so do you have any backup plans for shifting some of the key products to other facilities. If yes, which will be the facilities where you will be transferring your product s, apart from the new ones which you said are filed from the Vizag unit.

Yugandhar Puvvala : Damyanti, in fact Vizag is built as a back up to Eugia III, so in case that situation arises we will try and tech transfer some of the key products to the Vizag plant.

Damyanti: And just want to understand, are these injectable plants fungible in nature or like you have to have different lines dedicated for some particular product.

Yugandhar Puvvala: No, we do have enough lines in Vizag, we have about 7 lines and as I have been saying in the past Vizag will act as a backup to Eugia III, also filing products from there, to some extent it

is fungible because most of the lines what we planned was based o n
that direction only .

Damyanti : Okay. But just want to understand, you said Vizag plant will be ready for developed market some quarters down the line. I just want to understand from immediate perspective say in next 3 to 6 months if you want to transfer some products can you do that to Vizag or it is like not possible.

Yugandhar Puvvala: Damyanti, at Vizag plant we have already filed 2 products to US from that plant and we do expect inspection to happen any time in next few quarters. And normally any tech transfer takes time and takes time to get approvals from the new plants. But at this point of time, I think we are speculating too much, I think you need to give us time to respond to Eugia III observations and then we will see how it goes.

Damyanti : Sure, Sir, that’s helpful. My second question is on gRevlimid, obviously you won’t be commenting on the numbers, etc., but just want to understand from the sales contribution perspective will it be distributed across quarter, or you have some phase where you will be supplying most in a year and then in some quarters we won’t be seeing much contribution coming in.

Yugandhar Puvvala: Our endeavour is to just make it a quarterly run rate, but sometimes depending on the pricing and customer request we might end up billing a bit more in that particular quarter, but in general it will be a distributed revenue across quarters. In case in one quarter it is more that will get knocked down in the next quarter, our endeavour is just to space out every quarter that is what we are planning to do. In general, Eugia we were doing around $100 million per quarter last year, this year first two quarters we were doing $120-$130 million and then like now we are reaching run rate of $150 million plus. So, our endeavour is just that in next few quarters we continue to maintain a run rate of $150 million plus.

Damyanti : Sure. My last question is due to these adverse geopolitical situations, Red Sea situation etc. are you seeing any notable pick up in your logistics cost. Like in near term should we expect operating cost will go up from current level.

Santhanam Subramanian: Damyanti, see the logistic cost as a percentage of the total sales is very, very low and at this point of time we see a decrease in the EBITDA margin to the tune of around 0.1 to 0.2 % at this particular point. It is not very significant at this point.

Damyanti: Okay as of now as you said it is miniscule and no impact as such .

Santhanam Subramanian: Yes.

Damyanti: Okay, Sir, thank you. I will get back in queue.

Moderator: Thank you. The next question is from Tushar Manudhane .

Tushar: Thanks for the opportunity. Sir, first one is PLI Scheme project, just would like to understand the pricing of Pen G maybe pre -Covid and what would be the profitability if the price goes below $20 per kg.

Santhanam Subramanian: Tushar, as I said last quarter also let us not speculate at this point of time. Our first objective is to complete the trial batches and start the business in the first quarter and the second challenge we will be doing is how fast we are ramping it up. We think we should be able to ramp it up between Q1/Q2. And once the full ramp up happens only the pricing issue will come because till that time the pricing issue will not come. So, we don't need worry about it for the next few quarters in my view. The curre nt price will continue in my view.

Tushar: Just from a sensitivity perspective, let’s say three quarters down the line when we start the external sales and at that point of time you know if at all you can elaborate what happens if the price goes beyond.

Santhanam Subramanian: Sensitivity modelling is your prerogative, how can I suggest that.

Tushar: Okay. Just one clarification gRevlimid i

s from Unit IV, right, as in Eugia Unit III.

Yugandhar Puvvala: It is Eugia I - which got audited in the month of July 2023 and we received zero observations and NAI classification for that facility.

Tushar: And lastly for FY25 given circumstances of the Eugia if you could call out what would be the sales guidance.

Yugandhar Puvvala : Tushar, I just mentioned that we are, in fact this quarter which is the quarter 3 we achieved $ 150 million of revenue for the quarter, and we expect to continue similar run rate in going forward in the next quarters. But Q4 might have slight impact as I mentioned, it can have an impact of $ 20 million but we will see how we can cover up that gap.

Tushar: Thank you for addressing my question.

Moderator : Thank you. The next question is from Bino.

Bino: Most of my questions have already been answered. Just one update on this product, Ryzneuta, which you in -licensed from Evive . Have you launched it in the US, and what are your targets like?

Yugandhar Puvvala: Sorry, we couldn’t hear which product.

Bino : This Efbemalograstim product, Ryzneuta, in -licensed recently from Evive

Swami Iyer : So this product we are likely to launch in the second quarter of this coming fiscal or second half of this calendar year.

Bino: Given that it is a BLA would you need a sales force and all. How do you plan to sell it? Do you have any market share targets?

Swami Iyer : We have market shares, we have obviously budgeted for what we are going to sell. At this point I don't think we will be able to share that kind of sensitive information. But there is a 7 player market but we believe that we would also be one player and obviously it has got to be profitable for us. We hope to achieve a decent amount of sales. But it is too early to tell you about it.

Bino : But you are going to set up a sales force for this?

Swami Iyer : We already have a sales force and wherever it is required we will augment. I don't believe we are having any major ramp up for it.

Bino : Alright, got it, thank you.

Moderator: Thank you. The next question is from Surya Patra .

Surya Patra : Hello. Thanks for this opportunity, Sir. My first question is on the same question as the previous question basically, the in -licensed molecule. So, you indicated that second half of the current calendar year that you will be launching, but which are the markets that you are initially talking about. And do you see this as a kind of exact a lternative of P EG-filgrastim?

Swami Iyer : That is something I cannot comment. We think that it is equivalent, it is non -biosimilar product. So, initially we will be launching in the US. We have plans to launch eventually in other markets.

Surya Patra : Starting with US or it is other than US market?

Swami Iyer : So, the product is already existing in China, but we are not marketing in China , we would be launching it first in the US.

Surya: Okay. And if you just add to its regulatory progress and process there, Sir, about that molecule?

Swami Iyer : We are confident of launching this product and the FDA had done the inspection in June '23. We have already received the FDA approval for it on 16th November I think last year. And then our potential launch is 2024, the product is under manufacture and we hope to CMO, we hope to launch in July 2024, we do not see any other hurdle at this point of time.

Surya Patra : Okay. So, considering the potential or the size of Pegfilgrastim, this could be one of the largest product opportunity for near term is that…

Swami Iyer : That is something I am not saying because there are like I said there are 7 biosimilar companies in the US and for this product we will have a very conservative estimate of what we are going

to do. But I think economically it is a good product for us.

Surya Patra : Okay. Sir, my second clarification about the disposal of the US injectable plant. So, while we have been of the view that there is larger significant demand in the injectable side and we have a wider pipeline and that's why we had created two facilities, one in US and one in Vizag. So, US one was supposed to cater to t he US increasing demand while the other one for Europe and emerging markets. So, now just before the disposal, what is the kind of thought process here?

Swami Iyer : I think Yugandhar should be answering this question. Yugandhar, you would like to take this.

Yugandhar Puvvala: Yes, yes. Sometimes what happens is initially we thought that Vizag will cater to emerging markets and Europe but subsequently two years back itself we changed the strategy that Vizag will also be backup to Eugia III and file new products from Vizag. So, with Vizag coming up and multiple lines being planned in Vizag - what we felt is US plant was becoming non -strategic and the capacities available were not sufficient to take care of the market share requirements of the US business. So, it is a strategic decision that we will take out the US plant and focus on all India plants. But at the same time the US plant will act as a contract manufacturer for us if needed with all the 4 products, in fact 2 products we filed from that facility and 2 more products we are planning to file from that fac ility and in case if there is a future need the contract manufacturing option is available.

Surya Patra : Okay. My third question is on the European business front. In fact, we have been saying that the European business has obviously seen margin profile beyond 15% since last couple of quarters. So, given the kind of shortage situation, improved pricing scena rio for generics even in Europe what is the kind of margin profile of the business currently, that is one. And second question relating to Europe is that the European Union recently has come out with a large basket of products more than 200 which are criti cal for their requirement and they are expecting to create a kind of safety inventory and that's why the procurement is likely to start in this January. So, if I see the presence of Indian players in Europe obviously

Aurobindo is the largest, what would be our scope in that and what benefit you anticipate there.

Santhanam Subramanian: I would request Murali to talk about the second point, so that I can talk about the margin profile after that.

V. Muralidharan: So, I am happy to be part of this call. Coming to your question on the safety inventory advocated by EMA. Yes, we have analysed that list . We are also taking care to ramp up the inventory part (APIs and components) to supply sufficient quantities into Europe. Other than this also several regulators in our European foot-print countries do ask for certain safety net and we are working on it.

Surya Patra : Is it a sizable opportunity Sir, since it is a 300; means Sir 210 to 220 odd product basket?

V. Muralidharan: Yeah. It is almost 30% of the list of products. So, it is the sizable opportunity. Okay, yeah.

Santhanam Subramanian: Yeah. So, Surya, in terms of the margin, we 've never given the margin profile of Europe, right, but having said that, we were earlier around 10% to 11% and certainly we moved up by 2% to 3% points already and with the growth we have been targeting, with the way cost structures have been looked at it ce rtainly, we will make an attempt to touch upon the 15% plus.

Surya Patra : Okay, okay, and just lastly, any update on the pneumococcal vaccine supply opportunities, Sir?

Dr. Satakarni Makkapati: Yes, Surya, Satakarni here. On the pneumococcal vaccine, I have given an update, I think two earnings calls ago that we received SEC r

ecommendation based
on our 3 + 0 dosing regimen trial that we concluded in about 1 ,100 infants. We did not meet the timelines of the immunization (national) tender , because we still had the manufacturing license to obtain . So naturally, we couldn't become part of the national immunization tender that was floated. That time has passed now. During this period, we have conducted a 2 + 1 dosing regimen trial, which means the infants are given two doses followed by a booster dose 6 to 9 months later. Now, that [the] trial has completed , we submitted the findings to the SEC Committee last month.

In the private and retail market, we don't have any presence, which is an area that we would not like to enter at this point of time , because we wanted to generate more data to take the product to the WHO markets in 2026. It is the immunization (national) tender that probably is of interest to us, but we have passed that last year and I will keep you posted in case there is a strategic shift in what we think for the next tender cycle. At this point of time, in the next 2 to 3 quarters, I don't see us putting this product out in the market.

Surya Patra : Okay. Sure, Sir. Yeah. Thank you. Wish you all the best.

Dr. Sat akarni Makkapati: Thank you.

Moderator: The next question is from Smith.

Smith: Thank you for the opportunity. My question is on US generics. How was the pricing environment in Q3 for injectable products?

Yugandhar Puvvala : It was a low single digit price erosion.

Smith: is it Q on Q or YoY?

Yugandhar Puvvala : It's Q on Q.

Smith: Okay. Thank you.

Moderator: Thank you. The next question is from Kiran Shah. Hi, Kiran, you are on mute. Okay, we move on to the next question. The next question is from Tarang Agarwal.

Tarang Agarwal: Hi, good morning. Couple of questions. Starting on Europe, if I were to adjust for the tax clawback, you're at about €206 million. How should we look at this business going forward here? Is this €200 million the new base for this business? and, in your response to an earlier participant, you commented you gave a metric, you said 30% of those 200 odd products. If you could elaborate in terms of what that 30% was?

V. Muralidharan: Yeah, 30% in the list of INN s that have been identified as potential shortage items and the manufacturers have to potentially ramp up the inventory and also we know in terms of the number, this much will come, but it's not based on value or other quantifications at this moment, but ag ain we have communicated to our country teams to very closely look at these products and do the needful on the demand forecasting and purchase orders and similarly India team are also aware of it. So, I hope this answers your first question and relating to the clawback, Subbu, do you like to comment, or can I continue to?

Santhanam Subramanian: No, no he ’s talking about whether this is going to be the new phase against 206 of adjusted revenue for the quarter?

V. Muralidharan: Tarang’s question was also whether are we going to clock this €200 million plus Q on Q and Tarang yes, we will be doing that for sure, that is the objective and of course this quarter because of the almost close to €14 million clawback, it ’s slightly impacted our Q3 revenues.

Tarang Agarwal: Sure. Thank you. On the ROW markets, if you could elaborate and I mean there's been a solid growth about 25% odd in INR terms in this business, any specific markets which are driving them, is it one off or the Rs. 600 crore or Rs. 625 crore quarterly run rate is something that we should work with moving on?

Santhanam Subramanian: : Tarang, ROW market as we call it growth market s is comprise d of multiple countries including Canada, Brazil, So

uth Africa, and China and many markets and
we have been growing in all the markets at least. $1 million, $2 million like that we have been growing and it is expected to continue , especially China was not a player in the past and now they started contributing something, which we said will be doing single digit. Now, we are talking about moving to at least $10 million to $20 million in a year time and once the plant is commercializ ed say in Q2, it can go up only. So, this is where we are on the growth markets.

Tarang Agarwal: Got it, got it. And my last question on the US, Mr. Swami, if you could give us a sense on the outlook for the oral solids business, do things remain where they were say in Q2 or are you seeing an improvement in outlook or deterioration in outlook?

Swami Iyer: Yeah. We expect the strong momentum to continue underpinned by new product launches and surging volumes. We have taken a strategic decision to adopt volume - based plan to enhance our footprint. While the growth in the oral solid is expected to be stron g, we also see some positive signals in our OTC portfolio and steady continuity in the branded Oncology injectable business. Overall, we are looking at decent growth going forward.

Tarang Agarwal: Okay. Thank you. All the best.

Moderator: Thank you. The next question is from Kunal Damesha .

Kunal Damesha : Thank you. Thank you for the opportunity again. Just one on the Eugia 3 since we have now added a third -party consultant etc. any view on the remediation cost we could have for the next year and more related to Eugia 3 again, so we are expecting this probably $20 million impact on revenue, but will there be any non -supply penalty since we are basically one of the biggest supplier to the US market? So, have you kind of factored in that as well?

Yugandhar Puvvala : Yeah, we expect $2 million to $3 million in the coming few months with respect to the third -party consultants working with us and we did evaluate in terms of what can be the penalties part of it. At this point of time, the way like we think it might not be significant, but in case if anything changes, I'll let you know.

Kunal Damesha : Sure, sure, and just on this clawback tax on Europe, this € 13.5 million would have, the complete amount would have impacted our EBITDA negatively, it's the way to think about it?

Santhanam Subramanian : Yes, yes, you're right.

Kunal Damesha : Okay, okay, perfect. Thank you and all the best.

Moderator: Thank you. The next question is from Nitin Agarwal.

Nitin Agarwal: Sir, my question is 2 things. One is on the biosimilar business. Dr. Sat akarni has given us a sense on the pipeline, but if you can give us some more colour on how should

we see the commercialization part of the biosimilar business over the next say next 3 to 4 years and sort of which geographies do you anticipate where the revenue commercialization will start earlier ? What kind of salience can this business really have in the overall things say 3-5 years down the line for us?

Dr. Sat akarni Makkapati: Nitin, that's a good question. So, with the Trastuzumab SEC recommendation this year, we would hope to commercialize Trastuzumab in the Indian market in the next quarter or two. That's the start of commercialization phase for this breast cancer drug. Now, with three filings in regulated markets across Europe, Canada, MHRA, we expect [them] to translate into regulatory approvals towards the end of next fiscal year . [This] means that we would also begin the commercialization phase of these products in the next four to five quarters time. Now, with four more products in clinical trials, especially the big ones which is the Xolair biosimilar , with limited competition , and the seco nd Immunology asset th at recently advanced to Phase 3 clinical trial which i

s a Prolia biosimilar Denosumab ,
both of them will be filed in 2025 in Europe and other regulated markets, including the U.S., which provides us an opportunity to get into commercial phase in the following year, which is calendar year 2026. So, while I'm not a great fan of giving projecti ons to what could be the size of the business with seven products , out of which three of them probably get to approvals in the U.S. before 2026 and at least three to four of them in Europe, and the filings in emerging markets are going to happen with trastuzumab and other programs , I see 2026 as an inflection point for this business. For the hard y ears that have been put in and the investment prudence that we have followed in shepherding these products through nuance d clinical trials over the last three to four years, I see 2026 should be the year from where a significant chunk of commercial opportunity or commercial revenues will start to come in. Now, with Xolair (biosimilar) , I expect by 2028 we would be around $120 million to $180 million provided we will be able to get approvals both in U.S. and Europe, and another $20 million from the rest of the world. So, this is one product that I can give guidance about because there is limited competition. The other products, we are entering into a market which is already slightly formed. So, we know where we are getting in there. We really need to test the market, but the guida nce after five years for Xolair (biosimilar) would be anywhere between $120 million to $180, $120 million in the worst case and $180 million in the best -case scenario with another $20 million coming out from the ROW markets. The most important thing to underscore here , Nitin , is the margin base that will increase with the introduction of biosimilars in the regulated markets. So, that's something which we are excited about four to five years from now and see how our efforts in investing as a company into differentiated portfol io of which biosimilar s (business) is significant will translate into benefits and increased margins for Aurobindo as a whole. Does that answer your question?

Nitin Agarwal: That's very helpful. If I can just probably push one point taking reference from what you mentioned earlier, barring Xolair in most of the other products, we are probably going to be entering late aftermarket formation. I mean given the way dynamics in biosimilars have played out in Europe and the U.S., I mean what is your assessment in terms of what is our capability? What is the right to win even after we enter so late in some of the most of these products going forward?

Dr. Sat akarni Makkapati: So, that's an interesting perspective. Now, in the first wave of products where we are already entering a formed market. A formed market is in a sense

where biosimilars have already formed the market. There is a price erosion that has already happened, for example, if you look at a Trastuzumab, I don't think it is going to erode further. In fact, the market started to pick up now because the outreach a nd availability of this biosimilar for multiple other patients or the patient base is increasing. So, when you enter a formed market, you make educated decisions. You say, okay, you have a price erosion of around 85% or 80% already in certain markets, so do I have the cost of goods to enter and still make a 80% -85% gross margin. So, only when we think we can enter a market which is already formed and if there is a further price erosion of 20% -30%, still we can make around 80% to 85% gross margin, only then we are entering into thos e markets and developing those products. So, we are sure while we are slightly late in certain products , With Denosumab, we will not be very late. With Denosumab, we will be in the 1st and 2nd wave of launches. With the first wave of products, it is a

very strategic decision that we will enter into a low risk and
already formed market . A low risk both in terms of the market as well as in terms of the IP risks . And we will test ourselves. So, for example in Europe, with so much price erosion we see with these products, I can safely tell you with the cost of goods that I'm having, I will still have a 85% gross margin.

Nitin Agarwal: Right Sir . Is it fair to assume that across all of these markets we would be leveraging our existing field forces to push these products. We would not be requiring additional SG&A investments in any meaningful way?

Dr. Sat akarni Makkapati: That's wishful thinking. For example, in Europe we already have a field force and we will continue to engage with them and we will utilize that workforce. In U.S., Acrotech will become the arm for biosimilars commercialization. As you know , Swami has alluded to before , wherever there is a requirement, we already have a certain base there . [And] we are augmenting our field force depending on the nature of the products that we are going to launch. And to answer one of your colleagues question before , on the FC fu sed Filgrastim that we are going to launch in the U.S., there is already going to be a field force in the Oncology segment there , when we put out products in that market. So, we'll be using the same field force plus augment it , because the nature of biosimilars marketing is slightly different and still requires some sort of marketing. So, it will not be a ground s-up building or constructing or nurturing a field force there, we will leverage on what we have plus augment it with the skills that are required to take these products to their commercial success.

Nitin Agarwal: Got it. Thank you. It was useful. If I can squeeze probably one more, Sir on the Chinese plant, which you're talking about getting commissioned by Q2, Sir what is the strategy for this plan, is this going to be largely for Chinese consumption or we're looking at it as a base for other Reg markets? I mean and if you can probably highlight the thought process behind this Chinese manufacturing assets?

Santhanam Subramanian: Yeah. Nitin, Originally we are planning to do it for Europe and China. The product s will be supplied for Europe immediately. The approval from the Chinese regulators may come around Q2 or Q3 of next fiscal year. Then, we will be supplying to China also. At this particular point of time, we are not saying U.S. as it will take at least 1 to 1½ years because the inspection will be triggered and approval to come etc., but as a whole, we will be using the plant to supply all the markets.

Nitin Agarwal: And Sir this is our oral s plant or there are other lines also beyond the orals?

Santhanam Subramanian: This is only oral plant.

Nitin Agarwal: Okay. And Sir if I could take one last one, on the inhaler Sir, we had some products in the pipeline, any color on their commercialization or schedules?

Swami Iyer: Yeah. so, you're talking about the BFS product, so you're talking about the DPI / MDI kind of products?

Nitin Agarwal: Sir, the DPI /MDI products and the other one also if you can touch upon?

Swami Iyer: So, you know the DPI/MDI, we have a product that's under development. We have a query on it and then our team is responding to it, that would take some time and I think there are some legal issues too in launching that product. So, that's definitely going to take some time. As far as the BFS is concerned, Subbu mentioned in his starting remarks saying that one of our joint ventures is going to start manufacturing. So, we hope to have some news in the early part of fiscal 2025 on the manufacturing and commercial sale of some of the BFS products.

Nitin Agarwal: Okay, Sir. Thank you so much.

Moderator: Thank you.

The last question is from Jigar Walia.

Jigar Walia: Hello, hi. Thank you for the opportunity. My first question is for the products approval s, we have received from the injectable side, how many would be from Eugia 3?

Yugandhar Puvvala : Most of it is from Eugia 3. Except for one product .

Jigar Walia: Got it. Second question, your perspective around the generic prices in the U.S. market, particularly around the current times?

Yugandhar Puvvala : We expect that at least on the specialties and injectable side, we expect a low single digit going forward into the next quarters.

Jigar Walia: Got it. Broadly, is there any concerns particularly from the U.S. market with regards to China sourcing, imports or generally China origination?

Yugandhar Puvvala : I don't see much of an impact, but that Swami can comment on it.

Swami Iyer: Subbu, would you like to comment on it.

Santhanam Subramanian: Yeah, I'll do that and then Swami will supplement it. Recently there was a report released and we have gone through the report and first of all we like to state upfront that we will only buy from the U.S. approved or acceptable vendors who have been with us for a long time, and we are not aware of the basic source of the report because

we see certain discrepancies. The first point I'd like to say is, the report talks about selling Valsartan. We are not selling Valsartan in the last 4 -5 years. In fact, one of the suppliers mentioned in the report is supplying that and is having a market of around $1½ billion dollars. So, we are not clear about the source and we are also try ing to find out if there is a sanction ed list of the suppliers but we are not able to find any. Having said that, the procurement from the suppliers in the list given in the report is very, very insignificant , in low single digit s. So, we are not seeing any concern etc. from procurement of material from China . Also , once we get into manufacturing of Pen-G that percentage may also come down. So, we want to assure all our stakeholders that we are fully committed to upholding the highest standards on what we do, including the procurement, quality, everything.

Jigar Walia: Right. Thank you very much, Sir. Thank you and best wishes for the FD. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing remarks.

Shriniwas Dange : Thank you all for joining us on the call today. We apologize for the mic and line related issues at the beginning of the call. If you have any of your questions unanswered, please feel free to keep in touch with the Investor Relations team. The transcript of this call will be uploaded on our website www.aurobindo.com , in due course. Thank you and have a great day.

Moderator: On behalf of Aurobindo Pharma, that concludes this conference. Thank you for joining us and you may now disconnect your line and exit the webinar.

(END OF TRANSCRIPT)

Call: May 2024

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032
Telangana, India. Tel.: +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044 E-mail: info@aurobindo.com
Regd. Off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., India Tel.: +91 40 2373 6370 / 2374 7340 Fax: +91 40 2374 1080 / 2374 6833

May 31, 2024

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q 4 FY24 earnings call.

Please refer to our letter dated May 1 7, 2024, wherein we intimated about the schedule of Investors/ Analysts call on May 2 7, 202 4. We are attaching herewith the Transcript of the said analyst / investor call on the Audited Financial Results of the Company for the fourth quarter and year ended March 31 , 2024, and the same is being uploaded on the website of the Company and is availabl e in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

Q4 FY24 Earnings Conference Call

May 2024

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma

Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma , USA

Mr. V. Muralidharan – President, Europe Formulations Business

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q 4 FY24 earnings call. Please note that all participant line s will be in listen -only mode and there will be an opportunity for you to ask question after the opening remarks. Please note that this conference is being recorded.

I now hand the conference over to the management for opening remarks. Thank you and over to you sir.

Shriniwas Dange: Thank you Vandit . Good morning and a warm welcome to our fourth quarter FY 24 earnings call. I am S hriniwas Dange from the investor relations team. We hope you have received the Q4 FY24 financials and a press release that was sent out on Saturday. These are also available on our website. I would now like to introduce my senior management team on the call with us today represented by –

Dr. Sa takarni Mak kapati - CEO of Auro bindo Biosimilars, Vaccines and Peptide businesses and Director, Aurbindo Pharma Limited
Mr. Yugandhar Puv vala - CEO of Eugia P harma Special ities Limited
Mr. Swami I yer - CEO, Auro bindo Pharma USA
Mr. V. Muralidharan - President, Europe Formulations Business and
Mr. S. Subramanian - CFO.

We will begin the call with the summary highlights from the manageme nt followed by an interactive Q& A session.

Please note that some of the matters we will discuss today are forward looking, including and without limitations statements relating to the implementation of strategic actions and other affirmations on our future business , business development and commercial performance. While these forward looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual develop ments and results to vary materially from our expectations. A urbindo Pharma undertakes no obligation to publicly revise any forward looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S . Subramanian for the highlights. Over to you sir.

Santhanam Subramanian: Thank you S hriniwas. Good morning and a warm welcome to our Q4 and full year FY24 earnings call. It has been a good year performance across the businesses mainly driven by volume gains, new product launches, our expansion in to new growth market s and stable pricing. The profitability of the company has improved significantly backed by softening of raw material prices, favourable product and business mix and improved operating efficiency with better capacity utilization. We had the highest ever sal es and EBITDA for the quarter and the year. For the year FY24, we achieved 29, 002 crore of sales exceeding our internal target of Rs.28,500 crores plus and achieved an EBITDA margin of 20. 1% against our guidance of 20% .

Now let me take you through the details for the results of the Q4 FY24 and full year FY24 declared by the company. For Q4, the company registered a revenue of sum of 7,580cr ., with an increase of 17% year on year. The EBITDA before forex and other income grew by 68% year on year and by 5% quarter on quarter to Rs.1 ,687cr. The EBITDA margin for the quarter was at 22. 3% again st 15.5% for the last year, same quarter. Net profit increased by 80% year on year and decreased by 3. % quarter on quarter to Rs. 909cr. The quarter on quarter decline was mainly on account of the onetime exceptional loss of Rs. 122cr. For the full year FY24, the company registered a revenue of Rs. 29,002cr . with an increase of 17% year on year supported by growth across the business. The EBITDA before forex and other income grew by 55% year on year to Rs.5,843cr. EBITDA margin for the year was 20. 1% against 15. 1% of last year. Net profit increased by 65% year on year to Rs. 3,173cr.

In terms of the business breakdown, formulation business excluding Puerto Rico in Q4

witnessed a growth of 21% year on year to Rs. 6,510cr. and contributed around 86% of the total revenue. The revenues are mainly supported by growth across the growth markets and Europe. For the full year FY24, formulation business including excluding Puerto Rico witnessed a growth of 19% year on year to Rs. 24,419cr. and contributed around 84% of the total revenue.

For the quarter, API business contributed around 13% and the revenue remained flat year on year at Rs. 1,019cr. For the full year FY24, API business contributed around 15% and clocked a revenue of Rs. 4,241cr. registering a growth of 10% year on year basis. The growth in the API business is mainly driven by higher volumes on account of improved asset utilization and debottleneck ing.

For the quarter, the revenue from US Formulations excluding Puerto Rico increased by 22% year on year to Rs. 3,588cr. On a constant currency basis, US revenue increased by 20% year on year basis to US$432 million. The growth was mainly driven by volume gain, stable demand and new product launches. Our large product portfolio basket helped us to optimally maintain the price stability. The Q-o-Q decline of around 4% however was mainly on account of lower sales from Eugia and seasonality . The sales volume in US are expected to pick up during the quarte r [Q1FY25] . Revenue from US Formulations for the year increased by 23% to Rs.13,867cr. or US$1 ,675mn.

During the quarter, we have filed 11 new ANDAs, received approval of 17 new ANDAs and launched 7 new products. Revenue from oral generic product in USA has increased by 23% year on year to US$279mn in Q4FY24. Also, for the full year, the revenue from oral generic products in USA increased by 18% to US$1,078mn.

Revenue from injectable and specialty business in USA increased by 28% year on year to US$104mn. The year on year growth was driven by new product launches and volume gain. Albeit, the quarter on quarter decline was mainly on account of the Eugia -3 plant temporary shutdown. The total injectable and specialty sales globally increased by 26% year on year and stood at US$143mn for Q4. For the full year revenue, the revenue from injectable and specialty business in USA increased by 38% year on year to US$397mn. The total global injectable and specialty sale for the year increased by 31% year on year and stood at US$541mn for the year against last year's US$414mn. We have a total of 223 injectable and

specialties ANDA for the year ending 31st March 24. Out of that, we received 169 final approval and remaining 54 under review or tentative approval. The company as on 31st March has 830 ANDAs, out of which 658 have final approval and 27 have tentative approval.

For the quarter, European Formulation clocked a revenue of Rs.1,832cr., an increase of 10% year on year. In constant currency terms, the Europe revenue was Euro 203mn as against Euro 188mn of last year Q4. For the full year, the European Formulation revenue grew by 12% and clocked a revenue of Euro 798mn. For the quarter, growth markets revenues increased by 50% year on year to Rs. 852cr. In US$ terms, revenue grew to US$ 103mn in Q4 FY24. The revenue increase is mainly driven by sales across the markets. For the growth markets, revenue increased by 29% to Rs. 2,517cr . In US dollar terms, revenue grew to US$281 million in FY24 from US$243mn in the previous year.

For the quarter year, ARV formu lations revenue increased by 31% to Rs. 238cr. or US$29mn. For the year, ARV business decreased by 11% to Rs. 868cr. or US$105 mn mainly due to pricing pressures partially offset by volume gain .

During the quarter, the raw material cost eased up further supporting our gross contribution which stood at Rs.4,519cr. Gross margin for the quarter of 59. 6% against 57. 1% of the previous quarter which is supported favourably by the favourable business and product mix .

For the

year , the gross contribution stood at Rs. 16,399cr. with a gross margin of 56. 5% against 54.6% of last year. R&D expenditure stood at Rs. 392cr. for the quarter which is 5. 2% of the revenue. For the year, the R&D expenditure stood at Rs. 1,480cr. which is 5. 1% of revenue.

Improved capacity utilization seen during the last few quarters has resulted in continued operating leverage benefit during Q4. Consequently EBITDA improved to Rs. 1,687cr. For the full year, the operating leverage benefit has reflected in 20. 1% against 15. 1%. The net capex for the quarter is US$70mn which mainly includes approximately US$33mn towards the Pen -G projects. Net capex for the year is US$422mn which includes approximately US$146mn towards Pen -G projects. Cumulative capex for the Pen -G projects amounts to US$285mn. The average USD INR exchange rate is 83.04 against 83.24 in Q3 FY24. The business has a net cash flow of US$12mn during this quarter before the Pen -G investments and investments in new market. As a result, the net cash including the investments at the end of March ’24 was US$18mn. The gross debt is US$758mn.

Recent changes in the composition of the board - Our board structure comprises of 10 board members out of which 5 are independent directors including 2 women directors. Mr. M.R . Kumar, ex-chairman LIC India has been appointed as the Chairman of Board of Directors for the company from April 01, 2024. Dr. Deepali Pant Joshi, retired as Executive Director from RBI, joined the Board of Directors during the year.

Outlook - Our financial performance in Q4 FY24 and the full year FY24 was driven by higher sales on the back of new products launches, expansion into new growth market, volume gains and stable pricing. During the quarter, we commercialized 4 manufacturing facilities including Pen-G, 6-APA and injectable s. During the next few quarters, we expect the operation of these plants to ramp up and start contributing to the top and bottom line meaningfully. With

continued investment in R&D, we continue to develop strong growth pipeline.
We are focusing on our key strategic priorities to enable a long -term growth. Our growth levers include :
• Backward integration to build resilient supply chain for key raw material reflected in the recent commercialization of Pen -G and 6APA facility
• Expanding manufacturing footprint with capacity enhancement, debottlenecking the existing capacities and newer facility creation. At present we are manufacturing around 47 billion units of formulation.
• Expanding growth market with a recent foray into the Indonesian market with acquisition of 17 brands
• Long term growth with biosimilars. Our biosimilar and complex products portfolio is progressing . The clinical trials are advancing. Mr. Satakarani , CEO, will elaborate on that .
• Ensuring a well-diversified product portfolio reflected in 830 USA ANDA filings and continued focus on R&D investment.

With a continued ramp -up of our recently added capacity , R&D efforts and focus on strategic growth [levers] , we are confident of continuing our growth trajectory during FY25 as well. We expect to achieve around 21 -22% of EBITDA margin and target set internally for the year. This is all from my end. Now our business leaders will give more clarity on any specific aspects in the Q&A session. We are happy to take your questions. Thank you.

Moderator: Thank you very much. We will now begin the question answer session. Anyone who wishes to ask questions, may raise your hand from the participant tab on your screen. Participants are requested to use headphones or earphones while asking the question. 1st question is from Kunal Dhamesha.

Kunal Dhamesha: Hi, good morning! can you hear me?

Moderator: Yes.

Kunal Dhamesha: Ya. Thank you for the opportunity and congratulations on a good set of
n

umbers. Just one of the 1st questions on the growth outlook for FY25. While we said that we will continue to grow, would you be able to give any range for the outlook FY25?

Santhanam Subramanian : We are not giving any growth outlook overall as a company but our respective business leaders will talk about it when they are addressing their businesses.

Kunal Dhamesha: Ok sure. Given that how Eugia 3 is classified as an OAI and there are 29 pending ANDAs, what is our plan to de-risk our growth in the next couple of years till we are able to resolve this official action indicated?

Yugandhar Puvvala : Hi Kunal, good morning! I am sure you are aware that we have built the Vizag plant as a backup, de -risking plant for Eugia -3. Now, Vizag plant audit is completed and hopefully we should get our first approval sometime very soon. So we will start filing more products from our Vizag plant. We also have plan to de -risk Eugia -3 by doing dual filings from

Vizag. So that's been the plan from almost 2 yrs. and now it is getting actualized with the audit getting over.

Kunal Dhamesha: How many filings (because of this OAI) for let's say next 2yrs will get stuck from Eugia 3 out of this 29?

Yugandhar Puvvala : Let's say around 20+ will get stuck but we have taken all proactive actions and we have never waited for FDA to come back and we hope that we will be in a position to show to FDA that we are in state of compliance . I expect at least 1yr. getting impacted but hopefully in the 2nd year , we should come back. That's our internal estimates on this.

Kunal Dhamesha: Sure Sir. Thank you . Second question is for Satakarni Sir on the biologic s CMO LOI that we have signed with the MSD . Any update on LOI to contract signing as of now ? Whatever capex we are putting, capacities etc ., are we through in terms of basic infra? What is the update there?

Dr. Satakarni Makkapati: Hello Kunal! With respect to the limited Letter of Intent that we signed with Merck, I have updated the exchanges that I would attempt to close the definitive agreement by 31st of May. Now , I think , we are truly on track to clos e the definitive agreement with MSD , Singapore entity by 31st of May. I don't see any showstoppers there. Sure [ly] there are a few nitty -gritties that we are still ironing out but I am optimistic about closing it by 31st of May. If there are any delays by a couple of weeks, then we will keep the exchanges informed about it . But at this point, I don't see any show stoppers. What is your 2nd question Kunal?

Kunal Dhamesha: In terms of capacities, how many litres worth of bio-reactors we are putting and what's the capex that we are planning for that contract? And what's the outlook, I mean in terms of where it is in terms of finalizing?

Dr. Satakarni Makkapati: We have already started our project work. As I have told before, this is a large mammalian cell culture manufacturing facility which is being done in 2 phases. The Phase 1 capacities would be 2*15KL mammalian cell culture stainless steel bioreactor s with associated purification lines to manufacture the drug substance as well as isolator -based vial filling line to convert the drug substance into the finished product. So this is an integrated CMO offering end to end services in manufacturing, both drug substance , the drug product and the QC release. The project is shaping well. If you remember the details about my limited Letter of Intent, we have capped ourselves to an exposure of around US$24.5mn to the point where we sign the definitive agreement. In case we, for any reason we don't sign the definitive agreement, we are covered for the US$24.5mn. So right now, we are well within the cap and I think the deal is going through , so exciting times for us. This is the update that I have on the project. It's going well. It's on time. It has already been 5

months since we have
started the civil work and by 2026, the capacities will be aligned and commissioned to start

the water and engineering runs in the facility at Theranym .

Kunal Dhamesha: Perfect and thank you. All the best Sir.

Dr. Satakarni Makkapati : Thank you.

Moderator: Thank you. The next question is from Damayanti.

Damayanti: Hi and Good morning! I hope I am audible.

Moderator: Yes.

Damayanti: Ok, thank you. So my first question is again on Eugia -3. So as Mr. Yugandhar mentioned that the de -risking process is on and dual filing is one of the process that you are taking. So just want to understand, out of the 29 ANDAs which are pending from the Eugia -3 plant, have you filed any product from Vizag so far or this or this process will start now?

Yugandhar Puvvala: It will start now , Damayanti . All the new filings and some of the site transfer projects is what we are planning to do in Vizag but we have no plans of transferring the existing filings of Eugia -3 to Vizag. I hope that clarifies your question. We are still confident that we will be in a position to resolve issues and we will secure approvals for Eugia -3. That's our internal confidence level at this point.

Damayanti: Ok. In terms of remediation, what kind of timelines you are anticipating, say you already started when the FDA update came first and you took obviously some precautionary measures etc. In terms of resolution , what are the plans, you will be hiring 3rd party consultant and what will be the approximate timeline s anticipated by your team within which you can resolve the FD A queries satisfactorily?

Yugandhar Puvvala : We have taken the remediations even in the middle of the audit itself . In fact when we voluntarily stopped the manufacturing, that was our 1st step when we observed there are some deficiencies. Our remediation activities started immediately after the audit . We are already into the 4th month of remediation and we expect probably that it will go on for another 3 -4 months. Post that, as and when the management feels confident that we have addressed all the concerns raised by the auditors, we will approach the FDA again.

Damayanti: Got it. Very broadly, in terms of the impact, in terms of sales, the 4th quarter number is broadly representative of what we may say for the next few quarters while remediation is on or it could come down ?

Yugandhar Puvvala : No. 4th quarter, I have taken the hit. I think , I told this last time to one of the analyst that because we stopped the manufacturing, we stopped the distribution , out of abundant caution , and we got everything retested and with full confidence, we started releasing the products. So we have taken whatever sales hit we wanted to take in Q4 . Q1 onwards it should be normal. So we expect a run rate of about US$ 150mn every quarter across the globe. That's the Eugia run rate now and we feel that we will maintain that.

Damayanti: Ok, that's clear. Thank you. My 2nd question is for Dr. Satakarni. if you can update us on some of the key biologic project s in terms of approval timelines et c. and when we should be seeing the first product coming in the market?

Dr. Satakarni Makkapati: Hello Damayanti. I would like to update the progress that we are making in the biosimilar s business with the recent trastuzumab marketing authorization received in India. This is our 1st product authorization. We have promptly applied for a manufacturing license which we expect to obtain very soon. So, the plan is to manufacture the batches and launch the product in the second half of this year [FY25] into the domestic market. This product , [which] is used in treating early and metastatic breast cancers that are HER-2 positives , is also filed with the European Medicines Agency and the review procedure has alrea

dy started. We are getting slightly delayed with the USFDA filing for this product as we could only complete a Type -IV, a mandatory Type - IV pre -submission meeting with the FDA, in May. So, the Type -IV pre -submission meeting went really well. I believe we should be able to complete the USFDA filing also in the next 3 months. So, I don't see any further showstoppers. If the procedure unfolds well with the European Medicines Agency without any glitches or without any additional data requirements, then I see a decision coming out somewhere towards the end of Q3 or early Q4 [FY25] for this product. So, this is about the first product.
Then we have two more biosimilar s, both in the Oncology space, which were also filed with the European Medicines Agency. Again, the guidance on these two biosimilar s will also be somewhere towards the end Q3 or early Q4 [FY25] . If the regulatory procedure unfolds without any procedural clock stops , that require any remediations etc. where I extend my clock stops , then we are expecting a Q3, Q4 [FY25] approval for these products or otherwise.

So, that's about the three biosimilar s which are filed. Now, with the other biosimilar s, as you know, I have told in the last Earnings Call that we have advanced t wo immunology biosimilar s. And also gave a press release last quarter, I think in February , that we are working on a biosimilar to Xolair, which successfully met its PK/PD end point s in a 3 -arm Phase -I study conducted in 165 healthy volunteers. The results are extremely encouraging. We met both the key parameters of PK and PD within the equivalence ranges that we expect. I think this product is now in Phase -III across multiple European countries and is p rogressing well to conclude the recruitment phase by Sep-Oct. So, I expect to file this product both with the EMIA as well as the FDA sometime in Q2, Q3 of the next fiscal [FY26] .

Likewise, our Denosumab biosimilar , which also I talked about in the last Earnings Call, I'm happy to state that we have completed the Phase -III recruitment across 40 sites in Europe for this product. So, this is about 436 osteoporosis patients that we completed the recruitment for. The primary ob jective of this study is to compare efficacy of our Biosimilar versus the originator ’s Prolia and I hope that I would be able to submit this product also with the EM IA and FDA between Q2 and Q3 of the next fiscal year [FY26] .

Along with these two, there are two more products, an Ophthalmic product and an Oncology product, in Phase -III for a long time now. The Oncology product is inching towards the closure of recruitment. I hope to complete the recruitment by October this year and the filing phase would be Q4 the next fiscal [FY26] . The Ophthalmic product will be delayed. The Ophthalmic product, the recruitment rate is slow across Europe. So, I would be able to probably hoping to file this product only in FY26 -27.

So, that's about the Biosimilar ’s products and what's happening with my 7 products in Wave - I and Wave -II.

Damayanti : Dr. Satakarni, that's very helpful. Thank you for your response. I'll get back in the queue.

Dr. Satakarni Makkapati: Great, thanks.

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. My first question, Yugandhar Sir, on Eugia or broader Injectable s, is it fair to assume that this will be a year of very little growth outside of generic Revlimi d for the injectable business because, you know, even with Vizag, et cetera, your first approvals probably start coming through in the second half of the year? In your view, how should we look at growth of the business because the US$ 150 million per quarter that you've mentioned is very similar to the number that you're doing, you know, you've done the fourth quarter?

Yugandhar Puvvala: You're

right, Neha. In fact, it will be a year of muted growth. So, we do expect a double digit growth but definitely not the way like we have grown from FY23 to FY24 and that was always the plan. Like this year FY25 was supposed to be a year of a muted g rowth because there are no blockbuster products, approvals expected in FY25 as per the original plan itself. So, we expect things to be much better starting FY26 when Oncology OSDs and other significant filings where the settlements are been done will come . So, FY25 is going to be a muted growth.

Neha Manpuria: Understood. And, in terms of remediation , because we've been doing this for four months, in your view what additionally does the FDA expect Aurobindo Eugia to do on that facility for which you think it will take another 3 -4 months? If you could give us some colour on that.

Yugandhar Puvvala: No, in fact, FDA never said anything . In fact, whatever we have done, we have done it voluntarily based on the observations and we expect to continue the same things. Obviously, there are some things which we would have completed in two months, some things which take four months, some things which take six months. This is all absolutely voluntary. FDA never advised us what to be done because when we received the letter OAI, they didn't say anything . So, it is, basically, I'm assuming that whatever we have committed as part of our response, they're fine with it. I have to complete it. That's all.

Neha Manpuria: Understood. And my second question is on the European business. You know, we've been able to grow the European business base. Constant currency growth this time was around 8 %. With the commissioning of Vizag and also the China facility, how should we look at the growth trajectory for Europe in the next year?

Mr. V. Muralidharan: Yeah. Good morning and happy to answer this. Yes, in Europe, at this moment, we are definitely growing little ahead of the market growth rate and the Vizag unit's

contribution is going to be substantial. And, of course, China unit is yet to commence supplies. We expect that to happen in FY25.

Neha Manpuria: Understood. And one last question, if I can squeeze in one more. Subbu Sir, in FY25 given that global speciality isn't growing as much, is it fair to assume that margin expansion might be limited to additional generic Revlimid? How should we look at margins for FY25?

Mr. Santhanam Subramanian: So, Neha, as I said earlier , we are targeting to achieve EBITDA margin of 21% -22%. We are working on the ramping up of the Pen -G and it will be complete by September. So, we will be able to give a better number in the month of November Earnings Call. Once we know what all the issues are and what is the sort of margins we are getting in the Pen -G business, et cetera, we'll be able to tell but we are very positive about the gross margin for this year as well as the EBITDA margin.

Neha Manpuria : Got it. Thank you so much, Sir.

Moderator: Thank you. The next question is from Surya Patra.

Surya Patra: Yeah. Thanks for the opportunity and congrats for the great set of numbers, Sir. My first question is on the, let's say, Pen -G. What are the kind of operation or utilization level that it has reached or what are the kind of utilization that we are targeting for the current year? And have you really commercialized the plant ? And have you seen any kind of price impact in the market for Pen -G?

Mr. Santhanam Subramanian: Surya, the last one, price of Pen -G is hovering around $25 per kg. Having said that, our consumption or Indian consumption of Pen -G is not very big actually. It is only 50%. What is more important is the conversion of the Pen -G into 6-APA, which we have successfully done it. That consumption is more and that price remained stable in the last two years. And it is commensurate with the Pen -G prices now .

I

n terms of the entire Pen -G business, we have taken a test batch in the month of March and it has come out well . We have done one big batch and it is also going well. And, hopefully, starting in the next two days, we'll be doing a little bit expanding the number of batches, et cetera. So, the entire lot of batches at the same time running all the fermenters will take place in the month of September because the fermentation is not an ea sy process. It's a very complicated process and there are multiple issues we are coming across and we have been resolving one by one and we were able to succeed in the first major batch. Hopefully, in another 2 -3 days we will come to know the outcome of th at, okay.

Surya: Sure. But is there any sense about the yield that you have so far got, Sir?

Mr. Santhanam Subramanian : No. See, the first thing is, from test batch we have to take a bigger batch . And after the bigger batch, expand the same bigger batch into multiple batches. We are having 10 sets of starting batches. So, we will expand from 1 to nearly 5 and after that we will expand to 10. So, yield is not the main issue right now. Yield we will be addressing only in the month of September.

Surya Patra: Sure -sure, okay. My second question is about, possibly Yugandhar Sir, you can respond. Our preparedness about the launch of Ryzneuta in the U.S., you have already indicated that launch is likely to happen in the second half of the current financial year. So, how important this launch could be for us? And how important it could be as a trigger? Knowing the fact that this is a kind of a US$1.8 billion size, what is your preparedness for this launch? And how important that you do think about it?

Mr. Swami Iyer: No, Yugandhar, I think I'll take this question. I think he's referring to the product that we are getting from Evive. So, we have briefly talked about it in the last call. So, we expect to launch it in the second half of the current calendar year, that is sometime in July. And we also mentioned that there are a number of competitors in the market and we had also indicated that we don't believe that the volume or the pricing is going to be so high. But we'll have to see as we launch this product. We are somewhat guarded and we are somewhat not so optimistic, I mean, in terms of what you're saying with regard to the value. But we think it's a good product. Once we launch, we'll have a better feel of it.

Surya Patra: Ok. Sir, just, if I need some more clarification about it, see if the size of the product is, let's say $1.7 -$1.8 billion and the competition is generally from the biosimilar s and we know that the penetration of the biosimilar is kind of not so great. And, generally, the interest of the payer, in U.S. biosimilar business if you see, is not generally aligned with biosimilar manufacturer. Rather, it is more aligned with the innovators. And since it is an innovative molecule, is it not fair to believe more positively than what you have indicated?

Mr. Swami Iyer: So, I leave that to you on how you want to look at it. But we have done a study and typically we like to do it conservatively and we have a fairly conservative estimate. This is a non -biologic product, as you're aware, and this is something different. So, we have to see as we go.

Surya Patra: This is not a biologic molecule, Sir?

Mr. Swami Iyer: I don't believe so. [Please refer to the later comment , in the transcript, by Mr Swam i Iyer for a clarification]

Surya Patra: Okay . So, my third question is about the Biosimilar opportunity as a whole, Sir. So far what are the kind of money that we have spent towards this biosimilar portfolio creation and all that, Sir? And whether this cost is currently capitalized or it is expensed currently? And once you start commercializing the product, what is the likelihood that it will have some impact on the overall margins of the company? So, if you can give some sense about it.

Mr. Santhanam Subramanian: I will provide some light on the numb ers but the impact will be informed by Satakarni. We have spent around US$ 340 million so far and the only we have capitalized around US$ 75 million and balance has been charged to P&L, right. Overall impact on that, Satakarni we will be able to answer.

Dr. Satakarni Makkapati: Surya, the spend numbers have been provided by Subbu. Now in terms of impact, as you can see, we have completed the licensure clinical trials for three Biosimilars. We should also realize that we have been in existence only from 2018 -19 seriously . So, we completed 3 clinical trials and filed three products. Now, we have four more in global Phase -III clinical trials.

Now, if you see how much does the competition spend versus what we spend on developing a product all the way from cell line to bringing it to clinical efficacy trials, it's very prudent, it's very objective. We are very guarded in what we spend because we push the regulatory barriers when we design our clinical trials.

Now in terms of the impact, while I hate to put certain numbers against these products, there is a good opportunity with both Wave -I and Wave -II of the products if they get launched in Europe and if U.S. also comes by. Especially I am very optimistic about a product like Omalizumab where we will be probably one of the four companies to vie for the U.S. and the European market. And it's a US$4 billion product with probably four players in it by FY26 -27. So, I expect a good revenue stream once the product gets into the European and the U.S. market. So, all these seven products, well, I hate to put any numbers against it, our business is sustai nable, the cost of goods ensures that we have a margin base of around at least 60% - 80% depending on which market we are.

And to your question about how much will this increase the margin points of Aurobindo overall, there will be an impact depending on what share of the business that we get in. But biosimilar s with a higher margin will definitely increase , to a certain extent, the margin base of Aurobindo as a whole. But I expect it to make substantial contributions from the year FY29 - 30, the Biosimilar s business, to the overall Aurobindo margin base.

Surya Patra: Okay. Just last, Sir. In fact, are you really worried about the fact that the progress of biosimilar s for Adalimumab what we have seen in the U.S.? Looking at that scenario, are you worried about your pipeline or your entry into the U.S. business with your pipeline?

Dr. Satakarni Makkapati: To be honest, no, because the biosimilar landscape, especially the market opportunity and the market landscape, is fast evolving. Adalimumab is a specific case that people would like to discuss but I would like to look at the better growth stories that we have. For example, you look at Pegfilgras tim space where a biosimilar player has taken at least US$700 -800 million of the revenues from the U.S. market alone. So, Adalimumab is a curious case because it is a chronic segment product, which means that you need repeated doses of the product. And in chronic segment , I expect , the markets to behave in a slightly disruptive manner, especially if someone comes in with a disruptive pricing strategy. But whether that will happen across all the products and primarily across products and oncology, I personally don't think so.

Come what may, our business model has been built in a manner that we will be resilient with respect to any price disruptions that happen. For example, we are building our price model versus the Europe right now where you are already seeing in the chronic s egment a bleeding of around 85% and 80% from the innovator pricing. Even if there is such a price erosion, our products will be able to still sust

ain the margin of around 50% -75% very easily even if there is

further price erosion. Only then we are developing the product and hope to enter into the market.

So, as much as you are very cautious about what's happening in the U.S., I am also watching that space closely. But, I think, biosimilar s are required in the U.S., especially to reduce the healthcare burden and the normalization will happen very soon. Adalimumab is a one off case . And it might happen in the chronic segment where products like Adalimumab are prescribed. But in Oncology segment, I still think there will be very healthy margins in the U.S, not so much in the Europe.

Surya Patra: Sure, Sir. Yeah, thank you. Wish you all the best.

Dr. Satakarni Makkapati: Thank you.

Mr. Swami Iyer: Surya, just to clarify. My apologies, it's biologic, I'm sorry. I meant it's not a biosimilar , right. So, this is something different. It's a biologic. So, we are competing against number of players who are there in the biosimilar s.

Dr. Satakarni Makkapati: I would just add a point there to what Swami said, Surya. It is a biologic but it's a biologic going against the Filgrastim and the Pegfilgrastim. So, that's the reason why Swami is conservative with his numbers. Once he gets a feel of the market when he launches it, then he will tell you how the product is shaping up. I mean, it is as good as a guess that you have that we have also in the U.S. market with this product.

Moderator: Thank you. As we have a long queue of questions, I would request everyone to restrict to two questions per participants. The next question is from Shyam Srinivasan.

Shyam Srinivasan : Yeah, good morning. Thank you for taking my question. Just a quick about housekeeping, the specialty and injectable revenue in the US$104 million. Yugandhar Sir, this had the US$ 20 million hit, right? I'm just trying to get the number right in terms of what we stopped for Q4.

Yugandhar Puvvala: That's right.

Shyam Srinivasan: Okay. And when you're now guiding for it to go back to US$ 150. I'm assuming about US$ 110 was the last quarter number.

Yugandhar Puvvala: It's actually like it's a global number versus a local U.S. number. So, the global number what we expect is a global revenue of US$150 million.

Shyam Srinivasan: Understood.

Yugandhar Puvvala: U.S. will continue to be in the range of US$100-110mn. That's the range out of that US$150mn.

Shyam Srinivasan: Understood. And do you expect a ramp up in Revlimid for next year? FY25 I mean .

Yugandhar Puvvala : Yeah, depending on the settlement percentages , normally we do expect a slight improvement maybe.

Shyam Srinivasan: Sure. Okay, that's helpful. Second question is on the gross margins. S ubbu sir, I think has reached almost if I round up 60%. So this is a number we're not seeing for some time. So just want to get the sense of what is sustainable, which are the cyclical elements in it, which will probably go away, maybe like whatever low raw materia l cost you called out earlier ? W hat can sustain from a mixed perspective ? And when we do the 21% to 22% guidance from EBITDA margins, what are the things that could be below the gross margin lines that could be growing faster?

Santhanam Subramanian: Last year, we did around 20.1%. So again st, that when you're saying 21 to 22%, one is the overall gross margin has improved considerably by about 2- 3%. Right . Between last quarter to this quarter, if you recollect , last quarter we had a big hit on account of the clawback tax, which we have explained to you; around EUR13 million we have taken a hit. That is around Rs. 122 crores, if I recollect, which has been given in the press release. Again st that we are around Rs.35 to 40 crores only this quarter. So , this is expected to continue. Because the French government has

come with a clawback notification, which
helps us to have a lower clawback tax this year. That is one thing.

In terms of the raw material price, the prices have come down considerably in the last four quarters, and it is now remaining slightly lower to flat. I don't see a major improvement or decrease in the raw material prices. But what is more important is, as we said, the US business is doing well, and they are continuing to ramp up and which has helped us to drive the operating efficienc ies, which can help us to improve the overall EBITDA margin. And also, as

Swami has explained or touched upon it, there are a lot of new product launches which he has done, which is also helping us , and the pricing environment is stable. So , we don't see a major down in the EBITDA margin, as well as the gross margin. Once the P en-G comes, which I explained in the month of September, what is the additional gross margin improvement which will come out of the P en-G, will be disclosed sometime in November earnings call.
Shyam Srinivasan: Understood. Sir, my last question again, you talked about P en-G prices at US$25. Last calendar year, this was US$30. So are you seeing action from some of the Big 3, Big 4 in Pen-G already in anticipation of your 15,000 metric ton total . I'm saying maybe global will be lower. But just are you seeing some signs that they are starting to drop prices ? At what dollar per kilogram or ton do you think it starts becoming less feasible? Like , if it goes below US$20, let's assume, does this become difficult? So , I'll stop there. Thank you.
Santhanam Subramanian: My chief buyer does not believe there will be a big drop in the P en-G prices. Having said that, the P en-G price has no relevance in terms of the overall consumption of the entire Penicillin G , because we are going to consume it - convert it, and then consume it as 6 -APA or some other product, other forward derivatives. So really , the Pen-G price has no meaning actually, because we are not importing any P en-G at all. We are importing single digit kgs only. So P en-G price has no relevance for us. What is important is

how much we are going to convert it into 6 -APA, how much we are able to further convert it into amoxicillin bulk and then sell it in the market or sell it as 6 -APA, is what really matters. And that price, 6 -APA price is always stable. So let's forget what is the P en-G price. Pen-G price has no relevance actually.
Shyam Srinivasan: Got it, sir. Helpful. Thank you and all the best.
Moderator: Thank you. The next question is from Tarang Agarwal .
Tarang Agarwal: Hi, good morning and congrats on an extremely strong F Y24. A couple of questions, one on Capex. You know, quite a few projects have been commercialized, P en-G, 6-APA, Viza g, Granulation, China. If you could give us a sense on whe n, you've suggested P en-G will probably start in September, both P en-G and 6 -APA, but if you could give us a sense on the other three projects, when will they start to meaningfully contribute?
And further, CWIP as on March 31st, 2024 was about Rs.2,750 crores. And Intangibles under development was about Rs.1,130 crores. So if you could just give us some sense on what are they referring to? What plants or what specific products are they referring to? My sense is , US$75 million of biosimilar capitalization, a large part of it would be under Intangibles under development, but I'll leave for you to comment on that. And then I have a couple of questions. Thank you.
Santhanam Subramanian: We have four projects commissioned in the last quarter, one is the Pen-G and the second is the 6 -APA. That meaningful contribution will start coming from Q3 onwards . And we also capitalized part of Viza g Injectable facility, and Au roactive project . We have done only partial capitalization, the front end only . So as Yugandhar already informed , th

e inspection took place and is waiting for the next steps. In terms of the Aur oactive, it will also start moving up by August - September . In terms of the total overall [CWIP] of Rs. 2,739 crores or US$325 mn, as you rightly said, Cur aTeQ forms around $78 mn and USA, Dayton facility will be around US$70mn. And we have other projects, which are very small .
In terms of the intangible asset under development, which you said around Rs.1,129 crores or US$135 million , once again, there are certain , Acrotech products, which are under WIP, Acrotech , which is around US$75 million, which they are doing clinical trial s. And Eugia Specia lities, which Yugandhar has already explained that is after the settlement, et c. It will go by FY26 . The other things are very small. So actually, our plate is very clear and we will be capitalizing and we will be seeing a meaningful contribution starting September, October onwards.
Tarang Agarwal: Perfect. Okay. Thank you. On US and Europe, I mean, US, can we expect the current OSD run rate of about $280 million to edge up to about US$300 mn as we move forward? And similarly for Europe, EUR 200mn seems to be the new base. How should we look at it for FY25?
Swami Iyer : So on the US, we are fairly optimistic about the outlook for the coming fiscal with new launches being the main drivers . I think , I cannot quantify any particular amount, but you

know, we have a large base and compounding growth on this base will be difficult . But we do believe that there is a reason to be optimistic about the growth.
Tarang Agarwal: On Europe?
V. Muralidharan : On Europe, yeah, Tarang, as you rightly said, EUR 200mn plus is a new base. At least we have started hitting this in the last two quarters, even though in Q3 it was short of EUR 200mn, but you account for the clawback. We were crossing EUR 200mn and this quarter also we could do it. So the expectation in FY25, all the quarters will be doing north of EUR 200mn, and the idea is to grow further.
Tarang Agarwal: Perfect. Last question, sir. You know, Auro Peptides as a business was incorporated somewhere in 2013 -14. And while we see an exhaustive list of peptide DMFs on your website, we're not sure what's happening in this business in terms of what is the traction that Auro has , both on the API and the formulation space . So if you could just give us a sense on where this business is ? Its vintage has been quite long, about 10 years now.
Dr. Satakarni Makkapati: Tarang, hi, I would take the question. I would start with an update on Auro Peptides. Auro Peptides, the manufacturing facility was inspected by the US FDA from 12th Feb to 16th Feb [2024]. And FDA has determined that the inspection is closed with zero observations. We are particularly glad for this outcom e. As you have rightly mentioned in your question , that we have been steadfast in developing synthetic peptides , these are very difficult peptides , for over 10 to 12 years now. We have 14 DMFs filed cutting across oncology segments and others. And some of these have contributed to five ANDA approvals for our customers, including Aurobindo and Eugia .
Right now, our work is primarily in oncology and diabetics. Our work in GLP -1s compared to our industry peers is very less talked about. We have an active DMF for one of the GLP -1 products , and our second GLP -1 product is now fully developed with the process validated as well. We hope to file a DMF in the next 2 or 3 months for this product.
Right now, we are expanding our synthesis and purification capabilities for GLP -1s as we are aligning some additional capacities that will become available by early next year. So, in all, our focus on diabetes and oncology segments will hopefully build momentum in this business. I am quietly confident and pleased at how we are startin g to relook at our peptides business , mixed with a

bit of caution when it comes to GLP -1s. At the same time, with both optimism and prudence in how we reinvigorated our pipelin e.
One more update is that , recently through APL, through Aurobindo, we have received an approval for Linaclotide . Linaclotide is a peptide, a synthetic 14 amino acid cyclic peptide. It is used in the treatment of constipation and irritable bowel syndrome. So, we are going to launch that product through a very trusted partner. This is a first -in-class peptide to be available for Indian population, probably becomes the first launch in the next 3-4 months ’ space. So, you can see that we are shaping up the business. We are trying to do a few things there . And going forward, you will get constant updates on what we are doing in our peptides.

Tarang Agarwal: Got it. Just last, I mean, in terms of accounting, the peptides revenues would be bunched up in the API business or would be bunched up elsewhere?
Santhanam Subramanian: Yeah. See, as on date, if the A NDA is in the name of Aurobindo, it will go into that. But we'll look into the possibility of putting it as part of the peptide. We'll do some work on that. Ideally, we'd like it to go into peptide, but let's look into the issues beyond that.
Tarang Agarwal: Okay. Thank you.
Moderator: Thank you. The next question is from Harit Ahmed.
Harit Ahmed: Hi. Good morning. Thanks for the opportunity. On biosimilars, you touched on your filing plans for Trastuzumab in the US. Can you share that again? I missed that. And for Pegfilgrastim, how should we think about our US plans? Because as you mentioned, the market opportunity is quite significant , and it's been a while since we filed in Europe, but we haven't talked about any US filings till now.
Dr. Satakarni Makkapati: I think the part two of the question is very interesting, but I would address the Trastuzumab one, which is easier. Trastuzumab with the US FDA, we have completed a Type -2 followed by a Type -4 meeting. A Type -4 meeting is considered to be the pre-submission meeting, where any differences or any additional data requirements from the FDA will be pronounced. We had a successful Type -4 pre-submission meeting. Now, what does this mean? A successful Type -4 pre-submission meeting means that we can go ahead and file the product. So , I'm expecting to file the product and make some changes to the dossier as required by the FDA in the next two months . Probably by next quarter end, we should be filing this product with the FDA. And the procedure unfolds, the procedure would

be anywhere between 9 to 12 months' time .
Now, with respect to P EG-filgrastim, Harit, as you know, that we haven't done an extensive Phase -I, Phase -III clinical trial for Filgrastim or PEGylated Filgrastim. We have gone with an abbreviated clinical pathway, where we have only conducted a Phase I PK-PD study in healthy volunteers, that to o, a very small number and push the regulatory barrier, especially in Europe and with MHRA, to file this product with them. Now, FDA, in terms of their totality of evidence approach that is required for the biosi milars , they will ask for a Phase I and Phase III. W ith Filgrastim and PEGylated Filgrastim, it is slightly diff erent. We haven't ever developed this product for the U S market. The thought is very recent that while we had a meeting with FDA and FDA is convinced with our approach of doing a Phase I , they wanted a small additional immunogenicity trial , while they were okay with us not doing a Phase III efficacy trial. So in the sense that, the data that we have generated for the European trial is good enough, plus some additional data on immunogenicity has to be generated in healthy volunteers , and then , the PEG -filgrastim will also be readied for the U S FDA filing.
Now, the timing of it, originally, I was thinking that I will file it somewhere before Q3 this ye

ar,
but that might get slightly pushed into Q4 or into Q1 next year. But PEG -filgrastim, we are definitely going to take it to the U S market. We will take it not just the PFS to the U S market, we would like to take the autoinjector also to the U S market. We are working with the agency

very closely. We have completed a Type 2 meeting on P EGylated F ilgrastim. I am hoping to have a Type -4 meeting, a pre -submission meeting also with the FDA , sometime in the next quarter. Does that answer your question, Harit? I think he's on mute.
Harit Ahmed: All right. I'll get in the queue, thanks.
Moderator: Thanks. Thank you, Harit. Next question is from Nitin Agarwal.
Nitin Agarwal: Thanks for taking my question. S ir, two quick ones. S ir, what Capex should we assume for F Y25?
Santhanam Subramanian: We are not planning to put any big Capex, because all the major Capex have been done and then capitalized. So probably , we must be having around sustenance capital and the de -bottlenecking initiatives , etc., must be around US$200 mn, is what we are thinking. Plus , any market authorization, if it comes very lucrative, etc., we will do that .
Nitin Agarwal: Sir, on this inorganic, we've been acquiring about US$100 mn or thereabouts of assets as and when the market opportunities have been attractive. I mean, is there a number that we have in mind to spend on buying out?
Santhanam Subramanian: No, no, it is not like that. If any opportunity comes only, we will look into that. We are not scouting for any market authorizations on our own. If it comes, we'll look into it.
Nitin Agarwal: And sir, last one. The other growth markets did extremely well this quarter. This number which you've done in this quarter, US$100 mn plus, how should we think about it as a base for . Should we look at it as a base now for the next year onwards?
Santhanam Subramanian: I think we have done well this quarter. Probably we must be doing something like US$75mn [per quarter], I mean, around US$300mn is what we should be aiming for [the year] .
Nitin Agarwal: Okay, sir. Thanks.
Moderator: Thank you. The next question is from Sangeeta.
Andre/Sangeeta : Hi, this is Andre , Sangeeta's partner. I had two questions on biosimilars. One was that, can you explain to me generally, what are the trends in the US and Europe towards biosimilars, particularly when the competition is not a biosimilar? What are the advantages, etc, of a biosimilar that may be trending the market in favo ur of biosimilars? That was the first question.
And the second question was that, could you give some more color as to when will the biosimilar , the opportunity, be effectively monetized? What should our assumption be? Are we talking about F Y26 or F Y27 or calendar year 2027 or 2026? You know, could you give us

some kind of idea on the timelines of whether we can expect the biosimilar opportunity to be monetized?
Dr. Satakarni Makkapati: To answer your question, one, to be very honest, I did not

understand the question one in entirety, but I will try and answer that. A biosimilar is again st an innovator product, an existing biological entity. So , I did not understand that because you have a biological entity, which is already there , and it goes off patent when you launch a biosimilar into the market. So , does it answer your question , or do you want it to phrase it differently?
Andre/Sangeeta : No, my question was, what are the trends in the US that are favo uring biosimilars, if any, in Europe ?
Dr. Satakarni Makkapati: Essentially, the biologics was a huge healthcare burden with the pricing and all. So not just the US, but all the developed countries across the world would like to have cost effective alternatives to the biologics. And that's the reason why biosimilars find traction in these markets. Now, wit h

the case of products like Adalimumab, where the
innovator also becomes very disruptive over a period of time, because he had made his margins. And when the biosimilars come in, then there will be additional price debates, etc. And to switch from a biolog ic to a biosimilar requires interchangeability studies with the FDA, etc. That slows down the uptake of biosimilars. But right now, the trends have been encouraging. There are a lot of good companies which are doing well in the US with respect to biosimila rs. So , I expect with the next wave of patent cliff, more biosimilars will be in the market, especially across oncology and immunology segments. And the US market continues to be favorable in terms of the uptake of biosimilars. I see the regulatory guidelines also easing out a bit over the next 6 to 7 years that that prompts more biosimilar players to come into the market. That's part one of the question.
What is part two of your question?
Andre/Sangeeta : Part two was as to when you expect to start monetizing the biosimilar opportunity? Rough timelines.
Dr. Satakarni Makkapati: The real opportunity for us in terms of the commercial space starts from one quarter of this year [Q3 or Q4] possibly and from the next year . I would say you should wait for at least 2 to 4 years ’ time frame around 2027, 2028 would be the opportunity to monetize this. Subbu, do you want to add to that?
Santhanam Subramanian: As Sat akarni said, Q3 or Q4 we will launch in the Indian market . Probably that's a very small portion , Indian market, but the major things are going to come from Europe and the US which is around 2026-27. Am I right Sat akarni?
Dr. Satakarni Makkapati: That's right.
Andre/Sangeeta : Okay. Thank you very much.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.
Shriniwas Dange: Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel free to keep in touch with the Investor Relations T eam. The transcript of this call will be uploaded on our website www.a urobindo.com in due course. Thank you and have a great day.
Moderator: On behalf of Aurobindo Pharma, that concludes this conference. Thank you for joining us. You may now disconnect your lines and exit the webinar. Thank you.

(END OF TRANSCRIPT)

Call: Aug 2024

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 T.S., INDIA Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
August 16, 2024
To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q 1 FY 2024 -25 earnings call.

Please refer to our letter dated August 5, 2024 , wherein we intimated about the schedule of Investors/ Analysts call on August 12, 202 4. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the first quarter ended June 30, 2024 , and the same is being uploaded on the website of the Company and is availabl e in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call-transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: As above.

Q1 FY25 Earnings Conference Call

12 August 2024

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma , USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma Q 1 FY25 earnings call. Please note that all participants' line will be in listen -only mode and there will be an opportunity for you to ask question after the opening remarks. Please note that this conference is being recorded.

I now hand the conference over to the management for opening remarks. Thank you and over to you sir.

Shriniwas Dange: Thank you Vandit . Good morning and a warm welcome to our first quarter FY25 earnings call. I am Shriniwas Dange from the investor relations team.

We hope you have received the Q1 FY25 financials and a press release that was sent out on Saturday. These are also available on our website.

I would now like to introduce my senior management team on the call with us today represented by –

• Dr. Satakarni Makkapati - CEO of Aurobindo Biosimilars, Vaccines and Peptide Businesses and Director, Aur obindo Pharma Limited
• Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited
• Mr. Swami Iyer - CEO, Aurobindo Pharma USA
• Mr. V. Muralidharan - CEO, Europe Formulations Business and
• Mr. S. Subramanian - CFO.

We will begin the call with the summary highlights from the manageme nt followed by an interactive Q& A session. Please note that some of the matters we will discuss today are forward looking, including and without limitations statements relating to the implementation of strategic actions and other affirmations on our future business , business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. A urobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect -in future events or circumstances.

With that, I will hand over the call to Mr. S . Subramanian for the highlights. Over to you sir.

Santhanam Subramanian: Thank you Shriniwas . Good morning all and a warm welcome to our Q 1 FY25 earnings call. Before we get into the details of our Q 1 performance, I would like to share that –
1. We have published our Second Integrated Annual Report for FY24 , which include s details of our progress so far in terms of our business and financial performance and also touches upon our strategic pillars and growth levers.
2. I am also glad to share that we will be completing our first ever buyback of Rs. 750 crores in August '24 at a price of Rs. 1,460. The cash outflow for the company is

expected to be around Rs. 935 crore , against the FY 24 dividend of approximately Rs. 264 crore s and will provide tax efficient return to our shareholders.

Now coming to our Q 1FY25 performance. I am delighted with our quarterly perform ance reflecting in our top line year -on-year growth of 10% amounting to Rs. 7,567 crore s. This growth is seen across market driven by new product launches, market share gains, expansion into new geographies and stable pric ing. Our Q 4FY24 base has been higher due to accounting of Q 2 and Q 3 FY24 income of approximately $20 million from Indonesian operations. Excluding the above additional revenue, the quarter -on-quarter growth was higher at 2%.

US recorded revenues of $ 426 milli on during the current quarter, m arginally impacted by seasonality . Europe market demonstrated a strong performance and has achieved a revenue of €221 million and is on track to achieve €880 million plus for FY25. Further overall growth market performance has been good during the quarter .

Our EBITDA margin remained at 21.4% and is lined with our expectation. EBITDA margins are supported by stable raw material prices , and operating leverage due to incre

mental plant
utilization. This was partially offset by higher OpEx from newly commercialized plants including P en-G, higher SG &A expenses on account of few non -recurring expenses including remediation and associated production delays that effectively reduce d the EBITDA and the PBT by more than Rs. 100 crores. This is likely to come down significantly further in the future quarters. This coupled with the Pen-G ramp up is expected to further support the E BITDA margins in the upcoming quarters. At a full year level, we are confident of achieving our overall internal EBITDA marg in target of around 21% to 22% a s mentione d during the last earnings call.

Our net profit for th e quarter increased by 61% year -on-year to Rs. 919 crore s.

Now let me take you through the business wise highlights for the quarter –

In terms of the business breakdown , formulation business excluding Puerto Rico in Q 1FY25 witnessed a growth of 15% year -on-year to Rs. 6,475 crores and contributed around 86% of the total revenue. The revenues are mainly supported by growth across markets of the US , Europe and growth markets.

For the quarter, API business contributed around 14% and revenue increased by 6% year -on-year to Rs. 1,092 crores. The growth in the API business is mainly driven by higher volumes on account of improved asset utilization.

During the quarter, US formulation grew by 12% year -on-year and recorded a revenue of $426 million. The growth was mainly driven by volume gains, stable demand and new product launches, while on an overall basis , price erosion remained neutral . Due to the off season , Q-on-Q revenues dropped slightly .

During the quarter , we filed 8 ANDAs , received final approval for 10 ANDAs and launched 10 products. Few of our key approvals in the recent quarters includ e Mometasone, I sotret inoin

and Estradio l inserts etc. Revenue from the overall generi cs in USA increased by 12% year -on-year to US $277 million driven by new launche s.

Revenue from the injectable and specialty business in the US increased by 12% year -on-year to US$ 102 m illion . The total injectable specialty sales globally increased by 16% year -on-year $141 million. We have a total of 224 specialty and injectable ANDA filings as on the 30th June [2024] and out of which 170 have final approval and the remaining 54 are awaiting final approval. The company as on 30th June has 838 ANDAs filed with the US FDA on a cumulative basis, out of which 668 have final approval and 26 have tentative approval . 144 ANDAs are under review .

For the quarter, E uropean formulation clocked a revenue of Rs. 1,982 crores , an increase of 8% year -on-year . In constant currency term , European revenue was € 221 million against €205 million of last year Q1.

For the quarter , growth market revenue increased by 49% year -on-year to Rs. 709 crores. In US dollar terms , the revenue grew to $85 in Q 1FY25. The increase was mainly driven by sales across markets and new geographies.

For the quarter , ARV formulation business revenue increased by 14% year -on-year to Rs. 229

crores or $27 million. This was supported by pickup in volume partially offset by price erosion to some extent.

Now going to the other highlights –

The raw material cost continued to be at the benign levels and are in line with the previous quarter supporting our gross margins which stood at 59.4 % again st 53.9 % of the previous year. In absolute terms, gross contribution was Rs. 4,494 crores.

R&D expenditure for the quarter stood at Rs. 339 crores which is 4.5% of the revenue.

Net CapEx for the quarter is around $74 million.

The average USD INR exchange rate is 83.41 against 8 3.04 in Q4. T he average finance cost is around 6.5 %.

The business has a net cash inflow of $89 [million] during the quarter. As a result , the net cash po

sition, including investments , at the end of June ’24, improved significantly to US$ 101 million. T he gross debt stood at 833 million.

[Outlook -]

• We expect to continue our growth trajectory backed by volume gains, new product launches and stable pricing
• We are on track with respect to Pen -G large scale commercialization and are hopeful to ramp up significantly from October ’24

• With expected volume pickup in the US markets and ramping up of newly commercialized plant s, benefits are expected to accrue to the top and bottom line in the coming quarter
• We expect the current pricing scenario in the US market to continue
• Europe and growth markets are expected to continue the growth momentum
• We are confident of achieving our internal EBITDA target margin of 21 %-22% for the year FY25
• Our China plant is expected to be commercialized from Q3 FY25 and the ramp up is expected from Q4 FY25
• With our focused and strategic investments in R&D, we continue to develop strong product pipeline
• Our biosimilars and complex products [portfolio] is progressing well. The clinical trials are advancing. Dr. Satakarni, CEO , will elaborate on this.

This is all from my end.

Now our business leaders will give more clarity on any specific aspects in our Q &A session. We are happy to take your question s. Thank you.

Operator : Thank you. We will now begin the question -and-answer session. Anyone who wishes to ask questions may raise your hand from the participant tab on the screen. Participants are requested to use headphones or earphones while asking a question. Participants are requested to re strict themselves to two questions.

The first question is from Kunal Damesha.

Kunal Damesha: Hi. Good morning. Thank you for the opportunity and congratulations on good s et of numbers. One for Subbu Sir. On the EBITD A margin guidance of 21% to 22% , since adjusted for some of the one off that you have highlighted , this quarter we would be at roughly 22.7%. We also said that this is kind of seasonally slightly muted quarter from the US perspective. Also, we have baked in all the Pen -G related commercialization expense. So, shouldn't the run rate from here on improve? And you know, is there any possibility of raising the EBITDA margin guidance at this point?

Santhanam Subramanian: Kunal, y ou are absolutely right. But if you recollect in the last earnings call, I said very clearly , we will revisit the EBITDA guidance in the earnings call of November that is the second quarter call . We will be looking into that and then re flect accordingly.

Kunal Damesha: Yes sir. And in terms of Pen -G plant cost, we have baked in for the fu ll three months in this quarter?

Santhanam Subramanian: Yeah, three months we didn't have sales at all because of the various reasons in the Pen -G plant . [Though] T he equipment are ready for the mechanical integration , we have synchronized the power and boiler and we lined up all the utilities together ; we encountered teething problems in the last quarter when we are trying to scale it up , mainly due to the different operating environment compared to some of the foreign

countries. So , we are expected to do around approximately around 20 batches this month followed by another 30 b atches in the next month. If these two go well, I think , we will be more or less able to ramp up in a significant manner starting October.

Kunal Damesha: Sure sir, but my question was more on the operating expenses side. Is it already baked into our P&L?

Santhanam Subramanian: Yes. E verything got into the P &L.

Kunal Damesha: And depreciation of 400 crore plus also reflects the plant capitalization?

Santhanam Subramanian: That includes all the plant depreciation, everything.

Kunal Damesha: If you can pr

ovide any incremental updates on our biologics/ biosimilar business over quarter four? I t would help .

Dr. Satakarni Makkapati: Good morning, K unal. With our biosimilars initiative , we are making the intended and steady progress with our clinical trials as well as our review of filings. Our pipeline now extends up to 2032 and I'm reasonably convinced about the progress we are making . With the first wave of biosimilars , I'm pleased to state that we have achieved an important milestone in May of completing recruitment of all patients as part of our Denosumab trial in European sites. The clinical study closure will be in June next year and we will be on track to fil e this product with both European Medicines Agency and the FDA in the second quarter of the next year [Q2FY26] .

Denosumab is my first foray into immunology segment. Likewise, an important product of ours is the biosimilar to Omalizumab which I have been continuously updating in these earnings calls. The product fits well into our dermatology portfolio with its use in chronic spontaneous urticaria . Also, with the treatment for accidental food allergies now approved for this product in the US, we are confident of the broader scope of treatment that Omalizumab c an offer across respiratory asthma, accidental foo d allergies and chronic spontaneous urticaria. We have completed a successful phase one study in Australia in healthy volunteers for this product. This I have updated about. The product is now being studied in a large phase three clinical trial comprising of more than 600 chronic urticaria subjects in Europe. Separately, a small study also is being conducted with respect to asthma patients in India. So , the Indian clinical study , to give you guidance , will be completed by the end of this year, allowing the product to be filed in India and certain emerging markets by Q3-Q4 [CY25] . The large European study will be completed by mid -next year and we hope to file the product in Q3 next fiscal [Q3 FY26] with EMA and the FDA. So , with both these immunology assets, which is a departure from the oncology assets that we are already in, we are hoping to file both these products with EMA and FDA next year.

Then, there are two more products of ours in phase three clinical studies and their progress is okay. The pace of recruitment could have been better with our ophthalmic product, but that's the nature of the ophthalmic trials. It's going pretty slow, but I' m confident of completing the trial for the ophthalmic product in 2026. But the oncology product, we have completed about 80% of the recruitment and I hope to complete the recruitment in Europe by the end of this year for this product and probably position this for filing end next year [CY25] .

Now with respect to our current product filings that are with EMA, they are going through the review process. I expect us to be able to meet the requirements within the clock stop period that we are in right now. And hopefully in two quarters time we will be able to see these approvals starting to trickle in for these three products one after the other, provided there are no more regulatory uncertainties. Our Trastuzumab US filing that I told [about] in the last quarter in the earnings call that we'll be filing this quarter , slightly got delayed by a month. We are still on track to fil e it and I hope to file it in the next four to eight weeks w ith FDA . I have completed a Type-4 meeting with the FDA, so the decks are now fully cleared from the US FDA based on the Type-4 meeting to file Trastuzumab with the US FDA. In all, I think we are progressing well. Our Tocilizumab biosimilar, which is another immunology asset which is catering only to India and emerging markets , they [we] have completed a phase three clinical trial in India and I hope to file this product in the next three to four months

’ time. But this is
India and emerging market s product only.

In the nutshell, we are reasonably convinced about how our biosimilars business is shaping up and I think our products will start to reach the intended markets from next year onwards.

Kunal Damesha: Sure Sir. Thank you. And if you can quickly also update on the biologics business, where are we in the pr ocess of putting the 30,000 -litre capacity, etc?

Dr. Satakarni Makkapati: In the last earnings call, I have talked about us being optimistic about closing the deal with MSD Singapore entity and after three days of the earnings call, we have signed on the dotted line. Now we have entered into a definitive agreement with MSD, and we have one product schedule , as well , with them. The definit ive agreement means that the civil works for the facility have now gathered pace, and I hope t o complete the project by 2026 [CY], which allows the engineering batches or water runs to be conducted . From 2027 [CY] onwards, I expect the stockpiling process to begin for this product and the revenues to trickle in. The facility is progressing well and I'm reasonably confident of executing the project on time in 2026 [CY] for the engineering batches to be taken within the facility. So , I don't see any showstoppers there. The thing is progressing well, Kunal, if that answers your question.

Kunal Damesha: Yeah, Sir. Good luck and I'll have more question. I'll join back . That’s it. Thank you.

Dr. Satakarni Makkapati: Thank you.

Operator : Thank you. Requesting everyone to restrict themselves with two questions , please. The next question is from Am ey Chalke.

Amey Chalke: Than k you so much for giving me an opportunity to ask a question and congrats to the management on the good set of numbers. First question , is it possible for man agement to guide how the Revlimid sales have moved from quarter four to quarter one?

Yugandhar Puvvala: No, we are not specifically talking about Revlimid as a separate sales segment. But our run rate continues to be in a similar way when we launch the product and we expect to continue in a similar way.

Amey Chalke: Sure. I don't want quantification, but qualitatively, is it possible to guide ?

Yugandhar Puvvala: Qualitatively at t his point of time , yes, the pricing remains constant. We don't see any decline and we are trying to as best as possible to schedule it in such a way that like every quarter we have decent set of numbers . Except for the one or two quarters, we expect the similar run rate to continue.

Amey Chalke: Sure. And should we assume that this year we should book higher sales compared to last year or it should be similar?

Yugandhar Puvvala: It will be like 10 or 15% here and there, but it will be similar.

Amey Chalke: Got it. Second question I have is on the Europe and China revenue potential considering both China plant and Vizag pl ant are being operational ised in FY 25. So if you can give us some outlook on both the plants . Thank you so much.

Yugandhar Puvvala: Well, let me just talk about Eugia Vizag then probably Subbu, you can take care of China . Eugia Vizag plant is up and running. We started capitalizing the plant last quarter itself and our European audit is done and we will be hopefully starting filings from next quarter because we are waiting for the GMP certificate to come from European authorities. Once we recei ve the GMP certificate, we will start filing products for the Europe . Our US filings are also on track and hopefully, we should do around three to four filings this year. So , I expect revenues to start from FY26 onwards.

Santhanam Subramanian : Yeah. So , in terms of China , we are planning to start small volume in the month of November -December and expect to ramp it up in the period between January to March quarter of next year [Q4FY25] . And the full -fl

edged volumes will start going only the
next fiscal year [FY26] . In fact, we are trying to do some filings for China as well as for US. So all this will take the China revenue potential up in the coming years. This year we will see only a small volume and value.

Swami Iyer: So, if I may add Subbu something to what you said . In China, we have also shipped the first commercial product for BFS through our JV partner.

Moderator : Thank you. The next question is from Neh a Manpuria .

Neha Manpuria: Thanks for taking my question. Yugandhar, m y first question is on the US business. I thought we were supposed to see improvement in the US business with the resumption of the facility in the quarter. Could you give us some colour on what's happening to that? Should we expect the improvement in the injectable business to be a little slower versus our initial expectation ? And just an extens ion to that question. We've seen another facility get an OAI for the injectable business. You know, how are you thinking about compliance for the inje ctable business, given that's a key for our growth momentum in Eugia ?

Yugandhar Puvvala: Thanks, Neha. Yes, you're right. In fact, we thought last year Q 4, we have taken the hit, but because we wanted to be robust enough in terms of our remediation action, it continued in Q 1 as well. Our overall manufacturing was not to the fullest extent what it used to be. So Q 4 and Q 1, two quarters I have taken the hit in terms of other remediation actions for the Eugia -3 plant. So , I am cautiously optimistic that from this quarter onwards, that is Q 2 of FY25 onwards, our regular injectable business should move up. I'm quite confident of that.

Coming to the second plant which is our Bhiwadi plant near Delhi which got OAI, w e are working with FDA and I'm confident that can be resolved. That's a lesser evil than the Eugia -3 and we feel like whatever perceived issues what FDA has , in next 1-2 months we should be in a position to clear that. So , I am cautiously optimistic at this point of time of resolving FDA related issues and, a t the same time , the sales momentum going up from Q 2 onwards .

Neha Manpuria: And does that make us confident to be able to gain the lost market share for these injectable products? Because I can see that we have lost market share in some of the products in the injectable side.

Yugandhar Puvvala: I think at this point of time , the way I see it is , I don't think we have lost too much of market share on any of the molecules. It is mainly the supp ly constraints, what we created on ourselves and that is what has taken a bit of a beating in terms of Q4 and Q1.

Once we start ramping up and we are already on the way, I'm sure [that] we will gain the sales. We haven't lost too much of market share in any of the molecules.

Neha Manpuria: Got it. And my second question is on Europe . Particularly strong quarter. I know Subbu sir mentioned in his opening remarks that this will be north of 880 million for the full year. Could you give us some colo ur on the reason for the step up in the quarter and why we believe this will be sustainable going forward?

V. Muralidharan: Good morning Neha and good morning everyone. Murali here and I'm going to take this question. Yes, Europe has been a contributor, silent contributor to the global revenue of A urobindo in the r ange of 25%. And of course, we are having certain plans for new launches. And if you take the Q1 performance and on a straight -line basis alone, we'll be touching €880 million . We have a couple of major launches coming up during the year. So we are quite confident and bullish that we'll be able to go northwards of 850 million towards €880-900 million . Thank you.

Neha Manpuria: Understood. Thank you so much.

Moderator: Thank you. The next question is from the Damayanti.

Damayan

ti: Hi, good morning and thank you for the opportunity. My first question is on remediation related costs. So , in your opening remark, you mentioned there were some additional costs which you incurred in the 1st Quarter due to this remediation charge etc. Can you quantify that ? And how much of that could be seen in this current 2nd Quarter ?

Yugandhar Puvvala: Damayanti, in Q1, we have spent around [$] 9 million dollars against the remediation cost of year Eugia -3. And we expect the Q2 to be only a very fraction of that. I think , hopefully , it will be around [$] 2 million . And we have completed all the remediation, and we don't expect anything more than what we have already spent. So , Q1, yes, it is [$] 9 million plus , and Q2 would be around [$] 2 million plus. That's what is our expectation.

Damayanti: Okay, so majority done and now maybe a few related to B hiwadi plant .

Yugandhar Puvvala: Bhiwadi , we don't need any remediation there. It is only clarification. So , it is going to be more about clarifications of this. Absolutely, there's no remediation in Bhiwadi. It is only Eugia -3 where the remediation was required and we have , to our best of our effort, done that particular piece and that is over.

Damyanti: Okay. A nd you just mentioned Q2 onwards, you expect the generic injectable sales to move up and then maybe you will back to the pre -disruption stages.

Yugandhar Puvvala: That's right, Damayanti .

Damayanti: And you maintain your guidance for global speciality , like Eugia sales, which you had given some time back ?

Yugandhar Puvvala: Yeah, in fact, for this year, I've already guided that we will do around [$] 600 million plus. I think we still are optimistic about touching the [$] 600 million.

Damayanti: Okay. A nd my second question is on your Indonesia operation s. So, you mentioned 20 million sort of sale you have booked. So , what kind of ramp up you see in that market? Are you optimistic about ramping this up significantly?

Santhanam Subramanian : No, Damayanti . What I was mentioning is , in the Q4, we have accounted the Q 2 and Q3 sales because we did the closing sometime by December 20th. So, the entire thing, the net economic benefit , has flown into the Quarter 4. That is the reason why it has come there. Otherwise, we have been traditionally doing around 8 million per quarter and we will continue to do that at least for the [current financial] year. We are also thinking how to increase the overall sales and ramp it up , because this is an existing business. So, now the challenge is how to increase it, how to ramp it up to the next level, which we are working on.

Damayanti: Okay, sir. T hat's clear. Thank you.

Moderator: Thank you. The next question is from Shyam Srinivasan.

Shyam Srinivasa n: Yeah, good morning. Thank you for taking my question. Just the first one, again on the European business, you talked about EUR 850 million for the full year kind of run rate. So just want to understand how is the underlying profitability of this business now tracking , have we moved past that double digit into mid -teens in terms of the margin profile?

Santhanam Subramanian : I think Shyam, in terms of the euro business, I think they have been doing it extremely well in the las t 2-3 quarters. They have been gradually increasing their overall revenue, overall margins. And I think the margins have already moved to nearly mid -teens level. And the way Murali has communicated, this is expected to be sustained if not improved.

V. Muralidharan: Well said, Subbu , I agree with you.

Shyam Srinivasan: Murali Sir, just in terms of the integration where we have tried to move to some of our local plants . How far are we on the journey and how much more can be done incrementally for integration for the Europea

n business?

V. Muralidharan: When you talk of local plant, in Europe we have only the plant at Generis , Portugal. But if you're referring to the expanded facilities in India, the Unit 15 has undergone expansion , which is clearly helping us in feeding the markets. And despite Q1 be aring months still impacted by Red Sea issues, the production and dispatches from India has really helped us in time -to-market being achieved. So , we are doing fine. And when China plant starts feeding us, all the more we will be able to supply clearly to the market better.

Shyam Srinivasan: That's helpful. Just quickly on the second question, if I were to look at the Pen-G plant, has all the CapEx now done, Subbu sir, in terms of what CapEx we had to do ? And in terms of the ramp up for this particular business, you talked about cost being there. When is the likelihood of the revenue starting to kick in for this plant?

Santhanam Subramanian: Relating to the CapEx , Srinivas, we have more or less incurred around 95% of the CapEx. Any 5% is depend ent upon the [additional] requiremen t, while we are ramping up. So more or less the CapEx is over . The second question is that we didn't have any significant revenue flow last quarter. This quarter we are planning to do a good set of batches as a process of ramping up, which is expected to give some revenue during this quarter. These two months are very critical - August, September. Once we achieve that, next quarter we will be going towards 80% of the ramp up . We are working towards th e same . So, we will be able to give better clarity during the 2nd Quarter earnings call.

Shyam Srinivasan: Understood. Thank you and all the best.

Santhanam Subramanian: But I just want to add, Shyam, we have taken some good number of operating expenses and we didn't have the sales during that quarter. And once the [capacity] ramp s up, it [will] help in overall growth of the company, increasing the EBITDA margin . The existing operation al expenses cost , which we have incurred during the period of stabilization , will not be there.

Shyam Srinivasan: Understood , Sir. Thank you.

Moderator: The next question is from Bino .

Bino: Okay. First question regarding this product generic Emflaza [Deflazacort] which we had launched in the US a few months back , how is it doing? Are we only the player in the markets still?

Swamy Iyer : Yeah , Defla zacort . Yes, we have launched this product. At this point, I think we are the only player i.e. for the tablets.

Bino: Okay. And do you expect that situation to continue for some time?

Swami Iyer: We can't predict that, but we have strengthened this product. So , we think that we continue to do well.

Bino: Okay. Second, there is lifitegrast ophthalmic solution for which you have an approval already. Is that a product we can expect in next 12 to 18 months or is it far away?

Yugandhar Puvvala: Lifitegrast is not going to be anytime soon. We have the final approval, but we also have a settlement with the innovator. Based on that, I can tell you that it is not a 12 to 18 months period product.

Bino: Understood. And finally, on Mirabegron, where there is some litigation going on, some people have launched. Do you have plans to launch near term?

Swami Iyer: No. Bino , you have raised this question at least twice in the past and we responded to you. We have a settlement in place. So , whatever the two companies which have launched, have launched, I understand , at risk. There is a case that is ongoing, and the hearing is expected. The final hearing is expected sometime in October or end of this year. We will have to watch. But I want to tell you that , we have a settlement. Based on the settlement, we cannot launch now.

Bino: Got it. One final question on MS D, if I can push it. The deal, would it be for manufact

uring of products also for the US and European markets or would it be more for the emerging markets?

Dr. Satakarni Makkapati: Bino, right now the markets are still under discussion. But it will be majority of the markets with probably Europe also coming in. But owing to the confidentiality nature of the discussions between my team and the MS D, I would not be able to provide any more update on this now. But as and when things get clearer, I can provide you an update.

Bino: Understood. Thank you very much.

Moderator: Thank you. The next question is from Jigar Walia.

Jigar Walia: Yeah, thanks for the opportunity. My first question is now with this Unit 3 classification also kind of getting out of the way things getting resolved , is the board probably planning to go back to the proposed spin -off or IPO listing for Eugia ?

Santhanam Subramanian: So, Mr. Jigar, we have last year, in the month of August, the board decided to evaluate, explore various options. And we put it on hold subsequently because the inspection for the Eugia business started . All the units have undergone the inspect ion. So, now that inspections are over, we can revisit it . And some of the bankers are also approaching us. So, we have to decide it. But as and when a firm decision is taken and we are going to implement it, we will certainly inform the market as per the compliance.

Jigar Walia: Great, sir. So, one question is on the margin. You mentioned about Rs. 100 crores one o ff this quarter, which gradually will reduce with the operating scale and the business ramp up . But as the business scales up, it will take a while, I mean, it will take its time to come to the company level margin. So, overall, we maintain at 21 %-22%, while in absolute terms, the margin is definitely ramp up.

Santhanam Subramanian: Mr. Jigar, my colleague, Mr. Y ugandhar has clearly articulated that . We had remediation cost of around US$ 9 million plus, which is expected to come down to US$2 million this quarter. That itself is clearly shows that we are going to cut it down during the quarter.

Jigar Walia: Absolutely. So, the absolute EBITD A will be more reflective

Santhanam Subramanian: Yes, more reflective. At least th ese OpEx will not be there.

Jigar Walia: Understood. Sir, last question is, with this board change and now the new Chairman, etc., is there anything different on the board meetings or other things?

Santhanam Subramanian: No, we have been conducting the board meeting with the highest standards always and with the new board chairman com ing in , he is bringing his own set of ideas on things, which we are implementin g. We have also strengthened the board by having one more Independent Director by name Dr. Deepali Pan t. And, also, Dr. Satakarni joined the board to strengthen on the R&D and the science side. So, lot of new things are happening in the board meetings.

Jigar Walia: Thank you. Thank you so much, sir.

Moderator: Thank you. The next question is from Ankush Mahajan.

Ankush Mahajan: Good morning, Sir. Sir, my question is related to the injectables. Taking run rate of the gRevlimid , [are] the other injectables either flat or showing some declining [trend]? . I’m just trying to understand how is the price erosion in the base injectable business if I deducted the gRevlimid part?

Yugandhar Puvvala: The price erosion is low single digits.

Ankush Mahajan: Okay, Sir. Thank you .

Moderator: Thank you. The next question, the next question is from Kunal Dhamesha.

Kunal D hamesh a: Thank you for the opportunity again, Sir. Subbu Sir, on the effective tax rate, this quarter we have around 30%. If you can provide the outlook for FY25 and what is driving this higher ETR for us ?

Santhanam Subramanian: See, some of the units, like biosi

milar company and the Lyfius ,
which is the penicillin -G company, where we are incurring the OpEx loss, we are not taking the deferred tax credit. Once we start a tax credit, obviously it will come down. And in terms of the year as a whole, with the Lyfius plan t expected to do well by 3rd and 4th Quarter etc., probably we may come to more than a break -even scenario by which the tax rate and the tax credits will be taken and the tax rates will come down. Overall, I think we will be somewhere around 27 -28% at this particular point in time.

Kunal D hamesh a: Sure, Sir. Thank you for that. And one for Yugandhar sir on Revlimid. W e said that the net gRevlimid contribution this year would be 10 -15% higher than last year. But this time around, we will also have a full year impact of gRevlimid versus the half -year impact for last year. So, shouldn't the contribution be higher?

Yugandhar Puvvala: No, Kunal . Frankly, like I never wanted to say anything about gRevlimid because we never announced what is the gRevlimid sales, whether it is last year or this year. I only just generally guided. Also, as you know, Kunal, it is about settlement periods. Some can have an overlapping effect on some other periods. So, I think it is better to leave it there.

Kunal D hamesh a: Sure, Sir. Thank you.

Moderator: The next question is from Tarang Agarwal.

Tarang Agarwal: Hi. Good morning. A couple of questions on Eugia and then on the US business. Over the last two years, how has your market share moved in the US injectables business? Because there has been quite a lot of movement in the marketplace. So, just wanted to get a pulse on how the market share has moved. And second, what is the dollar impact of revenue, say, in Q1 because of the remediation activity happening in Eugia -3?

Yugandhar Puvvala: In injectable business, mainly the speciality portion of the US, it is steady. In fact, last year, I was expecting that we will move very well, but Eugia -3 hit us in Q4. Because of that the impact continued in Q1. So, in general, I can say is it is stable. Obviously, we could not grow too much because of Eugia -3 impact. And what is your second question Tarang?

Tarang Agarwal: Dollar impact revenue , because of Eugia -3.

Yugandhar Puvvala: Revenue impact, I told you, like last quarter i.e. Q4 of FY24, we had a $ 20 million revenue impact. And the Q1, we had around similar $ 15 to 20 million impact. And we hope that is the end of it.

Tarang Agarwal: Perfect. That is quite helpful. So, now on the US . Swami Sir, is it possible for the OSD business to reach US$ 300 million quarterly run rate anytime soon , purely from products perspective, in terms of market approvals, and from a capacity perspective?

Swami Iyer: Yeah, Tarang. I will not give a specific number, but I can generally talk about it. So, the US business, as you have seen, has been doing well. And then, we have made major strides in building on our past success. And our business is right now demonstrating good, very strong momentum. And we found that our volume -based strategy with global capacity and talent pool that we have, has helped us to grow into this kind of large generic company. So, these are the basic factors , and that factor remains and it really gets strengthened. We also have a number of new launches. Last year we guided that we are going to have few [good] launches that w ould be coming in. This year also, we expect a good amount of launches, somewhat similar to last year. And we are getting products from the JV in China. And we are also expecting commercialization sometime in the near future for the US oral solid. So, overall, I feel fairly optimistic. And we believe that US oral solids will do well. As far as the number is concerned, we had good amount of growth in the recent past , and if this continues, we should b

e close to that number or achieve that number sometime soon.

Tarang Agarwal: Sure. And specifically on the OTC business for this quarter, I saw some softness. Is it just a quarterly aberration or is something happening there?

Swami Iyer: OTC business was soft in this Q1. There are a couple of reasons. One is , seasonality. Definitely, this was not the season. Despite that, it should have been better, that I agree. But we are optimistic. We have some new awards that are going to start sometime this quarter , and I think that will get ramped up sometime during the year. We believe that we will see some progress in the OTC business going forward, at least from Q2. That is our expectation. And, you know, we also have the OTC branded business that's in a separate company. We have recently had restructuring the last one year of the leadership team and we have got a new strategy. We are very optimistic about the future of that business too. Overall, we think we will see better times for OTC going forward.

Tarang Agarwal: Okay. Just last two, any update on R yzneuta ? I mean, how is that product shaping up?

Swami Iyer: Ryzneuta , unfortunately, there was some problem with the CMO. We were to launch in the Q2 of this year. The problems are being resolved , and I think there could be a delay and the launch would be probably in the last quarter of the current fiscal at this point in time.

Tarang Agarwal: Okay. And the last question on Europe . Given that the business has achieved almost a EUR 850 to EUR 900 million run rate and the margins have moved to mid -teen levels , are there possibly more levers in the business from the point of view of margin expansion . Just wanted to hear your thoughts , or we should expect it to remain at these levels now from here on ?

V. Muralidharan: Taran g, thank you for [asking] this [question] . Yeah, obviously, we expect to move upwards , of course , on the oral solid business, which is predominantly the contributor as of date for the European revenues. We are trying to do our very best . But also, as very clearly explained by Dr. Sat akarni in his initial elaboration, we are keenly looking at the launch of some of the biosimilars in the upcoming period, and that would contribute to increasing the EBITDA margin substantially. Similarly, also we are looking at the Vizag plant of

Eugia to start feeding us, which will be enabling us to participate better in the tenders, in the process, build up our revenues and margins. So , the brighter period is ahead of us. We are keenly looking at it. Thank you.

Tarang Agarwal: Thank you, sir. All the best.

Moderator: Thank you. As this was our last question, I now hand the conference over to management for closing comments.

Shriniwas Dange: Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel free to keep in touch with the Investor Relations team. The transcript of this call will be uploaded on our website www.a urobindo.com in due course. Thank you and have a great day.

Moderator: On behalf of Aurobindo Pharma that concludes this conference. Thank you for joining us and you may now disconnect your line and exit the webinar. Thank you.

(END OF TRANSCRIPT)

Call: Nov 2024

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel: +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 Telangana , India, Tel: +91 40 2373 6370/ 2374 7340
Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
November 1 8, 202 4

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q2 FY2 5 earnings call.

Please refer to our letter dated November 4, 2024 , wherein we intimated about the schedule of Investors/ Analysts call on November 1 1, 202 4. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 202 4 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary
Encl: As above.

Q2 FY25 Earnings Conference Call

11 November 2024

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma, USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Welcome to Aurobindo Pharma 's Q2 FY25 Earnings Call. Please note that all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the opening remarks. Please note that this conference is being recorded. I now hand the conference over to management for opening remarks. Thank you and over to you, sir.

Shriniwas Dange: Thank you, Vandit . Good morning and a warm welcome to our second quarter FY25 earnings call. I'm Shriniwas Dange from the Investor Relations team. We hope you have received the Q2 FY25 financials and the press release that was sent out on Saturday. These are also available on our website.

I would , now , like to introduce my senior management team on the call with us today, represented by:

• Dr. Satakarni Makkapati - CEO of Aurobindo Biosimilars Vaccines and Peptide Businesses & Director, Aurobindo Pharma Ltd.
• Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited.
• Mr. Swami Iyer - CEO, Aurobindo Pharma USA.
• Mr. V. Muralidharan – CEO, Europe Formulations Business
• Mr. S. Subramanian - CFO

We will begin the call with the summary highlights from the management, followed by an interactive Q&A session.

Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and commer cial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to va ry materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you, Sir.

Santhanam Subramanian: Thank you, Shriniwas .

Good morning, all, and a warm welcome to our Q2 FY25 Earnings Call.

I am delighted to share with you that we have continued our growth trajectory during Q2 FY25. Our company recorded revenues of Rs. 7,796 crores, reflecting a year -on-year growth of 8%, and quarter -on-quarter growth of 3%. The growth was led by strong base product sales in the US, continued growth trajectory in Europe and growth markets. During the quarter, we witnessed volume expansion, product launches and stable pricing.

Our EBITDA stood at Rs. 1,566 crores with a margin of 20.1% after absorbing higher the R&D costs. EBITDA before R&D was 25.1% and stood at Rs. 1,954 crores versus Rs. 1,936 crores in

Q1 FY25. Our net profit for the quarter increased by 8.6% year -on-year to Rs. 817 crores. During the quarter, we also completed our first -ever buyback with an o utlay of US $111 million.

Now let me take you through the business -wise highlights for the quarter.

In terms of the business breakdown, Formulation business in Q2 FY25 witnessed a growth of 11% year -on-year to Rs. 6,640 crores and contributed around 85% of the total revenue. API business remained flat year -on-year at Rs. 1,156 crores, contributing around 15% of the total revenue. The price erosion in the API business was offset by the volume gains and the improved asset utilization .

USA: During the quarter, US Formulation recorded revenues of US$421 million with a growth of 3% year -on-year and declined 1% quarter -on-quarter. The price erosion on an overall basis remained neutral driven by our well -diversified portfolio. Revenue from o verall generic products in USA increased by 9% year -on-year to US $289 million, driven by volume gains and new product launches. Rev

enue from the injectable and speciality business in US decreased
by 11% year -on-year to US$ 81 million, mainly due to supply chain challenges. The business is picking up as production is being streamlined. The total injectable and speciality sales globally stood at US$ 121 million.

We have a total of 227 speciality and injectable ANDA filings as on 30th September 2024, of which 170 have final approval and remaining 57 are awaiting final approval. During the quarter, we filed 10 ANDAs, received final approval of 8 ANDAs and launched 1 4 products. The company as on 30th September , has 848 ANDAs filed with USFDA on a cumulative basis, out of which 676 have final approval and 26 have tentative approval , and 146 ANDAs are under review.

Europe : For the quarter, Europe Formulation clocked a revenue of Rs. 2,105 crores, an increase of 19% year -on-year. In constant currency terms, the Europe revenue was €229 million against €197 million in Q2 FY24. The strong performance was witnessed across all key geographies within Europe.

Key growth markets : For the quarter, growth market revenue increased by 44% year -on-year to Rs. 812 crores. In US dollar terms, revenue grew to US $97 million in Q2 FY25. The increase was mainly driven by sales across markets and expansion into new geographies.

ARV: For the quarter, ARV Formulation business decreased by 23% year -on-year to Rs. 193 crores or US $23 million. This was mainly impacted by cut -off sales and spillover to next quarter.

From the above quarter , consolidated numbers need to be seen in context with a low special product or transient sale during the quarter. The base business , excluding the transient sale , grew by 7% quarter -on-quarter and is expected to continue th e trajectory. During the quarter,

the base business was impacted by higher R&D costs, higher freight costs, etc. Our long -term business, (e.g. Penicillin G), which are focused on backward integration and capacity expansion , are ramping up the production. Presently, we are incurring operational costs towards the abo ve to the tune of around 80 crores in Q2 FY25. Post the significant ramp -up, these businesses are expected to contribute meaningfully.

Excluding the transient and the long -term business -related impact, the base business margins stood at comfortable levels of around 21%, reflecting a 200 b ps increase from Q1 FY25 , and absolute EBITDA grew by high -teen’s percentage quarter -on-quarter. This reflects the strength and resilience of our diversified base business. As we progress into H2 FY25, we aim to achieve breakeven and streamline our long -term businesses and are confident of achieving our internally targeted EBITDA margins of 21% to 22% for FY25.

Other highlights : The raw material costs continue to be at benign levels and are in line with our previous quarter, supporting our gross margin, which stood at 58.8% against 55.2% of the previous year. In absolute terms, gross contribution was Rs 4,586 crores.

Net CapEx for the quarter is around US$ 80 million.

The business has a net cash outflow of US$ 235 million during the quarter, mainly due to buyback and increased working capital. As a result the net debt position after the investment s, at the end of September '24, stood at US$133 million. The increased working capital is expected to get released before the end of the year, leading to improvement in the net cash position.

Average finance cost for the quarter is 5.8%.

The average USD -INR exchange rate is Rs 83.8 in Q2 FY25 against Rs 83.41 in Q1 FY25 .

Outlook : We remain confident in maintaining our growth momentum, supported by increased volumes, new product launches and stable pricing dynamics. We expect the current pricing environment in the US market to persist, providing a stable foundation for the performance. Europe and growth markets are anticipat

ed to continue their positive growth.
We are actively ramping up the capacities in Penicillin G , 6-APA, Granulation and China, which will drive further operational efficiencies and support our growth objectives in the coming quarter. We expect to achieve break -even in the Penicillin G product facility by Q4 FY25 and start contributing positively from FY26 onwards. Our commitment to R&D remains strong with focused investments in developing a robust product pipeline that will fuel long -term and sustainable growth. We are on tr ack to achieve our internal target of 21 -22% [EBITDA margin] for the full year, which means , effectively the second half should be better compared to the first half. We anticipate a normalization of our net debt position over the course of the year, further strengthening our balance sheet.

This outlook reflects our confidence in the business and our ability to deliver strong performance in the coming quarters.

This is all from my end. Now our business leaders will give more clarity on any specific aspects in our Q&A session. We are happy to take your questions . Thank you.

Question & Answer Session:

Moderator: Thank you very much. We will now begin the question -answer session. Anyone who wishes to ask a question may raise your hand from the participant tab on your screen. Participants are requested to use headphones or earphones while asking a question.

The first question is from Kunal D hamesh a.

Kunal Dhamesha: Thank you for taking my question and thank you for providing details, Subbu sir. One question on the Penicillin -G front . What progress are we making in terms of taking commercial batches and on the yield front ? You suggested that you would provide some updates in the Quarter 3 call .

Santhanam Subramanian: Yes. So, we are now taking the commercial batches. We have taken around nearly 35 batches in Q2. Now we have accelerated the entire thing and we should be doing not less than 35 to 40 batches for the current month alone. And we will be accelerating this. While, we have taken care of everything , the headwind which we have been facing is on account of the Indian climatic conditions, which we have understood well and have sorted out. And this will help us to accelerate the production ramping up in the coming quarters. That is the reason we said we a re estimating to achieve a breakeven in Q4 , and probably we may achieve half of it in the current quarter.

Kunal Dhamesha: Sure. And sir, whatever we are producing currently , is also being used within our products , or we are still to use those?

Santhanam Subramanian: No, whatever we have produced so far, we have been converting into 6 -APA comfortably without any hiccups.

Kunal Dhamesha: Okay. And then it is going into our products?

Santhanam Subramanian: Yes, it's going into our products. We are also giving samples to third parties , on which we have been taking their feedback and then doing various tests relating to the product.

Kunal Dhamesha: Okay. Thank you, Sir. And one more on the U S business . While you have suggested that the core business has kind of done well and the pricing remains kind of neutral , on the volume growth that we are seeing, can you maybe quantify what type of volume growth ? Is it like in low single digit range or mid -single digit range on volume growth? And are there any particular pockets of therapies, etc., where we are seeing this growth , or is it more broad based? Any particular channel that has opened up to us, which was not there earlier?

Swami Iyer: I'll take this question, Subbu. Thanks, Kunal, for this question. U S business has grown in terms of volume. We have touched certain good milestones this quarter. And there has been growth quarter -to-quarter and of course, on an annual basis. So, the major reason

for the volume increase is due to the introduction of newer launches. And of course, in our base business also, we have seen some traction. So, these are two major factors.

Kunal Dhamesha: Sure. Sir, but this is because some players are moving out. What are you seeing on the ground as of now? Is it some players moving out, creating the vacuum , or are we moving to new channels?

Swami Iyer: Yes. So, now primarily, I don't see players going out as being the reason , because that's been there. It's been there, even 1–1½ years back , some major companies had started going out. And later, some more companies also moved out of a few products. We have been seeing it, but it's nothing dramatic. The major reason, of course, we mentioned earlier, maybe about four or five earnings calls prior to this that we have planned to launch 40 products. We were bang on . 40 products we launched , and those are all getting converted now into volumes and sales, that's one. Some of our existing business, we have been able to get a little more business because of reliability of supply, thanks to our deep manufacturing ability and supply chain. And of course, the US team has done very well in terms of converting leads to orders. So, these are the primary reasons.

And in terms of different forms that, you see, we talk about the tablets, we don't talk about the liquids or anything else in terms of tablets, not so much. We just take that as one unit. So, there's no change due to th e different form of presentation.

Kunal Dhamesha: Sure. And if I may, one last one ? The specialty injectable sales, which has kind of declined 11% , roughly from US$ 102 million to US$ 81 million , I think Su bbu sir alluded that there was a special product which kind of did not do well in this quarter. So, one, what are our expectations from Quarter 3 ? And also, you alluded to the supply chain issues. So, is it related to rebooting of Eugia -III, or there is something else which is going on here? And when can we expect the supply chain issues to resolve?

Yugandhar Puvvala: Yes. Kunal, I think you asked the question, you also answered it. So, you're right. We are scaling up Eugia -III back to the normal levels , and it is already coming to the stabilization phase. Quarter 1 and Quarter 2 , both quarters, we were actually taking a lot of corrective actions. That is why the supplies were a bit lower than the normal levels. That is why we had to have this bit of a degrowth. It is mainly related to the supply chain issues from Eugia -III.

Kunal Dhamesha: Okay. So, there is US$ 102mn falling to US$ 81mn , is it a factor of just supply chain issue or there is the issue of the lumpy product or the special product?

Yugandhar Puvvala: No, it is combination of both. Because obviously, we cannot really do quarter -to-quarter management of that lumpy product. So, Q2 and Q3 is expected to be lower for the special product, whereas half of it is mainly related to Eugia -III supply issues.

Kunal Dhamesha: Okay, great.

Moderator: Thank you, Kunal. We request participants to restrict to two questions and then return to the queue for more questions.

The next question is from Shyam Srinivasan.

Shyam Srinivasan: Good morning. Thank you for taking my question. Just two quick ones. First is on the R&D cost, Rs. 410 crore s, it is kind of jumped up like 80 to 100 basis points. So, I just want to understand what is driving the higher R&D ? And if you could also split us out, maybe based on the different segments on where is this incremental spend going to? That's question one.

And just question two is , Subbu sir , just the ETR for the quarter was kind of high. So, is there something that's happening there that we need to be aware of? If you could give us a full year ETR guidance. Thank you.

Santhanam Subramanian: Firs

t question will be answered by Yugandhar and I'll address the tax later. Not Yugandhar , I'm sorry. Dr. Sat akarni.

Satakarni Makkapati: Hi Shyam. With respect to the escalation of the R&D cost that you guys witnessed in our quarterly update, majority of these costs are a result of the Phase 3 clinical trials expenditure for four of our Biosimilar products. As you know, we have Denosumab, a biosimilar to Prolia, which is in Phase 3 clinical trials across multiple countries in Europe. We have Omalizumab , a biosimilar to Xolair, which is also going through an active Phase 3 clinical trial recruitment in chronic urticaria patients. So, that's a critical spend for us. Then we have an oncology product biosimilar to Avastin, which is closing on the recruitment milestone. I think we just have about another 70 subjects out of 650 odd subjects that we have to recruit. And then we have an ophthalmic product, which is also in Phase 3 clinical trial across India, Europe and CIS countries.

So, when the programs are reaching their logical end in terms of the clinical trial recruitment, that's when , based on the milestone payments that we decided with the clinical CROs, you tend to spend more. And we are in that phase . And the guidance on this pattern of spending will continue for about at least four quarters before the clinical study reports and the filings would happen in the regulated markets. So, you will see this spend, this pattern of spend, at least for the four qu arters, Shyam. Does that answer your question?

Shyam Srinivasan: Thank you , Dr. Satakarni. Subbu sir, on the ETR.

Santhanam Subramanian: On the ETR front, Shyam, as Dr. Satakarni explained in detail on the increased R&D cost, the R&D costs are being incurred in a company called Cura TeQ, which is a 100% subsidiary of A urobindo Pharma. We are not taking the deferred tax asset on the expenditures as on date, being a little bit conservative. And that is the reason you can see the effective tax rate has gone up. The impact of it alone is around 4% for the quarter. And we believe over a period of a year, this year , the effective tax rate will be around 30% type. That is what we are thinking.

Shyam Srinivasan: Subbu sir, it was a 4 percentage points, you mean?

Santhanam Subramanian: Yes, 4 percentage points.

Shyam Srinivasan: Yes. Understood. Okay. Helpful, sir. Thank you . All the best.

Moderator: Thank you. The next question is from Damayan ti Kerai.

Damayanti Kerai: Hi, good morning. My first question is again on generic injectables in the US. So, you mentioned in 1st and 2nd Quarter, already corrective steps are taken , and now things are broadly stabilizing. So, in terms of numbers, if you can say how much recovery we have seen compared to pre -disruption level? And should we assume it to normalize, say by 4th Quarter ? And do you maintain your guidance for global Eugia sales for this year?

Yugandhar Puvvala: Hi, Damayan ti. Yes, we have taken the hit in Q1, Q2. And in fact, if you see it, we have increased our sales from Q1 to Q2 and expect Q3 and Q4 to be even better from a pure generic injectable basis. So, we are bang on in terms of Q4 is expected to be the best quarter. And that is our expectation at this point of time. And the worst is over with respect to Eugia -III is concerned. We have completed all our remediation actions. So, we expect the production levels to come back to normalcy by Q4.

Damayanti Kerai: Sure. And just want to understand, do you need another inspection by the FDA, or it's like partly from you and remediations are done and then things can go back to normal level?

Yugandhar Puvvala: So, from a perspective of continuing to supply existing products, it's over . In terms of , we do not expect any further thing required from Eugia management. And we already had a detailed discu

ssion with FDA on this. So, existing products will continue to be supplied without any disruptions going forward as well. And we never had issues, it was our voluntary decision to slow down production, but FD A never asked us to do anything. And for the approval of new products, we feel a new inspection is required. So, FDA has asked us . As and when we are ready, we can invite them for a re -inspection.

Damayanti Kerai: Okay. So, very broadly, when do you plan to invite FDA?

Yugandhar Puvvala: Probably next year around Q3 levels.

Damayanti Kerai: 3Q of this fiscal, right? By December ?

Yugandhar Puvvala: Q3 of FY26.

Damayanti Kerai: Okay. 3Q of FY26. And my second and last question is for Mr. Swami Iyer. Just want to understand, what are your expectations on US business after the Presidential Election in the US? So, very broadly, what are you hearing and how do you think a company like Aurobindo can see more business ? Because focus is again on the affordable healthcare medicines .

Swami Iyer: Yes, sure. We feel , at this point, maybe it's a little early to say what's going to happen . But we do not see any issues as far as any change in policy is concerned. For example, you know, we have a very good manufacturing base in India and we are able to meet the

requirement to be one of the low -cost manufacturers. So, that way, we have the ability to grow our business in case there are any cost considerations. Now, as far as the manufacturing in the US is concerned, if that becomes a requirement for some kind of p roducts or if there is any norm that comes up from the government, we are ready to meet that too because we have a facility in Dayton, which is scalable. And then we also, as you know, a facility in Puerto Rico that can be quickly brought online and then w e can start commercial production. So, we do not foresee a problem . But it will be better not to speculate and wait for the next 2-3 months to get a better understanding.

Damayanti Kerai: Sure. Thank you. I'll get back in the queue.

Moderator: Thank you. The next question is from Yash Darak.

Yash Darak: Thank you for the opportunity. Just a few questions. As far as the employee expenses a re concerned, there has been a huge increase in your expenses. Will we see this as a normal run rate of expenditure, or it will be brought down?

Santhanam Subramanian: No, employee expenses is normal because, Yash, if you really see , the European currency has moved up . And when we translate the existing things, it appears to be more, but it is normal only. It's in line with our plans.

Yash Darak: And on the other expenses?

Santhanam Subramanian: Other expenses, we talked about it . In the call itself we have talked about it. One is R&D expenses are higher to the tune of around Rs. 70 crores. We have an increased carriage out wards to the tune of Rs. 30 crores on account of the Red Sea related issues. So, we need to move quickly to avoid any penalties, et c. We have to move the material through air. And overall, because of the overall environment prevailed in the Red Sea, the entire cost has gone up, which we think it will come down now. Between this quarter and next quarter, it will come down. That's the mai n thing.

Yash Darak: When do you expect it to reduce?

Santhanam Subramanian: Yes. As Dr. Sat akarni has said, R&D costs are likely to continue for another 3-4 quarters. In terms of the freight cost, it is expected to slow down in this quarter and the next quarter. But let's see. I mean, if there is a change in overall approach. Let's wait and see what's going to happen.

Yash Darak: Okay. Another question. So, another question regarding other income. So, the other income in June was around Rs.221 crores, which is now reduced to somewhere around Rs. 136. Is this a normal run rate for other income?

Santhanam

Subramanian: No, you take the normal run rate aroun d, I think if I am right this quarter we incurred , [other expenses of] Rs. 1,900 crores. You can take anywhere between Rs. 1,850 to Rs. 1,900 crores.

In terms of the other income is around 120 -125 crores will be there. But it will go down slightly , because if you reall y see the interest rates have been coming down. So, both our interest expenditure will come down and the other income also will come down . Because the other income is predominantly represented by the interest income on the deposits we make in U.S. and Europe.

Yash Darak: Thank you, Sir. Just about the Pen -G plant, is it completely operational or little bit delayed?

Santhanam Subramanian: It is it is already operational. We are doing ramping up in a phased manner which is expected to accelerate this quarter and next quarter.

Yash Darak: Okay, sir. Thank you.

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria: Yes, thanks for taking my question. Subbu Sir, on the Pen -G plant now that we accelerate the ramp up, is it fair to assume that the captive consumption and the gross margin improvement should be meaningfully higher in the second half or would that be visible probably mostly in Fiscal 26?

Santhanam Subramanian: See, Neha, as I explained in my original speech, we have incurred around Rs. 80 crore loss which is expected to come down partly in the coming quarter and there should be fully breakeven by March quarter. So, you can start seeing the contribution from this plant from next year onwards.

Neha Manpuria: And external sales would be even later?

Santhanam Subramanian : External sale is predominantly converting the Pen -G into 6 -APA and selling it in the market. And the Penicillin -G sales also, we have effected and we have given the batches to various 2 -3 companies. I mean, I don't know how many number of companies but we have given it to outside company, external party. They will be giving the feedback and based on that the ramping up will take place for the external sales directly at Pen-G.

Neha Manpuria: Okay. So, you are planning to sell Pen -G directly also because I thought the original idea was to sell only in 6 -APA.

Santhanam Subramanian: We will sell it as Pen -G, we'll sell it as 6 -APA, we will also sell it as Amoxicillin Trihydrate and other products also.

Neha Manpuria: Okay. And you're saying both of these , the captive consumption and external sales, will be Fiscal 26.

Santhanam Subramanian: Captive consumption already taking place.

Neha Manpuria: Okay, got it. And my second question is on the European business, Murali Sir, we are already clocking close to the €900 million mark that you mentioned last quarter. Last quarter and third quarter, we'd seen a clawback tax. So, should we factor in somethin g like that in this quarter also? And from this €900 million base if I think about Fiscal 26 and 27, what do you think are the growth drivers that I should build in for the European business scaling up from the current level.

V. Muralidharan: Yes, Neha, good morning to you and good morning to everyone and thank you for raising this question. Yes, our run rate at present, as you are able to see, we are well on course for the €900 million for the current FY. And also the growth drivers for the subsequent two financial years are going to be more launches. Some of them our pate x Day one launches, we are gearing up for 3 -4 products bare minimum. Some of them are risk - based, still we are assessing, but this is going to contribute. Plu s, the standard set of new launches, new to that country, at the same time which will add to the portfolio. In addition, of course, the Eugia launches which are substantial in the year two and also we are keenly looking forward

to the Cura TeQ launches coming up. So, these will be the main growth drivers.

At the same time, already we are pushing a billion dollar mark and we will be going well past that in the coming years.

Neha Manpuria: So, the billion dollar next year itself or should I take that as an…

V. Muralidharan: Yes, I meant billion dollar. We are already at €900 million, which is almost a notch above in dollars.

Neha Manpuria: Okay. So, in terms of the growth rate, next year would be similar to the growth that we have seen this quarter or our usual fiveish percent that we see for European business?

V. Muralidharan: Yes. See, the European [industry] business, growth is rather muted. It is in the flat or low single digit, whereas we'll be always tracking towards high single digit or double digit marks. We are confident of that.

Neha Manpuria: Understood. And is there a clawback impact, Sir, in the third quarter of this year?

V. Muralidharan: There is no exceptional clawback. We are already provisioning it. The main clawback is arising from France. If more details are needed Subbu can explain, but we are provisioning it and we are fully prepared. At the same time, our two litigations are going on for the previous years, still decision not arrived at. So, only on the positive side, we may get some claim back.

Neha Manpuria: Alright, got it. This was helpful, Sir. Thank you so much.

V. Muralidharan: Thank you.

Moderator: Thank you. The next question is from Jigar Walia.

Jigar Walia: Yes, thanks for the opportunity. Sir, with the Revlimid revenues back in H2, do we expect to meet the old run rate US$ 600 million overall for injectables?

Yugandhar Puvvala: Yes. Including Revlimid, yes, we planned around US$ 600 million but based on Q1 and Q2 slowdown of production, there can be a plus or minus to that US$ 600 million; 5% here or there. But, largely, we are in the ballpark .

Jigar Walia: Okay, got it. And any overall guidance for the second half for sales EBITDA?

Santhanam Subramanian: Sales and EBITDA are expected to be much better than the first half in the second.

Jigar Walia: Got it. One question, if I can take for Dr. Satakarni. So, in the case of total CapEx, which is now been done in Merck JV right now and if at all there is something around in terms of EBITDA margin or value type of perspective from a slightly longer term perspective, if you can provide?

Dr. Satakarni Makkapati: Hello, Jigar. I don't know if I understood your question well but with respect to the CapEx in the TheraNym Biologics , our CMO arm , we alluded to around ■1 ,000 crores as guidance before and that remains the guidance with the current capacities that we are projecting with 2 x15 KL Mammalian cell culture Bioreactor Lines and associated Purification Line. But there is also a thought process that we would like to maximize our capacity footprint in that site by addition of two more 15 KL Bioreactor Lines. So, that decision is yet to be taken. If that decision is taken, then it would add to the current capital expenditure guidance by another US$ 40-$50 million.

With respect to the revenues and the margins and EBITs, as I told before, I hate to give guidance which is about 3 to 4 years from now but we see the first set of stockpiling effort for the customer coming in from late [CY]2027 which means the revenues will start to trickle in and we expect the consistent flow of revenues to happen from 2028 Calendar Year onwards. And, right now, what I expect is this CMO business would not be less than a 50% margin business. I would like to leave it there and not speculate too much, Jigar, if t hat is okay with you.

Jigar Walia: Understood. Thank you so much. Thank you so much, I'll come back in the queue. Thanks.

Dr. Satakarni Makkapati: Thank you .

Moderator: Thank you. The next question is from Tarang

Agarwal.

Tarang Agarwal: Hi, good morning. Just a couple of questions on Eugia and Europe . On Eugia two questions. I mean, first, Sir, if we look at Eugia last quarter, which is Q1 of FY25 and Q4 of FY24, we were impacted anywhere by about US $15-$20 million on a quarterly basis

because of Eugia -III. It was widely anticipated that this quarter much of that impact will be averted, so has that been averted to a large extent?

Yugandhar Puvvala: Yes. In fact, Q2, we continue to have similar issues like Q4 and Q1, Tarang, but now we are back to the original levels. But Q2 also, I have taken the impact of supplies.

Tarang Agarwal: Okay, sure. So, would it, therefore, be safe to presume that the US $15-$20 million continues up until Q2 and then from Q3 onwards hopefully things should be all right?

Yugandhar Puvvala: That's right.

Tarang Agarwal: Okay. Second, on Vizag, how should we look at the ramp up of the Vizag plant? I mean, are we waiting for more approvals to kick through? How should we build that in?

Yugandhar Puvvala: So, I think, Vizag you should look at in three different buckets, Tarang. One is, what are the terminally sterilized lines, what are the aseptic lines, what are the special lines what we are putting up. So, we have the approval of all the terminal steriliz ed lines from the USFDA and the Europe approval also for all lines. Whereas aseptic products, we have filed it and we expect inspection for aseptic lines going forward. After that, we have all the GLP -1 products like Semaglutide, Liraglu tide and all that cartridge line, PFS line and we are putting some ophthalmic lines; that will be the third phase.

So, the Vizag is in three phases in terms of the overall capacity build up at Vizag. We expect decent revenues in FY26 but the actual ramp up will happen from FY27 onwards.

Tarang Agarwal: Got it, that's helpful. Thank you, Sir. On Europe, Sir, fantastic execution. Almost 12% constant currency growth for H1. What is driving this? I mean, are there any one -offs? Specifically, say, if I look at Q2, 16% constant currency growth has not been see n in this part of the world or for you also, so any specific drivers or is there a one -off that's at play? How would you look at it?

Yugandhar Puvvala: Tarang, I will only talk about injectables and I will leave it to Murali for the overall guidance.

Tarang Agarwal: Sure, Sir.

Yugandhar Puvvala: Europe, we have seen a significant growth. In fact, let's put it as, if I see from H1 of last year to H1 of this year, it's almost we had 20% plus growth in injectables. I think it's driven by various factors with respect to supplies from other suppliers. It's nothing to do like there's no one -off in Europe for injectable business.

Murali, would you like to guide on other things?

V. Muralidharan: First of all, thank you, Tarang, for raising this and for your appreciative words. Yes, on the oral solids front, I would attribute it to the very careful management of the

inventories, right products at the right time and looking at the opportunities and making full use of it. And in the process Malta has also been very supportive in timely release of the products to the destination countries. So, it's a combination of some of these. The commercial teams have been working in tandem to identify the opportunities and service the market. So definitely, we are bullish and confident.

Yugandhar Puvvala : Overall guidance is simple. There is no one -off for this growth. I think we will leave it there.

Tarang Agarwal: Sure. And last question on the U.S. business, what would be in your view a good base for the oral solids. [And also on OTC business] That seems to be flat at about US $25 million.

Swami Iyer: Fairly high level of dollar value and even volume. We are at 2 billion tablets a

month. A little over 2 billion, actually, a month. And we are number one in terms of prescriptions, the next competitor is probably 33% lower, if I see in terms of prescriptio n. This is not even considering the private labels. The reason why I'm telling you this is, we have a fairly large base and adding substantially to this base requires new product, newer form of presentation. We are working on it. So, I wouldn' t want to speculate but, I think, we are moving towards the future with a much more diversified portfolio. We have a global manufacturing infrastructure. And then the strength of our overall portfolio, including some of the newer presentation that we broug ht about, these would help us [to be] on [our] track to achieve better growth.

And I would say that we'll establish the base as we go along but today we are in a fairly high base.

Tarang Agarwal: Okay. And there's no one -off, so to say, driving this business also, right. I mean, it's all a function of the portfolio.

Swami Iyer: There is no one -off which is anything significant. You always have this marginal ones, you have some OTBs, you have some stuff but there's nothing significant which is one -off.

Tarang Agarwal: Okay. And the OTC business?

Swami Iyer: I'm sorry . OTC Business, we have been monitoring the OTC business very closely because that is one area where the growth has been very flattish. But I'm happy to say that this has been a decent quarter for OTC and we have, I think, laid the foundation for OTC Busine ss in terms of awards and in terms of creating the infrastructure. We believe we should see tangible results starting from Q3 in OTC. And I also think there will be no looking back for OTC from here.

Tarang Agarwal: Sure. Thank you, Sir. All the best.

Swami Iyer: Thank you.

Moderator: Thank you. The next question is from Nitin Agarwal.

Nitin Agarwal: Hello, good morning. Thanks for taking my question. Sir, as I'm seeing you on the Peptide business, you've given some color on that in your presentation. Can you just give us or share some thoughts on what opportunities do you see in this business going forward?

Yugandhar Puvvala : Are you talking about the API business or formulation business, Nitin?

Nitin Agarwal: Sir, both, if you can. In terms of, you've talked about 14 DMFs, there is mention of GLP additional capacities. So, what kind of opportunity do we see here for both the segments?

Santhanam Subramanian: Dr. Satakarni, please.

Dr. Satakarni Makkapati: So, Nitin, good morning. In peptides, as you know, for over a decade at Aurobindo we have carefully nurtured capabilities in both solid state and liquid phase Peptide synthesis. We have filed about 14 DMFs, out of which I think 5 of them have translated in to successful ANDAs in the U.S. We continue to streamline our portfolio with more focus on oncology and primarily the diabetes market. Right now, our pipeline has three glucagon like Peptide -1 Receptor Agonist s with us now investin g in expanding our manufacturing capacity footprint. Right now, we have about 5 manufacturing lines which can do gram quantities to a kg quantity of the product. But considering the anticipated demand for the GLP -1 products, we have initiated constructing or commissioning a Phase -I of the new GLP facility, which I believe would be ready by the end of next year, and this would catapult us into a minimum of 100 kg capacities with the scope to expand it in Phase -2 and Phase -3 to another 400 kilograms of GLP -1 APIs that we can produce.

Likewise, we are also starting to make some foray into the domestic market with Peptides. We have received an approval for a first -in-class Linaclotide Peptide, which is used in irritable bowel syndrome. So, we are going to give that to Indian patients ver y soon through a partner. So, you will see some traction in Peptides, a pa

radigm change in how we look at emerging
markets, primarily the domestic market, and also an investment in the API manufacturing capacity footprint side of things.

Hope, this answers your question, Nitin.

Nitin Agarwal: Sir, thanks. If I can just take a little forward, Sir, from your ability to participate in the emerging market opportunity, which is going to open for Semaglutide, and for Lira, which is going to open a little quickly, how are you placed in terms of would you be in the first wave of launches for Liraglutide globally and for Semaglutide?

Dr. Satakarni Makkapati: For the emerging markets, we are still f irming up our strategy especially in markets like India. For regulated markets, I would let Yugandhar and others take the call. But we still have a window of opportunity in the emerging markets for Semaglutide. And we also are very keen to bring in Liraglutide into India.

Nitin Agarwal: And, Sir, secondly, on the Biosimilar business, you talked about the various trials which are going on, the global Phase -3 trials. But in terms of meaningful commercial impact of these projects, by when do you start seeing that happening?

Dr. Satakarni Makkapati: So, with respect to our Biosimilars initiative, as I told that, we have four products in the global Phase -3 clinical trials. We are on track to complete our Denosumab Phase -3 clinical study in women with post -menopausal osteoporosis by May or June, 2025. I n fact, we completed the recruitment of all 436 patients across Europe. So, I think, Denosumab would be commercial in the CY2026 in Europe. And in India, we strive to make it commercial and make it available to the Indian patients in the next year itself.

Likewise, with our Biosimilar to Xolair, which is omalizumab, I must admit that our recruitment has been slower by 3 -4 months than anticipated. This is expected in the dermatology setting sometimes depending on how the sites operate in Europe. But we are c onfident of completing the recruitment of all patients by February -March 2025. This means, based on my earlier guidance, we can still have a chance of filing this product by the end of next year with EMA and also with the FDA. This product, as you know, Nitin will be a very interesting opportunity for us considering its use in chronic urticaria, respiratory asthma and accidental food allergies.

So, as I told in one of the Earnings Call before, I'm looking at a market opportunity in both Europe and FDA [US] where I would be one of the three or four players for omalizumab. Again, the commercial impact of this product will be felt starting [CY] 2026. In India, we plan to launch it next year but in Europe it will be [CY] 2026. The three other Biosimilars that we have already filed in Europe, if there are no other regulatory hiccups, I'm expecting them to be commercialized in the next 6 -7 months time i n Europe. So, you will see a commercial impact of our first set of Biosimilars starting [CY] 2025 and from [CY] 2026 you will see the key products, which is the Denosumab, Omalizumab et c. coming into the market. [CY] 26-27 would be the years that I think the supply chain would get stabilized and you will start to see how this impacts the overall numbers of the company.

Nitin Agarwal: Sir, if I push that little forward, so whatever that you've discussed, it is fair to say that most of our opportunity in the initial years is going to be around India and Europe and U.S. will probably begin to contribute later in a meaningful way?

Dr. Satakarni Makkapati: I think that is a fair assessment of the business. The initial opportunities will come from India, Europe and the rest of the world. U.S., I'm expecting my first filing. In fact, I told you that the first filing will be done in this quarter, which I think we are still on track to filing our first product, which is a trastuzumab biosimilar this

quarter in
the U.S. And if that gets approved and you know how things happen with the U.S., it takes its own sweet time, then you can see even commercial impact from the U.S. kicking in from late 2025 Calendar Year or [CY] 26. But I would exercise some caution with how the USFDA reviews of the GMP facilities and the dossier goes on. So, towing in the line that you have stated, the initial opportunity would essentially come from Europe and India and the rest of the world with U.S. taking a backseat. But U.S. would also kick in; that's where the business is. Hopefully, in CY 26-27.

Nitin Agarwal: Sir, if can get one last one. Sir, on the CMO business, what is the thought process for adding additional capacities? And what will drive the decision for you to go ahead or not go ahead with it?

Dr. Satakarni Makkapati: So, we would like to add additional capacities in that facility, Nitin, to essentially give us more flexibility so that in case there is a ramping up requirement from the customer, then we are not caught up napping because it takes about 2 -2.5 years to bui ld capacities of this scale in Mammalian cell culture. And as I told before, this will be the largest capacity that will be available in India. No one had done anything over 10,000 liters mammalian in the country. So, we thought i nstead of reacting to a requirement maybe 2 -3 years down the line, why not add capacities as we build the block one of this facility that we are already building and hence be ready for any opportunities that come our way starting [CY] 2028. So that's the reason why we are thinking about adding capacities there, Nitin.

Nitin Agarwal: Okay, Sir. Thank you so much, Sir.

Dr. Satakarni Makkapati: Thank you.

Moderator: Thank you. The next question is from Ankush Mahajan.

Ankush Mahajan: Sir, my question is related to the Eugia -II. What kind of a price erosion was in the existing products? And, Sir, what is the strategy for the new launches from the Eugia -II now?

Yugandhar Puvvala: Sorry, is this the question on Eugia Business, Ankush?

Ankush Mahajan: Yes, Sir. Yes, Sir. So, what is the price erosion in the existing products? And what is the strategy for the new launches from the Eugia -II?

Yugandhar Puvvala: Yes, price erosion is in a low single digits. That's been the trend for the last few quarters. And launches are a bit low this year but we expect things to ramp up from H2 onwards. But there are no meaningful launches in next 6 months or next 1 year. So, it i s more about supplying from our existing molecules and see how things pan out in the next 6 months.

Ankush Mahajan: Thank you, Sir.

Moderator: Thank you. The next question is from Amey Chalke:

Amey Chalke: Thank you so much. Most of my questions are answered, just one thing on the branded specialty U.S. Business, if management can highlight plans here or any milestones in the near term for this business? And what growth should we assume?

Swam i Iyer: Thank you, I'll take that question. You're talking about the branded business?

Amey Chalke: Yes, the spectrum portfolio which we have acquired .

Swam i Iyer: Right -right. So, we have given an indication earlier that Acrotech is steady in the range of US$ 25-30 million kind of range that we are talking about and we don't see any immediate change to it. We also indicated the strategy behind this. We are not going for any big bang investments now in terms of brands. So, that's where we are. We will be steadily maintaining this business or there could be some mi nor improvements but nothing significant that we are looking at immediately in the short term.

Amey Chalke: Sure, sure. The second question I have is on margins. This might be repeated as I was not there in the opening part. We have seen impact of higher R&D, the Pen -G

losses
and also the Revlimid or the specialty product lower sales. Despite that, our margins h ave been bit healthy around 20%, is there anything which management wants to highlight or, Subbu Sir, you want to highlight? Or should we consider this 20% of the base going ahead?

Santhanam Subramanian: No, I think, I explained it very well at the beginning itself. Even though the YTD first half margin is around 20.7%, we are still maintaining our guidance of around 21% -22%, right. We expect the second half will be better than the first half, including all businesses. As Yugandhar rightly explained on the Eugia and the Penicillin -G, it's expected to move forward with the better operations /contribution. With all these things, we still maintain the 21% -22% [EBITDA margin] .

Amey Chalke: Sure. And, Sir, on the working capital, it might have gone up on account of maybe some opportunity in the U.S. and also the buybacks etc., and the debt level as well. So, we expect going ahead working capital to normalize and the debt also to normalize in coming quarters?

Santhanam Subramanian: Yes, that is what we expect. Ye s, that's what we exactly expect. By end of the year, we'll see an improvement because good sales ha ve happened in both the U.S. and the Europe this quarter coupled with the fact that we had certain reimbursement to be obtained from the government which are all expected to happen this quarter, next quarter.

Amey Chalke: Sure, sure. Thank you, I will join back.

Moderator: As this was our last question, I would request management to give their closing remarks and close the call.

Shriniwas Dange: Thank you all for joining us on the call today. If you have any of your questions unanswered, please feel free to keep in touch with the investor relations team. The transcript of this call will be uploaded on our website www.aurobindo.com in due course. Thank you and have a great day.

END OF TRANSCRIPT

Call: Feb 2025

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel: +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 Telangana , India, Tel: +91 40 2373 6370/ 2374 7340
Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
February 13, 2025

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q 3 FY2 5 earnings call.

Please refer to our letter dated January 28, 2025 , wherein we intimated the schedule of Investors/ Analysts call on February 7, 2025 . We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the third quarter and nine months period ended December 31, 202 4 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary
Encl: As above.

Q3 FY25 Earnings Conference Call

07 February 2025

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma, USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. S. Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

Moderator: Ladies and gentlemen, good day and welcome to Aurobindo Pharma's Earnings Conference Call for the third quarter of FY25. Please note all participants lines will be in listen - only mode and there will be an opportunity for you to ask questions after the m anagement's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participant tab on the screen. Please note, this conference is being recorded. I now hand over the conference to management for openi ng remarks. Thank you, Sir and over to you.

Shriniwas Dange : Thank you, Vandit . Good morning and a warm welcome to our third quarter FY25 earnings call. I'm Shriniwas Dange from the Investor Relations team. We hope you have received the Q3 FY25 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce my senior management team on the call with us today, represented by:
• Dr. Satakarni Makkapati - CEO of Aurobindo Biosimilars Vaccines and Peptide Businesses & Director, Aurobindo Pharma Limited
• Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited
• Mr. Swami Iyer - CEO, Aurobindo Pharma USA
• Mr. V. Muralidharan – CEO, Europe Formulations Business
• Mr. S. Subramanian - CFO, Aurobindo Pharma Limited

We will begin the call with the summary highlights from the management, followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and commercial performance.

While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward - looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you, sir.

S. Subramanian: Thank you, S hrini. Good morning, all, and a warm welcome to our Q 3 FY25 Earnings Call. I am pleased to share that we have delivered an exceptional performance in Q3 FY25 continuing our strong growth trajectory. This quarter, we have achieved our highest ever quarterly revenues reaching ■7,979 crores with a remarkable growth both year -on-year and quarter -on-quarter . Our performance is fuelled by robust base product sales in the U.S., sustained momentum in Europe , and ongoing expansion in high growth markets. We saw impressive volume growth, successful product launches and maintained stable pricing , all contributing to a strong quarter.

Gross contribution also stood at highest level at ■4,663 crores. Gross margins remain ed at 58.4% increased by 130 bps year -on-year d espite low transient sales , owing to benign raw material prices.

Our EBIT DA stood at ■1,628 crores with a healthy margin of 20.4 % even after absorbing higher R&D cost of around ■50 crores over Q3 FY24 given our strategic focus on development of complex products i ncluding specialty and biosimilar s.

EBITDA before R&D stood at 25.8% or ■2,056 crore against ■1,975 crores in Q3F Y24.

Our net profit for the quarter stood at ■ 846 crores.

Our cash flows improved significantly on the backdrop of a strong working capital management leading to a reduction in net debt to US $84 million .

Now , let me take you through the business highlights for the quarter.

Formulation s Business : In Q3FY2 5, our formula tions business witnessed a

robust year -on-
year growth of 11% to ■6,973 crores, contributing approximately 87% of the total revenues.

The API business recorded a revenue 1 ,006 crores. While pricing pressures continued, t hese were partly offset by the volume gain s and improved asset utilization .

USA : During the quarter, our U .S. formulation s business recorded revenues of US$435 million against US$421 million in Q2FY25, reflecting a strong quarter -on-quarter growth. The price erosion on overall basis remain ed neutral supported by our well diversified portfolio.

Revenue from overall generic products in USA increased by 4% year -on-year to US$297 million driven by volume gains and new product launches. The Specialty & Injectables business in US remained at US$76 million mainly due to low transient business sales and cut -off related issues due to the Christmas.

As of December 31st, 2024, we have a total of 226 Specialty & Injectables ANDA filing s with 170 having final approvals and 56 under review.

During the quarter, we filed 4 ANDA s, received final approval for 8, and launched 7 products.

Europe: Our Europe formulation s business continues to deliver strong results, registering a revenue of ■2,121 crores, a significant growth 23% year -on-year. In constant currency terms, our revenue stood at €236 million against €229 million in Q2FY25. This growth was driven by robust performance across all key European geographies.

Growth Market s: Revenue from the growth market s saw a remarkable 39% year -on-year increase reaching ■873 crores or US$104 million driven by our successful geographical expansion and strong sales momentum.

ARV: The ARV business stood at US$36 million [■307 crores] . The growth in ARV business was driven by additional opportunities.

Now, going to the other highlights -

The raw material costs continued to be at benign level s supporting our gross margin, which stood at 58.4 % against 57.1% of previous year.

Net Capex for the quarter is around US$106 million .

The business had a net cash inflow of US$49 million during the quarter. This is supported by improved working capital position . As a result, the net debt after investments at the end of December improved to US$84 million from US$133 million in September 24. We expect the net debt to improve further by the end of the fiscal year FY25.

The average finance cost for the quarter was 5.6%.

The average USD -INR exchange [for the quarter] is at 84.46 against 83.76 in Q2FY25.

Strategic Initiative s:

Expanding our manufacturing capacit ies: W e have a present formulation s annual manufacturing capacity of 50 billion + units . We intend to further increase the capacity to drive future growth.

We have commercialized our China plant with an annual OSD [manufacturing capacity] of around 2 billion units, which is expandable further over near to medium term. The plan t is expected to contribute to revenues in FY26.

We expect our US based OS D plant a t Dayton to be commercialized in the next fiscal year. Our other plant in Raleigh , which is currently manufacturing topical is expected to be fully operational next fiscal year to include transdermal and respiratory products.

Building a strong portfolio with respiratory and nasal : W e are working on multiple respiratory products . Recently , we have partner ed with a global pharma major for development of respiratory product, highlighting our commitment towards the complex portfolio.

Our backward integration : We are witnessing good yield improvements in the capacity ramp up process in our strategic investments n amely, the Pen-G and forward derivatives is on track. We expect to break even by March 2025.

Strong bi osimilar product line : The recent [EU-GMP Certificate of compliance] certificate followed by [two CHMP] positive opinions emphasiz

e our commitment and capabilities in this space.

Looking ahead :

We are confident to continue our growth trajectory driven by our robust and diverse product portfolio coupled with significant capacity enhancement s, multiple upcoming launches and favourable market condition s.

Our backward integration efforts are expected to drive enhanced operational efficiencies and deliver strong contribution to our financial performance in FY26, which not only offset s the anticipated decline in transient sale s but also strengthen and sustain our revenue and profitability growing forward .

The growth momentum in Europe and other key market is expected to sustain , further accelerating our revenue stream. At the same time, our proactive efforts to optimize the working capital cycle will further enhance our balance sheet and improve cash flow s, reinforcing our financial stability and long -term growth pot entials .

We are on track to achieve our internal EBIT DA margin target of 21 % to 22% for FY25. The next quarter [Q4FY25] is expected to be strong and driven by increased transient sale s, execution of strategic initiatives and improved operational efficienc ies.

This concludes my remarks. Now , our business leaders will give more clarity on any specific aspect in our Q&A session. We are happy to take your question. Thank you.

Question & Answer Session:

Moderator: Thank you , Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. While asking questions , request you to please identify yourself and your company name. Please raise your hand from the participant tab to ask the question.

The first question is from Tushar Manudhane.

Tushar Manudhane: Yeah. Good morning, Sir. Just on Pen -G, to start with , like what kind of operational loss currently we have for the quarter?

S. Subramanian: We had around ■60 crore operational loss and the plant has gone for a small shutdown for including /modifying some of the equipment which has completed, and we started it 10 days back.

Tushar Manudhane: And what kind of pricing outlook are we sort of building once we break even or let's say for the external sales?

S. Subramanian: Current pricing of Pen -G is around US$26. However, we are not depending on the Pen-G sales alone. We have created capacities across the value chain of Pen-G, so we

will be able to supply it as Pen-G or 6-APA or Amoxicillin etc . So we will be able to manage it even if the price goes down and we may even do better.

Tushar Manudhane: Understood. And secondly in terms of the raw material prices, what's the outlook whether do you see the inventory in this industry itself lowering down, so that will benefit in terms of raw material prices for us going forward?

S. Subramanian: I think the current raw material prices continue to be there [at current levels] and what will happen because of the inventory going down is a very futuristic question, but I think , at any point of time , we will be having around three to six months tops, so may not be a big issue in our view.

Tushar Manudhane: And lastly on Eugia, when do we see the production scaling up or let's say the sales scaling up, we've seen now like second quarter where sales been really trending downwards?

S. Subramanian: Yeah, my colleague , Yugandhar will answer .

Yugandhar Puvvala : Hi, so as you rightly said, it is basically like we are scaling up the production mainly from Eugia -3 and we have completed all the remedial actions and this quarter onwards , we will be reaching to our original what we used to do, which is around 60 to 70% of capacity utilisation . Right now,

we are still doing around 50% capacity utilization.
So, I expect this quarter onwards, we should go back to the previous levels, and I don't expect any further decline happening from here on.

Tushar Manudhane: Thank you.

Moderator: Thank you. The next question is from Kunal Randeria .

Kunal Randeria : Good morning, Sir. So, my question is around your plans in China? So how should we l ook at this market shaping up b ecause in the past you and several of peers have spoken of this opportunity, but I don't think there has been any material contribution yet. So, just wondering if you can share some details , the kind of products you have , the time it takes to get approval , the reimbursement process, the launch pipeline you have , and the revenue projection for the next two to three years ?

S. Subramanian: Yeah, Kunal, we started our China plant in the last week of November, and it is in the ramping up process . The China plant will start billing sometime in the month of April, mainly to the European markets. We also have certain approvals for China and also we already got the European approval , so we can supply to Europe. China, we are in the process of getting it and after that there may be a n inspection for U.S. also. So, in the next year, it will ramp up fully and probably in another t wo to three years, we will see good traction coming out of the China plant.

Kunal Randeria : And the kind of products and just curious, why would you be, not trying to supply more to the Chinese market ?

S. Subramanian: No, immediately we are having the European approval, so will supply to Europe . As and when we get the approval from China regulatory authorities for the China plan t, we will supply to China also.

Kunal Randeria : Right and any revenue number you would like to call out now, f or the next three years ?

S. Subramanian: No. This be ing the f irst year , we may not like to, but certainly I see a significant revenue coming up in two to three years' time .

Kunal Randeria : Sure. Just one more if I can , for the fourth quarter, should your gRevlimi d sales be higher than the fourth quarter of last year?

Yugandhar Puvvala: I think yes and beyond that, I don't want to say anything, but yes.

Kunal Randeria : Sure. Thank you, Sir.

Moderator: Thank you. The next question is from Kunal Dhamesha .

Kunal Dhamesha: Hi. Thank you for the opportunity. S ir, when I look at, we have said that our revenue growth in this quarter on a year -on-year basis is excluding the transient product is around 12% year -on-year . So, that's a good outcome. Can you help us with a similar number for nine months FY25?

S. Subramanian: I'll work it out Kunal. I don't have it right now. I'll get it done.

Kunal Dhamesha: Sure . And on the transient product, how do we expect it to evolve in FY26 since there is a patent expiry also coming in for us, because there will be some buying pattern changes as well , so h ow are you thinking about it?

S. Subramanian: Yugandhar.

Yugandhar Puvvala: Sorry, Kunal, I didn't get , is it specific to some product?

Kunal Dhamesha: It's specific to gRevlimid right because there's patent expiry in let's say January, and everyone is given a particular market share, so is there a meaningful change that you expect early on in the year, let's say FY26 in terms of buying pattern , price erosion , volume s, or would it be more?

Yugandhar Puvvala: There are lot of things possible, Kunal. We don't know exactly how the market will shape up going forward into F Y26. So, we are conscious of that and whatever volume what we have, we wanted to maximize the opportunity in Q4 and Q1. That's our thought process. Now , how things will shape up? I won't be in a position to clearly tell, but yes, the closer you go towards Jan 2026,

things are going to change dynamic ally. Okay. S o, I don't know what others will do, but I know what I will do. Obviously, like we do have plans of continuing gRevlimid post the patent e xpiry starting from 1st Feb 2026 and it will be like any other generic , but we want to be there even the post [patent expiry] .

Kunal Dhamesha: Sure. And one for Dr. Satakarni on the positive CHMP opinion that we have got on Filgrastim now. So, what's our launch plan? I believe we need to still get the marketing authorization approved and then we can launch. So, what's the timeline there and then how the pipeline is looking?

Dr. Satakarni Makkapati: Good morning, Kunal. So, with respect to the positive opinions we have received from CHMP for Filgrastim and the long acting Filgrastim, I expect the marketing approvals in two months' time. That's the usual timeline from receiving a positive opinion to completing the European Commission formalities for receiving a positive opinion [read it as 'marketing approval']. So, considering Dyrupeg or the pegylated Filgrastim gets approved in April an d Filgrastim slightly before that, we already have a bevacizumab biosimilar approval in UK. So, I think we will be starting our commercial supplies into the EU starting the quarter of July. So, in all likelihood, I expect a quarter and quarter and half o f revenue bookings to begin from this year. That's Part -1 of your question. Now, what was the Part -2? About the pipeline, right? Kunal?

Kunal Dhamesha: Yeah . In terms of , how we have evolved, let's say quarter 2 to quarter 3, any clinical trial updates, etc that we have or the pipeline product s?

Dr. Satakarni Makkapati: So, we have four more products in the Phase 3 clinical trial. As I told you, I think last quarter the biosimilar to Xgeva and Prolia, which is a Denosumab biosimilar being tested in post -menopausal osteoporosis. We are on track to conclude the clinical study by May this year [2025], which means that we will have the clinical study report available with us by September [2025], and I hope to, if there are no further delays in gleaning the data, because this trial was completely con ducted in 8 European countries and 65 sites, I expect the European filing to be in the October quarter and the U.S. filing to be in the Q4 of the next fiscal [FY26].

With respect to Omalizumab , which is a biosimilar to Xolair that is being tested in chronic spontaneous urticaria across the European sites in Caucasian public (patients), we are slightly delayed by about four to five months in closing out the (patient) recruitment. I think I talke d about it last quarter, but what is important to note is, we made -up for a couple of months by increasing the number of sites in India, earlier India was not part of the recruitment plans which means that I'll still have a delay of three months in closing out the study. But I'm quietly confident that by the end of this year, the Omalizumab clinical study will be concluded as well. We already announced positive Phase 1 results with Omalizumab versus the European and the U.S. innovator product, I think last year. So, we are quite confident of closing out the Omalizumab clinical study by the end of the year, and Q4 filing, at least in Europe, still looks a possibility in the next fiscal. So, that's about the Omalizumab clinical st udy.

The Bevacizumab clinical study has been going on for about 3 years now. We are inching towards the closure. I think in two quarters time we will conclude the recruitment phase and probably we will have a filing in Q1 -Q2 of the next fiscal, which means (in) FY26 -27 for Bevacizumab, but with the MHRA approval that we received for the Bevacizumab, we are talking to a few regulatory agencies in the emerging and the semi -regulated markets where we can position the dossier based on the MHRA appr

oval alone. It's still very dyn amic in the

way regulatory agencies look at how the product gets approved only based on Phase 1 and what is the process forward in approving it. So, if there are any approvals that I receive in emerging markets or semi -regulated markets, I'll let you know.

The ophthalmic product is slow. We have an ophthalmic product in clinical trials. We are only at around 50% of the recruitment. So, I don't think we'll be able to complete the recruitment in 2025 as estimated before. I think we will be well into the se cond half of 2026 when we (will) conclude the Phase 3 clinical trial for the ophthalmic product. So, in the nutshell, except for the ophthalmic product, the pipeline is advancing fairly well and with approvals that we have received or the positive opinion s that we have received, we are quite confident by 2026, we will be able to at least have six to seven products in the European and the semi -regulated markets. I hope that answers your question.

Kunal Dhamesha: Yes, yes . Thank you, Sir for the detailed update and all the best.

Dr. Satakarni Makkapati : Thank you.

Moderator: Thank you. The next question is from Anu bhav Agarwal.

Anubhav Agarwal: Yeah. Hi, guys. Good morning to all . Two questions , one is for Yugandhar

Sir. First on the injectable business, when I look at IQ VIA data, I do not see significant ramp up over last two or three quarters. The sales are just languishing. I understand that you guys been shipping this quarter had cut -off effect etc., b ut is it just a production problem where you say that you have 50% capacity utilization or there is unwillingness from the customer side to take product because of Eugia -3 situation ?

Yugandhar Puvvala : No, it is mainly the production problem . Anubhav, I can tell you that with full confidence , it is that we are ramping up slowly and we don't want to rush anything and all our contracts and interest from the customers is very, very high and we are not in a position to meet the demand, but I do not want to rush anything just to meet the demand. I expect Q4 and Q1 of next year to be much better, but in terms of customer interest and all the contracts very much in place, absolutely no issue s.

Anubhav Agarwal: And o n the utilization, the reason utilization is low because CAPA progress is happening, d oes the facility still have lot of consultants over there?

Yugandhar Puvvala : No, c onsultants are no longer there, we just have transient consultants , we had a meeting with FDA and everything has been sorted out in October itself and we have transi ent consultants who are just two or three people working with us. Beyond that, we don't have any consultants , no longer available and no longer required, even as per FDA , and what we are doing is , because we have put in lot of CAPA s, we are recruiting more people to ensure that we meet up to our CAPAs and the recruitment process has taken time because in injectables getting good manpower is also not easy. So, now we have all the people in place, we have 95% of our requirement in terms of number of people , all have joined, they are under training from February onwards. Everybody i s on the job, so that's why from March onwards , I expect the production ramp up to happen to the original levels.

Anubhav Agarwal: That's very helpful. My second question is on the biosimilar front, and this is both for Subramanian Sir and Dr. Satakarni Sir . I'm j ust trying to understand , we have R&D of about ■1,700 crore for the year , how much of that is going to biosimilars ? That’s o ne part of the question . Secondly, how much freedom has Dr. Satakarni Sir got in terms of expense that he can do in the biosimilar front? What is the target and when does biosimilar s as a business become

profitable for Aurobindo ?

Dr. Satakarni Makkapati: Anubhav, I would take the question and ask Subbu to chime in with the numbers. The Part 1 of the question - I think we spend roughly about as a company 30% - 35% of our R&D into funding the development of biosimilars. Subbu will be able to give the exact numbers, but this is primarily driven by the Phase 3 clinical expenditure. So, out of the overall spend that we make on biosimilars, around 70% to 75% of the expenditure is incurred towards conducting the pivotal or Phase 3 effica cy studies. So, in the nutshell around 30% to 35% of the overall Aurobindo R&D spend is spent towards biosimilars. Now, to the Part 2 of the question. What was the Part 2 of the question? If you can repeat again.

Anubhav Agarwal: Yes. Your p art 2 of the question is, when does biosimilars as a division becomes profitable ? Secondly, you are only using part of R&D as a resource right now , but Aurobindo has a very strong balance sheet also, so do you have the liberty to buy products also as your peers are doing versus or developing all yourself?

Dr. Satakarni Makkapati: That's a very interesting question. I'm dabbling with those thoughts, Anubhav myself, because any company of the size of us, cannot do all biosimilars by ourselves. It requires enormity of resources allocation to conduct and develop these many products and clinical studies that we are doing. If you look at when we started out in 2018, July to now, we have conducted about I think 6 Phase 3 clinical trials, around 8 or 9 Phase 1 clinical trials, so that's the size of biosimilar st udies at companies like Sandoz and the Mylan do.

But having said that, any in -licensing opportunity that comes our way, that we believe will lend advantage to our businesses in Europe and U.S., we are open to those. We are scouting for a couple of opportunities, but we are more internally focused right now. In fact, our second wave of products or the third wave of products that you may call them post 2028, most of the product pipeline is now in a decent development stage where we may begin the Phase 1 and Phase 3 clinical studies starting end of 2025 an d early 2026. So, any products that we miss out from our portfolio, which we think will make a significant addition to our commercial base in regulated or semi -regulated markets, we are open to in -licensing opportunities. There is enough freedom to go ou t and scout for products and in -license them when and if required, Anubhav, but right now, we covered most of the important products that we think will position us both in Oncology, Dermatology, and the Immunology segments, so Dermatology is part of Immuno logy. So, we are pretty confident with the broader pipeline that we (are) already have (ing).

To answer the next part of your question, when we think as a business, we will be breaking even. As I told you, 2028 to 2030 will be the inflection point of this business. You can already see that we have 3 products which are approved, 2 with a positive opinion in Europe, 1 in UK, and we are expecting one more this year and with Denosumab, Omalizumab, and one more

in the next year, we expect at least 7 products to be commercialized fully by the year 2027 (28). And [by] 2028 to 2030, will build in a good revenue base for us, where I think the company takes off by itself. So, we are enthusiastic about the progress th at we are making and we are very sure footed in our investment and very prudent about the product choices we are making in the biosimilar segment, Anubhav.

Anubhav Agarwal: Thank s. That's very comprehensive . Thank you very much.

Dr. Satakarni Makkapati : Thank you.

Moderator: The next question is from Yash Dara k. Hi, Yash please unmute .

Yash Darak: Hello, a m I audible?

Moderator: Yes.

Yash Darak: Yeah. Can you plea

se state operational isation status of Pen-G and at what percent of utilization are we c urrently working , and how do we see it progressing forward?

S. Subramanian: Yash, t he question of talking about utilization is secondary. The first thing what we have done is , how do we improve the yields etc ., which we have been working and we have been fairly success ful after the slight modification s etc., we have done and we have been seeing very good really results and in next two months we will continue that and the ramp up will take place starting April.

It is not the question of capacity utilization. You need to achieve the desired yield level , that’s what we are working on .

Yash Darak: So do we expect the sales to ramp up from April?

S. Subramanian: I think that is what we are planning. In fact, touch wood , everything goes well, March a lso, we may be able to do that, but let's take it as A pril.

Yash Darak: Okay and secondly, Sir there was a PLI scheme which was introduced in the budget with amounting to ■2,445 crores , are w e expecting to benefit from that?

S. Subramanian: That is more of R&D know, i f I am right ?

Yash Darak: Yes, with regards to APIs .

S. Subramanian : Yeah, I think I have not seen in the last four days any g uidelines as such. I was p robably busy with the board papers and other things. Probably , certainly if there is an opportunity , we will apply to them. I think a lot of good things are being done in by the various business teams starting biosimilars injectable , peptides, everything , respiratory and other things. So, certainly we will look into every possible opportunity, but we have not see n the guidelines as on date.

Yash Darak: Understood .

S. Subramanian: At least I have not seen it .

Yash Darak: Yeah, yeah, understood. And final question will be in regard s to the margin. When we guide for 21 % to 22% of EBITDA margin, is it excluding the R&D or is it including the R&D?

S. Subramanian: See, everything put together [including R&D] only we document .

Yash Darak: Because we haven't been able to, you know, achieve the guided target in these quarters, so are we still confident of achieving the 21 % to 22% EBITDA margin guidance?

S. Subramanian: Yes.

Yash Darak: Okay Sir . Thank you . That's all from my side .

Moderator: The next question is from Surya Patra.

Surya Patra: Thanks for the opportunity , Sir. My first question is on the respiratory product opportunity. What you have talked in the opening remarks also, so we know that there has been around 14 odd products that has already been there in the various stages of development, and I think the last quarter that we have also collaborated with one of the U .S. company to develop even a basket more. So, could you give some sense of what is the progress on those products? What k ind of product that we are talki ng about there , and by when that we will really start seeing revenue contribution coming from that side?

S. Subramanian: Swami?

Swami Iyer: I can take this question Subbu.

Swami Iyer : Primarily we're talking about the MDI and DPI. Yes, you're right . We had announced last quarter about tie up with an international firm . Now, apart from that, we have a good R&D setup , and are developing few products which are in the various stages, in some cases the filing s have been done (at least 2 of them) and few more are in advance d stage. We believe that these are good products with fairly good dollar values and we anticipate some of these products to come in late in the FY26 or maybe in the mid first half of FY27 and then from there we would have regular products coming in .

Surya Patra: Okay . And this collaboration, if you can just add some color on th is?

Swami Iyer : We have tied

up with the firm for the development of the product and we'll be launching it. This is a little medium -term , it’s n ot short -term. Obviously, t he development takes some time. We believe that this product has got a large market and we also feel confident that we should be able to launch it without any IP constraints. We have taken care of that we believe and this is a large company that we have tied up with and there is another party which is helping in the development too.

Surya Patra: My second question is on the U .S. business front. I think we have seen there is a kind of uptick in the branded Oncology business beyond the kind of a run rate of a US$ 25 to US$ 30 million , what it is been indicated earlier and similarly, even though OTC also has seen a kind of sequential as well as YoY uptick , and on the Eugia front, what around sequentially in the last two quarters $20 million kind of s equential decline that we are witnessing , so is it entirely because of that Eugia facility issue? So , if you can address these 3 segments ?

Swami Iyer : Sure. Eugia part, I would leave it to Yugandhar to handle. Other than Eugia , I can talk about R x oral solids and the OTC. So, Yugandhar , would you like to take up Eugia first?

Yugandhar Puvvala: Yeah, I think I already clarified that , like last two quarters have been mainly related to supply related issues and , per quarter we were impacted by around US$10 million and I expect from this quarter onwards we'll be back to normal run rate. I t is mainly driven by the supply challenges , not related to the demand challenges . So, that I hope I've clarified multiple times. I hope that addresses your question.

Surya Patra: Thank you , Sir.

Swami Iyer : Okay. So, I'll talk about the oral solids and OTC . On both sides , we h ad a very good quarter with all round progress. There's been steady progress and we believe that this will continue going forward and we are focused on sustainable long -term based business and we are making more efforts to try and achieve that goal. We have a robust set of commercial products already in important, in almost all therapeutic segments and we are rapidly moving to a future with much more diversified portfolio . You know, you had mentioned about the MDI , the inhalation product . Similarly, we have in transdermal area and we are trying to diversify into different presentation, more value -added , value creating product , and we also amassed expansive pipeline with great potential to sustain and you know, our goal is to be the global generic powerhouse which we are to an extent at this point , but we expect to continue being there and doing better.

Surya Patra: Awesome.

Swami Iyer : I'll just briefly mention about OTC. So, final ly, we have seen some traction in the OTC business in the last two quarters and December quarter was fairly significant in terms of some breakthrough. We think that O TC would continue to grow and over the next few quarters, I think you would hear more about it and we would see fairly good growth in OTC business.

Surya Patra: Sir, with your permission, can I just ask one more question, Sir ? This is about AuroPeptide s. Now, Dr. Satakarni Sir, can you give some sense about what is our preparedness about the GLP -1 and also the kind of a competitive edge that we would be having because here most of the competing peers are indicating about integrated operation there.

Dr. Satakarni Makkapati: Hello. AuroPeptides is into the manufacturing of APIs. So, with respect to GLP -1s, right now, we have 1 GLP -1 peptide, active DMF, the other one we are going to file the DMF this year and we are investing in development of another GLP -1 Peptide. Anything on the finished product, you should talk to Yugandhar. He'll be able to answer that.

Surya Patra: Yeah. Yes, please.

Yugandhar Puvvala: Yeah, Surya . We have entire GLP product range. In fact , at our Vizag plant, we have a significant capacity cartridge line where we'll be filing all the GLP -1 products , Liraglutide , Sema glutide , Teriparatide , okay . Everything in the GLP pipeline is covered by us and we will be filing from our new Vizag plant.

Surya Patra: Okay. And even the device is our captive ?

Yugandhar Puvvala : Device is always outside , because either it is from B D or from somebody else like the device manufacturing company , but device assembly, along with the medicine happens in our plant. But d evice per say is always from outside companies.

Surya Patra: Thank you, Sir.

Moderator: Thank you. Next question is from Bino Pathiparampil .

Bino : Hi, good morning. Couple of questions from my side. We have seen exceptionally strong growth in Europe and ROW for the quarter as well as nine months , what is driving this?

S. Subramanian: Which one Bino ?

Bino : Europe, ROW, both.

S. Subramanian: Yeah. Murali, please.

V. Muralidharan: Yeah. Hi, good morning. This is Murali dharan . Thank you for raising this question. Yes, Europe has been contributing close to 27% of the global revenues for Aurobindo. Currently , we are doing this based on the wide portfolio of the products and efficient supply chain and increased supplies originating mainly from India and faster turnaround of the products at our quality lab, mainly at Malta. Some of these factors and a well-oiled , frontend infrastructure and machinery , commercial infras tructure. So, a ll these are working in our favor at this moment. Also, w e are availing the market opportunities in a big way and , other mechanisms, standard ones like the demand for testing and timely supplies . All these are contributing to this robust performance, and we expect the momentum to continue in the coming year and quarters ahead . And having said that, we are looking for further launches that will happen from Eugia space as well as biosimilar space and that will further take us to the higher levels.

Bino : Got it. But most of these things would have been a work in progress over the years , but what has really happened this year that suddenly there is a growth spurt ?

V. Muralidharan: No, y ou're right in it, but at the same time, over the last several quarters or last couple of years , we w ere fine tuning. We were missing out on couple of these aspects to happen in the right tandem and d efinitely things are happening at the right perspective as of now.

Bino : Got it, got it.

Yugandhar Puvvala : Just to add like the re can be supply challenges from a lot of companies and we are in a position to , take in fact like even Eugia has been growing at a rate of 20% in Europe. So, we don't want to comment on other organizations, but yes, we have been seeing supply challenges from multiple companies and we are in a position to fulfil the demand wherever the gaps are.

Bino : Understood. Thank you. My second question now is about India. So, you have this Trastuzumab approval already. How do you plan to sell it? Have you partnered with other companies? And second, when the GLP-1 opportunity opens up in India , how do you plan to sell it? You h ave partners already in place?

Dr. Satakarni Makkapati: I will take the trastuzumab question Bino. So, we have an approval by the CDSCO for Trastuzumab. We are putting together our domestic marketing and sales team, which will kick in probably by the end of this year, but until then, the first two quarters the sales will be through co -marketing partners. But going forward, in the domestic market, we are going to add a good sales team essentially to take our biosimilars to the patients and the prescri

bers. So, that's the strategy that you will see evolving in the next two to four quarters time.

Bino : Understood . And the sales team is only for biosimilars , you won't have any other products ?

Dr. Satakarni Makkapati: For the biosimilars, we are having a separate sales team because they specialize in branding it, and importantly, there is a lot of network that is required to put forward biosimilars to the prescribers convincingly. But having said that, any support to medication or concomitant medication that goes with biosimilars will also be marketed by the same team.

Bino : Understood and GLP -1 plans ?

Dr. Satakarni Makkapati: For India, GLP -1, we have our plans. We are talking to the agencies to see what sort of study requirements must be met, but you will see some announcement from me in the next two quarters time about our strategy in the domestic markets of GLP -1s.

Bino : Sure. Thank you.

Moderator: Thank you. The next question is from Taran g Agarwal.

Tarang Agarwal: Hi, good morning. Am I audible?

Moderator: Yes.

Tarang Agarwal: Okay. O n Eugia Sir, you said that Eugia u tilisation is currently at about 50% for Eugia -3, does this also include the expanded capacity of Eugia -3?

Yugandhar Puvvala : No, Tarang. It's actually like expanded capacity is line 13, line 14 , and that I'm not even considering . I'm talking about the existing capacity of because those lines are not approved so far. So, I don't consider them as a capacity available. But up to whatever lines we have, we have been using around 70 %-75% in the past . Right now , we were using around 50 %, so like we are confident that we will come back to our original levels of 65 %-70% capacity utilization of the previous capacity. As and when the new line gets approved, that will be an additional capacity .

Tarang Agarwal: Sir, s o practically , what is the utilization that the business can go through number 1. Number 2, between line 13, line 14 and the Vizag plant, when do you expect the approvals to come through and if one were to consider line 13 and line 14 capacity to be theoretically available and Vizag to be theoretically available as on date, what would be the utilization for the injectables business?

Yugandhar Puvvala : Vizag is still in nascent stages because we got approvals for terminally sterile lines. Now , we will be going for the aseptic lines approval that audit is due and then we will be adding different varieties of things in Vizag, the cartridge lines will be all exclusive only for Vizag and there is a PFS, BFS all those lines what we will b e adding. So, between Eugia -3 and Vizag facility, we will have significant capacity to take care up to F Y30 in terms of the capacity available for the business and our business growth plans.

Tarang Agarwal: Alright. And would it be fair to presume that for the normalized injectables business, US$85 million to US$90 million of U .S. revenue and about US$45 million of Europe revenue could be a good base to go from Q4 onwards ?

Yugandhar Puvvala : Yes.

Tarang Agarwal: Got it. Thank you , Sir. And the last question on Europe, Sir you know fantastic execution of the last three years I would say . Euro revenues have been growing at a range of anywhere between 10 % to 13%. If I look at it from a nine monthly basis, just wanted to get a pulse of, you know, how are the margins on this business because as we understand at some point of time the margins were low middle digits and there was an inflection point that the business was looking for those margins to really inch up, so comment there would be helpful and how should we see this €235 million run rate going forward on a quarterly basis?

V. Muralidharan: Yeah, Tarang, thank you for this. Yeah, I mean on the margin side as well as we are very constantl

y looking at the opportunity sales to be avail ed, definitely w e are
clocking better margins . Of course, the specific numbers , Subbu will be able to comment at the appropriate time and coming to the run rate of €230 million plus is , we are confident of sustaining this in the coming period as well. If I have to take January as a benchmark,

definitely we are on it , but yes , we will announce the full quarter results as we come to the end of the financial year.

Tarang Agarwal: Okay . Thank you, Sir. All the best.

V. Muralidharan: Thank you.

Moderator: Keeping in mind the time we will restrict to one question only. The next question is from Neha Manpuria.

Neha Manpuria: Yeah. Thanks for taking my question. S wami S ir, you know the 2 billion units in China that will free up capacity probably in the India manufacturing for the U .S. market and the fact that we're also adding capacity in Raleigh, etc ., you know how much additional capacity would you have for the U .S. market going into next year and how confident are we of being able to actually capitalize on that without necessarily putting pressure on the market g iven how large we've become in the U .S.?

Swami Iyer: Thanks , Neha . I'll take the second question first , on the ability to sell the volume that's being generated. We are happy to take on more volumes. We have a good market as you know we are number 1 in years in terms of prescription, we have a large base, but we believe that we have a s cope to grow . We are today 11% market share. We think that th ere is scope to grow given our background , given our infrastructure in India . Now , the North Carolina facility is nothing to do with the oral solids. It’s a differentiated presentation . One is the topical , transdermal and the inhalation . So, that we don't have to count towards the normal 2 billion odd we are selling here. As far as China is concerned, China is not only for US , it's also for other market so, we are looking for contribution from China in terms of volume and even our own units , I think they are adding balancing equipment. They are able to ramp up. We could see some more volume surge in the next few quarters and we'll be able to take it on. We don't see a situation at this point where we would have these facilities being underutilized except for pockets. There m ay be a seasonal issue at that time , it m ay be an issue, o therwise we think we're good.

Neha Manpuria: Understood. So, we don't see a situation where the additional capacity in India you know does not necessarily get absorbed in the U .S. We have that much of visibility?

Swami Iyer: Yeah, not in the short to medium term, definitely.

Neha Manpuria: Understood . And my last question on the CDMO capacity, I see that we've announced an expansion, you know in the presentation we mentioned we're adding I think another 30KL. Is this still for MSD or is this a new CDM O contract or this is an anticipation of demand ?

Dr. Satakarni Makkapati: Neha, this is in anticipation of the demand. The reason being that when we conceptualize a facility for 4X15 KL bioreactor capacities building 2 lines and leaving out the other two in for Phase 2 addition, we will not want to leave it too late, so we ju st wanted to make sure that as we construct the facility now, we have the scope of adding these two lines, so that there are no future design changes that would be required. So, it's more of

an engineering prudence that drove the decision, and the business prudence would be that we at some point would expect more demand and to meet the demand, it is better to have the capacities in place than arrange it then with some sort of a delay. So, it' s more of an anticipation of the demand and considering the engineering requirements

now.

Neha Manpuria: Understood. Got it, Sir. Thank you so much.

Moderator: Thank you. Keeping in mind the time, we will now take last two questions. The next question is from Shyam Srinivasan .

Shyam Srinivasan: Good morning. Thank you for taking my question. So just one on the macro and new administration in the U .S., so just want to understand there's a potential tariff on pharmaceuticals. So, as a company, as an industry, what are some of the pushbacks that we give like a lobby back to the U .S. government, which probably may think of tariffs ? Is it our footprint in the U .S. in terms of manufacturing when we talk about new capacity additions in the U .S., is there more onshoring as a team that you will probably suggest to them and what could be som e of the mitigation efforts on this one? So , I know it's a hypothetical question at this point of time but want to understand what are some of the broad contours that the management is thinking about ?

Swami Iyer: Yeah. Thanks , Shyam . Subbu, I will take this question. As yet, we don't know what's the final outcome, we don't know what the tariff , there's a lot of noise right now. We do know that from China , there is some input tariff. But there's nothing that we believe is going to be a challenge for us, we would continue to import from India and competitors would be in the same state as we are in , that's one . You're right as not just as a mitigation strategy, but as a strategy itself, we have built up good infrastructure in the U.S. We have a Dayton plant that's coming up and we also have the Puerto Rico plan t, which we can commercialize very soon with short notice . So, we believe that we are well geared up to meet any challenges that comes up as far as the U .S. market is concerned .

Shyam Srinivasan: And Subbu Sir, just if I may squeeze in , in terms of ROC Es, are these investments , or is there a way to make sure these ROC Es are higher than where our corporate averages are because that's the prime reason why we moved manufacturing out in the first place , so i s there any other way to recoup margins or returns ?

S. Subramanian: Shyam , the units like penicillin or Qule or China , these are all in the ramping up and then incurring losses. Once the full ramp up is taking place, you see it'll get converted into positives, s o which will help us to improve the ROC E and the capital expenditure which you're doing more of adding lines to the existing plans etc . which also will help to improve the ROC E in a significant manner. Probably you can see the big actions, coming in the second half of the next fiscal. Clearly , you will able to see that that's what my belief.

Shyam Srinivasan: Got it. Thank you and all the best.

Shriniwas Dange : Yeah. So , the next question is from the line of Mr. Vivek Agarwal. We'll take this last question and then conclude. So, Vandit , can you please unmute Vivek Agarwal?

Vivek Agarwal: Yeah. Thanks for the opportunity. The question is related to gross margins. Currently , we are in the range of around 58 %-59% over the last few quarters and again it's a decent number. Just want to understand will you be able to maintain this margin, let's say around one to two years down the line? Because there's a couple of moving parts like Pen -G is coming , there maybe like Revlimid might be coming down , so a ny broader color would be helpful for one to two years perspective how we shou ld look at this number ? Thank you.

S. Subramanian: Vivek, while asking question , you have already given the answer. What e lse can add beyond what you're saying. Already all this product Pen -G and other things should start contributing , which will help to retain the gross margin certainly.

Vivek Agarwal: Understood. Thank you , Sir. I'm just trying to understand , can this m

argin
move up from here on meaningfully or you will be able to maintain this margin? Thank you.

S. Subramanian: I think let's park this question for the next call.

Vivek Agarwal: Okay , Sir. Thank y ou.

S. Subramanian: Thank you.

Vivek Agarwal: Good luck.

Shriniwas Dange : Thank you all for joining us on the call t oday . If you have any o f your questions unanswered, please feel free to keep in touch with the Investor Relations team. The transcript of this call will be uploaded on our website, www.aurobindo.com in due course. Thank you and have a great day.

S. Subramanian: Thank you.

END OF TRANSCRIPT

Call: Jun 2025

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 Telangana ., India Tel: +91 40 2373 6370/ 2374 7340
Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
June 02 , 2025
To

Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To

The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir/ Madam,

Sub: Transcript of Q4 FY25 earnings call.

Please refer to our letter dated May 19, 202 5, wherein we intimated about the schedule of Investors/ Analysts call on May 27, 2025 . We are attaching herewith the Transcript of the said analyst / investor call on the Audited Financial Results of the Company for the fourth quarter and year ended March 31, 202 5, and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts

Please take the above information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl: as above.

Q4 FY25 Earnings Conference Call

27 May 2025

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala - CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma , USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Shriniwas Dange - Investor Relations, Aurobindo Pharma Limited

TRANSCRIPT

Moderator: Ladies and gentlemen, good day and w elcome to Aurobindo Pharma 's Q4 FY25 Earnings Call. Please note that all participant s' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the participant tab on the screen. Please note that this conference is being recorded. I now hand the conference over to the management for opening remarks. Thank you and over to you, sir.

Shriniwas Dange: Thank you, Vandit . Good morning and a warm welcome to our 4th Quarter FY25 earnings call. I 'm Shriniwas Dange from the Investor Relations team. We hope you have received the Q 4 FY25 financials and the press release that was sent out yesterday . These are also available on our website.

I would now like to introduce my senior management team on the call with us today, represented by :

- Dr. Satakarni Makkapati - CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director, Aurobindo Pharma Limited .
- Mr. Yugandhar Puvvala - CEO of Eugia Pharma Special ities Limited.
- Mr. Swami Iyer - CEO, Aurobindo Pharma USA.
- Mr. V. Muralidharan – CEO, Europe Formulations Business
- Mr. S . Subramanian - CFO, Aurobindo Pharma Limited

We will begin the call with the summary highlights from the management , followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may ca use actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that, I will hand over the call to Mr. S. Subramanian for the highlights. Over to you, sir.

S. Subramanian: Thank you, S hrini. Good morning, all, and a warm welcome to our Q4 and full-year FY25 earnings call. I am delighted to start the call by sharing with you that it has been an excellent quarter and the financial year for the company, marked by continued growth reflected in highest ever revenues and EBITDA.

For FY25, our revenues stood at Rs. 31,724 crores and EBITDA at Rs. 6,605 crores, marking a comfortable margin of 20.8%. For Q4 FY25, our revenues stood at Rs. 8,382 crores and EBITDA of Rs. 1,792 crores, with a good margin of 21.4%.

During the year and quarter , we saw good performance across all businesses, mainly driven by volume gains, new product launches, and our performance in the regulated markets, aided by stable pricing. The profitability of the company as well improved significantly, backed by softening of raw material prices, favourable product and business mix, and improved operating efficiencies. This is reflected in the EBITDA margin which is up from 20.1% of last year. Our quarterly margins also have gone up higher compared to the last quarter.

These numbers have been achieved despite one -time recurring expenses on account of fuel and power purchase coal adjustments relating to the Andhra Pradesh government electricity board , inventory -related provisions and corporate development costs .

In addition to these, PLI facilities contributed a negative of Rs. 30 crores plus at the EBITDA level. The accumulated impact of the above factors was a negative of Rs. 105 crores plus.

The contribution of other income vis -à-vis

Q3 FY25 and Q4 FY24 were lower at Rs. 123 crores
compared to Rs. 143 crores and Rs. 153 crores respectively. Notwithstanding these factors, the company still produced record numbers as mentioned.

Now let me take you through the other details of the results for the 4th Quarter of FY25 and full year FY25 declared by the company :

For Q4, revenues grown by 11% year -on-year and 5% quarter -on-quarter. The gross contribution stood at highest ever absolute levels of Rs. 4 ,954. Gross margins remained at 59.1%, increased by about 65 basis points quarter -on-quarter, supported by favourable product mix and benign raw material prices, albeit constrained by other one -offs of over Rs. 105 crores plus. Consequently, the EBITDA before forex and other income grew by 6% year - on-year and by 10% quarter -on-quarter to Rs. 1,792 crores. Net profit increased by 7% quarter -on-quarter to Rs. 903 crores.

For the full year FY25, revenue grew by 9% year -on-year, supported by growth across businesses. Gross contribution also reached the highest ever absolute levels of Rs. 18,697 crores, reflecting a margin of 58.9% , and that's an improvement of 240 b ps. Gross margins are supported by product mix and benign raw material prices.

Our cash flows have improved significantly on the backdrop of improved working capital position, leading to a net cash surplus of US$ 42 million versus a net debt of US$ 84 million as on December 31, 2024.

Now let me take you through the business highlights .

Formulation business: Formulation business witnessed a growth of 12% year -on-year to Rs. 7,313 crores and contributed around 87% of the total revenue. The revenues are mainly supported by growth across the US and Europe businesses.

For the full year FY25, formulation business witnessed a growth of 12% year -on-year to Rs. 27,388 crores and contributed around 86% of the total revenue. The yearly performance was driven by growth across the businesses.

API businesses : For the quarter, API businesses contributed around 13% and revenue improved by 5% year -on-year to Rs. 1,069 crores. For the full year, API business contributed around 14% and clocked a revenue of Rs. 4,323 crores, which is being the external business, registering a growth of 2%.

The growth in the API business is mainly driven by higher volumes, on account of improved asset utilization with higher capacities.

USA: For the quarter, the revenue from US formulation increased by 13% year -on-year to Rs. 4,072 crores. On a constant currency basis, US revenue increased by 9% year -on-year basis to US$ 470 million. The growth was mainly driven by volume gains. Our large product portfolio basket helped us optimally maintain price stability. The quarter -on-growth was 8%, mainly supported by account of higher volumes. Revenue from US formulation increased by 7% to Rs. 14,816 crores or US$ 1,752 million.

Europe: For the quarter, the European formulation clocked a revenue of Rs. 2,147 crores, an increase of 17% year -on-year. In constant currency terms, the Europe revenue was €236 against €203 million of last year. The growth was driven by strong performance across all key geographies.

For the full year, the European formulation revenues grew by 17% and clocked a revenue of Rs. 8,356 crores or €921 million or US $ 988 million. The European business is close to clocking a billion -dollar growth revenue.

Growth M arket : For the quarter, Growth Market revenue stood at a year -on-year decline of 8% and quarter -on-quarter decline of 10%. In US dollar terms, the revenue was US$ 91 million in Q4 FY25. The decline was mainly on account of the moderated performance in few key markets.

ARV business: For the quarter, ARV business increased by 29% year -on-year to Rs. 3 08 crores or US$ 36 million. For the year, ARV business clocked increased by 19% to Rs. 1,037 crores or

US$ 123 million, mainly due to continued momentum of additional opportunities.

Specialty and Injectable update: For the quarter, revenue increased by 25% year -on-year to US$ 178 million. For the year, Specialty and Injectable global business in creased by 4% to US$ 561 million, mainly due to volume gain partly offset by some pricing pressures.

Other Highlights: During the quarter, raw material costs eased up further, supporting our gross contribution to 4,954 crores . Gross margin for the quarter was at 59.1%. For the year, our gross contribution stood 18,697 crores . R&D expenditures stood at Rs. 423 crores for the quarter, which is 5% of the revenue. For the year, R&D expenditure stood at Rs. 1,622 crores which is 5.1% of the revenue. This was m ainly towards the clinical trial expenses for multiple projects.

Net capital for the quarter is US$ 90 million and that for the year is around US$ 322 million, which includes capacity enhancement projects, new plant expansions and others.

Improved profitability coupled with improved working capital position, the business generated a net cash flow of US$ 130 million during the quarter. As a result, net cash position after investment stood at US$ 42 million from a net debt position of US$ 84 million. The average finance cost of Rs. 5.5 %.

Other update /Penicillin -G related issues : A preliminary assessment of the fire incident at Penicillin -G facility at Kakinada indicates an impact of around Rs. 4 crores. In the interim, due to the incident, we had temporarily halted the plant operation s. Before temporarily halting the operation s, we have achieved encouraging yields consistently in the month of March. Further, as part of the commitment to regulatory compliance, we have submitted the renewal application for Consent to Operate. The production will resume promptly upon receiving the necessary approvals to avoid any undue risks.

We also understand from the industry sources , that the minimum import prices are being considered on certain critical raw materials , and accordingly, we have made representation to the industry associations.

Strategic initiative s: Expanding manufacturing capacity . We have expanded our Formulation manufacturing capacity further , and at present are having a capacity of 60 billion unit plus. These high capacities along with the proposed new capacity enhancement s in the existing , are expected to drive the growth.

We have commercialized our China OSD plant with 2 billion units manufacturing capacity during the year. The capacities will be expanded further over medium term. This plant is expected to contribute revenues in FY26.

We expect our US -based OSD plant at Dayton to be commercialized during FY26. Our other plant in the US at Raleigh, which currently manufactures topical, is expected to be fully operational in the near future to include transdermal and respiratory products.

Long -term growth by building and expanding our strong product portfolio : We are working on multiple respiratory products. In FY25, we have partnered with global pharma major for development of respiratory products. This is a testament of our aspiration of developing and launching more and more complex respiratory products.

Expanding growth market presence : We continue to focus on growth market presence reflected by impressive growth of 24%. Our focus to new and existing markets are Indonesia, China, Canada, South Africa, etc. We continue to focus on our backward integration in terms of API, intermediates, an d KSMs.

Biosimilar s: We have been already informing the stock exchanges about the new approvals. Our CEO , Dr. Satakarni Makkapati will inform about it more in detail during the call.

Outlook for FY26 : We have achieved excellent overall performance across business during FY25 . With focused approach and right strategies in

place as highlighted a while ago , we are
confident to continue our growth trajectory. The growth momentum in Europe and other key markets are expected to sustain , further accelerating our revenue.

During Q4 FY25, we achieved a net cash p ositio n with our prudent and productive efforts to optimize working capital cycle. We strengthened the balance sheet and cash flow s to demonstrate financial stability for a long -term growth potential.

It is our endeavour to achieve a high single -digit growth excluding transient product through FY26. For FY26, we internally aim to maintain our present EBITDA margins. The tariff announcements are expected in July ‘ 25. We would be able to give you a better clarity in the next earnings call.

This concludes my remarks. Now, our business leaders will give more clarity on any specific aspects in our Q&A session. We are happy to take your questions. Thank you.

Question & Answer Session:

Moderator: Thank you, sir. We will now open the call for the Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions, and then return to the queue for more questions. While asking questions, request you to please identify yourself and your company. Please raise your hand from the Participant tab on the screen to ask the question.

The first question is from Damayanti K erai.

Damayanti Kerai : Hi, good morning. My first question is on Revlimid . So, I understand moving from 3Q to 4Q, you have booked sizably large sales from Revlimid . But my question is whether this 4th Quarter number , it reflects what you originally planned , or have you held back some supplies due to some price renegotiation which we are seeing in the market due to entry of additional competition in the market for Revlimid?

Yugandhar Puvvala: Damayanti, normally, we don't comment on Revlimid sales or units or value. But yeah, like in fact, we have done whatever we planned to do. And we are only left with balance for the next year. But beyond that, I think I won't be in a position to comment in terms of the numbers.

Damayanti Kerai : Sure, but nothing has spilled over from 4Q to next fiscal, if you can just indicate that .

Yugandhar Puvvala: We haven't. In fact, like nothing has spilled from Q4 to the next year. It is just as planned. We have done it. So, whatever limited quantity will be there for FY26, that is what we will do. But there's nothing, no spillovers from FY25 to FY26.

Damayanti Kerai : Sure. And in your margin expectation for FY26, which you mentioned to be at similar level, are you including significant pickup happening from, say, China plant or some of the plants in the US?

S. Subramanian : See, US plant, Swami will talk about it, and which we have already mentioned it in the original remarks. In the China plant, already it has incurred some losses, and that will become break -even or slightly positive in the coming year.

Damayanti Kerai : And China is supplying to all the markets, right? Local market as well as Europe and US, or …?

S. Subramanian : No, not US. They are they will be supplying to China during the year , as well as Europe. Europe, they can start immediately . But China, they will be able to do it after some time, maybe Q2.

Swami Iyer : Subbu, I can contribute here for Europe, from China plant, the supplie s have already started.

Damayanti Kerai : Okay, that's helpful. And in the US plant, Dayton is supplying normally, but Raleigh facility is something where you believe pickup will happen like in some time. Right now, I think there is pending issues, right?

Swami Iyer: I'm not sure I heard Damayanti fully, but Dayton plant is going to commence the manufacturing on a commercial basis. They have manufactu ring of course , and the

n we
expect commercialization in the Q2 of the current fiscal. And the other facility that you talked about, Dam ayanti , I am not sure what exactly you are saying.

Damayanti Kerai : Raleigh plant ?

Swami Iyer: Raleight plant.

Damayanti Kerai : What is the status?

Swami Iyer: So, the R aleigh facility, we had an FDA inspection, and some issues were raised. We are addressing it proactively. The R aleigh plant does not have much contribution in terms of revenue currently, and we do not have any major product launches that is planned in the short term. So, we believe that this is not going to impact our numbers in a meaningful way.

Damayanti Kerai : Okay. That's helpful. Thank you. I'll get back in the queue.

Moderator: Thank you. The next question is from Tushar Manudhane.

Tushar Manudhane: Thanks for the opportunity. Sir, firstly , on the Europe business, it has been a consistent high -teen growth for a couple of years. If you could just sort of elaborate.

Tushar Manudhane: So, just on Europe market, I wanted to understand, like, it has been a good year, good second consecutive year for the high -teen growth in the Europe business per se. So, if you could sort of further elaborate in terms of the strategy to sustain this growth movement, that's my first question.

Management: Thank you, Tushar. Yes, Europe has been showing momentum, and we are able to sustain this. Of course, there is a combination of factors . Shortages management, I would say one, meaning market intel to understand what's going short and addressing it by Aurobindo replacement products. At the same time, ensuring our own out -of-stock situation does not lead to shortages, meaning our enhanced supply chain efficiency, turnaround time at Malta, all these are very carefully being engineered. In the process, we are able to sustain this momentum.

Coming back to your question which was, are we able to sustain? In my opinion, very strongly, yes, because the number of launches we made in FY25 were significant . But in FY26, more number of products are planned, and some of them are going to be loss of exclusivity products . So, all these are in the positive note for us to believe that we will be posting a much stronger growth in the coming year. Thank you.

Tushar Manudhane: Thank you, sir. Just on the margin front, while the start of P en-G plant, probably resumption of normalization in Eugia -3. On the positive side, probably offsetting the Revlimid impact. Is there any other factor to be considered for margin uptick or downtick for FY26?

S. Subramanian : See, some of the new units, like China, which I explained, they were incurring some losses, which is expected to be break -even or a very nominal positive in the coming year. Like that, every unit, whatever has happened, we are able to improve upon the performance . Across all the businesses we have been looking at it.

Tushar Manudhane: Can you quantify how much losses are China plant for FY25?

S. Subramanian : The China plant last year was the first year. We have incurred a loss of around Rs. 35 crore plus. There are multiple opportunities which we are working on to improve the performance, coupled with the growth plans, which Mur ali has rightly explained by launching new products, the full year impact of the last year launches, etc., which will help to maintain the profitability. That's what we believe.

But having said that, I want to make it clear that we need to wait for the impact on account of the tariff announcement, which is likely to happen in the month of July ‘25, even though we don't feel there will be a major impact, etc. Nevertheless, we should wait for the announcements.

Moderator: We'll move to the next question. Next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. First question on the US business.

I
know you're not giving the breakup of the US anymore, but just wanted to understand improvement in both the base business in the injectable as well as the oral solid. Is it fair to assume that the injectable business has gone back to pre -disruption levels Unit 4 [Eugia Unit -3] disruption levels in this quarter?

Yugandhar Puvvala: Neha, I think last year we have taken whatever supply -related disruption issues and it got offset by some other opportunities. But I think from Q1 of next financial year

i.e. FY26 Q1 onwards, we should be back to normal. But last year has been a tough year because of Eugia -3 remediation issues and supply disruptions. But I think from Q1 onwards, we should be back to where we were in the past.

Neha Manpuria: And Yug andhar , how should I think about growth for the injectables? I mean, you know, given that Unit 4 [Eugia -3] hasn't been cleared as yet ? How do we see growth in the Eugia business , as Revlimid also goes away ? So just some colour there.

Yugandhar Puvvala: Neha, like FY26 is going to be muted in terms of growth per se, because obviously you said it right, Eugia -3 is yet to be cleared and there's no super st ar product which is going to come in FY26. But we expect FY26 to be in the similar levels as FY25, whether it is including or excluding Revlimid. But FY27 should be a good year. That is what we believe , that FY26, we will be in a position to clear all the issues with FDA. And FY27, we have significant launches and settlement -based launches that are planned. So, FY27 should be a great year. But FY26 will be muted in terms of growth.

Neha Manpuria: Got it. My second question is on the PLI capacity. Su bbu, post the fire, by when do we expect production to normalize here? Would it be fair to assume that the PLI capacity we were expecting to be profitable and ramp up . Is that still on track or could there be some delays on it based on when we get back to operation on the PLI capacity?

S. Subramanian : So, Neha, to put it clearly, and if we are to make a profit as contemplated, we need to run the plant full capacity. We don't want to run the plant half of the capacity pending the approval , because it's a big plant. If some minor accident happens or etc., it will have a great impact which we don't want to take that risk.

And second is, today on TV, I have seen that the COVID is once again coming back with all these things. Probably, government may start looking into that, giving the approval fast, that is there.

And third, I understand from the industry, government is also working on the minimum import prices. If that happens, then it will be a good and ensure that we are not incurring losses and we will be able to achieve the profits as contemplated or planned earlier.

Neha Manpuria: Understood. And in timelines for operation, when should we …?

S. Subramanian : I think when it comes to the government, we cannot give the timelines .

Neha Manpuria: Okay, fair enough. Thank you, Su bbu.

Moderator: Thank you, Neha. The next question is from Surya Patra.

Surya Patra: Yeah, thanks for the opportunity, sir, and good set of number s. Congrats for the good set of numbers, basically. My first point is , in t he opening remark s, you mentioned that the growth is likely to be sustained in FY26. But you highlighted about the growth obviously would be led by the Europe and emerging market s, but kind of remained silent about the other bigger market s like US and all. So, knowing the fact that US contribute s almost like 45%

of the total. So, is there a kind of a risk that we have to the overall growth guidance? Or if you can give clarity more on the US business?

S. Subramanian : Surya, I told in the opening remarks, we will be able to achieve high single digit revenue growth, excluding the transient

product . And we will be able to give better
clarity post tariff announcements. But as on date, the existing business, we are trying to grow it with a high single digi t growth .

Surya Patra: Okay, okay, fine. Regards the European business , it looked like that it has surpassed your earlier guidance of €900 odd billion . And now, optically, there are things which should contribute incrementally to the growth. And you have also mentioned about the possibility or what are the factors of growth here. I just wanted to have a sense that , regards the kind of facilities that would be contributing towards the growth. So, obviously, we have been saying that the China plant which has commissioned, that will facilitate the growth in Europe . The Vizag facility is also likely to see the injectable growth in Europe. So, on that specific front, sir, supply chain for Europe, if you can be a bit more elaborative about what progress you have already achieved, so far as your injectable launches for Eu rope ? And how meaningful the China supply could be for Europe ? Because last year, I believe still the outsourcing of European operation was still to the tune of around 50 odd percentage. So, going ahead for FY26, given these two plans progress, what one should think and expect?

S. Subramanian : Murali?

V. Muralidharan : Yeah, thank you. Thank you for this question. On our current revenue achievement, as you have noted, quarter -on-quarter, consistently, we are crossing the €200 million mark. But now that is no longer a challenge because we are already up towards €225 in terms of revenue. And how we are able to accomplish this , is again, how the supply chain efficiency is going to further contribute to this. This is not only by way of Vizag injectable plant, but also our Unit 15 at Vizag for the oral solids ; the capacities have been substantially up ped thanks to the management on strong investments. So, there is a very considerable volume output happening from our Unit 15.

And China supplies have just started . Two products so far, but we expect 10 products to kick in during the financial year. And the injectable facility also will be up and running . Meaning , it is already approved and supplies will start from Vizag.

Additionally, I would like to touch upon the turnaround time of the batches at Malta, because we have a substantial volume and there the waiting time was significant . But through innovative measures, we are able to turn it around much faster. So, that allows the time to market opportunities being availed and working capital not being locked , which benefits us there. So, a combination of all this means enhanced capacities , turnaround time at Malta , and also more and more tech transfers are happening that will offer better gross margin upside for us. So, I'm just addressing your queries through this. Anything else to be touched upon , do let me know. Thank you.

Moderator: Thank you. The next question is from Tarang Agarwal.

Tarang Agarwal: Hi, a couple of questions from me. One, sir, if I look at your fixed cost base excluding R&D for FY25 versus FY24, there's been a quantum leap. And we're aware that it's because of plethora of reasons, Eugia remediation, Pen-G, Vizag, China, so on and so forth. I mean, just to get a sense, how much would that quantum be for FY25 , these one -offs, because of regulatory reasons because of state considerations or because of just amplifying capacity, which is not contributing to revenue.

S. Subramanian : Tarang, the total other expenses during the year was Rs. 1,995 crores against Rs. 1,805 crores . The other expenses have not grown significantly. One of the reason s is the translation impact is taking place. Otherwise, the fixed expenses remained the same in India , Eugia, USA, etc . Because Euro earlier, we used to translate at a lower price , I mean, lower rat

e, now we translated at a higher rate. So, you cannot exactly say there is a significant impact. You look at the Q3, Q4 alone, where there is not much of remediation charges , it is mainly on account of the translation impact.

Tarang Agarwal: Okay. So, I mean, the one -offs like the Rs. 100 crore that you spoke of in Q4 , and in Q1 and Q2, we are aware that P en-G and remediation was resulting in a significant expansion in cost space. So, I was just trying to get a sense on what that number is . Would that be to the tune of Rs. 400-500 crores for FY25 or would it be materially low?

S. Subramanian : See, we said there is a one-off impact of Rs. 105 plus crores during the quarter . You take 50 -50 between the cost of goods and other expenses, approximately.

Tarang Agarwal: Okay. Second question is on the US. Basically, just wanted to get a sense on what was the finish for OTC for FY25 ? And just a broad sense on how are we looking at the oral solids and OTC business for FY26? Thank you.

Tarang Agarwal: I mean, OTC used to be about US$ 100 million for you. So, how much did was OTC for you in FY26 ? And what is your perspective on the oral solids business for FY26?

V. Muralidharan: Yeah, typically, we do not talk about the numbers for OTC , that I leave it to Subbu . But in terms of growth, OTC has done well in th e last two quarters, this quarter has been good, it continues to be good and it continues to grow. So, we are looking forward to better growth in OTC.

With regard to OSD, we believe that we are confident in our outlook for improved growth in the current fiscal, which is FY26. We have planned a number of new launches . And our team continues to assess opportunities with a view to drive medium to long -term growth and value creation with a more diversified portfolio of growth drivers , primarily. So, this is what we are looking at , and we are optimistic in short.

Tarang Agarwal: Okay, just a couple of more . What are the cumulative investments in the biosimilar business till March 25?

S. Subramanian : Yeah, it is around US$ 400 million plus.

Tarang Agarwal: Okay, yeah.

Moderator: The next question is from Ama y Chalke.

Amey Chalke: Taking the biosimilar question from Tarang ahead. So, is it possible to give some colo ur, because we have said in the presentation that we would be launching biosimilars in Europe next year . When should we expect meaningful contribution to come in , considering three to four products are already filed in Europe?

Dr. Satakarni Makkapati: Amey, this is Sat akarni. So, in the biosimilar space, as you know that we received two approvals from the European Medicines Agency in the last quarter. And we had one approval of Bevqolva in Q3 of the last fiscal. We also received a positive opinion for Dazublys , which is our version of T rastuzumab biosimilar, I think, last month and we are expecting the approval from the European Commission in July. So, we plan to start our supplies from the 2nd Quarter, as I mentioned in the last earnings call, from the 2nd Quarter of this fiscal. Once we iron out our supply chain and stabilize our manufacturing and supplies, I expect the meaningful contributions from the biosimilars business to flow in from the next fiscal year. We expect it to be a double -digit revenue starting th e next fiscal.

Amey Chalke: Sure. And the second, yes, sir. And the second question I have on the US, is it possible to give some colo ur on the pipeline for the US market? We have said that the plant is under preparation for transdermals and respiratory products, etc. So, where are we in terms of the filing in these type s of products? Thank you.

Swami Iyer : So, this is not in the near term. I think we are progressing better than what we anticipated in terms of filings. We believe that these products would come in to the medium term, not ne

cessarily the short term.

Amey Chalke: So, in the short term, the drivers would be largely the injectable products and the hormone products , or anything else we should be look ing out there as well?

Swami Iyer : So, injectable product, I will leave it to Yugandhar to talk about. As far as the short -term drivers are concerned, we expect newer launches from the oral solids and volume increases in certain products that we have launched recently. And also, some other new launches that we did in the last 1-2 quarters.

Amey Chalke : Sure, sir. Thank you so much.

Moderator: Thank you. The next question is from Bino.

Bino : Hi, good morning, good evening. First question to Mur ali, you know, just probably a little bit more on Europe , you said the F Y26 will see an improved growth because of some LOE products, etc. So, one, would you be able to name some of these LOE products? And two, assume we have a very good growth in F Y26, how should we look at growth in this market, being a mature market ahead, F Y27 to date, etc? Will it come back to the normal market growth rate of single digit or do you see a pretty long runway?

V. Muralidharan: Thank you, Bino, for this question. Let me take up the growth first and then the LOE products. So, in terms of growth, the generic growth in Europe is rather flat or low single digit or maximum 4 to 5 %. But we have been consistently clocking a high single digit growth. And I'm confident in this new fiscal as well , we'll be doing close to 8-9% growth , contributed by several factors, which I have already listed a couple of times. And, you know, internally, we had kept a billion -dollar mark for this year as our mission, and we almost reached that. As Subbu mentioned, it was US$ 987mn for the current year. So, obviously, next year we'll be scaling past the billion mark in style.

Coming to the LOE products, there are about six products. I'm not sure whether I can name these at this moment, but these will be launched during the year, market -by-market. In some cases, we are going on a risk -based approach based on the legal opinion we have got, but we are confident we'll be able to successfully launch and clock the annualized revenues in the next fiscal. Thank you.

Bino : Understood . Second question, a follow -up to Yugandhar. You mentioned about a few interesting launches, including settlements in the U S in FY27. Would you be able to name them?

Yugandhar Puvvala: Yeah, it is public information. So, we have most of the oncology oral solids which are going to come, which is related to Pomalidomide, Nintedanib, Sugammadex . So, there are multiple. In fact, we have tentative approvals. We expect final approval to happen just before the launch, but there are multiple settlements which will kick in end of FY26 and into FY27. So, I think beyond that, I cannot read the entire list, but yes, we have interesting launches lined up for FY27.

Bino: Got it. Is Macitentan part of it?

Yugandhar Puvvala: No.

Bino: Okay. And one last, Subbu sir, the tax rate for the year was high compared to earlier years. What should we look at for FY26 at a consolidated level?

S. Subramanian : I think the tax rate, the general tax rate for us is around 25% . But being very conservative, we don't take the deferred tax credit for all the loss -making units. Once they start becoming break -even, et cetera, I will get the tax rates done. So, you can take approximately 28 to 30% is the tax rate. Probably you'll get a better idea going forward in the coming quarters.

Bino: Thank you. Thank you very much.

Moderator : Thank you. The next question is from Andre.

Andre: So, my question is rather broad, but in the opening remarks, Mr. Sant hanam said that he was quite satisfied with the good results which you have in the last year. Now, if I were to look at it from an outside perspective,

with the exception of the European business, the
general growth trajectory in last year has been somewhere in the neighbo urhood of 10%,

whether you look at revenues or profit, et c. I'm making a slightly broad statement. Now, what is it that makes you say that these results are good? I want to understand your own evaluation and your own expectations of the business. Were there conditions in the business that were rather difficult last year, which makes a 10% kind of revenue profit growth satisfactory or more than satisfactory for you? And if I were to extrapolate for next year, against a comment saying that you expect next year to be muted in terms of results , for the reasons that you applied, what would, in that context, be an expectation of a good result for next year?

S. Subramanian : See, this year, if you really see the Q4, year -on-year growth, we have achieved around 10% . So, we are saying , excluding the transient product, we'll be achieving around high single -digit growth. That means the base business is growing consistently, Plus anything, the transient product will contribute, which has been mentioned earlier, that will get added to that.

And second, please do not expect all businesses have to continuously perform every quarter. That is the reason what we have done is, you see, there will be some pressure for any, some business in some quarter, etc. So, we are making the results, everything on a market basis, . That is the reason you have to look at it. If we get into every business, this business is growing, not growing, etc., it's very difficult. And second, with such a base [revenue] of around Rs. 32,000 crore, some quarters there may be a drop, some quarters there may be a high . But overall, you have to look at the year as a whole, whether we are doing it or not doing it like that. It's not a small business where it can grow by 50%, 40%, 30% like that. It's a very big business . And when we say Rs. 32,000 gr ew by 8 or 9%, we are talking about a growth of around Rs. 2,500 to Rs. 3,000 crores.

Andre: Okay. So, if I would understand you correctly, what you're saying is that for a business with a large base, there are different components, which will at any point of time move in different directions . Some will grow in …

S. Subramanian : Different directions, but our job is to ensure that overall, everything put together on a consolidated basis, we have to grow.

Andre: So, therefore, a growth of 10% overall is good by your internal measures.

S. Subramanian : Yeah, high single digit, I said that.

Andre: Okay. And therefore, for the next year, what is it that you would consider a good performance?

S. Subramanian : High single digit is what we are targeting.

Andre: Okay. Thank you. Thank you very much.

Moderator: Thank you. The next question is from Jigar Wa lia.

Jigar Walia: Hello. Sir, one is, if you can explain importance of Eugia Unit-5 versus Unit-3, I mean, Unit-3 has been discussed a lot, but if you can give some more clarity with regards to how Unit-5 versus Unit-3.

Yugandhar Puvvala: Yeah, Unit 5 Jigar, we have already four lines which are installed , and we are actually almost adding four more lines related to BFS, PFS, cartridge, and one more aseptic line. So, it will be almost eight significant lines with capabilities of aseptic , terminally sterilized , cartridge products and BFS products and bag products. So, we expect Vizag to be a future plant, not only as a de -risking for Eugia -3, but also contributing significantly starting F Y27. So, we have plans of filing roughly around 10 products for US and around 15 products for Europe. And obviously, all these products will be extended to the other geographies. So, F Y26 will be the significant filing year , with F Y27 contributing decent enough revenues for this plant

. So, if
you need to know anything else, most welcome, you can ask.

Jigar Walia: This is helpful. And Unit-3 would be also having eight lines or would it be …?

Yugandhar Puvvala: No, that Unit-3 has actually 17 lines. Okay. So, we don't want to create such a massive plant again, but we wanted to limit any future plan ts to be in the range of maximum 10 lines. So, we have expansion possibilities within the Vizag plant, but only thing is, at this point of time, we want to restrict ourselves to around eight lines.

Jigar Walia: Makes sense. Thank you. The other question is, you partially mentioned in terms of the cumulative investments on Biosimilar, etc. But overall, as a company, we made investments in P en-G, Biosimilar and CDMO , and these are probably not contributing positively to the earnings as of now. If you can just give a cumulative number in terms of investments and maybe how much is a cumulative type of impact on the P&L now , and as it normalizes, so one can understand the data going ahead.

Santhanam Subramanian: I can give you a very broad, rough estimate. We have invested around Rs. 2,700 crores in P en-G. It has the potential to take the EBITDA more than Rs. 1,000 crores. It has the potential , and if good prices, if we get , it can be higher also. But what I'm saying is , there is potential In terms of the Biosimilar, Sat akarni has already mentioned to you what is he planning to do? So, this is very clear. CDMO also . Satarkarni , can you talk about CDMO?

Dr. Satakarni Makkapati: Yeah, I mean, Jigar, so the CDMO business that we have in

TheraNym , we are investing close to about Rs. 1,000 crores to build the 15 KL into multiple bioreactor capacities. The plant would be commissioned in Q2 of the next fiscal [FY27], a nd we expect the validation batches to complete by Q4 [FY27] , which means we will see the revenues coming in from the following fiscal [FY28] . It takes time to build these plants, two and a half to three years. So, we are very much on track with commissioning the facilities and ensuring that it becomes into the commercial supply chain soon in the next 4-6 quarters ' time.

Jigar Walia: Got it. And over, I mean, roughly over what, 3-4 years, should we see that these would earn company level EBITDA margins or could it be sooner?

Dr. Satakarni Makkapati: For the CMO, it would be about 3-5 years ' time frame, because it depends on the sponsor or the client and what capacities will they actually utilize, which we think is fair bit of capacities right now. And also, it depends on , once you complete your validation batches, how long would it take for the regulatory approvals to come in. So, anywhere between 3-5 years ' time frame, 3 the best case and 5 the worst case, we see normal cy sitting in.

Jigar Walia: Great. Last, if I can squeeze in with the free cash flows improving post -CapEx commitments, is there any possibility for buybacks?

S. Subramanian : That's a good ques tion. The last buyback was closed on August 31st 2024 . So, you cannot do a buyback before August of this year. So, we have enough time to think about it and our cash flows are pretty strong. Maybe bo ard can consider either buyback or dividend. But the probability is good, actually, with the cash flows strengthening.

Moderator: Thank you. The next question is from Shyam Sr inivasan.

Shyam Srinivasan: Good morning. Thank you for taking my question. Just the first one on the on the Pen -G plant . I just want to understand a little bit about the fire accident and the subsequent 20-25 day … I think you also put a press release yesterday saying you are waiting some approval from the Andhra board. So, just can you give some clarity around what went wrong and what are the mitigation efforts and when does this restart? That's question one.

Also want to know in terms of production, how are we

thinking , again Pen -G? W hat is the
monthly or the annual trajectory we would likely go back to? And Subbu sir, you also mentioned about prices for Pen -G, if they are favo urable, we'll do certain level of EBITDA. Just want to understand how is it trending right now? We've heard some Chinese players actually cut 6-APA prices, for example. So, just want to understand the dynamics around Pen -G and what's our outlook for the next 12 months?

S. Subramanian : So, the first question is fire accident. This fire accident happened in the coal yard near the conveyor belt. This has happened because of the self -ignition of the coal heap . What I understand from the technical people, the temperature on the surface vis-à-vis temperature inside the coal heap was very high , and that led to self -ignition of the coal . And this is very common if you really see in the cement industries, etc. But unfortunately, it was near the conveyor belt , which has impacted the conveyor belt , and that has been rectified .

In the meantime, we also applied for the renewal as one year was over in April. So, we have subjected ourselves to the inspection . And in the meantime, this accident has happened and hence it could not be proceeded with . Now, we'll take it up with the PCB (Pollution Control Board). We cannot give a time frame, but certainly, everybody will look into this project positively .

And apart from that with the new COVID news , we need to push the government very fast, which we are likely to do going forward.

And third, in terms of the pricing, etc. 6 -APA pricing, etc. , I mean, if it is low, it's good. We can also take advantage of that , so that we can make more money than what we can anticipate by doing it ourselves, unless the minimum import price comes, etc. It's always better to take advantage of any opportunities coming in terms of reduced price. That's the way any company will do that.

Shyam Srinivasan: Thank you, Subbu sir. Helpful. This minimum input price, you mentioned this few times. Sorry, I have not understood what the proposal is. Is it to help domestic industry? Sorry, can you explain what could be the contours of it?

S. Subramanian : I think what I understood from the industry sources is , government is contemplating of putting the minimum input prices of few products, etc. So, we have also represented our product. Once we come to know from the government anything officially, we will certainly let you know .

Shyam Srinivasan: Sorry, Subbu sir, sorry to interrupt you. This is for which product? Sorry, I didn't understand. Where are we looking for minimum input supports?

S. Subramanian : For PLI products only.

Shyam Srinivasan: All PLI products. Understood. Okay , I got it.

S. Subramanian : Yeah. I mean, this is, we came to know from the industry sources. I want to make it abundantly clear.

Shyam Srinivasan: Understood, sir. Okay. Lastly, you also mentioned in your opening remarks about July being a tariff . Maybe there is some … again, like you said, industry, there's a lot of discussion . But generics were exempted last year in 2019, even under Trump -1. So, has there some change been, which seems to suggest that …?

S. Subramanian : Nothing, we are not suggesting anything. Whatever, we are not making anything, we are not guessing anything. We are just saying there is an announcement likely in the month of July. So, let's wait for that. That's it. We don't want to make any guesses about it.

Moderator: Thank you, Shyam. We will now take the last two questions. The next question is from Nitin Agarwal.

Nitin Agarwal: Sir, I was saying about the biosimilar business, we mentioned that we invested almost US$ 400 million in the business so far. At what time frames do we start to expect making decent ups of our expected ROCs on this business? This is going to be ‘27, ‘28, or subsequent

ly?

Dr. Satakarni Makkapati: So, Nitin, we expect ‘28 would be the inflection year for the biosimilar business. And the business will stabilize with about seven products in the regulated markets, both in Europe and possibly a couple of products in the US by 2030. So, you should look at ‘28 to 2030 as the years where you can see biosimilar business trajectory building up.

Nitin Agarwal: And Sat akarni Sir , while not looking at specific guidance, but given the way you are seeing the business, the way you see the dynamics in the biosimilar business, the pipeline that we have, I mean, over this timeframe, ‘28, ‘29, ‘30, excluding the CDMO part, only the biosimilar part, I mean, what is the potential of the business to get to in terms of size? Is it a $500 million business, a billion -dollar business? Where does it get to in terms of the investments that we made and the capabilities that we have in this business?

Dr. Satakarni Makkapati: So, in one of my earlier answers to one of the earnings call questions, I explained that I would hate to put numbers to it because we are looking at extremely complex and dynamic environment s, both in Europe as well as the US when it comes to biosimilar business and its disruption. Having said that, with the portfolio that we are having, especially with the four products that are now approved, followed by the Denosumab , Omalizumab , and the Bevacizumab, which are likely to get approved in the next 4-6 quarters, I expect by 2030 -31, the business would be anywhere between US$ 250 to around US$ 400 million in revenues. It depends on various factors . So, it is very subjective, and you cannot pinpoint to a certain number, but expect to be a significant size provided certain regulatory decisions go our way in the US and other regulated markets.

Moderator: Thank you, Nitin. The next question is from Anu bhav Agarwal.

Anubhav Agarwal : Hi guys, just Subbu sir, getting some clarity on the guidance here. One, what contribution are you including from Pen -G plant coming back in the guidance here? Or how many months of production are you including?

S. Subramanian : I think we are including around 6-8 months.

Anubhav Agarwal: And that would be roughly about 3-4% of revenues, 5 -6% of revenues? I'm just trying to understand , because that number can be 3-4% in a guidance of high single digit growth.

S. Subramanian : See, we cannot specifically tell the numbers of individual business . But what we can tell is , suppose if you are able to make a production of anywhere between 8,000 to 10,000 tons in a year, certainly ~50% will go into the external market. So it all depends upon the price at that particular point of time, etc. As I told you earlier, Anu bhav , if we are unable to make it in one business, we'll try to make it up in another business. That's the way we keep on moving. And we have multiple levers, multiple businesses in every market. We have to try to work on that.

Anubhav Agarwal: Sure, that's helpful. Second clarity on the guidance is, on lenalidomide or generic Revlimid, very roughly, year -on-year would be significantly… So, FY26 would be significantly lower than FY25, flattish? Just, a very rough qualitative sense would help us, because I know your guidance is excluding the transient product, but at the same time, margin is an absolute number, right, which is same year -on-year.

Management : FY26 will be less than FY25.

Anubhav Agarwal: That's helpful. Last clarity is on other operating income. So, this year was about 350 crores. Roughly, next year, will it be a flattish number, growth of about higher single digit? Just some idea about other operating income.

S. Subramanian : Mostly, our other operating income should be around 200 crores plus.

Moderator: Thank you, everyone. Ladies and gentlemen, we'll

have the closing remarks.

Shriniwas Dange: So, thank you al l for joining us on the call today. If you have any of your questions unanswered, please feel free to get in touch with the Investor Relations team. The transcript of this call will be uploaded on our website www.aurobindo.com in due course. Thank you and have a great day.

Moderator: Ladies and gentlemen, on behalf of Aurobindo Pharma, that concludes today's conference. Thank you for joining us, and you may now disconnect your lines and exit the webinar. Thank you.

END OF TRANSCRIPT

Call: Aug 2025

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 Telangana, India Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
August 8 , 2025

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir / Madam,

Sub: Transcript of Q 1 FY2 6 earnings call.

Please refer to our letter dated July 24 , 2025, wherein we intimated the schedule of Investors/ Analysts call on August 5 , 2025. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the first quarter ended June 30 , 202 5 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl.: as above

Q1 FY26 Earnings Conference Call

05 August 2025

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala – CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma , USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. Santhanam Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Varun Mali - Investor Relations & Corporate Communications , Aurobindo Pharma Limited

Varun Mali : Good morning, everyone. Welcome to our first quarter's FY26 Earnings Call. I am Varun Mali from the Investor Relations and the Corporate C ommunications team. We hope you have received the Q1 FY26 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce you to our senior management on the call today –

• Dr. Satakarni Makkapati, CEO - Aurobindo Biosimilars, Vaccines, Peptides, Business and Director - Aurobindo Pharma Limited.
• Mr. Yugandhar Puvvala, CEO , Eugia Pharma Specialities Limited.
• Mr. Swami Iyer, CEO, Aurobindo Pharma, USA.
• Mr. V. Mur alidharan, CEO, Europe Formulation Business.
• Mr. S. Subramanian, CFO, Aurobindo Pharma Limited.

We will begin the call with the summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on a future business, business development and commercial performance. While these forward -looking statements exemplify judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect in f uture events or circumstances.

With that, I will now hand over the call to our CFO for the highlights. Over to you, Sir.

Santhanam Subramanian: Good morning, everyone. A very warm welcome to Aurobindo Pharma's Q1 FY26 Earnings Call. Thank you for taking the time to join us today to discuss the company's financial and operational performance of the first quarter of the current fiscal year. Let me b egin with a brief summary of our performance.

• Our consolidated revenues grew by 4% year -on-year to ■ 7,868 crores, reflecting a steady start to FY26. This growth was driven primarily by continued momentum in our European and growth market operations, along with incremental contributions from our ARV segment. Our U .S. formulation base business remained stable and resilient.

• EBITDA for the quarter was ■ 1,603 crores with a margin of 20.4 %. At the EBITDA level, Q1 FY26 includes a substantially lower contribution from gRevlimid compared to both Q4 FY25 and Q1 FY26. Q1 FY26 was lower by about ■ 150 crores versus Q1 FY25 and ■550 crores versus Q4 FY25. Ex-Revlimid growth in EBITDA is 12% year -on-year.

• In another major development, we are pleased to share that we have secured the renewal of consent to operate as well as the wastewater disposal clearance from the Andhra Pradesh Pollution Control Board for our P en-G manufacturing plant. The facility successfully resumed operations on early hours of 1st July. We continue to scale

up the operations and have achieved encouraging yields and are confident of sustaining the momentum.

Business Highlights : Let me now walk you through the key business highlights for the quarter.

Overall formulation s business witnessed a year -on-year growth of 7% with revenues reaching ■6,953 crores, contributing approximately 88% of the total consolidated revenues. This growth was led by strong performance in Europe and key emerging markets. API business accounted for 12% of the overall revenues, declining 16% year -on-year to ■916 crores, impacted by geopolitical challenges, business mix and the pricing pressures.

U.S. Formulation s: U.S. revenues experienced a year -on-year decline of 4% to 408 million, primarily attributable to a significant reduction in the transient product sale gRevlimid , a temporary moderation in customer demand due

to seasonal dynamics, de -stocking effects of
the last quarter inventory due to anticipated tariffs.

Despite lower gRevlimid , overall sales were partially offset by steady demand in our overall base business and a series of new product launches during the quarter. Also, our U.S. injectable sales increased quarter -on-quarter by 11%. We launched 15 new products in the U.S. this q uarter, filed 4 ANDAs, received 14 approvals.

European Formulation: Our European business continued its strong trajectory, delivering 9% year -on-year revenue growth. Revenues reached €241 million this quarter compared to €221 million in Q1 last year. With this consistent performance across all European major markets, we w ill cross the milestone of €1 billion in annual revenues for the region by the end of FY26 .

Growth Markets : Revenues increased by 9% year -on-year to ■772 crores or $90 million, supported by strong underlying performance across key countries.

ARV Formulation : ARV revenue delivered a strong 55% year -on-year increase, reaching ■355 crores or $41 million. These were primarily driven by volume upt ick and new tender wins in several geographies, which we expect to sustain in the near term.

Operational and Financial Highlights :
Gross margins remained stable for the quarter at 58.8% compared to 59.4% in Q1 supported by softer raw material prices and better product and business mix. Our contribution amounted to ■4,629 crores. R&D expenditure was ■367 crores, representing 4.7% of th e revenue. This continues to reflect our ongoing commitment to innovation and to build a robust pipeline, especially in complex generics and specialty therapeutics.

Net CapEx for the quarter stood at $73 million, aligned with our investment priorities in expanding manufacturing footprint, enhancing compliance and automation.

We generated a net cash inflow of $98 million during the quarter, improving our net cash position, including investments to $140 million as of June 30, 2025, up from $42 million as of March 31, 2025.

Our Finance costs declined to 4.9% from 5.5% in the previous quarter, benefiting from prudent treasury management. PAT for the quarter was ■824 crores. Gross Debt reduced to $884 million, down from $930 million at the end of March’25, reflecting ongoing deleveraging and disciplined capital allocation.

New Projects :
Further, the following areas where CapEx has been done and where revenues have been delayed include the following -

1. In Biosimilars , the approvals have started coming in from EU. We expect revenue to start from Q3 -Q4 with well above the company average EBITDA margins.

2. Approximately $145 million invested in China facility, which has commenced production from Q4 FY25 and invoicing started in Q1 FY26. This facility with an initial capacity of 2 billion units + is ramping up as expected and will begin

contributing to revenue in the coming quarters and expected to break even at EBITDA level by Q3 FY26.

3. Approximately $70 million in two U .S. facilities, Dayton , will start producing from Q2-Q3 FY26 . Waiting for approval from the regulatory authorities.

4. The PLI project where all the approvals have been received and the plant has commenced the production since 1st July. Production is going well and yields are improving. We are confident of generating healthy EBITDA from Q3 onwards.

5. On Eugia -V Vizag plant, we expect to file more than 20 products in the U.S. and Europe from this site over the next two years. On Eugia -III, we have invited the USFDA for re -inspection.

6. Approximately $3 0 million spent in Biologics CMO, balance $100 million plus expected to be invested between now and March ’27.

To reiterate, the company is not expecting any further greenfield C apEx investments in the near to mid -term. We will be focusing on maintenance and replacement CapEx and

capacity
enhancements in the existing facilities. The company has a net cash position of $140 million as of June ’25.

Outlook: Looking ahead, we remain optimistic about sustaining our growth momentum. Our confidence is supported by expected volume expansion, continued product launches and a stable pricing environment, especially in the U .S. and Europe. Ramping up of commercial operations at new manufacturing sites would further support both topline growth and margin improvement in the upcoming quarters.

We are confident of achieving our internal target margin of 20% -21% range in FY26.

Lastly, our recent strategic U.S. acquisition will help us to continue the growth momentum in the medium term.

We now look forward to taking your questions. Our senior leadership team is happy to provide further insight s, more details and clarifications wherever needed. Thank you.

Question & Answer Session

Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait for few minutes until the queue assembles. We request participants to restrict to 2 questions and then return to the queue for more questions. Requesting you to identify yourself and your company name. Please raise your hand from the ‘Participant’ tab on the screen to ask a question. The first question is from Damayanti Kerai .

Damayanti Kerai : Hi. Good Morning, everyone. This is Damayanti from HSBC Securities. Sir, my first question is on gRevlimid . So, just to clarify, this ■150 crores less number and then ■550 crores less number versus Q4 is at the EBITDA level, right?

S. Subramanian: You can take that is at the topline level. EBITDA you can work it out yourself, you must be knowing, I am sure.

Damayanti Kerai : Okay, so this is at the revenue level, okay. That was good. My question is, on gRevlimid definitely pricing pressure has intensified and some of your peers have also mentioned this. So, from an opportunity perspective, do you think you can still make some reasonable sales from this product in FY26 or this is an opportunity which is broadly gone now?

Yugandhar Puvvala: Yeah. Damayanti, in fact, I think we mentioned this in the last call as well. Most of our Revlimid settlement quantities, we have sold it. We have nothing more to sell other than a minimal this thing [remaining quantity] . So, the price impact will not have any bearing on our future revenues. But at the same time, we don't expect significant sales coming from gRevlimid because we already sold off.

Damayanti Kerai: Okay, so it's already exhausted the volume allotment which you have got and nothing much to look ahead.

Yugandhar Puvvala: That’s right.

Damayanti Kerai: Okay. My second question is, Sir, if you can explain what has happened in the API and do you think it's a temporary phenomenon and you can see recovery ahead?

S. Subramanian : API, the turnover has dropped because of the mainly because of the pricing pressures. Otherwise, I think over a period of time it will start recovering because it cannot sustain for a long time, right. That is the main reason.

Damayanti Kerai: Okay. And my last question is, you are maintaining your EBITDA guidance for the year. So, basically which will be the key drivers which makes you confident that you can achieve your earlier guidance?

S. Subramanian : Yeah, because despite low gRevlimid we have been able to maintain. This is the numbers of the last quarter [Q1 FY26] , is helping me to retain that confidence.

Damayanti Kerai: Okay, Sir. I'll get back in the queue.

Moderator : The next question is from Tushar Manudhane .

Tushar Manudhane: Yeah, thanks for the opportunity. Sir, with respect to the, let's say, operational losses for various plants, if I have to club together for FY26, if you can share that number? And su

bsequently, how to think about that number for FY27, considering any new plant that might come up in FY27?

S. Subramanian: See, last year, we have incurred losses predominantly, as you know, in Pen-G, Qule and other things, right. And as I explained in the script itself, I said, we are expecting good EBITDA starting Q3 onwards. So , the losses will come down. So , that's the main thing . Out of the total , Pen-G was the biggest loss last year and hopefully that will not get continued.

Tushar Manudhane: So, this year how much that number for this like first two quarters given that the scale up probably will have benefits coming from second half?

S. Subramanian: See, last quarter was a very low number, around less than ■50 crores. But one good thing is we started the production, we had a good production in, I mean, even though the plant has really the first output came sometime in the second fortnight of July, we had a good ramp up. And what is very encouraging is the yields are improving day by day and hopefully it will get stabilized in the month of August and September. So, that is the reas on we think by Q3 onwards we’ll be able to do well. That's the main reason.

Tushar Manudhane: And, Sir, just to add to that, like how much PLI income to consider for this year?

S. Subramanian: I think we will be expecting anywhere between 7,000 -8,000 tonnes production. That means at least we can take more than half of it, maybe around ■150 crores. I mean, but the clear numbers, etc, will be known in the next quarter because the key thing is we need to sustain these yield improvements, which has happened in the last 3 -4 days in this month of August and September. Then that will give you a very clear indication in the next quarter.

Tushar Manudhane: Understood, Sir. And just one more from my side. So, maybe the basis contract the gRevlimid business is no more. So, any which case increased competition and all, so beyond contract will we be able to sell or it's like because of the contract we will not sell itself and so the other guys have their share and subsequently the pricing still remains steady. How to think about gRevlimid as a product?

Yugandhar Puvvala : So, Tushar , in general, the entire market will open up from 1st February, 2026. And we are getting prepared to take more market shares starting from February'2026. So, even though like we will have limited sales of gRevlimid for next 1 -2 quarters , but we expect Q4 because the entire market will open up and we have capacities to take the market share. So, it will be an open market game at that point of time.

Tushar Manudhane: Got it, Sir. This is helpful. I have more questions, I will join back the queue.

Moderator : Thank you. The next question is from Tarang Agarwal.

Tarang Agarwal: Hi, good morning. One on the API business you spoke about pricing pressure. I mean, this pricing pressure is on account of domestic supply being more aggressive or is it because of imports or is it because of both?

S. Subramanian: Because of both.

Tarang Agarwal: Okay. Because a 16% decline is something, to the best of my knowledge, I've never seen in this business in the last multiple quarters.

S. Subramanian: Well, it may be a 16% on the topline , it may not be that much percentage in terms of the volume. Plus, you know, this quarter is always a summer quarter, so the offtake is also very low across India.

Tarang Agarwal: Got it, okay. Second question is on Eugia. I mean, if you could give us the U.S. sales numbers of Eugia for Q4 and Q1; Q4 of FY25 and Q1 of FY26.

S. Subramanian: So, we are not giving that number separately, Tarang.

Yugandhar Puvvala : But in general, Tarang, we already mentioned that the regular injectable sales is growing and we have shown a growth of 11%.

Tarang Agarwal: This 11% is on a year -on-year basis,

correct?

S. Subramanian: Quarter -on-quarter.

Yugandhar Puvvala : It is year -on-year as well as quarter -on-quarter, it is almost similar number.

Tarang Agarwal: Okay. And the European exposure of Eugia or ROW exposure of Eugia continues to be in the ballpark of $35 -$40 million a quarter?

Yugandhar Puvvala : Yeah, it is. It's a split of, you can say that it's around $50 million there, then Europe is $100 million and the growth markets like Canada, Brazil continues to grow. So, overall, we are trying to shift the balance of sales. It's around 70 -30. We are plan ning to shift it to 60 -40 and we are hopeful of doing that.

Tarang Agarwal: Got it. The third question is on TheraNym . Doctor, just wanted to check, I mean, I think the initial estimate of capacity creation was about ■1,000 crores, which was later appended to about ■1,500 crores. I think Subbu Sir did call out in his opening comments of some outlay already being done, if y ou could just rehash in terms of what's happening there and in terms of are you seeing incremental demand in that business?

Dr. Satakarni Makkapati : Good morning, T arang. TheraNym , as you know, we initially started the project with two 15 -kL mammalian cell culture bioreactor lines and the CapEx guidance was around ■1,000 crores to complete the project and fully commission it.

In the CMO space, what we are trying to do is that we are working towards strengthening our collaboration with MSD. This means that or this translates into addition of the need to add two more 15 -kL bioreactor manufacturing lines and it's associated purification and utility capacities. These lines will also come into full operation somewhere in 2028. So , the additional CapEx guidance that we provided of around ■350-■400 crores essentially is to enhance capacities and strengthen our collaboration with MS D. If that answers your question, T arang .

Tarang Agarwal: It does, it does. That's quite helpful. Sir, just a couple of more. One, on the free cash generation, last two quarters consistently almost about $100 million of free cash generation for the business on each quarter basis. Is that the trend that we should work with or some working capital expansion should probably...I mean , the place where I'm trying to get at is the business now at a point of time where $400 -$450 million of regular free cash generation is something that's visible for you? That's one.

And second on Lannett , if you could just walk us through the transaction and why it would take about 8 -12 months for the transaction to achieve closure? Thanks. Those two from mine.

S. Subramanian: Yeah, I'll answer the first one and Swami will answer the second one. In terms of the free cashflow, I mean, we have reduced the working capital considerably and that is what's helping. Apart from that, overall CapEx has come down in the last two quarters. Like this quarter, the overall CapEx is around $73 million, including the new market, PLI; everything put together compared to earlier trend of around more than $100 million. So, that is also helping. So, there is a working capital improvement taking plac e and there is a reduction in the CapEx. That is the reason why it is there. We will strive, we will endeavour to achieve a cash generation of $100 million quarter on quarter, I mean, subject to any strategic expenditure being incurred.

Tarang Agarwal: Sure.

Swami Iyer: Okay. So, on the Lannett acquisition, this is subject to FTC approval. Obviously, there will be a lot of back and forth. We have given 9 months as a matter of abundant caution, it could be earlier. But, obviously, we will do whatever we can to expedite this. If it gets clearance earlier, obviously the integration would happen earlier.

Tarang Agarwal: Sir, just wanted to understand, I mean, how difficult or how soon can you integrate this business? Wh

at are the synergies that you're looking between both the setup
and some metrics on the broader market in which the target is operating?

Swami Iyer: Sure. So, we believe that integration is very easy because we have similar kind of products, only they are in ADHD segment. They are mostly into controlled substances and even the other product that they have , We believe that those are very close to what we have. What they have, one other advantage is they had a strong BD team, which we have started working on now, and they also have a bit of in -licensing. That is going to be clearly one synergy.

The other synergy, they have got 70 plus active products and many of them are in controlled substances. They're all in niche area where the products are in short supply. We believe, based on what we have seen quarter on quarter trend, that there could be g ood potential for an upside in this business. They have been consistently able to get a quota, they have been consistently able to utilize a quota, which is very important, and the market pricing is pretty stable.

We also think there are some synergies in terms of rationalization of some of the resources that would immediately, some of these could be low -hanging fruit.

And a nother factor is that they have a good CMO business with a few countries with approval in some of the other markets, which we think we will be able to tap better because we have got good presence in those markets. And we are understanding is that some of the products that is being manufactured there at Lannett could have a good potential in one of our neighbouring countries and also we can spread out a little beyond that because they do have the regulatory approach for those countries.

They also have manufacturing capability for oral solids, liquids and potent substances. The manufacturing capacity is not fully utilized, they utilize only to the extent of ballpark around 40%, which gives us around 60%. Aurobindo has a large portfolio, we can quickly leverage our large portfolio to bring in some more products, which are in demand in the U.S., especially for the government market and that could be an immediate gainer.

Lannett has also discontinued some of the products. We think there is scope for, with our procurement practices, with our ability, we believe that we can revive those products, especially for the government markets.

Last but not the least, they have a very good workforce in the manufacturing. They all have a very long tenure and the wage level, everything is very comparable or better. So, that gives us a good feel about the whole acquisition. Net-net, we are very upbeat about this.

Tarang Agarwal: Wonderful, Sir. Thank you and all the best.

Swami Iyer: Thank you.

Moderator : Thank you. Next question is from Surya Patra.

Surya Patra: Yeah. Thanks for the opportunity, Sir. My first question on the U.S. business, you have commented about destocking impact, what is the nature of this destocking, Sir? Is it anything relating to tariff -related preparation or can you clarify this?

Swami Iyer: Yeah, Surya, what Subbu had alluded to was primarily, the tariffs were supposed to go into effect from April 1. If you see, there was a huge surge, much more than the normal quarter surge in the quarter ending March. We believe that some of the wholesalers have stocked up the product in anticipation. They were also asking us to keep more inventory and they themselves seemed to have stocked up. We have not seen a decline in the demand of the oral solids in the U .S. nor have we seen any loss of awards, any major award. So, it is our understanding that this is primarily because the wholesalers have stocked up during the last quarter and they are winding down those positions.

Surya Patra: Okay. So, it is a quarter -specif

ic issue then, I believe.

Swami Iyer: Yes, not just that. For Q1, this has been a fairly good quarter, especially on the total volume that has been sold from the wholesalers. Typically, Q1 is a non -seasonal quarter but it has been a fairly decent quarter, I would say.

Surya Patra: Sure, Sir. My second point is about the Pen-G plant, Sir. So, now having resumed our operation there, what is the kind of visibility that we are having in terms of the ramp -up? And also , in the previous quarter that we had indicated about the MIP, the Minimum Import Price, so what is the update on that front , whether that is a kind of necessity given the current situation ? And what is your risk assessment about that relating to the Pen-G, if you can?

S. Subramanian: So, in terms of the Pen-G production, as I said, the production is improving in the last 3 -4 days and the yields are improving. We believe, I mean, we are pretty confident this going will be very good in the coming 2 months and we will be able to do very well in the Q3, that is wh at we believe.

And in terms of the MIP, I am not sure we can talk about it in detail because there are lot of things that are happening. So, probably we may be able to talk about it in the next call.

Surya Patra: Okay, Sir. My last question is about the European business. Sir, obviously that we have been seeing very strong performance consistently since last few quarters and you have already guided about a kind of strong growth in the FY26. So, my point was about t he margin performance there. Sir, with the new capacity addition, what is the kind of outsourcing that we are dependent on external resources for European operation now? And what it is likely to improve to by the end of this year? And hence wh at margin performance one should anticipate for the European markets.

V. Mur alidharan: Yeah, from the market perspective I can handle this, then on the plant related, Subbu, I would suggest you to do that. Surya, first of all pleasure speaking to you, good morning and thank you for your compliments for the European business.

Yes, we have been demonstrating the sustained momentum since last several quarters and happy to be also posting a strong number this quarter. And coming to the third party

sourcing versus in -house, we are steadily moving the products in -house as much as possible. Of course, there are certain small volumes or some technologies which we cannot handle, so this continue to come from the third party suppliers. But as far as the margins are concerned, where you would have known several, a few quarters ago where we were in the mid-teens, but now we are going strongly much above to the high teens and touching the 20 mark very soon. So this is on the margin perspect ive.

S. Subramanian: Yeah, so in terms of the production, I'm sure you must be knowing, we have been having a capacity around three to four billion tablets now, as explained in the last or previous call. We have ramped up the capacity further and that has helped in terms of supplying more material and that is also one of the reasons the European team was able to take the sales to greater heights, right? And we will continue to do that and in terms of the margin also, because of the in -house production and we wer e able to increase the margin percentage also.

And your last question was in terms of percentage, we were somewhere around 50 -50 or slightly above in favor of the captive consumption.

Surya Patra : Okay, so just whether the injectables have seen any ramp up in Europe?

Yugandhar Puvvala : Yes, in fact, we have been growing at a rate of 20 percent for European market because we find a lot of shortages happening in Europe and Murali's team could take full advantage of the market situation there. So now like what's happening is, our capacity v ersus demand, the demand is outstripping t

he capacity. So in fact, we have taken
a decision to add two more lines, oncology lines to take care of the European requirements. I'm quite positive that Europe has continued to grow.

Surya Patra : Okay, okay, sure sir. Yeah, thank you. Wish you all the best.

Moderator: Thank you. The next question is from Neha Manpuria.

Neha Manpuria: Yeah, thanks for taking my question. You know, two questions on the U.S. business. Swami Sir, if I look at the oral solid business, could you quantify how much would be this de -stocking impact just to understand, you know, how the business is done both from a year -on-year and a quarter -on-quarter perspective?

Swami Iyer: You know, it's hard to quantify exactly that kind of amount but what I'm saying is, in terms of total demand for the U.S., it has been pretty stable and we have got our awards intact barring few losses and few gains. So overall, I think we are in good shape there. I am not exactly sure on how much. My guess would be, it could be anywhere between half a month to one month. That's my guess because if the wholesalers have stocked it, they would have stocked it for at least 15 days to one month for the tariffs. That's only my guess. I can't say precisely.

Neha Manpuria : Understood. And then I'm just wondering about the, you know, U.S. business decline quarter -on-quarter and, you know, Yugandhar Sir’s comment that the injectable business seems to be improving. If it's just 15 days of, you know, 15 days or one month of de -stocking, you know, the entire, you know, 550 crores decline quarter -on-

quarter is just Revlimid? I mean, if I were to look at the last quarter injectable base or Eugia base that we used to mention, it seems like the ex -Revlimid business isn't actually showing as much improvement or, you know, normalcy as, you know, what we seem to be leading. So what am I missing here in the U.S. business?

S. Subramanian : Neha, you cannot do that. No, U.S. business is not only the solid orals and injectable s. We have the branded injectable. We have the OTC from direct dispatches from India, which is a significant amount. So it's a combination of everything. So if you say if you deduct it and then is it because of the oral, etc., it is not like that. It's a combination of many things. Okay?

Neha Manpuria : No, sir. What I'm trying to understand is that, you know, how far are we from the injectable business getting back to, you know, the pre -disruption levels? You know, is it 20 percent lower, 30 percent lower? That's what I'm trying to understand.

Yugandhar Puvvala: Let me just clarify a few things. Yes, the G -Revlimid was much higher in Q4. Your assumption is to some extent right. Second thing is we are back to pre -disruption levels with respect to injectable business. I'm very, very confident. My entire injectable business is growing and all the production facilities are back and running and Eugia 3 is back. So we are very, very confident that we have come back to the pre -disruption levels.

Neha Manpuria : Understood. And my last question is on Lanett . Lannet t also had a very good portfolio that they were planning to file. I think you also alluded in your presentation in Lannett that, you know, there are some NC E minus 1 opportunities. Are these opportunities still valid, you know, once we finish integration, you know, the acquisition of Lannett ? And also will there, do you think, given the portfolio overlap based on IQVIA data that we have with Lannett , there would be direct means that could be required to get FTC approval in your view?

Swami Iyer: First things first, on the pipeline, we not only get the products in commercial stage, we also get the products in pipeline. There are some good pipeline products.

That's what I would like to say. At this point of time, we are quite excited about what they have in pipeline, a

t least a few products. Now, as far as the FTC is concerned, FTC has to review this, the sheer volume of work that they have to do, because I've been there, you know, it's a big company, we have to submit all the data about all the products and they would take time reviewing it. So, it could take time, but we feel optimistic that we should be getting it and getting for the entire portfolio of comm ercial products in the pipeline, barring few where there could be conflicts. So overall, we, like I said before, we are quite upbeat on what we will, what we are likely to get here.

Moderator : Understood. Thank you so much, sir. Next question is from Bino.

Bino: Hi. Good morning and good evening. First question, Subbu Sir, our gross margin is holding up at about 59%. You mentioned that Revlimid was down Q -O-Q by about, I think $17 million and there was pricing pressure in the APIs as well. So, what's helping us hold up the gross margin at 59%, which is comparable QOQ?

S. Subramanian: As explained in the original script itself, no, it is a combination of multiple things. There is a positive favourable mix in terms of the businesses when, for example, when the API business percentage of revenue share goes down, automatically, it increase s the weighted average because the API does not give the margin same as the company average margin like that and we also had good, Eugia done well, plus we also, the existing product profile also good in the solid orals. So it's a combination of multiple t hings, Bino.

Bino: Okay. And second, what are the Pen-G prices in the market today? And what is your latest estimate about your profitability levels? At what price you would be profitable?

S. Subramanian: I think the current market price is anywhere north of $20 [per kg] . We'll be profitable somewhere around, I mean, we'll be breakeven somewhere around maybe a couple of dollars plus or minus like that, depending upon the yield in that particular month or the quarter .

Bino: Okay, understood. And last one question, for being eligible to get the PLI payment, is there a minimum level of production that we need to have in a year?

S. Subramanian: No, there is no minimum level of production. Whatever you produce, you will get a percentage on that, you will get the PLI incentive.

Bino: Understood! Thank you very much. I'll join back in the queue.

Moderator : Next question is from Shyam Srinivasan.

Shyam Srinivasan: Yeah, good morning. Thank you for taking my question. Just the first one on the biosimilar launches in Europe, Dr. Satakarni, if you could just highlight what are the things that we need to keep in mind? I think the presentation talks about Q3, Q4. So the kind of infrastructure, the kind of preparation, maybe initial market shares that we are targeting. So if you could help us outlay the commercial strategy.

Dr. Satakarni Makkapati: Shyam, so to answer your question, we started making the manufacturing quantities for commercial supplies. In fact, we made one supply as well to meet the requirement in the UK market. So the first six months leading up to March would essentially be meeting the l aunch quantities, enabling our commercial operations teams and our partners to park the launch quantities in the markets they desire to. So I don't have a number guidance for the first six months. It will be a very small sin gle digit commercial revenues trickling in. The focus for us right now is to ensure that we have adequate supplies, the supply chain is sorted out. Our QP testing services that we are stabilizing in Europe through CRO partners and through our own setup in Malta, they function seamlessly in releasing and testing biosimilars, which is required in Europe. You need a qualified person nel [QP] testing. So all this will take about a couple of quarters to stabilize.

As you know that we ha

ve four product approvals that we received from Europe, three with the European medicine agency and Bevqolva (tratsuzumab) with MHRA. So all 4 products, we are ready to supply these products into the European market. I hope to stabilize

everything from supply chain to closing out on a couple of distribution deals that I am focusing on in Europe right now in the markets that we are not directly present. So in the markets that Aurobindo is directly present, Aurobindo will handle the commerc ialization of these products.

In the markets that we are not strong in, we have a few partners. For example, in Nordics, we have Orion Pharma. In some other markets, I cannot disclose their names, but we are working on closing a few deals. So I see by the April quarter next, we would have fairly stabilized our commercial supplies and we will have some plans laid out for how much we will be able to sell in these markets for the year. Shyam, that answers your question.

Shyam Srinivasan: Yeah. Thank you, Dr. Satakarni. Just if you could give us, like your credit for the first European launch at your earlier shop. So you know, in the last whatever, you know, five, six, maybe even a decade of doing this, what are some of the big differences you see? Is profitability in Europe for biosimilars distinctly different now and lower perhaps? So, if you could comment on profitability as well.

Dr. Satakarni Makkapati: It is a very subjective question. I have been asked this question on multiple occasions. From my first launch in Europe way back, the India's first launch in

Europe way back in 2012 to now, absolutely, there is a big difference in the pricing erosion that we are witnessing, which affects the profitability margins. But what needs to be also understood is that the European landscape is extremely distinct in a manner that, there are few countries which are extremely tender -driven or so lely tender -driven, if I may use that word. And there are a few countries where the retail prices are still very exciting, where you can still make a good 85, 80% gross margins. And there will be countries where you will make probably around 15 to 20%.

So you need to look at Europe as a whole and see if a company is putting out a product at a COGS and a transfer price to its partners, where it can still make an overall margin of, say, 40 to 60%, then I believe that they are still in the game. But having said that, in the last decade or so, you definitely have seen in the chronic segment. When I say chronic segment, essentially, like immunology, rheumatoid arthritis, etc., you are seeing a major drop, a major erosion in the prices. From my Hospira days whe n we launched Infliximab, the price erosion that I see now is very high. But still in the oncology segment, not the supportive oncology segment, the oncology segment, I still see the price erosions not reflecting to the extent what you see in the chronic segment. But having said that, Europe has a distinct flavour now with the price erosions that you are seeing and any company, any biosimilar developer and manufacturer who wants to be serious in their European business needs to at least prepare them for an overall 50% margin from the entire European market. There will be some countries that will give you 70 -80%. There will be some countries that will give you 10 -15%. As long as you keep your COGS in a manner that you have an overall margin of around 50%, you are good, which also means that you need to have a good and strong commercial positioning in Europe, across Europe, to make that happen. I hope that answers your question, Shyam .

Shyam Srinivasan: Yeah, thank you. Thank you, Dr. Satakarni. My second question is…

V. Muralidharan : Dr. Satakarni, maybe I can contribute here in addition to the eloquent reply what you gave. For example, countries like France, the generic substitutability trend is increasing, where it was hardly one or two products earlier, now, as many as nine products are in the list of generic substitutability and similar trend is to be expected in certain other countries as well, meaning there will be a higher volume uptake as we launch some of our products. So this is a positive trend for us, which we would like to encash on.

Shyam Srinivasan: Helpful! Thank you. Just my last two questions. I will keep it very brief. First one, our experiences of this Lannett with the FTC vis -à-vis the Sandoz acquisition that did not go through, Subbu sir or Swami sir, anything, what gives you confidence that we can get through this FTC bar this time around v ersus that failed episode? And second question is, just a data point on the opening remarks. You said, 12% growth excluding gRevlimid . Is it US? Is it overall company? With the numbers you have shared, I am not able to come up with that number. So if you could help us. Thank you.

Swami Iyer: Yeah. First, I will take the question on FTC, Subbu. So on the FTC, we do not have any of the critical products that we think will have a conflict where we would be reluctant to look at it or we do not expect that many products where we would have this issue. We think it will be a smaller list based on our understanding, based on the advice that we have received and we think we should not have a problem with that kind of smaller list. What we are focused on, are some of the products where we think it will go thro ugh without any much difficulty. Obviously, it is a decision of FTC, but that is what gives us the confidence that the main product should be intact. So we have a little more flexibility in this.

S. Subramanian: So Shyam, you talked about the 12%, it is year on year.

Shyam Srinivasan: Sir, which geography? Is it US? Is it overall?

S. Subramanian: No, no. It is overall. Overall, I am saying. Overall, group as a whole.

Shyam Srinivasan: Okay, sir. And US would be what? Sorry.

S. Subramanian: US, we are not given any specific number directly. We never used to give, but this is the overall Aurobindo as a whole on consol basis.

Shyam Srinivasan: Okay, sir. Thank you. All the best.

Moderator: Next question is from Srikanth.

Srikanth: Hi, good morning. Thanks for the opportunity. I have three questions. First question is on our annual guidance.

S. Subramanian: I think Srikanth, my request to you is, since there are three, four people are still waiting, can you restrict to two questions?

Srikanth: Sure sir. No problem. So firstly on the annual guidance, last quarter, we talked about single digit growth. However, with the PEN -G restarting and you are giving

encouraging comments on the project, do you see any requirement to upgrade our annual guidance?

S. Subramanian: No, I told you no, I will be able to give a better picture in the November quarter. After that, it is your call what you want to do.

Srikanth: Okay. And sir, what are the utilization levels at PEN -G unit currently?

S. Subramanian: PEN-G unit currently, we are doing around 50 to 60%. We are trying to improve the yields. That is our primary objective to cut down the losses so that better yield will cut down the losses. And once we stabilize that in the next two months, we will scale it up.

Srikanth: Okay. And now that you are restricting, so just one more question. So on the controlled substance business, we have seen some struggle by some of the Indian companies. Now, if you can update what is happening in the controlled substance market and how do you see the kind of growth that can happen in the market and where d o we stand to benefit from this opportunity? Thank you.

Swami Iyer : So actually Shrikanth , I didn't understand your question. What about the Indian companies? Wha

t did you mention?

Srikanth: So in the past, we have seen some of Indian companies getting in controlled substance market in the US. However, there have been some challenges and therefore, some companies we have been shutting down their manufacturing units in the US. So now, if you ca n tell…….

Swami Iyer : Understood! Understood! Yeah, okay. So controlled substances are primarily put in two buckets. One is opioids. The other one is the non -opioids. Okay. So what we are looking at right now from opioids have some problems, opioids have some legal issues and they also have a lot of other issues, many number of players in that market. Net -net, you know, if you take opioids, it's not so easy. It's got a good m arket. If you've got the market share but otherwise that can be challenging. Now what we are looking at right now, the controlled substance as far as Lannett is concerned, is mostly in the non -opioid segment and these are ADHD products, which are all in short supply. So that's how we feel very confident about it. And where we have opioids, we will look at it. But essentially, this Lannett is all about the ADHD medication and these are non -opioid.

Srikanth: Yeah, that is helpful, sir. Thank you so much.

Moderator: Thank you. The next question is from Kunal Dhamesha .

Kunal Dhamesha : Hi Thank you for the opportunity. First of all, on the Lannett , you know, let's say there are overlapping products and FTC guides you to kind of divest it. Would you be divesting on the Lannett side or would you be divesting on Aurobindo side?

Swami Iyer : So Kunal, that's not our call. I wish it were. That's not our call. Normally, this is dictated by what FTC tells us because ultimately it is their decision, right? So we have reviewed, if we divest, what the implication and if Lannett has to divest . So we feel confident that our business will still be good, even if we divest our product or their product, wherever the strength is. Ultimately, it is FTC call. If I take the worst -case scenario, I think we are still in good shape.

Kunal Dhamesha : And on the 15% EBITDA margin that you suggested in the presentation for the Lannett acquisition, so is it for a particular year or do you plan to take it to 15%? How should we think about it?

Swami Iyer : Well, this is the current run rate. I mean, at this point of time, if I take the TTM trailing 12 months, if I take any period, we are somewhere around that and I believe that's a very conservative estimate. We think that in the future, we will be able to get a margin of 15% or more.

Kunal Dhamesha : But sir, when I look at the implied gross margin based on the gross profit multiple that you have given, seems like a 30% gross margin business. So I am just wondering how we can achieve 15% EBITDA margin on 30% gross margin.

Swami Iyer : Yeah. So the 30% gross margin, what do you have? Obviously, I cannot go into product -wise details. We have reviewed that, we have reviewed it product -wise and then we think that there are some synergies, there are some options there. Overall, we think that gross margin will also go up and EBITDA would go up.

Kunal Dhamesha : Yeah, sure. And then the last one for Subbu Sir, I still didn't get the 12% ex-Revlimid growth, because if I just adjust 150 crore in this quarter, which is the Revlimid loss on a year -on-year basis, we would be at more like 6% growth. So I still don't get how can we jump from 4% to 12% if we adjust for that 150 crore?

S. Subramanian: You discuss with me offline, I'll explain to you.

Kunal Dhamesha : Sure. Okay. Yeah! Thank you. Thank you and all the best.

Moderator: Thank you. The next question is from Devang.

Devang: Hello!

Moderator: Yes, Devang, please go ahead.

Devang: My question is, with the US government now prioritising domestic manufacturing of generic drugs repor

tedly supported by Japanese funding under the trade partnership,
what is the outlook on the future of US generic business? Specifically, how do you see th is initiative impacting competitive landscape and pricing environment? My first question.

Swami Iyer : Yeah. So, I can answer that, Devang. First and foremost, I didn't know where the Japanese connection has come from, but yes, US government is pushing for

manufacturing in US and if any company is prepared for it, I think we are best suited for it. We have a manufacturing facility in New Jersey, which has already started some products. We can add more products with FDA approvals and then we have also got Lannett, which has got a huge capacity and if there's a need, we have another facility that's waiting to be commercialised if there's a need. Plus, we have a fourth facility that we can always do it with some time. So we are best suited for enhancing our foot print in the US. Practically, if it's manufactured in US, the product pricing would go up higher. It will not work the way it works with imports from India or other countries, because the basic cost level will be a little higher.

Competition -wise, if we had to supply from India, we are competitive. If we had to supply from the US, we would be competitive. US would be different price levels altogether. When can US manufacturing happen? Only when the supplies from other countries are not cost - effective and that can probably happen due to duty structure . We are not sure what the government would do. We are ready whichever scenario happens.

Devang: Sir, Howard Letnick in an interview on CNBC said that $330 billion which are coming from Japan will be used, some part will be used for domestic manufacturing of generic drugs.

Swami Iyer : Sure. If we are getting $330 billion, the infrastructure for US generics will probably go up if they invest in the generic market. Whatever that amount is, $330 million or $3 billion or whatever the amount, it will definitely go up.

Devang: He told somewhere around 15 billion.

Swami Iyer : Devang, I am not disputing that. If it happens, so be it. But all that I am saying, the operating cost in the US would be higher. If I manufacture US for the same product, it is going to be higher. The only way you can sell is if it is higher. If I am selling it from India, if you have a price, if you manufacture in US, it is going to be a lot different. And if you are forced to manufacture in US, if they say that you have to do it, we will do it and we will be competitive. It is a level playing ground.

Devang: Thank you, sir. And second question is, when are we expecting something on tariffs and how much will generics be excluded or not? Any insights?

Swami Iyer : You know, that is something President Trump can say. We cannot say at this point of time. We have not seen anything so far. It might happen. But I have seen various press statements like you. Somewhere he has said that he is going to do it after a year. He is going to bring in a huge duty. But we don't know. It is definitely the President's and the President administration's call.

Moderator: We will now move to the closing remarks.

Varun Mali : Thank you, thank you very much everyone for joining us on the call today. If you have any of your questions unanswered, please feel free to get in touch with the Investor Relations Team at Aurobindo Pharma. The transcript of this call will be uploaded on

our website, www.aurobindo.com in due course. Thank you very much once again and have a great day.

Moderator: Thank you to the management team. Ladies and gentlemen, on behalf of Aurobindo Pharma, this concludes today's conference. Thank you for joining us and you may now disconnect your line and exit the webinar. Thank you.

Call: Nov 2025

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038 Telangana, India Tel: +91 40 2373 6370/ 2374 7340 Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
November 11 , 2025

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir / Madam,

Sub: Transcript of Q 2 FY2 6 earnings call.

Please refer to our letter dated October 28 , 2025, wherein we intimated the schedule of Investors/ Analysts call on November 6 , 2025. We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the second quarter and half year ended September 30, 202 5 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl.: as above

Q2 FY26 Earnings Conference Call

06th November 2025

Dr. Satakarni Makkapati – CEO, Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala – CEO, Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma , USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. S. Subramanian - CFO, Aurobindo Pharma Limited

Mr. Varun Mali - Investor Relations & Corporate Communications , Aurobindo Pharma Limited

Moderator: Ladies and gentlemen, good day and welcome to Aurobindo Pharma's Earning Conference Ca ll for the second quarter of FY26. Please note all participants' lines will be in ‘listen -only ’ mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need assistance during the conference call, please raise your hand from the ‘Participant ’ tab on the screen.

Please note this conference is being recorded. I now hand over to Mr. Varun Mali for the opening remarks. Thank you and over to you, sir.

Varun Mali : Thank you, Vandit. Good morning, ladies and gentlemen, and welcome to our second quarter FY26 Earnings Call. I am Varun Mali from the Investor Relations and Corporate Communications team. We hope you have received the Q2 FY26 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce our senior management team on the call with us today represented by -

• Dr. Satakarni Makkapati , CEO - Aurobindo Biosimilars, Vaccines & Peptides Business es and Director - Aurobindo Pharma Limited.
• Mr. Yugandhar Puvvala, CEO , Eugia Pharma Specialities Limited.
• Mr. Swami Iyer, CEO, Aurobindo Pharma, USA.
• Mr. V. Mur alidharan, CEO, Europe Formulation Business.
• Mr. S. Subramanian, CFO, Aurobindo Pharma Limited.

We will begin the call with the summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on a future business, business development and commercial performance. While these forward -looking statements exemplify our judgment and future expectations concerning the development of our business, a number of risks, uncertainties and other important factors may cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that, I will now hand over the call to our CFO for the business highlights. Over to you, Sir.

S. Subramanian: Good morning, everyone. A very warm welcome to Aurobindo Pharma Q2 FY26 Earnings Call. Thank you for taking the time to join us today to discuss the company's financial and operational performance of the second quarter of the current fiscal year.

Let me begin with a brief summary of our performance.

• Our consolidated revenues grew by 6% year -on-year to ■8,286 crores, reflecting sustained business momentum through the first half of FY26. The growth was driven

by strong U.S. formulation base business and continued momentum in our European and growth market operations.

• EBITDA for the quarter stood at ■1,678 crores with a margin of 20.3%, demonstrating a 7% year -on-year growth. The performance underscores our operating leverage, cost efficiency and disciplined execution.

Business Highlights : Let me now walk through the key business highlights for the quarter.

The overall Formulation business reported a year -on-year growth of 10%, with revenues reaching ■7,325 crores, contributing approximately 88% of the total consolidated revenues. This growth was led by strong performance in the U.S., Europe and key growth markets. The API business contributed to 12% of the overall revenues, amounting to ■961 crores, reflecting the ongoing market dynamics in the current pricing environment.

U.S. Formulation : U.S. revenues stood at $417 million . Excluding gRevlimid , the U.S. Oral Solid delivered a healthy 6% quarter -on-quarter growth , underscoring the strength and resilience of our diversified portfo

lio. This quarter also saw continued demand from our base business supported by increased volumes and new product launches. Our U.S. Injectable sales also grew by 6% quarter -on-quarter.

During the quarter, we launched 6 new products, 13 ANDAs and received 7 final approvals demonstrating robust pipeline execution and continued regulatory progress.

European business : The European business maintained a strong growth trajectory, delivering 18% year -on-year revenue growth amounting to ■2,480 crores, in Euro terms amounting to €243 million this quarter.

With consistent performance across all major markets, we are firmly on track to comfortably support the 1 billion annual revenue milestone from Europe by the end of FY26.

Growth Markets : Revenue from the growth markets increased by 9% year -on-year to ■882 crores or 101 million driven by strong volume growth and resilient commercial footprint.

ARV Formulation : ARV revenue grew by 69% year -on-year, reaching ■325 crores or 37 million. This was primarily fuel by higher volumes and new tender win s across multiple geographies and we expect to sustain this momentum over the medium to long term.

Operational and Financial Highlights : Gross margins for the quarter stood at 59.7% compared to 58.8% last quarter, supported by raw material prices and the business m ix. Gross contributions stood at ■4,947. Excluding gRevlimid , on a quarter -on-quarter our Sales have increased approximately by 7%, Gross Pro fit by 10%, and EBITDA by 14% respectively. R&D expenditure was ■414 crores, representing 5% of the total revenue, thereby reaffirming our continued focus on innovation and advancing a robust pipeline of complex generics and specialty therapeutics.

Update on Pen-G: During the quarter, we started the operations of Pen-G on July 1, 2025, after getting the necessary regulatory approval. The scaling above the plant is as planned and is poised to make a meaningful contribution to profitability going forward. During the quarter, we produced around 1,050 MT by operating at 40% -50% capacity, amounting to approximately 6,000 MT production on an annualized basis.

It is pertinent to note that the yields are consistently improving. Like other companies, we have made our representation to the government to implement the minimum import price, which will support the further ramp -up in achieving 100% capacity utilization, taking the production to 15,000 MT in a very short term.

The Net CapEx for the quarter stood at $106 million, in line with our strategic priorities of enhancing our manufacturing capabilities, strengthening compliance, and accelerating automation.

We generated net cash inflows before dividend $57 million during the quarter resulting in an improved net cash position, including investment of $170 million as of September 30th, compared to $140 million as of 30th June ’2025.

Average finance costs declined to 4.7% compared to previous quarters, reflecting effective treasury and cashflow management. PA T for the quarter was ■848 crores.

Outlook : Looking ahead, we remain confident about sustaining our growth momentum and driving value creation across all businesses. Our optimism is underpinned by expected volume expansion and reasonably stable pricing environment.

Europe continu e to deliver a robust revenue growth underscoring the region's strategic importance and operational strength and market challenge to the company.

In the US, Dayton has transitioned into the commercial phase with manufacturing underway, packaging approval secured and product launches scheduled from January, positioning the site to start contributing significant revenues in FY27. Meanwhile, Raleigh is awaiting regulatory clearance.

The OSD facility in China continues to ramp up advancing towards the capacity of 2 billion backed by European approval of 10 products

and 3 local product approvals. The site is on
track to deliver EBITDA breakeven by Q3 -Q4 FY26, reinforcing its strategic importance to the global network.

Summary: To summarize , our next 2 years, our growth will be driven by several key factors including ramp -up of our Pen-G facility, commercialization of the biosimilar portfolio and rapid progress in our biologic CMO.

We expect continued improvement in Injectable business driven by continued supply ramp - up, increasing suppl ies from China plant to Europe, additional contribution from a robust pipeline of new launches and the Lannett acquisition in the US, which will further strengthen our market position, expand our portfolio and drive medium -term growth.

Last but not least, we are confident of achieving our internal margin target of 20 %-21% for FY26 , as communicated earlier. We remain focused on execution, operational excellence and disciplined capital management, all of which position us well for sustained performance in the coming quarters.

We now look forward to taking your questions. Our senior leadership team will be pleased to provide additional insight, details and clarification wherever required. Thank you.

Question & Answer Session:

Moderator: Thank you, Sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. While asking questions, we request you to please identify yourself and your company. Please raise your hand from the ‘Participant’ tab on the screen for asking questions.

The first question is from Damayanti K erai.

Damayanti Kerai : Good morning, everyone. Thank you for the opportunity. Sir, my first question is on Generic Injec table business in the US. Sorry, I missed your comment , you mentioned it grew 6% quarter -on-quarter. So, a few clarifications. Are we broadly back to the level where disruption happened? And how do you see this business shaping up in the next two years? And if you can just talk a bit about some of the key pipeline products which you may have in your pipeline.

Yugandhar Puvvala: Hi Damyanti. So, still we are not back to the pre -disruption levels. I think we still have another 5 -10 million dollars to go to reach that level. But it is mainly driven not because of existing products growth but because we don't have the new products to offset the single -digit price decline . So, we still have a quarter or two to go to come back to the pre -disruption levels.

But the production is back on track and there is no issue there. Going forward into the future what we are looking at is –

1. Number one, o n the Injectable side we have some interesting products and , hopefully , like once Eugia III gets the reinspection and approvals, we have multiple products to launch.
2. Second is with respect to our Vizag and Vizag commercialization and some new products coming from Vizag plant.
3. And third from a speciality portfolio, we have a lot of Oncology oral solids which we are expected to launch in Q4 and Q1 of next year.

So, the re are multiple levers going forward.

Damayanti Kerai : Sure. And if you can just remind us about when you are expecting Eugia III reinspection ?

Yugandhar Puvvala: Yeah. Eugia III , like we have already requested FDA in the end of Q2. And now we have the confirmation from FDA granting a reinspection for Eugia III . So, we received the official letter from FDA on 25th of September saying that they have accepted our request for reinspection. So, as per GDUFA III guidelines, normally it is any time from now till for 8 months , okay. So, they can come in any time for the reinspection.

Damayanti Kerai: Okay . So, majority of new launches which we are expecting is broadly tied up to Eugia III clearance, right , if my understanding is correct ?

Yugandhar Puvvala: Yeah. Injectables, yes, but not oral solids. Mainly the Oncology oral solids are all from Eugia I, so I don't have any problem from Eugia I . So, those approvals will continue to happen. But Eugia III , yes. Part of injectables is from Eugia III .

Damayanti Kerai: Okay. My second question is on Pen-G plant. Subbu sir, you mentioned now the capacity has reached up to 6000 MT on an annualized basis, right . So, when you go and discuss with government for the PLI benefit, what kind of scale up by then you are expecting and what is the amount?

S. Subramanian : No, we are not running all the fermenters, we are running only 40% -50% of the fermenters. We have represented to the government and as and when any policy changes take place, we will ramp it up in a very short time.

Damayanti Kerai: But the current production, will that enable you for the PLI benefit or not?
.
S. Subramanian : This current, yes, it is enabling me benefit. No doubt about it.

Damayanti Kerai: Okay. Okay, I'll get back in the queue. Thank you.

Moderator : Thank you. We request participants to restrict to two questions and then return to the queue for more questions. Thank you.

The next question is from Neha Manpuria .

Neha Manpuria : Yeah, thanks for taking my question. My first question is on Pen-G. Subbu Sir, what would be the EBITDA loss contribution from Pen -G at the moment? And at what level do we breakeven on the Pen -G plant? And, second, let's say this MIP representation does not come through or gets delayed, what's the Plan B in terms of achieving breakeven? Does that impact our ability to ramp up the plant even if MIP gets delayed or does not come through?

S. Subramanian : That's a good question, Neha. As I explained to you, we have been improving on the yield, etc. We are nearing the breakeven from the current operations, etc. We have been doing around 6,000 tons per annum. See, we are doing 500 tons per month . I can increase it to 800 immediately, not a big issue , right. Once I touch 800, certainly it will

contribute to the EBITDA. But having said that, we also need to look at it at what price we need to take that and move on. So, that is what we are looking for the policy changes. As and when it happens, we will do that.

As a Plan B, what you are saying is, we have been continuously working on improving the yields and other things. That is going in a very positive direction, as informed to you in earlier this one . So, we are ready with Plan B in case there are any issues but I don't think that is necessary in my view.

Neha Manpuria : Sorry to harp on this, Subbu Sir, but what would be given where prices are for Pen -G and Pen -G allied products, are we still cost competitive if we get to 8,000 tons per month [800 per month] production levels? Will we still be cost competitive?

S. Subramanian : Yeah, we are the biggest consumer of 6-APA and Amoxicillin , everything in the country. So, irrespective of that, we will produce it and then we will consume it ourselves. That will help me in terms of improving the overall capacity utilization and I also work on other necessary actions , we will work on that, to improve the capacity, which I would not like to share it now.

Neha Manpuria : Understood. Okay, got it. My second question is on the US business. Swami Sir, are we seeing any change in the erosion trends? Actually, Yugandhar and Swami Sir, are we seeing any change in erosion trends in the market in the recent times? Obviously, one of our competitors has seen issues in their plant , how does that position us to probably scale up our business in the US on the back of that? Any c olor there ?

Swami Iyer: Yeah, sorry.Neha, I am not sure I understood your question. You are talkin

g
about price erosion?

Neha Manpuria : Yeah. So, my question is, have we seen any change in the price erosion trend in the US in the recent months? And w ith this disruption in one of our competitor ’s plant , how does that position us to probably gain more volume in the market? Do you see that as an opportunity in the near term?

Swami Iyer: So, when we take it as a basket, we think we are close to neutral. We have a little bit of erosion with very low single digit , I would say it's closer to 1 for the quarter. And this is based on an overall basket of products. There are some increases, there are some decreases.

However, I have to make one point here. We did have some products which were opportunistic, which for a limited period you get some better opportunity in terms of pricing and volume. Those things, when they taper down, when a competitor comes in those prices will go down when you are a single player or when you have just one competitor, later when somebody enters, it could go down. So, we have seen such phenomena for a few products.

In any quarter, if you take, you will always have one product which you have either got a shortage and because of that there are opportunities and there are products which go out. So, net -net, I think we are still at a comfortable stage.

Neha Manpuria : Understood. And, Yugandhar, any colour from you on the Injectable pricing? I think you said single digit erosion, has that increased in the recent months?

Yugandhar Puvvala: No, i t is a similar trend. It is only thing, as Swami rightly said, they can be a one -off product here and there where the erosion can be higher or lower but on an overall level it is still single digit.

Moderator : Thank you. The next question is from Tushar Manudhane .

Tushar Manudhane: Good Morning, Sir . Sir, o n the EBITDA margin first, like your guidance of 20% -21% for FY26, now that Pen -G plant is largely stable, closer to EBITDA breakeven, Eugia related operational cost is largely done, probably inspection can only move up in terms of profitability from here on. So, if I have to extend this for FY27 maybe without considering the inspection outcome of Eugia III , how do we see the margin trajectory from here on?

S. Subramanian : I think we will be able to give a clear guidance once we come to know about the status of the Pen-G MIP, right, which hopefully it will happen very soon, maybe a month to two months ' time. So, we will be able to tell you very clearly in the month of February.

Tushar Manudhane: Got it. Sir, China plant operational cost, how much that is? Trying to understand that…

S. Subramanian : No, China, as on date i n the quarter I will be incurring a loss of around maybe a million dollar but probably we will be able to achieve the breakeven between Q3 and Q4 and after that China will start moving up in the overall contributing to the growth of the EBITDA growth.

Tushar Manudhane: Got it. In fact, trying to understand that even without let's say MIP related benefit on Pen-G, still how much is the scope to improve the EBITDA margin from the current 20 %-21% for FY26 or FY27?

S. Subramanian : Tushar, you are putting a lot of variables like don't consider Eugia III, don't consider Pen -G then it will remain the same because these are all the key drivers which is expected to take it up in the next year.

Tushar Manudhane: Understood. Sir, secondly on Europe , which has been sort of a robust growth for now almost 3 years and reaching a billion dollars , so given this size of the business do we think that we will be able to still sustain mid -teens sort of a growth over next 2 -3 years?

V. Murlidharan: Sure. Yeah, Tushar, thank you for raising this question. Just one interesting correction, we are now touching billion euros mark, where

as last financial year we were at a
touching distance of billion dollars but now we are well on track for billion euros. And, yes, as you have seen in the last 3 years, QOQ we are demonstrating growth and considering my all major countries contributors - France, Portugal, Netherlands and Germany continue to demonstrate this growth trajectory. I am very confident in the coming quarters and period as well there will be sustained growth.

Tushar Manudhane: Got it, Sir. That's it from my side. Thank you.

Moderator: The next question is from Bino.

Bino: Hi. Good morning and good evening. Subbu Sir, if I heard correctly, you said the EBITDA excluding Revlimid has improved 14% QOQ , is that correct?

S. Subramanian : That's right. That’s right.

Bino: Sir, what are the drivers of this? Is it mainly coming from lower losses in the Pen-G plant or is there something else to it?

S. Subramanian : That is also one and Sales has grown up by about 7%, Gross Profit also grown up by 10%. I think overall there is improvement across the businesses which is what driving the overall improvement of the EBITDA.

Bino: Okay . And the gross margin QOQ has gone up despite lower Revlimid, w hat has driven that? What has changed so much in the product mix?

S. Subramanian : See, one is, if you really see the formulation products have gone up this quarter compared to API, right. That is one small product change. And, second, if you really see Europe has been continuously growing , so the operating leverage is getting increased quarter -on-quarter which is also helping us. And the third point is, there is a product mix which is happening across US also. I may not like to get into the details in terms of which segment, which product, etc. but there is a good amount of product mix changing place in US which is also helping.

So, it's a combination of multiple factors which is helping to grow the thing. And the last one is once the Pen -G comes, the gross margin will be very high because the major cost apart from the raw material is the coal. So, you will be able to see a slight increase in the gross margin once the Pen-G plant comes full operational. Once it's operated fully, probably we may cross 60% also.

Bino: Understood. And Revlimid, was it minimal for the quarter and are we completely done with it?

S. Subramanian : It's a minimal for the quarter.

Bino: Okay . And next quarter will be close to zero?

Yugandhar Puvvala: Yes.

Bino: Understood! And, sorry, one last question on tax rate. For the first time we have been at a tax rate above 30%, is that likely to be the case for full year as well?

S. Subramanian : See, basically, some of the businesses are incurring losses , which you know , at a PBT level like Pen-G(Lyfius), some of the other businesses. We don't take tax credit on the losses. We will take only as and when it started making profit, we'll adjust it. So, because of that it appears like we are having a 35% tax rate but in reality , it's only 25% whereas the tax returns will carry the losses, tax credit. In books of account , we don't.

Bino: Okay. So, once they become profitable, the reported tax rate can fall below 25%?

S. Subramanian : Below 25%. Yes, you are absolutely right.

Bino: Understood. Thank you very much.

Moderator: The next question is from Tarang Agarwal.

Tarang Agarwal: Hi, good morning. Couple of questions, Sir. Both on US and Europe, if you could give us a sense on what's the portfolio coverage currently ? Specifically in US , how does Lannett help it improve say quantitatively and what are the steps to improve ? And similarly in Europe , things get a little complicated in Europe because it's a confederation of many countries. So, if you could give a more granular insight on some of your major markets.

That's on portfolio coverage. On cashflows

, CapEx intensity of the business continues to be reasonably high despite reasonable amount of capacities which continue to be unutilized. H1, it's already at ■1500 crores, so how should we really now Penicillin CapEx intensity for the business given a vast footprint of unutilized capacities? Thanks.

Swami Iyer: Let me talk about US first, Subbu. After that, probably Murali can talk about Europe or you can generally talk about other countries. As far as US is concerned, we have a prescription of about 10.2%, which is the largest. So, that tells you the coverage. It's very fairly large across all segments and we have been growing. We have been growing . Now, this quarter we have seen some momentum in terms of seasonality , so that has also helped us. That's as far as the US is concerned .

And when you talk about Lannett specifically, Lannett has a number of products which are good additions to our portfolio like the ADHD products and we are very excited to have those products in our portfolio once the merger is done. We are still awaiting the FTC approval , as you may be aware , and that's a process we have to go through.

Tarang Agarwal: Sir, if I could just chip in. I mean, I understand that you've got north of 10% volume share but does it come after covering say 50% of the market or does it come after covering 60% of the market? It's really that's the metric that I was looking for.

Swami Iyer: So, I didn't get your question. I don't know what is that 50% and 60% you are talking about. You are talking about product s?

Yugandhar Puvvala: Portfolio coverage, Swami.

Tarang Agarwal: Yes.

Swami Iyer: Oh! Portfolio coverage. Okay. So, we are into all segments, all therapeutic areas. I would say that we are probably around 50% or more but , you know , it does not cover all the presentations of a product. For example , now foam , let us take foam as one, some of the derma areas we have still not covered . So, I would only say that we have significant coverage in the therapeutic area . So, I don't have the exact percentage but that's where we are.

Tarang Agarwal: Sure.

V. Murlidharan: Tarang, maybe I can touch upon the European part of the query. Murali here. So, you touched upon the portfolio breadth and also the complexities in Europe under which we are operating in. So , let me touch the second point . Yes, we are talking of multiple regulators, multiple language packs, different language packs and fragmented market and different market archetypes , whether it is a tender generic market or pharmacy driven or prescription driven . Across all these , we have demonstrated our success. There is a very well-set system - frontend, commercial infrastructure, well -motivated team acting across these different markets and that way we are able to overcome the challenges . In addition to the regulators , we are also answerable to the European Commission, European Medicine Agency. Newer challenges like on nitrosamine we keep hearing but we are able to overcome all these with all our efforts.

Coming to the portfolio, on the representative market , if you can assess , we are on upward of 80% of portfolio coverage and we are constantly striving to touch that 85% to 90% levels. Of course , here I have excluded biosimilars and inhalation products but there again very soon we will be making our launches.

Tarang Agarwal: Sir, when you say represented markets, what do you mean? Because I felt there was an asterisk to it when you called the term represented market.

V. Murlidharan: That’s where I qualify telling some of the biosimilars range and inhalation range which I have excluded but , otherwise , the generic -generic market in which we are operating in we are able to have over 80% of the portfolio addressed.

Tarang Agarwal: Okay. Last on CapEx.

S. Subramanian : Tarang, in terms of the CapEx

, as we communicated, we are not going for
any major greenfield projects etc. What we have done , the major CapEx during the quarter

is on account ofthe arrangement with a global pharma major for which we have to pay the milestone payments which we have been doing. Plus, the US also has put the new

warehouse and other related things . We are also going to incur on the biologics which Dr. Satakarni can give more color into that. Otherwise , there is no major CapEx. O nly these 2-3 things will contribute to the CapEx going forward.

Tarang Agarwal : Okay. Yeah, any comment on biosims imilars because you specifically spoke about CapEx there, Sir?

Dr. Satakarni Makkapati : Tarang, hi. Biosimilars, as you know that we have invested in capacity expansion 1.5 years ago. So, this is not a new CapEx per se. I told you in the Earnings Call some time back that we have we are adding to two 2 ,500 lit res mammalian bioreactors to the existing CuraTeQ facility. Now , after 18 months of the CapEx approval or maybe 2 years of CapEx approval , those lines are now getting commissioned. Likewise , to make us commercial ready and to ensure a good supply chain , we also needed to add filling capacities. So, as part of the last year's, (2024), CapEx approval, we are adding a vial filling line to the filling capacities at CuraTeQ . So, those equipments will come on line. I think the bioreactors will come on line, will be fully commissioned and qualified this quarter. The filling line will be fully on line and qualified by June or the July quarter next fiscal.

With respect to TheraNym , as you know, that is another CapEx investment for Aurobindo. As I told you, the company committed a capital investment of about ■1,000 crore to establish 2X15 kL mammalian bioreactor commercial scale facility. TheraNym continues to make a steady progress on executing this project and I believe this project will be ready for inauguration sometime in June, July next year.

So, that's the CapEx exposure that we continue to have. During the last quarter we further strengthened the collaboration with MSD by signing a second product contract with them , to support this expanded scope t wo additional 15 kL mammalian bioreactor lines are being added as part of Block 2 in the same facility. So, that's another CapEx exposure that you will be witnessing.

Otherwise, what our CapEx commitments, that Subbu has been talking about, the fiscal prudence in terms of expenditure is extremely tight at Aurobindo. So, we are very conscious of the fact on the question that you have raised and we are maintaining prudence in expending this CapEx .

Tarang Agarwal: Wonderful, Sir! And I don't know if this was called out before but congrats on the expansion of scope with MSD . Thank you.

Dr. Satakarni Makkapati : Thank you.

Moderator: The next question is from Shyam Srinivasan.

Shyam Srinivasan: Yeah, hi. Good morning. Thank you for taking my question. Dr. Satakarni , just sticking to biosimilar commercialization and even the pipeline updates, if you could share, please. Thank you.

Dr. Satakarni Makkapati : So, it's pretty interesting in terms of the last quarter that we had. We announced a successful Phase 3 clinical study outcome for our Denosumab biosimilar. We conducted a Phase 3 trial entirely in Europe in 446 patients enrolled across 5 European countries and I think 40 clinical sites. We are working towards submitting the marketing authorization applications for Denosumab biosimilars both for Prolia and Xgeva biosimilars to European Medicines Agency in April ’2026. Now , I have given this guidance before that I would like to submit the MA application in January but considering my other clinical commitments on the facility availability , the validation batches are taking time. So , April is wh

en the European submission for this biosimilar will happen , and the F DA submission we think that we can be able to do it in the July quarter of 2026 Calendar Year. So, this is a good development for us.

Likewise, Omalizumab , which is a very important product, a biosimilar to Xolair , we have successfully completed patient recruitment in our Phase 3 trial. This is in chronic spontaneous urticaria . I believe that we will be ready to submit the European Marketing Authorization application in June, July ‘2026 and a quarter later in the US. So, we are on track with this product.

An important development is for Tocilizumab , which hitherto was not part of our regulated market plans. We have completed a clinical PK/PD study for Tocilizumab already. So, we went to European Medicines Agency , my regulatory team was able to get a Phase 3 clinical study waiver with the European Medicines Agency which means that now we are doing everything to fast track Tocilizumab which is also immunology product. We believe we will be able to submit this product also in the July quarter next year with the European Medicines Agency. We will start engaging with the USFDA to discuss about the possibility of a Phase 3 clinical study waiver for Tocilizumab. So, Tocilizumab, I haven't talked about this product before but now this comes into the filing domain in the next year from us.

Bevacizumab ; there is an interesting update . You know that we have completed a Phase 1 study and we have got an approval for our Bevqolva biosimilar in UK. Last, I am told, it's already available in hospitals in UK for purchase from yesterday. With European Medicines Agency we had a scientific advice and we received a waiver for Phase 3 clinical study , which means that I need not wait until the study completion , which is late next year , to submit the file with Europe. We will be able to also submit this file. We are planning to submit this file in April’2026 with Europe. With USFDA , we still believe for this product because it doesn't have a good PD marker, we still believe the Phase 3 study will be relevant. So, the USFDA filing plans don't change. That will be towards the end of the next year.

So, you can see the portfolio is progressing really well.

To your second question , Shyam , on the EU launch and supplies , we are pleased to share that we have successfully invoiced and delivered our first batch of biosimilar in the European market , which is an important milestone. Currently , we are focusing on streamlining our testing activities with the CRO partners to ensure timely testing and compliant QP release of products. At the same time , we are also actively aligning our manufacturing and supply capacities so that from March ’2026 we will be able to supply continuously to our European partners.

Also, what is important to note is , we are in the process of negotiating a couple of strategic deals in European market that will broaden our product portfolio and maximize our supply potential. We expect to share more clarity and details on these developments in the next quarter. Overall , I remain confident in our European supply roadmap and also the emerging market roadmap that we are putting together and we are committed to delivering value to patients and partners from 2026 onwards. The ‘27 -’28, which I always told, will be the inflection point in the biosimilar business where I expect about 7 approvals in Europe and possibly a couple of approvals in the US on the upside. Hope this answers your question.

Shyam Srinivasan: Yeah. Thank you, Sir. Just one sub question is on the new biosimilar guidelines in the FDA and from a competitive intensity standpoint do you now see a lot more of your peers who have probably skirted this opportunity, I'm talking Indian peers, to start looking at it seriously and are you worried about it at all?

Dr. Sa

takarni Makkapati : It's a very interesting question . I can give my perspective. In October’2025, the FDA released a new draft guidance aimed at streamlining and simplifying the biosimilar approval process. Now , the way I read the guidance, the draft guidance , is the key regulatory shift, the language is important, please read the language that I am talking about , the key regulatory shifts include reducing the reliance on comparative efficacy studies. So, it is not about eliminating comparative efficacy studies at this point but, eventually, just like Health Canada, European Medicines Agency and MHRA, I believe USFDA will also reach a point where the need for Phase 3 efficacy studies will be removed. But right now, it is about reducing the reliance on comparative efficacy studies and eliminating the requirement of interchangeability. And if you are following my Earnings Calls for the last 2 -3 years, I have been telling that interchangeability designation will go.

Shyam Srinivasan: Yeah .

Dr. Satakarni Makkapati : So, that is happening. So, there is a clear mandate on eliminating the requirement for interchangeability studies and I have not invested in any interchangeability or switching studies in my portfolio and reducing the reliance on comparative efficacy studies.

Now, to the Part 2 of your question, by reducing the developmental hurdles and costs, do you think there will be a peer group that can essentially build capabilities and deliver biosimilar on a day -to-day basis? I believe the entry barriers are still on the science. Developing a biosimilar is more akin to developing a biologic minus the discovery. So , the barrier and inertia of good science to be able to leverage a strong analytical and comparative data expertise still remains a significant barrier for most companies , Shyam.

I can comment on CuraTeQ . CuraTeQ has already demonstrated a proven biosimilar developmental capability with approvals in Europe and , therefore , I believe our business is well positioned to benefit from any removal of the need for doing comparative efficacy studies. The timelines will definitely shrink but the inertia that you have in terms of being able to characterize the biosimilar analytically so that you can have the waiver for Phase 3

on a case -to-case basis still remains a significant barrier for most companies , Shyam, if that answers your question.

Shyam Srinivasan: Got it. Thank you and all the best.

Dr. Satakarni Makkapati : Thank you.

Moderator : Thank you. The next question is from Kunal Dhamesha.

Kunal Dhamesha : Hi. Thank you for the opportunity. Since we are quite confident of getting minimum import price for Pen-G, if you could highlight that would it be only for the Pen-G HS code ? And, secondly , what is the range that we are looking at? What is the representation that we have made in terms of what should be the minimum import price? That would be helpful.

S. Subramanian : Kunal, all the questions are very relevant because it is already in the review by the DOP and the government , we will not able to comment on any of your questions. Ultimately, the range, etc., it is their prerogative. What is that they are going to give , etc., is their prerogative. We are making representation , we have been taking up with them etc ., but, ultimately , as and when they inform us only, we will be able to communicate.

Kunal Dhamesha : Okay, sure. And let's say MIP ideally should not have any impact on the internal consumption of Pen-G for us, right . It only kind of should affect the external sales. Is that the correct understanding?

S. Subramanian : No, it is not the correct understanding . Once again it is linked to your first question , your understanding is not right but I will let you know after some time because it is linked to the first question.

Kunal Dhamesha : Okay, I

still don't get it so , yeah . Because internal consumption would not get impacted by MIP.

S. Subramanian : Internal consumption , you have to look into the supply chain as a whole. Pen-G, 6-APA, Amoxy like that it goes into multiple layers.

Kunal Dhamesha : Right.

S. Subramanian : Right, so that is the reason.

Kunal Dhamesha : But we should be able to offset our internal consumption of Pen-G or 6-APA.

S. Subramanian : No. Ultimately , Kunal , the representation includes Amoxy also . That is having a bearing on the market price where we both converge , both external and internal .

Kunal Dhamesha : Yeah. B ut for us 6 -APA shouldn't be an issue, right? We primarily import 6-APA.

S. Subramanian : Ideally, it should not be an issue.

Kunal Dhamesha : Okay. So, MIP is not basically leading to that internal consumption part for 6 -APA. Amoxy maybe , not 6APA.

S. Subramanian : I will explain to you; give me a week's time, I'll explain to you.

Kunal Dhamesha : Sure. Sure sir. And, secondly, for Dr. Satakarni Sir, would you say with all these changes , potential changes , in regulatory landscape , would you say that the plant compliance and good manufacturing practices would be the primary entry barrier for the new player for the biosimilar business given that PK studies , etc., those are not very costly to conduct?

Dr. Satakarni Makkapati : Yeah, I mean I will repeat my answer. So, there are three things here.

- One, you need to be able to develop an analytically high quality biosimilar. So, that's the first barrier.
- Two, because if you develop a high quality biosimilar that is characterized well vis-à-vis originator biologic , the chances are , on a case -to-case basis you will get a Phase 3 waiver , which means that the companies which were investing anywhere between [USD] 50-150 million in conducting these clinical studies don't need to expend that much now. A PK /PD study with a strong immunogenicity data package, the immunogenicity requirements , I believe, will increase , Kunal. But having said that , the timelines will shrink, the investments will no longer be required to the extent that we were making before. So, all this is good.
- And the third barrier would be the GMP.

So, that's a given. For any product that goes into a patient, the regulatory norms in terms of good manufacturing practices continue to be of the highest scrutiny and rigour . So, every company had to meet those.

So, I still think the science to get a biosimilar analytically characterized , companies who have achieved that sort of resource capability building in their organizations stand well positioned to take advantage of these shifting regulatory norms be it with the FDA, be it with EMA or Health Canada. And when you have good GMP practices that go with it, then the approval pathway will become easier.

I hope this answers your question.

Kunal Dhamesha : Sure. And, Sir, lastly on where do we stand on the plant inspection from USFDA perspective? I mean, what is our preparedness here? When do we expect our first filing and USFDA to inspect the plant?

Dr. Satakarni Makkapati : So, based on my earlier guidance, I was hoping to file a

Trastuzumab with USFDA. But considering my supply commitments and it's a lyophilized

product, recalculating my capacities and the utilization I realized that I will push down Trastuzumab to the latter half of next year. So, the first filing would now be Denosumab followed by Omalizumab. So, if we file it somewhere between April -June, then I expect the inspection to happen by the end of the Calendar Year 2026 with the USFDA.

Kunal Dhamesha : Sure, Sir, it's helpful. And all the best. Thank you.

Dr. Satakarni Makkapati : Thank you.

Moderator: The next question is from Surya Patra.

Surya Pat

ra: Thanks for the opportunity, Sir. My first question is on the European market. Is it possible to now share what is the injectable revenue mix within Europe now? And what is the margin performance for the entire European business now we are having?

V. Murlidharan: Yeah , the injectable component is about 10%. We are touching [EUR] 100-million mark. Here, what I wish to state is not all of the products are in copious supplies , we are waiting for some of these products to kick in from Eugia III . So, at that time, we will be having a quantum jump that we expect in FY27.

And, of course, the margin percentage wise, yes, we are touching at 20 levels, high teens.

Surya Patra: Okay. Okay. So, means we are anticipating to reach towards 20 level but currently high teens. That is what is the...

V. Murlidharan: Yeah, that’s what.

Surya Patra: Okay. Second point is that we are seeing a kind of interesting development on the growth market front by creating multiple kind of fully -owned subsidiaries like that. So, could you discuss something, your kind of moves and initiatives on the growth market side? And what is the kind of growth trajectory that you are now thinking there? Any specific strategy change on those market front? Anything on that front, Sir, having created a significant presence in US and Europe?

S. Subramanian : Surya, on the overall if you take the rest of the growth markets, they are not concentrated in one but across all the things. And where we are looking for a good impact coming next year is the China one. And other markets like Canada, Brazil , and all the markets are growing reasonably well ,the new market which is going to add to the volume , I mean, topline as well as the EBITDA level is the China one which we had talked about it earlier.

Surya Patra: Okay . Sir, is it right to think this way that given the large volume opportunity in the name of GLP what is upcoming , so to participate there aggressively in the majority of the emerging market are we becoming a bit aggressive and , hence , creating platforms and presence and positioning? And also, what is our thought process about India, about GLP also, if y can ?

Yugandhar Puvvala: No, on the GLP piece, I think we have been very clear that we will be doing this product on our own at our Vizag plant and we will be in the second phase of launches and we are looking at filing the products across all markets sometime next year , okay.

S. Subramanian : On the India front, probably we may do some small acquisitions, may not be a big one . We will not do a big one because we'll just need to, I mean, slowly take off for the Indian market. As of now, we are doing around a turnover of something like ■275-■300 crore per year and probably we may take it by another ■100 crore ; like that only we will do. So, we will not go aggressive on the Indian market.

Surya Patra : Okay. Just last one bit, Sir, about the acquisition plan for the capital allocation plan. So, we have been acquisitive also , so do you have any plan for any larger acquisition, if that is possible? Or what would be our thought process about inorganic growth going ahead?

S. Subramanian : See, certainly, wherever we are getting opportunities which create a new market or new technological platform . We'll not go do specifically for the existing products. Take the example of Lannett , it is a leader in the control led substance s, which we have done. So, we'll look into case by case and there is no specific 'This is what we are going to do' like that.

Surya Patra : Okay, okay. Sure, Sir. Yeah. Thank you. Wish you all the best.

S. Subramanian : Thank you.

Moderator: The next question is from Kunal Randeria .

Kunal Randeria : Hello. Good morning, Sir. Sir, my question is regarding some of your new plans. So, for example, in China you will

spend around $145 million, so I'm just wondering
what kind of asset t urnover should one expect? And when can this plan t achieve its peak sales potential?

S. Subramanian : I think the plan t started invoicing since April this year. We will be able to achieve the breakeven in the first year itself. And going forward what we are trying to see is that in the next three years we should be able to take the turnover to triple digit . Generally, the productivity there is high and the margins will be good. So, we are trying in 2-3 years ' time we will be able to achieve triple digit turnover number.

Kunal Randeria : So, should I kind of assume in 3 years or so you could have an asset turnover of 1x. Maybe around $150 million odd [turnover] is a potentially likely number?

S. Subramanian : Could be.

Kunal Randeria : Sure. And, secondly, Sir, you did touch upon this M&A that you are looking to do. But you know, there was some news item earlier that you were looking to buy Zentiva

and the payout could be like, you know, as much as US$5 billion. So, is this the kind of scale that you are comfortable doing?

S. Subramanian : No, as I said, first of all, we said very clearly that we have not given any binding offer , okay. Second is, it is not that every M&A which we are looking into that we are going to buy it, we will go case by case and what are all the synergies, how it will help the company as a whole, institution as a whole and what are all the new technological things which we are able to achieve, new market front, right .

In the case of Zentiva, I made it very clear in the last call itself , we are not present in Central and Eastern Europe , it has come very handy. So, that is a one -off case. Need not be everything will be like Zentiva.

Kunal Randeria : Sure, Sir. No, I understand that. My question was more like, would you be comfortable spending, you know, levering up and maybe going for a $4 billion kind of an acquisition? Not Zentiva specific but more like, you know, $4 billion kind of payout. Would you be comfortable doing that?

S. Subramanian : No, see, Zentiva also, if you really see, assuming $4 billion, we have not given any number, assuming $4 billion the interest coverage will be more than 2 times, 2.5 times, right , even assuming 100% leverage. So, it all depends upon the case to case and Zentiva is a very unique case , that's what I've been telling.

Kunal Randeria : Got it, Sir. Got it. Thank you.

Moderator : The next question is from Bino.

Bino: Hi. Thanks for the follow -up question. One question on the biosimilar Xolair , in your understanding by the time you reach the market how many other players could be there in the US market?

Dr. Satakarni Makkapati : It depends on product by product, Bino . So, with Omalizumab , which is our primary product for the US market, a potential $4 billion global market with around $2.5-$2.6 billion coming from the US alone, we will be the third player . As of today, we'll be the third player. The product is in two indications - chronic spontaneous urticaria and respiratory asthma. Very recently the innovator also got an approval for accidental food allergies, which is supposed to grow the market significantly.

Now, when you come to Denosumab, the patent expiry is towards the end of this year. We expect biosimilars to shape the market in the next 12 -14 months. So , I am not in the first wave of product launches , we will be in the second wave. But we believe any biosimilar these days that you look at from the analytical reports, business analytical reports, etc., even those with patent expir ies beyond ‘2028 or ‘2030, there are at least 8-10 players who are developing them. So , I believe the goalpost has slightly shifted from attempting to be the first one to launch .

Aurobindo is not , at this point of time, because we have at least a decade and decade and a half la g time in catching up with competition who have started way ahead of us. We were there for the last 6-7 years and we started this ground s up. But we will be cost competitive , we would be the last man standing and we would like to shape the market in a manner that we can sustain our efforts over a long term. We are picking products that we believe have a longer product lifecycle in terms of the patient care and management, which means the follow -on biologicals are not really exciting. So , such products make our portfolio.

So, in some products we may be 3rd or 4th to be there in the market, in some products we may be 6th or 7th to be in the market. So , it really depends on the product, Bino.

Bino: Understood. Thank you very much.

Varun Mali : Thanks , Vandit . Thank you very much everyone for joining us on the call today. If you have any of your questions unanswered, please feel free to get in touch with the Investor Relations team. The transcript of this call will be uploaded on our website www.aurobindo.com in due course. Thank you everyone once again and have a great day ahead.

Moderator : Ladies and gentlemen, on behalf of Aurobindo Pharma, that concludes today's conference. Thank you for joining us and you may now disconnect your lines and exit the webinar. Thank you.

END OF TRANSCRIPTION

Call: Feb 2026

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038, Telangana , India Tel: +91 40 2373 6370/ 2374 7340
Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
February 16, 2026

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir / Madam,

Sub: Transcript of Q 3FY2 6 earnings call.

Please refer to our letter dated February 2, 2026 , wherein we intimated the schedule of Investors/ Analysts call on February 10, 2026 . We are attaching herewith the Transcript of the said analyst / investor call on the Unaudited Financial Results of the Company for the third quarter and nine months period ended December 31 , 202 5 and the same is being uploaded on the website of the Company and is available in the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl.: as above

Q3 FY26 Earnings Conference Call

10 February 2026

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala – CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma, USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. S . Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Varun Mali – Investor Relations and Corporate Communications Team

Moderator: Ladies and gentlemen, good day and welcome to Aurobindo Pharma's earnings conference call for the third quarter of FY26. Please note all participants' lines will be in listen - only mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conferen ce call, please raise your hand from the participant tab on the screen.

Please note this conference is being recorded. I now hand over the conference to Mr. Varun Mali for opening remarks. Thank you and over to you, sir.

Varun Mali: Thank you, Vandit. Good morning, ladies and gentlemen, and welcome to our third quarter FY26 earnings call. I am Varun Mali from the Investor Relations and Corporate Communications team.

We hope you have received the Q3 FY26 financials and the press release that was sent out yesterday. These are also available on our website, www.aurobindo.com .

I would now like to introduce our senior management team who is on the call with us today, represented by :

• Dr. Satakarni Makkapati, CEO - Aurobindo Biosimilars, Vaccines and Peptides Businesses , and Director - Aurobindo Pharma Limited.
• Mr. Yugandhar Puvvala, CEO, Eugia Pharma Specialities Limited.
• Mr. Swami Iyer, CEO, Aurobindo Pharma, USA.
• Mr. V. Muralidharan, CEO, Europe Formulation s Business.
• Mr. S. Subramanian, CFO, Aurobindo Pharma Limited.

We will begin the call with the summary highlights from the management, followed by an interactive Q&A session.

Please note that some of the matters we will discuss today are forward -looking, including, and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development, and commercial performance. While these forward -looking statements exemplify judgment and future expectations concerning the development of a business, a number of risks, uncertainties, and other important factors ma y cause actual developments and results to vary materially from our expectations. Aurobindo Pharma undertakes no obligation to publicly revise any forward - looking statements to reflect in future events or circumstances.

With that, I will now hand over the call to our CFO for the business highlights. Over to you, sir.

S. Subramanian : Good morning, everyone. A very warm welcome to Aurobindo Pharma Q3 FY26 Earnings Call. Thank you for taking the time to join us today to discuss the company's financial and operational performance of the third quarter of the current fiscal year.

Let me begin with a brief summary of the performance.

• Our consolidated revenue for the quarter grew by 8.4% year -on-year to 8,646 crores, reflecting sustained business momentum through the nine months of FY26. Business growth was driven by continuous strong performance in our European operations coupled with stable U.S. based business and growth market operations.

• EBITDA for the quarter stood at 1,773 crores with a margin of 20.5%, demonstrating a 9% year -on-year growth. This quarter demonstrates strong operating leverage, fiscal prudence, and consistent execution of our strategy. Last year, this quarter, we had a significant quantity of transient products and this quarter, this is very minimal.

Business highlights : Let me walk you through the key business highlights for the quarter.

The overall formulation business reported a year -on-year growth of 10% with a revenue reaching Rs. 7,683 crores, contributing approximately 89% of the total consolidated revenue.

The growth was led by strong performance in various businesses. The AP I business contributed to 11% of the overall revenue, amounting to (Rs. 963 crores), in line with the ongoing market trends and prevailing pricing landscape.

U.S. formulation

: U.S. revenue stood at USD 420 million, excluding gRevlimid , U.S. Oral S olid remained stable, demonstrating the strength and resilience over a diversified product portfolio. During the quarter, our core business continued to see healthy demand supported by volume expansion and recent product launches.

Our U.S. injectable sales also grew by year -on-year by 17%.

During the quarter, we launched 9 new products and received 7 approvals reflecting strong pipeline performance, coupled with sustained progress in regulatory approvals.

European Business : The European business maintained its strong momentum in growth, delivering 27% year -on-year revenue growth, amounting to Rs. 2,703 crores. In Euro terms, amounting to 261 million this quarter.

Consistent execution across key European markets firmly underpins our trajectory to exceed 1 billion in annual European revenue by close of FY26.

Growth markets : Revenue from growth markets remained flat at Rs. 865 crores or USD 97 million, driven by stable volume and strong diversified commercial base across the strategic market.

We have continued to expand our presence in key markets such as Canada during the quarter.

ARV formulation : ARV formulation reached to Rs. 376 crores or USD 42 million with 22% year -on-year growth. The continued growth momentum was driven by higher volumes and new tender wins across the key markets over the medium to long term.

Operational and financial highlight :

Gross margin for that quarter stood at 59.7%, supported by softer raw material prices and business mix. Gross contribution stood at Rs. 5,165 crores. Excluding g-Revlimid , year -on-year basis, our sales have increased approximately by 9%, gross profit by 13% and EBITDA by 15% respectively. R&D expenditure was Rs. 409 crores, amounting to 5% of the total revenues, thereby reinforcing our commitment on continue to build a robust pipeline of high -value products, including complex generics and specialty therapie s.

Net capex for the quarter stood at USD 79 million, in line with our strategic priorities of enhancing our manufacturing capabilities, strengthening compliance and accelerating automation. We generated net cash inflow of USD 118 million during the quarter, resulting in improved net cash position, including investment and appropriating for the purchase consideration of domestic pharma acquisition of USD 251 million as of 31st March 2025, compared to USD 170 million as of September 30, 2025.

On average, finance costs were 4.9%. Net profit for the period stood at Rs. 910 crore s, after one-time cost due to change in the labour code amendment, Rs. 65 crores.

Update on Pen-G plant and MIP : The ramp -up of the facility is progressing in line with the expectation and is well -positioned to deliver a meaningful uplift in profitability over time.

Based on our current production level, we expect to produce more than 10,000 metric tonnes on annualised basis over the next 12 months. It is important to note that the yield levels are steady and improving consistently over time.

The Government of India issued a notification introducing a one -year CIF on minimum i mpor t price for Pen-G, 6 APA and Amox icillin . The policy change will act as a very important and positive catalyst even t for the company.

Finally, we consider this decision by Government of India strategically important for creating India's self -reliance in antibiotics and reducing supply disruption risks and will boost the domestic manufacturing of AP Is and KSMs.

Outlook: As we go ahead, we are highly confident in our ability to sustain the growth momentum and consistently create long -term value across all business segments, supported by our strength of diversified operating model, expanding manufacturing footprint and strategic bolt -on acquisition.

With manufacturing capacity e

xceeding 60 billion units and further expansion underway, we
are well -positioned to support rising demand across various markets while improving operating leverage.

Europe continues to deliver a strong and consistent revenue growth. Our operational execution, expanding product basket and reliable supply capability continue d to drive o ur performance and reinforce customer partnership.

In the US, we are entering into an important phase of growth. The Dayton facility has successfully transitioned into a commercial phase with manufacturing underway and will begin contributing revenues significantly from FY27 onwards. In parallel, Raleigh facility remains on track pending regulatory clearance and we are fully prepared to scale up the operations. The Lannett acquisition further strengthened the US business, and this is subject to regulatory approvals.

Our OSD China facility continues to progress steadily, advancing towards an annual capacity of 2 billion units, currently supported by EU approval for 10 products and 3 local product approval.

We remain confident of achieving EBITDA break -even in Q4 and meaningfully contribute to the bottom -line EBITDA in the next year.

Our strategy on PEN -G and 6APA and Amoxicillin represents a structurally important initiative that will enhance cost competitiveness, reduce external dependencies and strengthen margin over a period of time.

We expect to ramp it up to nearly 65 to 70 % by March ‘26 against the last year average of 42%. Already, we have significantly ramped up in January ‘26.

Looking ahead over the next two years, our growth will be driven by several clearly defined and scalable initiatives.

We continue to build differentiated product portfolio with increasing focus on complex generics across dermal, transdermal, nasal, respiratory and oncology with positions as well for sustainable growth over the medium to long term.

Incremental contributions from robust pipeline of new product launches.

The injectable business continue s to show steady improvement supported by supply ramp -up, improved service levels and higher capacity utilization contributing to better operating performance.

Supply from China operations into Europe are increasing and helping improve global cost efficiency and supporting margin optimization.

We are seeing incremental benefit from portfolio acquisition which strengthens our business in the growth markets and adds scale to the overall business.

We are progressing well on our biosimilar and biologic strategy.

Taken together, these initiatives provide strong earnings growth visibility and reinforce our confidence in achieving our internal EBITDA margin target of mostly on the higher side of 20 % to 21 % for FY26. We remain sharply focused on our execution excellence, operational rigor and prudent capital allocation which we believe position s us for sustained performance on long -term value creation.

With that, we would be happy to take your questions.

Our senior leadership team look s forward for sharing additional insights and (clarifications) .

Question and Answer Session:

Moderator: Thank you, sir. We will now open the call for Q&A session. We will wait for a few minutes until the queue assembles. We request participants to restrict to two questions and then return to the queue for more questions. While asking questions, request you to please identify yourself and your company. Please raise your hand from the participant tab on the screen to ask questions.

The first question is from Tushar Manud hane.

Tushar Manud hane: Thanks. Thanks for the opportunity.

Sir, with respect to Eugia III inspection, if you could share some color in terms of the nature of observations . Secondly, if implementing any measures to address th is issue s, w

ill this
require certain, let us say, temporary stoppage of production or anything of that sort, if you could throw some light on that?

Yugandhar Puvvala: Yeah, I think, Tushar, we have already clearly mentioned this , stating that these are all procedural observations. There is no stoppage of production, no stoppage of any nature and these are procedural and technical . And we are very confident of responding within 15 working days to USFDA. I do not see any issue.

Tushar Manud hane: So, that way the production also will be on the continued process per se?

Yugandhar Puvvala: That is right. I think we are very, very clear. I think last time inspection was completely different and this time inspection is, it is very positive from that perspective that we do not have any data integrity issues, which was the issue last time unfort unately . And these are all procedural in nature and procedural means like it requires a one week or 10 days, some SOP changes, some corrections here and there. So, absolutely no problem.

Tushar Manud hane: That is good to hear, sir. And just one clarification from the opening remarks. So, ex-gRevlim id, we highlighted US sales would have grown at what rate over year -on-year basis or quarter -on-quarter?

S. Subramanian : I think we have given it around 9%.

Tushar Manud hane: US sales, right?

S. Subramanian : No, overall.

Tushar Manud hane: Okay, sir. Tha t's it from my side. Thank you.

Moderator: Thank you. The next question is from Damayanti K erai.

Damayanti Kerai: Good morning and thank you for the opportunity. This is Damayanti from HSBC Securities.

My first question is again on Eugia . So, as you mentioned, the observation seems to be procedural in nature and it might be resolved within your stipulated timeline. But given we are yet to get full clearance from the FDA, what kind of trajectory we should build for or we should assume for the US injectable sales? In your opening remarks, obviously, you mentioned this segment has seen good pickup. So, if you can just talk a bit about it.

Yugandhar Puvvala: Yeah, Damayanti, like see, these are procedural in nature and we will respond and we are cautiously optimistic about the future of this facility. But ultimately, US FDA has to take a decision in terms of the warning letters. So, I cannot comment on what exactly they will do, but we feel confident that we will be in a position to respond. And in my view, probably like next year will be again same double -digit growth, what with the ramp up of supplies and other stuff happening from various other facilities.

So, it should be in that same trajectory till the time the warning letter gets lifted. If in case if the warning letter gets lifted, then it will be a different this thing , that we can talk in subsequent quarters. But at this juncture, we are cautiously optimistic.

Damayanti Kerai: So, during the quarter, you mentioned injectable sales grew 7% or 17%. Sorry, I missed that number.

Yugandhar Puvvala: It is 17 %. That is what Subbu mentioned.

Damayanti Kerai: 17%. Okay. So, that's good to hear.

My second question is on your Europe business. So, although in reported numbers, I think reported terms, growth looks very strong. In constant currency, we are seeing this segment growing in low double digit for last two quarters or so. So, with now the China supply improving, how do you see this busin ess ramping up and say from current low double digit in constant currency, what kind of growth we can assume once we see higher supplies coming from China?

V. Muralidharan: Good morning. Murali here. Low double digit in itself is well ahead of the market growth rate. So, this is what we are tracking.

And all of our leading geographies, whether it is France, Portugal, Germany, and Netherlands, they are all showing double digit growth. And of course,

with more launches happening and

supplies from China, we expect to grow further. And several launches are lined up, both yet to launch and some of the loss of exclusivity products. So, we expect further ramping up in the coming period.

Damayanti Kerai: So, trajectory should improve as China supply picks up. That's what we should look forward for.

V. Muralidharan: Definitely. This is what the trend we have been demonstrating if you really observe d from the last couple of years, Q -on-Q, and we will continue to maintain that momentum.

Damayanti Kerai: Sure. And one last question, if I may ask, if you can update on your Vi zag facility, what is the status or update there?

Yugandhar Puvvala: Dam ayanti, are you talking about injectable facility? Which one are you referring to?

Damayanti Kerai: Injectable one, yes.

Yugandhar Puvvala: Yeah. Injectable one, like we have already filed 3 products and some 10 more products are under filing. We expect a slow commercialization to happen in next year, FY27. And because we are going to file a very, very important product from this facility, because we have a cartridge line where like we will be taking all the GLP -1 products from there and we'll be filing. And we have a PFS, we have a BFS and total , so, it will be 8 lines by end of this year, this calendar year. And that is what we want to restrict it to, so that the ramp up should happen starting from FY27 and we should take full benefits starting FY28.

Damayanti Kerai: Okay. So, '27-28 is a time when we can see a significant contribution coming from here.

Yugandhar Puvvala: That's right.

Damayanti Kerai: Okay. Thank you very much.

Moderator: Thank you. Next question is from Neha Manpuria.

Neha Manpuria: Thanks for taking my question.

My first question is on L annett . Could you give us an update on where we are in the approval process from the F TC and when should we expect the completion of that transaction? And just to follow up on L annett, you know, in your view, what would be the rough overlap between the L annett portfolio and Aurobindo portfolio that, you know, F TC could probably look at?

Swami Iyer: Thanks , Neha , for the question. Right now, we are actively engaging with the FTC through our attorneys and we are very pleased with the progression of the process to this

point. We feel confident that this process will be completed early in the next fiscal year, that is Q1 of '27.

As far as the overlap is concerned, you know, there are no surprises , there are no negative surprises. That is all I can say because obviously, this is a very confidential matter. I cannot disclose it. But we are quite pleased with the way it has progressed and with, like I said, there are no negative surprises.

Neha Manpuria: Understood. So, I should assume that, you know, there is no risk from an FTC perspective in terms of timelines for the closure of this deal?

Swami Iyer: At this point, we are not looking at it. In fact, we are looking for a closing sometime soon. When I say soon, it is, like I said, in the first quarter of '27.

Neha Manpuria: Understood. Understood. That is very helpful, sir.

My second question is on the P en-G capacity. S ubbu s ir, you know, roughly what would have been the EBITDA impact from the P en-G facility in fiscal '26? And as we think about the 10,000 tons production that you have mentioned over the next year, at what point do you see this actually start reflecting in the gross margins and, you know, possibly even external sales? You know, how should I think about how we monetize this capacity?

S. Subramanian : You see, as I said, you know, while we have been improving the yields consistently and increasing the production this quarter, obviously, the MIP is having a, I mean, compared to the curre

nt prices, the MIP prices are a little bit more.

So, the full impact of it, we will be seeing it from the first quarter because there is already a stock available in the market, which hopefully will get consumed by end of February or mid of March. So, you should start seeing the improvements in April onw ards.

Neha Manpuria: And what would be the EBITDA impact in your assessment from, you know, the P en-G capacity, you know, this year? I mean, what would be a rough assessment of how much burn we have seen from that facility?

S. Subramanian : I think we should be getting a good EBITDA and you are already knowing the numbers while we may not like to specifically talk about the EBITDA numbers, but it is well - known based on the current market price and the MIP price, etc. Even assuming some discount, we could see a better improved EBITDA in the coming year.

Neha Manpuria: And is it fair to assume that when you say we'll start seeing an impact of this from first quarter, you know, the facility will break even in first quarter FY27?

S. Subramanian : Let me put it like that. To give you some more color, we have already (achieved break -even) on the P en-G facility and we started making a little bit contribution now itself.

However, where we have been losing out is on the 6AP A prices where there is a predatory pricing and it is going well below the cost of manufacture internationally also. And with the correction in the MIP, et c, hopefully this should get resolved by end of March or maybe by April. You got it?

Neha Manpuria: Understood, understood. So , I should start assuming 6AP A sales, external sales from first quarter as well then in that case.

S. Subramanian : Correct. Because there is enough stock in the market and at low prices.

Neha Manpuria: All right, got it. This is very helpful, sir. Thank you so much.

Moderator: Thank you. The next question is from Bino.

Bino Pathiparampil: Hi, good morning. Sub bu sir , just to follow up, this Pen-G sale for the quarter, how much was produced and was it also, was it sold or fully utilized internally?

S. Subramanian : I think the last quarter we are fully utilized. We are fully utilized and we, see we are now, based on the January production, we are nearly, nearly 9,000 to 10,000 (MT) annualized number. We have gone to that extent. We have already ramped up significantly in the month of January and hopefully this will get further ramped up in the coming months, depending upon the availability of the stock in the market. So, we will ramp up in such a manner there is no over material available like that.

Bino Pathiparampil: Understood. And last quarter whatever was produced was used internally?

S. Subramanian : Yes, it has been everything, I mean barring few tons, right, we have mostly consumed it internally.

Bino Pathiparampil: Understood.

S. Subramanian : But one good thing is the yields are improving, the production has stabilized fully . And it is a question of we need to put more fermenters and then produce the maximum capacities . Two things , one is utilization of all the fermenters , and the second factor is the yield improvement. Yield improvement we have been achieving, progressing well and full deployment of the fermenters, we are, we are in the process only. We will do it and ramp it up the way, the time we need to ramp it up.

Bino Pathiparampil: Got it. S ir, what I was wondering is, you know, last quarter the MI P was not in place, so the market price was low. So , using our in -house P en-G, did it really help the margins? Because from outside you would have probably …

S. Subramanian : No, as I told you, Pen-G, we have been making, I mean, we are making a breakeven of slight profit. It's a question of 6 APA across the market and the resulting Amoxicillin price, which has really put the entire market at a l

oss. So that is getting corrected.
Hopefully by April it should get corrected fully.

Bino Pathiparampil: No, you break even, I understand that, but since the market prices were lower for the entire product basket, not just P en-G or 6APA.

S. Subramanian : Yeah, so we incurred loss and that loss has been in, that loss has been absorbed as part of the EBITDA margin.

Bino Pathiparampil: Okay, got it. The second, you know, the quarter gross margin about 59.5% is one of the highest, you know, probably higher than some of the quarters where generous contribution of generic Revlimid was there. So , what has led to this kind of strong margins and how sustainable is it?

S. Subramanian : I think we have been consistently improving , I mean, this question was meant for me or any specific business you're asking?

Bino Pathiparampil: No, no, overall gross profit.

S. Subramanian : Overall, I think with the improved performance of the P en-G and the related products, I think our losses, whatever the losses we have incurred has come down and which will turn into positive and this will help . And overall, Yugandhar also said , the injectable business is expected to go up and every business is working , and Murali has said that he is working on a double -digit growth, etc. So , all put together, I think we should be able to show a sustainable improvement in the EBITDA margin and the overall pr ofitability.

Bino Pathiparampil: Got it. And one last small question, there is this product Pomalidomide - Pomalyst , which is opening up for gener ic competition soon anytime now, are we part of that first to market launches?

Yugandhar Puvvala: Yes, we'll be launching and we have already prepared for the launch.

Bino Pathiparampil: Okay, this quarter itself, right?

Yugandhar Puvvala: That's right.

Bino Pathiparampil: Okay, thank you.

Moderator: Thank you. I request participant to restrict to two questions and then return to the queue for more questions. For asking the question, participant may raise their hand from the participant tab.

The next question is from Tarang Ag rawal.

Tarang Ag rawal: Hi, good morning. Am I audible?

Moderator: Yes, Tarang.

Tarang Ag rawal: Hi, a couple of book -keeping questions. We've been seeing a reasonably elevated tax rate for last four quarters. And second, just following up on the earlier participant, not specifically for P en-G, but really, you know, various capacities are in the process of ramp up – Lyfius, Qule, Auroactive , China, Dayton, Raleigh, (Eugia) Steriles . So just wanted to get a sense on what's the EBITDA burn of all these businesses which are in the ramp up phase, probably for nine months of FY26 or your estimate for FY26?

Yugandhar Puvvala: Subbu, this question is for you. I think he's asking EBITDA burn because of various initiatives.

S. Subramanian : Yeah. So, Tarang, the first question is on the tax rate. What has happened is today, Cura TeQ, today L yfius , all these are independent companies, right . We have incurred losses on account of the ramping up and other things , and Cura TeQ on account of the R&D cost and other things, right . So ideally for the losses, we should have taken a tax credit, but we have been very cons ervative in our accounting. So , we are not taking the tax credit. Once we start making profit we'll take that tax credit with a retrospective effect. So , that is the reason why you are s eeing a higher tax rate. Otherwise, the tax rate for the entire company , in fact Lyfius the tax rate is around 15% and Qule also 15%., so we will move towards that. Over a period of time, we will be around 25%. But today we are in a ramping -up phase, and that is the reason you are seeing it. So nothing to worry about it. Okay?

Tarang Agrawal: So there’s a deferred

tax asset that’s getting created, is it, for all these?

S. Subramanian : No, we are not creating the deferred tax asset. That is the point I am trying to tell.

Tarang Agrawal: Okay, got it. Okay.

S. Subramanian : If I take the deferred tax asset, if I create it, automatically I should give the credit to the P&L, which I have not done.

Tarang Agrawal: Got it. Yeah, right.

S. Subramanian : In terms of the EBITDA impact loss, as I told you, we are incurring losses in some of these which will get translated into profit in the coming quarters. We are not specifically giving any number, but we will be making profit coming over the period of tim e.

Tarang Agrawal: Got it. On the biosimilars business, we saw an announcement around vaccine restructuring. And second, I was curious for Lucentis, is the Phase 3 through EMA waived?

Dr. Satakarni Makkapati: Hi, this is Satakarni. I would answer your first question. With the Auro Vaccines merger, the intent is consolidating and improving our utilization of the existing capabilities that were built in Auro Vaccines. Essentially, the idea is to retain some flexibility to repurpose the capacities that we have built there from 2018 to the COVID period, as these capacities, some of them, can also be needed to support the future biosimilars roadmap. So, in the nu tshell, from the board and management, this is more

about us looking into operational efficiency and agility, but not a change in strategic direction. So I hope this answers the part 1 of your question. What was part 2?

Tarang Agrawal: For ranibizumab, is the Phase 3 waived in Europe?

Dr. Satakarni Makkapati: No. So Ranibizumab is a product that goes into the eye. So it’s an ocular product used for wet AMD. So essentially, you need to inject the drug into the (vitreous cavity near the) retinal nerve of the eye. That requires a small minor surgical procedure, wh ich is done in a clinical setting. So the Phase 3 is not waived for such products because you can’t do a PKPD study of such ocular products that gets injected into (the vitreous cavity near) the retinal nerve of the eye in healthy volunteers. So you will n ot have any volunteers to do this study. And hence, a Phase 3 for products like Ranibizumab will not have a waiver. Does that answer your question?

Tarang Agrawal: Got it. Yes, yes, understood. Thank you. Last question on the US generics business. You know, up till calendar year '24, OTC was doing about $100 million of revenue. Just curious, how has that played out for calendar year '25, and what's outlook for calen dar year '26? Thank you.

Swami Iyer: Thanks, Tarang. We don't normally talk about the dollar value for separate set of business. But I can tell you for the last couple of quarters or three quarters, OTC has really picked up, and we are looking at it as a fast -growing segment within the US, a nd we expect very good momentum in the sales and volumes for the OTC business.

Tarang Agrawal: Okay, thank you.

Moderator: Thank you. The next question is from Shyam Srinivasan.

Shyam Srinivasan: Yeah, hi, good morning. Thank you for taking my question. Satakarni sir, just again on the biosimilar journey, now in the next 12 months, what are some of the milestones and timing that we need to keep in mind? And any way to kind of assess how large this could be for us over time, maybe fiscal '27 and over time?

Dr. Satakarni Makkapati: Good morning, Shyam. In terms of milestones, Shyam, in the last quarter we have announced (the) first Canadian approval (for Dyrupeg), which is an important milestone for us, on the back of the four biosimilar approvals that we had in the European Economic Area. So we are preparing some momentum in Europe and growth markets through these approvals, which will be translating and converting into launches in this year. We have already built our

first product. The previous quarter, we have… we are trying to exe cute multiple things. Bevqolva, which is Bevacizumab biosimilar, is already launched in the UK. Dazublys, wh ich is our Trastuzumab biosimilar, was launched in the Baltics territory through a partner. This means we are moving from the readiness or the development phase, to real on-the-ground commercialization.

Beyond this, (we also…) our strategy in the European Economic Area extends far beyond simply selling biosimilars through our subsidiary. So, we aim to achieve comprehensive coverage across the European Economic Area, across LATAM markets, and also in Canad a. In fact, in LATAM, we are making a stepwise and disciplined approach country by country. We

just won a tender in Mexico, which we have to service in this year. So, we have made a strong start with Mexico.

We are also making a foray into Brazil. In fact, we have a GMP ANVISA inspection announced in May, which will then lead the path towards (potential) approval of at least four products.

So, over the medium term, with the Omalizumab and Denosumab biosimilars that I was providing guidance for, which I have to complete the validation campaigns and then start filing them from June/July in both Europe and US, the capacities will get freed up, and the commercialization readiness will become more real.

I believe 29 (2029)… to answer the second part of your question, as I have always stated, 29 (2029) would be the inflection year for biotech. All the efforts that we have made in bringing four biosimilars into the market (read as approval) in the last one year, and with two or three more ready for filing in both Europe and US, we expect to ramp all this up, convert this into some sort of commercial momentum by 2029, which is our inflection year, I believe. Does that answer your question?

Shyam Srinivasan: Yeah, thank you, Dr. Satakarni. Just one sub -question before I go to the second one. This budget announcement of this BioShakti, Dr. Satakarni, anything… ? I know it's early and maybe the details are not yet out for biomanufacturing in the country. You kn ow, anything that you have, any insights from industry discussions? Or if you were to say or recommend to the government, what would be some of those things?

Dr. Satakarni Makkapati: Very interesting question. I get asked this question in the last 2 -3 days. Broadly, Shyam, I speak for myself and not for Aurobindo here. Broadly, initiatives like Biopharma Shakti are directionally positive for the sector, if executed well, and that's my big

takeaway… if executed well, it has the potential to strengthen the ecosystem, biotech ecosystem, in terms of… from the fine script what I read, in terms of skill development, the clinical trial sites, and how we go about conducting clinical trials, and the availability of the sites, faster translation from development to manufacturing, and let me remember… the predictable regulatory and quality environment that the government wants to create around this initiative. So for the biosimilars and biopharma i ndustry, I think the biggest takeaway will be an improved ecosystem, maybe into the beginning of the next decade, if it is implemented well.
The challenge is, therefore, can we develop a stronger local capability in clinical development? When I say clinical development, do the trials that we do for complex biologics and biosimilars and new chemical entities in India stand the scrutiny and rigor of the agencies like FDA and EMA? Are many companies going to achieve that sort of skill (expertise/competence)? That's question one.
Then I believe this also helps build stronger local capability in single -use and critical consumable supply chains. As you know, during COVID, the industry in general has suffered from dependency on the West on single -use bags, filters, and resins, which a re so vital to delivering a

drug and purifying them or producing them. And hopefully, the commentary in the Biopharma Shakti about skill development, because there's a lack of human resources pool right now that can really help us compete with the evolved (biotech) industry in the West. So, I believe these are the three big takeaways: an improved ecosystem in terms of local capability building process and clinical development, innovation, single -use (and) critical consumable supply chains, etc.

So what is important, again, to summarize, is the regulated markets will continue to require extremely stringent quality systems and rigor in GMP and GCP compliance. So, the success of Biopharma Shakti will depend on the execution. So let's wait and watch. It's just been, I think, two weeks, so let's wait and watch. I am supportive of the tailwind it brings, especially when people like you ask the questions, which means you are looking forward to the tailwinds that it will bring. So let's wait and watch tha t it translates into real results.

Shyam Srinivasan: Thank you. Helpful. So just my last question to Subbu sir on the balance sheet, our net cash. I know there's a Lannett acquisition still. But just want to understand from an outlook perspective on M&A, or what are some of the key priorities for us apart from CapEx and dividends, what are some of the key priorities for us as we look forward?

S. Subramanian : So Shyam, which I told you earlier also, we are not going for any major greenfield project other than whatever we are committing to TheraNym which is the biologics which Satakarni has informed. Otherwise, we are not going for any major organic. In terms of the inorganic, yeah, we keep on looking at it, but it is not that we need to do it urgently, etc. If we get the targets at the right price and to our strategy, fitting into our strategy, we will look into that. I think this is the main thing actually in ter ms of the capital allocation.

Shyam Srinivasan: Helpful, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Kunal Dhamesha.

Kunal Dhamesha: Yeah. Sir, just one question on the Pen -G and 6 -APA. Since the prices of those imports had started coming down at the start of FY26 or the end of FY25, and we have imported little bit of 6 -APA in FY26, so is it fair to say that some of the gross margin improvement that we are baking in from the internal consumption from our facility is already there in the numbers? Because we are already getting a lower price imports, right?

S. Subramanian : Kunal, your question is right. That was the scenario one month to one and a half months back, but now the prices have started going up, okay? And whatever may be the production, We are anyway not going to buy it from them unless it is required, absolutely essential for various reasons, right? We will be producing, and our cost of production is also coming in line. So we should be seeing an improvement in the gross margins very clea rly going forward, right? That is the thing.

Kunal Dhamesha: Okay, and so the MIP, when you would have made the representation to the government, what would be the basis of that? Would that be like the cost of production plus a decent profitability? Is it on that basis that the government would have decided based on your representation, or there are more factors into consideration?

S. Subramanian : Kunal, your question is absolutely right. But since I'm privy to certain information which has been worked along with the government, I am unable to disclose anything further on this.

Kunal Dhamesha: Sure, sir. Thank you and all the best. Thank you.

Moderator: Thank you. Next question is from Jigar Valia.

Jigar Valia: Yes, thank you so much for the opportunity. One question is with regards to the Lannett acquisition. The settl

ement amount of the fines. Is it final, or it can increase? And will it get adjusted in the price or not?

S. Subramanian : Swami?

Swami Iyer: The settlement of Lannett is their liability, and Aurobindo is in no way liable, nor does it change the math.

Jigar Valia: Okay, so the price also remains the same, while these will be settled independently.

Swami Iyer: Yeah, till today, I mean, till the actual acquisition happens, and any liability till that date will be that of Lannett.

Jigar Valia: Okay, with regards to the PLI amount, when and how much are we expecting to come from the government?

S. Subramanian : So it is like this, Jigar. As per the government, it is Rs. 240 crores for every 10,000 MT, right , And as and when we produce the quantity, it will proportionately come.

Jigar Valia: Got it, and we are already at nine, ten thousand you've mentioned kind of, so.

S. Subramanian : Absolutely. You can see… I mean, hopefully everything goes well, we should be able to see the full year… next year, we should be able to see the full amount.

Jigar Valia: Great. One question I'll take now is you mentioned capital allocation, the buyback figure given there has been some tax this thing as well. And last time we did it at Rs. 1,450, now the price is lower, and of course there is a slight tax benefit for the non -promoters.

S. Subramanian : Yeah, it's a very good… I mean, this is a very good option which came in the budget. Probably the entire management, I mean, top management, promoters, board, everybody is aware of that. I think this is coming with effect from 1st April. Let's wait and see. We have another two months' time. Now, this needs to be passed by the Parliament and any changes, anything we will take into account and decide appropriately. The board will consider these and then decide in their best wisdom, d epending upon the circumstances.

Jigar Valia: Got it. Thank you. Thanks.

Moderator: Thank you. The next question is from Harshit Dhoot.

Harshit Dhoot: Hi, first of all, congratulations to Subbu sir and the Aurobindo Pharma management team for the MIP on the Pen -G part. Sir, just one help which I wanted on the modelling purpose. We have got the MIP at $25 for Pen -G. But sir, if you do the calculation, the two Pen -G equals to one 6-APA, and most of the formulation plants source 6 -APA or the Amoxicillin, where the prices are similar to the market. So from the modelling purpose, should we take the prices at $25 per kg, or we should reduce it down keeping in line to the ratio and MIP th at we got on the Amoxicillin and the 6 -APA?

S. Subramanian : Harshit, your question is very good, but you should ask some of the consumers to get the right answer.

Harshit Dhoot: The consumers are s aying that we should buy Amoxicillin…

S. Subramanian : Certainly I may not like to give any number now.

Harshit Dhoot: No, no, no, I'm not looking for exact number. Just directionally, sir, lower than 25?

S. Subramanian : I think directionally I have already said no, the prices have started going up. To what level it can go up, where it will end, we do not know, but certainly we are very confident about it.

Harshit Dhoot: Okay, so because two Pen -G one 6 -APA implies $50 prices, but we got the MIP of $37 prices. So if we take in modelling the $25 price and it implies to $50, while actually it will be $37. Is it right understanding, sir?

S. Subramanian : Yeah, right understanding. But certainly when you buy Pen -G solid and then convert it into 6 -APA, there are additional cost involved, etc. But the way our process have been done is we will not crystal, we will not do solid Pen -G. We will convert it at the liquid level. There is a saving coming.

Harshit Dhoot: Okay, sir, and the second part. As the Eugia plant inspection has just completed, are there any other plants which

are due for inspection, or which you think can
be for the inspection for let's say next six months or one year?

S. Subramanian : Yugandhar?

Yugandhar Puvvala: No, these are all unannounced audits. We don't know when they will come and what they will do. So there is nothing called pre -scheduled inspections, mainly from USFDA. So it will be very difficult for me to comment which plant might get audited next.

Harshit Dhoot: Okay, sir, thanks. Thanks a lot, sir. Thank you.

Moderator: Thank you. The next question is from Nitin Agarwal.

Nitin Agarwal: Sir, thanks for taking my question. So there has been a significant depreciation of the Rupee against the USD, as well as the Euro over the last few months. Are the numbers fully reflecting… already beginning to reflect some of the impact of depreciation, or how should we think about it next year?

S. Subramanian : I think one of the thing… the depreciation is not… because of that translation effect also, t he depreciation is going up, right? And that is also one of the reasons. You're talking about the Rupee depreciation on the top line, or how, what is your exact question ?

Nitin Agarwal: Yes, sir, the rupee impact of the Rupee depreciation on a P&L, what kind of gains can we get,? And is it already beginning to reflect in the numbers?

S. Subramanian : It's already started reflecting on the numbers, right? Whatever sales are happening at the end customer i.e. at the Europe level or US level, etc., we translate at the average rate for the quarter. And so the numbers are reflecting the actual... If there is further depreciation of any currency, etc., against dollar or appreciation against dollar like Euros, etc., that also will get reflected going forward.

Nitin Agarwal: So my question was, is there a lot of gross margin improvement, or can we…? Is it fair to assume a fair bit of that has come on because the depreciation of the Rupee against the dollar and the Euro?

S. Subramanian : No, no, because everything will get translated into… No, whether it's a cost, everything we will translate into the average rate. So it is not that only the top line we are translating, other things we are not translating. In fact, if you really see, you look at the other expenses, typically it used to be around Rs. 1,700 –1,800 crores. Because of the translation effect, etc., it is now at Rs. 2,000 crores.

Nitin Agarwal: Right, right. And the last one on this, on for Europe, what kind of sourcing do we do? What proportion of our supplies are done from India, and how much do we source in Europe itself?

S. Subramanian : I think Murali, you would like to take the question, or can I answer?

Mr. V. Muralidharan: Yeah, I would know, maybe I can give a high -level update. Closer to 60% of the sourcing happens from in -house sources, and steadily we are also transferring the third -party products, the key ones, to our sites. And the balance comes from third -party sites .

Nitin Agarwal: Thank you. Last one, sir, on US, how many new approvals or new launches are expecting in FY26?

Swami Iyer: Can you repeat that question, Nitin?

Nitin Agarwal: So how many new launches are we expecting in the US market in FY27, sorry?

Swami Iyer: So approval is one thing, and then we have the launches, because some of the launches could be what is approved, we may be launching later. So we launched about nine products in the last quarter ending December. We believe similar kind of trend would cont inue for the next 12 months. On a yearly basis, if you multiply, that's what we can look at.

Nitin Agarwal: If it is a large and similar, CapEx should we assume for the business for FY27?

S. Subramanian : I think, other than the biologics CapEx which I mentioned, where we are trying to work… I mean aligning with a strategy of the biologics, I don't think we will be incurring anything beyond around USD 150 to 200 million, because we are not planning for any greenfield.

Nitin Agarwal: Right.

S. Subramanian : Maybe some acquisitions, etc., may come, right? That is a one -of, depending upon the target.

Nitin Agarwal: And how much money is spent or spent on the biologics, CDMO business over the next couple of years?

Dr. Satakarni Makkapati: Nitin, so the CapEx into the CDMO business, TheraNym, right now is about USD 120 to 130 million over the last seven quarters. Subbu, you may correct me. So that is where the CapEx expenditure stays, unless we have a few business deals and we decide to expa nd our CMO offering and build additional capacities. But right now, what has been spent on TheraNym, or what will be spent on TheraNym in total, with the spend that was incurred over last 6 -7 quarters, is all put together will be, I think, USD 120 to 130 million.

Okay, thank you so much. Thank you. The next question is from Jigar Valia.

Jigar Valia: Yes, sir, thank you for the follow -up. It is a follow -up on the previous question only. With regards to this USD 120–130 million , how much would have come in by now, and how much would come in FY27? And if I had to assume that these are for two products, and if there is a product addition, then another Rs. 300-400 crores of additional would one should budget with every new product?

Satakarni Makkapati: I will answer your part two of the question and will ask Subbu to answer the specifics of the budget later. So part two of your question, this deal was signed for one product in May 29, 2025 (read as 29th May 2024), and then we added second product schedule somewhere towards the end of, I think, Q2 or Q3 last fiscal. So essentially, this is for two products, and the CapEx… the total CapEx projected, is around 120 to 130 million for both the products – (for building) the capacities for both the products together.
Subbu, can you answer him on the CapEx flow?

S. Subramanian : Yeah, Jigar, the CapEx, as Satakarni says USD 100 to 120 million type, probably we may be incurring anywhere between 80 to 120 million in the current… the next two years.

Jigar Valia: Got it, got it. And so…

S. Subramanian : We have incurred certain things already, depending upon the level of progress Satakarni is going to make in this… accelerate the entire process in this Q4, the balance will be incurred in the going forward.

Jigar Valia: The bulk should come up in FY27.

S. Subramanian : Correct.

Jigar Valia: Got it, and just one last question is with regards to… is there anything if you can help as… overall how should the US market and sales look for margins look for the next year, maybe dollar terms or whichever? And should we… With this CapEx, etc., is ther e something on the RO returns or the ROC or ROE that we may want to comment on? Thank you, sir.

Swami Iyer: So Subbu, you want to talk about the margins of the years?

S. Subramanian : No, no, you see, Jigar, we are not giving any specific margins for any business, overall margins only. Yeah,? You can take it the balance, Swami.

Swami Iyer: Yeah, so the next year, the coming year, I think it should not bit different from the current year. Actually, we are looking for some improvements in terms of numbers, overall numbers. So obviously, when the numbers improve, the margins should also be bet ter. We are not seeing anything that's going to be negative at this point of time.

Jigar Valia: Okay, okay. I was more like, is a double digit something which is possible or which one should expect?

S. Subramanian : Double digit of what?

Jigar Valia: Growth? US growth?

S. Subramanian : Okay, that, Swami would…

Swami Iyer: Oral solids is sitting at base of about 1 billion, and then as in specific segment we migh

t have. But if you see the oral solids at 1 billion, it's very difficult to achieve. But who knows. We have got Lannett that's going to be merged, acquired, hopefull y with the FTC approval, and that can create synergies and that can help us better business deal. But as you grow bigger, it's going to be difficult in terms of percentage of growth.

Jigar Valia: Got it. Thank you very much, sir. Thanks a lot, sir.

S. Subramanian : Thank you.

Moderator: Yes, sir, please go ahead.

S. Subramanian : Vandit, there is only one person left, and with that you can close it.

Moderator: So he also left. Ladies and gentlemen, on behalf of Aurobindo Pharma, that concludes today’s conference. Thank you for joining us, and you may now disconnect your lines and exit the webinar. Thank you so much.
END OF TRANSCRIPT

Call: May 2026

Corp. Off.: Galaxy, Floors: 22-24, Plot No.1, Survey No.83/1, Hyderabad Knowledge City, Raidurg Panmaktha, Ranga Reddy District, Hyderabad – 500 032, Telangana, India.
Tel : +91 40 6672 5000 / 6672 1200 Fax: +91 40 6707 4044.

Regd. off.: Plot No. 2, Maithrivihar, Ameerpet, Hyderabad - 500 038, Telangana , India Tel: +91 40 2373 6370/ 2374 7340
Fax: +91 40 2374 1080 / 2374 6833
Email: info@aurobindo.com Website: www.aurobindo.com
May 27 , 2026

To
Listing Department,
NATIONAL STOCK EXCHANGE OF INDIA LIMITED
Exchange Plaza,
Bandra Kurla Complex, Bandra (E),
MUMBAI -400 051

Company Code No. AUROPHARMA To
The Corporate Relations Department
BSE LIMITED
Phiroz Jeejeebhoy Towers,
25th floor, Dalal Street,
MUMBAI -400 001

Company Code No. 524804

Dear Sir / Madam,

Sub: Transcript of Q 4FY2 6 earnings call.

Please refer to our letter dated May 14 , 2026 , wherein we intimated the schedule of Earn ings call on May 22 , 2026 . We are attaching herewith the transcript of the said earnings call on the Audited Financial Results of the Company for the fourth quarter and year ended Mar ch 31, 202 6 and the same is being uploaded on the website of the Company and is available at the following web link.

https://www.aurobindo.com/investors/disclosures -under -regulation -46/investor -meet/conference -call -transcripts/

Please take the information on record.

Thanking you,

Yours faithfully,
For AUROBINDO PHARMA LIMITED

B. Adi Reddy
Company Secretary

Encl.: as above

Q4 FY26 Earnings Conference Call

22 May 2026

Dr. Satakarni Makkapati – CEO of Aurobindo Biosimilars , Vaccines and Peptide Businesses & Director of Aurobindo Pharma Limited

Mr. Yugandhar Puvvala – CEO of Eugia Pharma Specialties Limited

Mr. Swami Iyer - CEO, Aurobindo Pharma, USA

Mr. V. Muralidharan – CEO, Europe Formulations Business

Mr. S. Subramanian - Chief Financial Officer, Aurobindo Pharma Limited

Mr. Varun Mali – Investor Relations and Corporate Communications Team

Moderator: Ladies and gentlemen, good day and welcome to Aurobindo Pharma's Earnings Conference Call for fourth quarter FY26. Please note all participants' lines will be in 'Listen - only ' mode and there will be an opportunity for you to ask questions after management's opening remarks. Should you need any assistance during the conference call, please raise your hand from the 'Participant ' tab on the screen.

Please note this conference is being recorded. I now hand over the conference to Mr. Varun Mali. Thank you and over to you, Sir.

Varun Mali: Thank you, Vandit. Good morning, ladies and gentlemen, and welcome to our fourth quarter FY26 and full year FY26 Earnings Call. I am Varun Mali from the Investor Relations and Corporate Communications team. We hope you have received the Q4 FY26 financials and the press release that was sent out yesterday. These are also available on our website.

I would now like to introduce our senior management who is on the call with us today , represented by :

• Dr. Satakarni Makkapati, CEO - Aurobindo Biosimilars, Vaccines , Peptides Businesses and Director - Aurobindo Pharma Limited.
• Mr. Yugandhar Puvvala, CEO, Eugia Pharma Specialities Limited.
• Mr. Swami Iyer, CEO, Aurobindo Pharma, USA.
• Mr. V. Muralidharan, CEO, Europe Formulation s Business.
• Mr. S. Subramanian, CFO, Aurobindo Pharma Limited.

We have also requested Dr. Ashish Anvekar to join us for any questions related to Acrotech Biopharma , USA.

We will now begin the call with the summary highlights from the management followed by an interactive Q&A session. Please note that some of the matters we will discuss today are forward -looking, including and without limitations, statements relating to the implementation of strategic actions and other affirmations on our future business, business development and commercial performance. While these forward -looking statements exemplify a judgment and future expectations concerning the development of a busines s, a number of risks, uncertainties, and other important factors which may cause developments and results to vary materially from our expectations. Aurobindo Pharma Limited undertakes no obligation to publicly revise any forward -looking statements to reflect in future events or circumstances.

With that, I will now hand over the call to our CFO for the business highlights. Over to you, Sir.

S. Subramanian : Thank you, Varun. Good morning and a warm welcome to our Q4 FY26 Earnings Call. I am pleased to begin the call by sharing that the company has delivered an excellent quarter and a strong financial year, underpinned by sustained growth and reflected in our highest -ever revenues and highest -ever EBITDA, both quarterly and annually.

• For FY26, revenues stood at ■33,653 crores, while EBITDA came in at ■6,856 crores, translating into a healthy EBITDA margin of 20.4 %, which is in line with the revenue as well as EBITDA gainer for FY26, supported by favourable product -business mix and other factors.
• For Q4 FY26, revenues were ■8,853 crores and EBITDA stood at ■1,801 crores, resulting in a robust margin of 20.3 %.

During both the quarter and financial year, we witnessed good performance across our businesses, primarily driven by stable volumes, new product launches and sustained momentum in regulated markets supported by pricing conditions.

Despite insignificant Revlimid product sales compared to Q4 FY25, EBITDA before Forex remained flat year -on-year growth and grew by 2% on quarter to ■1,801 crores.

• Net profit increased by 2% year -on-year to ■921 crores.
• For the full year FY26, the revenue grew by 6% year -on-year to ■33,653 crores.
• Ex-gRevlimid , our full -year revenue growth was 9.5%
• For Q4 year -on-year ex- gRevlimid growth was 15.3%. In USD terms, it was 7%.
•

Gross contribution also reached the highest ever absolute level of ■20,165 crores, reflecting a margin of 60%, that is an improvement of around 100 b ps.
• The EBITDA before Forex and other earnings grew by 4% year -on-year to ■6,856 crores.

Business Highlights . Let me now take you through the business highlights.

• Formulation business : Formulation business for the quarter witnessed a growth of 5% year -on-year to ■7,646 crores and contributed around 86% of the total revenue. The revenues are mainly supported by growth across the market s.

• API Business : For the quarter , API business contributed around 14% and revenues improved by 25% quarter -on-quarter to ■1,208 crores. For the full year, API business contributed 12% and crossed the revenue of ■ 4,047 crores.

• U.S. formulation : For the quarter , revenue from U.S. formulations remained flat. On a constant currency basis, U.S. revenue decreased by 18% year -on-year to $387 million. This is mainly on account of high g Revlimid sales in Q4 FY25. Our large product portfolio helps us to maintain optimally the price stability. Revenue from U.S. formulations for the year remained at ■1,408 crores or $1,631 million, with growth primarily impacted by lower gRevlimid .

• Europe: For the quarter, Europe formulations clocked ■2,795 crores , an increase of 30% year -on-year. In constant currency terms, the European revenue was €261 million against €236 million of Q4 FY25. The growth was driven by robust performance across all key European geographies. For the full year, European formulations achieved a significant milestone of €1 billion revenue in terms of annual revenues.

• Growth market s: For the quarter, growth market s revenue stood at ■980 crores with a year -on-year growth of 25% and quarter -on-quarter growth of 13%. For the year, growth market revenue was increased by 10% to ■3,499 crores. In U.S. dollar terms, revenue grew to $397 million from $376 million in the previous year.

• ARV Business: For the quarter, ARV business revenue increased by 6% year -on-year to ■328 crores or $36 million. For the year, ARV revenue increased by 33% to ■1,384 crores or $157 million, driven by continued business opportunit ies partly offset by price increases.

• Specialty and Injectable: For the quarter, global Specialty and Injectable business reported a revenue of $122 million. Ex-gRevlimid product sales , the business grew by 13% year -on-year. For the full year, revenue stood at $513 million. Ex -gRevlimid, growth was 12%, mainly due to improved suppl ies, new product launches partly offset by pricing pressures.

Now, going on to Other Highlights .

• The gross contribution stood at the highest ever absolute levels of ■5,424 crores.
• Gross margin stood at 61.3%, increased by 1 53 bps quarter on quarter.
• R&D expenditure stood at ■400 crores for the quarter. For the year, R&D expenditure stood at ■1,590 crores, which is 5% of revenue.
• Net CapEx for the quarter is $82 million and for the year around $341 million, which includes capacity enhancement projects and plant expenses and CMO project.
• Improved profitability coupled with improvement in working capital, the business generated a net cash inflow [of $35mn] after payment of purchase consideration of Khandelwal Laboratories non-oncology business around $32 million. As a result, the net cash position of the investment at the end of March ’26 improved to $317 million from the net cash position of $276 million in December’2 5.
• The average financ e cost for the quarter was 5%.

Outlook . As we look ahead, we remain encouraged by the stability across our core businesses and the continued progress on our strategic priorities. Our diversified product portfolio continues to provide a resilient and balanced earnings profile with no disproportio nate dependency on any single product or

geography.

Coming to the U.S. business, we continue to see multiple growth levers through the expansion of base business , new product launches, i.e. topical ointment, ongoing acquisition (Lannett), and the expanding pipeline across oral, transdermal and respiratory

products from our Dayton and Raleigh facilities. With these initiative s, our U.S. business is aiming to touch the $2 billion revenue milestone over the near term.

Europe continues to remain a strategic growth engine for the company supported by portfolio expansion, improving market penetration, reliable supply capabilities and stronger customer relations. We expect the business momentum in the region to remain strong going forward.

From a long -term value creation perspective, we continue to focus on improving the quality and the predictability of the earnings through balanced mix of s cale, specialty and operations.

Our biosimilars and biologics CMO strategies continue to progress well and represent important long -term growth drive rs alongside our core gene ric franchise.

Geographic expansion across the growth market remains a key strategic priority supported by focused launches, portfolio expansion and selective acquisition s. Our China - OSD facility continues to scale up steadily with increasing approvals and supplies into international markets, particularly Europe.

India business is evolving into a new growth engine for the company, further strengthened through recent acquisitions, continue s to expand through new divisions, wider therapeutic presence and deeper pan -India reach.

Our backward integration efforts across Pen-G and 6-APA and Amoxy continue to strengthen supply security, reduce import dependency and improve long -term margin profile. Based on current operating levels, we expect , annualized production, Pen-G production, to exceed 10,000 metric tons with a capacity utilization level exceeding 80% at consistent yields.

Overall, th ese initiative provide s us strong visibility on the revenue growth, profitability improvement and cashflow generation over the coming years. Going forward, we remain focused on disciplined execution, operational excellence, prudent capital allocation and sustainable long -term value cre ation.

FY27 Financial Outloo k. We firmly believe that the business is entering into the next phase of calibrated and profitable growth with visibility towards stronger revenue [growth] . We expect EBITDA margins to sustain and progressively improve to north of 21%, reflecting the scale of our operations, execution capabilities and leveraging the new business lever.

That concludes my remarks , we will be happy to take your questions. Thank you.

Question and Answer Session:

Tausif Sh aikh: Good morning and thanks for the opportunity. Sir, your operating cost excluding R&D has increased 11% Q oQ and 17% Y oY. Can you throw some light on this and can you tell us is there any one -off element over here for the quarter?

S. Subramanian : See, the one -off element will always be there in terms of the Year end provisions, etc. but that becomes a routine thing. But what is the main factor which has increased the cost, is predominantly power and fuel consumption, for the Pen -G plant which has taken off very significantly in the last quarter, i.e. the Q4 of this quarter. That is the reason why it has increased.

Tausif Sh aikh: And we should expect this rate to continue going ahead?

S. Subramanian : Yes, it will continue like this because now what is happening is we are using our own 6-APA for our cap tive consumption. We are not buying it from the imported material and because of that our raw material cost will come down and the other expenses goes up. That you can see very clearly why our gross margin has also improved by about a percentag

e .

Tausif Sh aikh: Yeah, that is helpful, Sir. My second question, can you tell us how much EBITDA loss you have incurred in FY26 from your new projects like Pen-G, Eugia Steriles , Biosimilar and China facility ? And do you expect most of the projects to turn breakeven in FY27?

S. Subramanian : Yeah, I think if you take Pen -G and 6 -APA put together, we have got a positive EBITDA contribution last quarter. That is mainly because of the higher operating leverage and we have started getting better yields now. We expect this to continue for the coming years, year as a whole.

Last year as a whole, we would have incurred around ■200 crores plus EBITDA loss on account of Pen -G and 6 -APA (Lyfius & Qule) .

And in terms of the China plant also we incurred loss, which is expected to do a profitable EBITDA contribution this year.

Tausif Sh aikh: Okay, that is helpful. I will get back in the queue.

Moderator : Thank you. The next question is from Damayanti Kerai.

Damayanti Kerai : Yeah, hi. Good morning. My first question is on the US where you mentioned you are looking ahead for this $2 billion mark in near term. So, any timeline for that?

Swami Iyer: Yeah. So, well, we cannot say any time be it in the near future, probably in the next maybe couple of years I would think. You know, our confidence is based on what is going on in terms of acquisitions and some of the business opportunities that we have.

Damayanti Kerai: Okay. So, directionally you are looking at this $2 billion mark, maybe couple of years down the line, not in immediate or medium terms?

Swami Iyer: Yeah.

S. Subramanian : Damayanti, what Swami says, if acquisitions materialize, we may move towards that very fast.

Damayanti Kerai: Okay. So, on that note, are you on track to close the Lannett deal, as indicated earlier?

Swami Iyer: Yeah, we will. Probably, there will be some difference in timing. We will probably close by Q2 of the current fiscal. You know, what we did not factor in was the government closure for 76 days between February and April. And when the government shuts down, the FTC does not function. At least the first time we had some flexibility but the second time it was very long and took 76 days. But I think they have largely made up the time. So, there could be some delay but I think early Q2 may be a better estimate. We feel fairly confident about that.

Damayanti Kerai: Okay. That is helpful. Thank you. My second question on Europe business. So, you have now marked €1 billion milestone there and when we look at the sales in Euro term, last two quarters you were somewhere in 261 million range. So, can you directionally indicate how things will move up from here? And I understand supply from China will be a big contributor , so as we anticipate higher supplies from China how should we look at, say, 27 from Europe business perspective?

Mr. V. Muralidharan: Yeah. Good morning. Muralidharan here.

Damayanti Kerai: Yeah, hi, Murali.

V. Muralidharan: Hi. Thank you for this query. Yes, having achieved the €1 billion milestone, which we have taken up on ourselves as our mission for FY26, we are definitely bullish. We are very confident that we will be moving northwards of this base business that we have achieved. And contributions from China means already mor e than 10 products have kicked in, in some form or other, whether it is a new launch or tech -transfer products. And , progressively, that will increase and contribute to the business.

So, we are quite confident that despite the geopolitical issues we will be growing further on the base that has been built.

Damayanti Kerai: So, any indication on the growth rate ? Say, we can comfortably target for double -digit growth, say low double digit to mid -teens or any number you would like to share?

V. Muralidharan: So, we are definitely trying to achieve the double digit growth. And , of course, considering the current geopolitical situations, we have taken it bit conservatively but we are confident it will be minimum double digit.

Damayanti Kerai: Sure. Thank you. I have more questions; I will get back in the queue.

V. Muralidharan: Thank you.

Moderator: Thank you. The next question is from Charul Agarwal.

Charul Agarwal : Hi. Thank you, Sir, for taking my question. My first question is on the CDMO unit, Biological CDMO unit. When do we start seeing it commercializing and when do we expect the first revenue from the segment?

Satakarni Makkapati: Hi. About the C DMO unit, the Unit -1 will be commissioned by end of this year. So, my guidance around the first 60 KL capacity installation and commissioning remains the same. With the PPQ batches, which are the validation batches Schedule d in 2027, and the filings in the markets by the customer also slated (potentially) to happen in 2027, we expect some stockpiling requirements from the customer in 2028.

So, a steady stream of revenues, to answer your question, would begin in Unit -1 from 2028. With respect to the recent Product Schedule three that I have signed , and we have informed the exchanges about, that is a greenfield drug substance manufacturing facility. We expect to close the commissioning of the facility in 2029. Two years from then, 2031 , would be the start of revenues from Unit -2.

So, in a nutshell, between Unit -1 and Unit -2, you would expect the revenues to kick in from 2031. But Unit -1 will have a head start from 2028.

Charul Agarwal : Thank you, Sir, for this. My next question is again on the Pen -G. So, when do we start the external sales from the unit? While it has been contributing to the internal supply, but when do the external supply start?

S. Subramanian : The external supply has already been happened in the last quarter. We have sold more than ■100 crores worth of material in the last quarter, both Pen -G as well as 6-APA to the outside market. We have also already informed all the customers that they can pick up the material because some stocks are there in the market ear lier because of the high imports in the Q3 of this year, FY26, the offtake was very low but we expect the offtake will take up strongly in the coming days, coming weeks.

Charul Agarwal: Okay. Thank you so much, that was my question.

Moderator: Thank you. The next question is from Surya Patra.

Surya Patra : Yeah, Thank you for this opportunity, Sir. My first question is on the European business. So, congrats for the €1 billion milestone mark that you have achieved. But if you can update, what is the EBITDA for that?

V. Muralidharan: Yes. So, here EBITDA is just in excess of 20% and we will be moving northwards of same, as stated by our CFO.

Rahul : Hello. Yeah, hi, Sir. Thanks for taking my question. Sir, I guess your $2 billion revenue guidance for the US business factors in Lannett as well, which alone should contribute $300 million incremental sales. And with that, you should get to $1.9 -$1.95 bil lion. So, this guidance is essentially driven by Lannett. So, if you can also talk about how do you expect the base US business to grow ex of acquisitions?

Swami Iyer: So, I will take this question, okay.

S. Subramanian : Yeah -yeah.

Swami Iyer: So, first of all, Rahul, Lannett is probably going to be there for two quarters in the current fiscal. So, this is going to be half of Lannett . So, that is number one and that is also subject of approval, which we expect, which we are confident. So, that is one. And then we are looking at some business opportunities. And those opportunities, we believe that we are in a good position now. So, you know, timing wise, I cannot tell you for certain , but we are heading towards a $2 billi

on goal and Lannett is part of it. Maybe in the next 1 -2 years,
definitely we are getting there. And you are already aware that Lannett is about $300 million. Obviously , we should be heading towards that $2 billion mark in the near future.

That is all I can say. Maybe in 1 -year plus, maybe in 1 -year, if we are lucky. Again, it depends on the FTC approvals and some of the business development deals getting operational.

Rahul: Sure, sir. So, these business opportunities, so are these NBOs which you are targeting or these would again be, let us say, M&A kind of opportunities?

Swami Iyer: So, it is not NBOs that I am talking about. So, it could be business opportunities in terms of in-licensing . We are not going for any big bang acquisition, at least I hope we don't . Right now, we are in the process of doing Lannett acquisition that needs to be completed. But we do look at opportunities of some in -licensing and some ANDA acquisitions that is ongoing. Now we are focusing a lot on business development in the US, in addition to our own products. That is why I feel confident that sometime soon w e will touch that $2 billion mark , that Subbu mentioned.

Whether it is going to happen in one year, I do not want to commit that at this point. Maybe we will have a better sense in the next 1 -2 quarters.

Rahul: Sure Sir. And, Sir, my second question is with respect to the guidance for the European business, you talked about cautiously looking towards a double -digit kind of a growth. Can you clarify that is in constant currency?

V. Muralidharan: Yeah, it is.

Rahul: Okay, sure, Sir. Thank you. That is it from my side.

V. Muralidharan: Thank you.

Moderator: Thank you. The next question is from Nitin Agarwal.

Nitin Agarwal: Hi, Sir. Thank you for taking the question. Sir, on the biosimilar business, you highlighted, F Y30 vision, 2030 vision, for the biosimilar business. If you can probably just articulate in terms of, what are we looking at, especially in terms of number of products being marketed, commercialized by them and what kind of geographical spread we are looking at by 2030 for the biosimilar business?

Satakarni Makkapati: Hey, Nitin. It is a good question. We are right now in the early innings of launch, since a quarter I suppose, with biosimilars, Nitin. So, supplies have been initiated to certain territories in the EU, tender is being serviced in LATAM and the STADA agreement will start to fructify from the end of this year. So , revenue recognition will follow as those products will move through distribution channels into procurement, etc.

In terms of what we are doing, we have Omalizumab and Denosumab , as I have talked about in the last quarter, that will be entering the filing phase with European Medicines Agency, Health Canada and the FDA this year. Additionally, I have also provided guidance in Q2 that we plan to file Bevacizumab , which is already approved with Health Canada, approved with MHRA, and currently under review with European Medicines Agency. We also plan to file that in the US.

So, 2026 will be a year where we wanted to execute the US filings, the three filings in the US, at least two, but three filings in the US. So , what it does to the business, if you look at 2030, is that the first wave of products that have been or are being commercialized now, plus the three more products that will be approved in Europe , is a clear base. So , you have about seven products in Europe, emerging markets and the growth markets. As I have provided guidance in the Earnings presentation, I am also stitching partnerships in territories where we are not directly present. So , for all these to strategically fructify would take a year or two. But with the 7 -8 product base model in Europe approved and in growth markets, a potential 3 products approval by 2028, 2029 or 2030, even
with a slight US FDA setback if there is any. By 2030,
we are looking at biosimilars business having 7 -8 products in Eu rope and growth markets, plus potentially 2 -3 products in the US.

I would not give any guidance, specific revenue figures at this stage, but the commercial momentum is real and is building and I expect by 2030 with the 7 plus 3 products that I am planning in the US, biosimilars business will have an inflection point , as I've also guided all through in the last year and the last quarter as well.

Does that answer your question?

Nitin Agarwal: I was saying, in the first wave of launches that we have, the fact that we are coming much behind the competition, in Europe and in emerging markets, do you still see an ability for us to make reasonable revenues on these products? Is the opportunity still relevant for us in the first wave of launches?

Satakarni Makkapati: In the first wave of launches, the opportunity is relevant to the extent the aspiration is. So, we are not looking at a 15% -20% market share in those territories. With the right cost of goods, we still believe there is enough opportunity for everyone. Also, if you look at the nature and dynamics of the biosimilar business now, even if you look a t products that are going off the patent cliff in 2032, you have about 10 -11 players who are already doing clinical trials or developing them. So, if you want to sustain in this business, you need to really create a COGS model that will allow you to positi on yourselves in the market.

What is also important is creating a basket of products in oncology and immunology. Right now, the choice of products that we have made, I'll give an example of pegylated filgrastim, which is a long -acting filgrastim that is expected to increase the neutro phil count in cancer patients who suffer from a condition called neutropenia. So , there is no follow -on drug for this product. So , what we are looking at from the first wave, Nitin, is products that have a longer life cycle. So , Pegfilgrastim , even now is a potentially $3.5 -$4 billion market (global) and I expect it to continue to grow.

And in US, I think there are about 4 -5 or 5 players there. I am sure if you're looking at the $50 -$60 million dollar revenues and not looking at taking away 20% -25% of the market share, you are still in the game. In that sense, it's a very calculated move from us to pick products that have a longer life cycle.

Another example is , Trastuzumab where we launched the 150 and 420 mg but the real game with Trastuzumab is the subcutaneous that we are developing. The patent goes off in 2028-29. So, you should look at it from a strategic perspective of how we are positioning the products that will advance our aspirations in this space . Our COGS, I think , will continue to sustain us but if you are saying , 'Will I be picking up a 20 %-25% market share ?', absolutely not. And that's not the aspiration at all.

Nitin Agarwal: Thank you, Sir. That helps. And, secondly, at what point in time do you start to be part of the first wave of launches going forward?

Satakarni Makkapati: So, it's a trick question. Omalizumab, I think we will be in the first wave. If you say first wave, is 3 -4 players right now. With Omalizumab, there are 3 serious players. Celltrion has already made the move. It's a potential $4 billion market. There are 2 other players there and then there is us. We expect Omalizumab to be a $2 to $2.2 billion product even after the biosimilar competition kicks in. So, I think that would be the first wa ve and we have the capacities to sustain the supp ly chain in markets like US for Omalizumab.

With the next wave of products, we are trying to green light the clinical studies for the next wave of products from that goes off patent cliff from 2030 -31 onwards and we may be in the first wave. But fir

st wave is becoming very subjective these days, Nit in. If I pick a product from 2034, like Atezolizumab , there are 9 players who are already developing. So , we really see how the dynamics play out.

It's quite intuitive and subjective to answer the question but I hope you got the clarity of the point that I'm trying to say.

Nitin Agarwal: Yeah, that's very helpful. Also, i f I can squeeze in one last one. S ir, on CDMO, how should we think about CDMO? Our CDMO strategy is all about these 2 MSD projects or do you see opportunities to significantly go beyond that? And at what point can that happen?

Satakarni Makkapati: It's a good question. See, the scales at which we are attempting to become a CMO is a key differentiator in India, right. Now, if you look at my product Schedule one, product Schedule two and product Schedule three that we have disclosed to the exchanges, the total drug substance manufacturing scales amount to about 120,000 litres of mammalian cell culture capacities. Now , that's by far the largest CMO space in the country and which will put us into the lower rank bracket of the largest CMOs in the world. For example, Lonza has about 570,000 litres , Samsung has around 600,000 litres. So , having 120,000 litres is a statement ; statement and intent that we are here to stay.

Now, why do I build a business model around one anchor customer? Because India traditionally did not have contract manufacturing organizations in the new biological space. It requires deep competence, infrastructure building and the nurturing of human reso urces capabilities like no other. And that's the reason why I wanted to derisk the ramp . And by mean of derisking the ramp, I wanted to get an anchor customer like MS D, get a contract with them for about 10 years and see how credibly I can build the busine ss for the next 5 years.

But to answer your question, does TheraNym and does I and Aurobindo and the board want us to be a single customer CMO after 2032? No. The vision statement for 2032, which I presented to my board yesterday also, is that we wanted to be a multi -modality, mul ti-customer, contract development and contract manufacturing organization. Right now, we are a CMO, make no mistake about it. We are not a CDMO right now. We wanted to be a CMO but we wanted to backward integrate by 2032 to become a contract development organization.

So, this is not going to be a one customer business. But for the first 5 years, until I build credibility around an anchor and service the anchor and create a space that we are also a credible CMO coming out and can service the new biological entities and become part of the global supply chain, yes, we would like to stay with MSD and learn through the curve . But the long -term aspiration and ambition is to become a multi -modality, multi -customer CDMO and transition from a CMO to CDMO.

Does that answer your question?

Nitin Agarwal: Yes, Sir, it does. Thank you so much. Thank you so much for your time.

Moderator: Thank you. The next question is from Tushar Manudhane .

Tushar Manudhane: Yes, Sir, thanks for the opportunity. Sir, just extending on this biologics venture, at the time of commercialization what kind of gross margins or EBITDA margins are we sort of, you know, building in into our estimates? May not be at a product level but maybe at a portfolio level, if you cou ld share?

Satakarni Makkapati: Tushar, is this about the biosimilars or the biologics CMO?

Tushar Manudhane: Biosimilars.

Satakarni Makkapati: Biosimilars. On an average, you are looking at a gross margin (read, in the US) of around 65% -70%, Tushar. And as the product mix matures to include Omalizumab and include Trastuzumab subcutaneous after FY28 -29, the gross margins will probably shift to the higher side of 70% to around 75%. S

o, it's still a very healthy margin business (read, in the US).

It also depends on the countries you would be in. The moment the inflection point in U.S. and some of the growth markets will kick in, then you are looking at better gross margins. Some of the products are retail products, for example, a product used in po stmenopausal osteoporosis like the Denosumab. So, whatever little you sell there, the margins are going to be higher.

So, it's a tricky subject , but I would say take anywhere between 65 %-75%. As we continue to evolve in the next 5 -6 years, we will make the transition from around 65% -75% with more first wave or differentiating products or retail products adding into the business because Omalizumab and Denosumab, Denosumab is a retail product and Omalizumab is a mixed model. So , you tend to get higher margins there, Tushar.

Tushar Manudhane: And, Sir, this is after building what kind of…Particularly in biosimilars, we've witnessed a sizable price erosion post competition coming in. So, this kind of gross margin, this is the manufacturing skillset which we have got. What kind of price erosion w e try to build for these set of products ? We understand like a post such kind of price erosion, the gross margin is 65 %-70%.

Satakarni Makkapati: So, for the first wave of products we have already built in the price erosion to a great extent. So, even with a 75% price erosion, we expect to have around 65% gross margin as a base (in the US) and only then we enter into developing these products. In the US, we are not building more than a 60% price erosion. In Europe, we are building close to around 75 %-85% price erosion. We have seen that happen in chronic segment in Europe. In growth markets, actually the pricing is good in some of the growth markets.

So, to answer your question, even after building a very healthy price erosion of around 70 %-80% in most markets, this is what we would like to achieve, Tushar.

Tushar Manudhane : That's pretty interesting, Sir. And just to sort of complete this loop, in chemical synthesis probably the scale does help in getting the EBITDA margin but with respect to biosimilars, just trying to understand, you know, despite such kind of price erosion we able to achieve 65% -70% gross margin. So, i f you could just help with that missing link compared to, say, a chemical synthesis process ?

Satakarni Makkapati: It's a very interesting question from a sense that you should always look at, in biologics you should always look at yield versus COGS as a function of also capacities, okay, which is true even in small molecules. But in biologics, when I plot yield and

capacities on the primary y -axis and the secondary y -axis and COGS on the horizontal axis, you see the tapering of the COGS pretty early.

So, depending on your capacities . If my capacities are around 5,000 -litre scale and my yield is around 4 gram per litr e, then the incremental improvements, even after increasing the scale , are going to be very, very minimal in terms of cost of goods.

So, factoring all these models, we still think if you have built your capacities right, if you have positioned your tit res or the yields around 4 -6 gram per litr e because after which the downstream costs will start to trade off any benefits that you will get from the cell culture yields. So, a round 4 -6 gram per litr e and a capacity of around 2,500 to 5,000 litre bioreactors, you should have a cost competitiveness for most monoclonal antibodies that are at 100 mg -400 mg filling doses.

I think 60 %-65% should be very straightforward in biologics (in the US), even with the price eros ion of around 70% that you witness. But the trick there is, do companies have the yields of around 4 -6 gram per litr e at the right quality? Do companies have the right capacities for the products they are putting in at 4
-6 gram per litr e? And if either of these on the primary
and secondary y -axis do not meet together, then you are looking at numbers and margins that can be significantly less because their COGS is going to be higher.

Tushar Manudhane: Got it, Sir. T his is pretty interesting. And just lastly on this aspect, just to refresh in terms of the overall investment done till date. While you have highlighted in the presentation the upcoming investment with respect to unit but just to refresh in terms of the overall investment done till date.

Satakarni Makkapati: In biosimilars?

Tushar Manudhane: Yes.

Satakarni Makkapati: About $450 million is the overall investment including CapEx and OpEx that was done in biosimilars and that had resulted from 2018 July to now, including the two COVID years, into 4 European approvals, 2 Health Canada approvals and 3 more product filings n ow; the fastest in the peer group that you can look at. And I am confident that we will continue the momentum.

Tushar Manudhane: So, $150 -$175 million is the over and above?

Satakarni Makkapati: No, this is a CMO, okay. The CMO is going to be about $175 million in the greenfield facility.

Tushar Manudhane: Got it, Sir. Thanks. Thanks.

Moderator: Thank you. The next question is from Kunal Dhamesha.

Kunal Dhamesha: Hi, thank you for the opportunity. The first one for Subbu Sir. Sir, can you suggest what is the kind of translation effect that we get from the INR depreciation against

USD and Euro? Let us say 1% depreciation in INR, what is the positive impact that we get on EBITDA?

S. Subramanian : See, 1% which? INR depreciation against dollar?

Kunal Dhamesha: Yes.

S. Subramanian : On EBITDA, we will get around ■100 crores.

Kunal Dhamesha: Okay. And Euro ? INR depreciation against Euro would be addition to that, right?

S. Subramanian : Yeah , Euro is very little , okay, because already Euro has achieved the peak. Earlier it used to be around 1.03 [EUR/USD] , now it is hovering between 1.16 -1.17. So, may not have a big significant one on Euro but EBITDA on dollar -rupee transaction, we will get around ■100 [Crores] .

Kunal Dhamesha: And, Sir, the 21% EBITDA margin guidance for FY27, does it bake in this positive impact of the INR depreciation?

S. Subramanian : Don't look into that , no. Because, see, nothing comes free. When rupee is depreciating, why is it depreciating? Raw material prices are going up and s olvent prices have gone by 2.5 X. Don't make it only rupee depreciation going to translate. It is a combination of all these we have to see. Freight cost actually has gone significantly high in the last month in March and continuing in April and May, solvent prices have gone by 2.7X, raw material, other raw material prices are also going. So, yo u have to look at it in a holistic ma nner rather than seeing it in a very limited manner .

Kunal Dhamesha: So, my question I will rephrase , that with all this, you know, cost going up, it will still have a positive impact, right , and given the strong depreciation ?

S. Subramanian : No, you asked what is the impact of it, we have said. will it get offset by other factors, etc. ? Obviously, yes.

Kunal Dhamesha: Okay. So, maybe, you know, 21% bakes in the net impact of all these positives and negatives ?

S. Subramanian : All these factors . All the pluses, minuses, etc. , we are working .

Kunal Dhamesha: Okay. And second question on the Pen -G, we said that the 10,000 ton is the output. You know, we are going to reach that kind of level now with an 80% cap utilization. To me, a very basic math kind of points to 12,500 tons of total capacity versus our total capa city is 15,000. So, is it fair to say in terms of yields, you know, there could be some more improvement going forward?

S. Subramanian : No, no, not like that , Kunal. I said it is above 1

0,000 tons. We have achieved
in the month of March itself is around 11,300 tons capacity, right.

Kunal Dhamesha: Okay. Okay.

S. Subramanian : April, we made it around 10,800. So, the capacity is not 15,000 or not like that. We have 17 fermenters ; we can run any number of fermenters I want and accordingly the capacity is achieved. So, we have to ensure that the inventory buildup is not happening, working capital is not locked in. And at the same time, we need to achieve the right yields, etc. That is what the team is working on .

Kunal Dhamesha: Sure.

S. Subramanian : You got it, no?

Kunal Dhamesha: Yes. Yes. Yes. And lastly, for Dr. Satakarni, on the TheraNym contracts. S ir, can you suggest how many products have we got right now from Merck ? And are these in development stage or already commercialized? If they are already commercialized, are they in the early part of their product lifecycle, late part of product lifecycle? Any color would be helpful.

Satakarni Makkapati: Kunal, product Schedule 1 is for 1 product, product Schedule 2 is for 1 product. In the nutshell, each product schedule is for 1 product. So, we signed about 3 product schedules, which means that we signed for 3 products.

Right now, technology transfer of 1 product, a new biological entity is happening. This is a product that is already commercial. The second product schedule also is a commercial biological entity. One of them is an early commercial product , the other one is a relatively established product.

I cannot give more details about the sponsors' products but we will be into the commercial global supply chain right from Day 1 after receiving the regulatory approvals. And that is the business model of TheraNym. Right from day 1, once you have the regulatory approvals, the product that we are going to manufacture at TheraNym is going to be used by MS D into their global supply chain for the patients in the territories and the markets they would like to supply the product to.

Does that answer your question?

Kunal Dhamesha: Sure.

Satakarni Makkapati: So, there is no development product at this stage. Both are commercial assets.

Kunal Dhamesha: Okay. And earlier we had said that these supplies would initially be used for emerging markets and then in Europe and then in US. Is that the correct way of understanding?

Satakarni Makkapati: That's correct. That's correct because capability building and GMP compliance takes time. Initially, I expect MS D to file it in emerging markets followed by Europe. And potentially at some point, maybe they would say they would also like us to become part of the supply chain for the US. But right now, I would keep the aspiration to emerging markets and Europe.

Kunal Dhamesha: Thank you and all the best, Sir.

Satakarni Makkapati: Thank you.

Moderator: Thank you. The next question is from Shyam Srinivasan.

Shyam Srinivasan: Good morning. Thank you for taking my question. Just the first one on the Speciality injectables. I think in the opening remarks it was said $513 million has been the total revenue for the year and I think 13% growth. Sir, if you could just double click th ere, you know, and how should we look at the outlook for it in FY27?

Yugandhar Puvvala: Yeah. You heard it right from Subbu. It is the other than the Lenalidomide, it is 13% and I feel like the same double -digit growth is expected going forward.

Shyam Srinivasan: But Yugandhar, there is some Revlimid already in 2026, right? So 513 million includes Revlimid. So you are excluding it and telling us it's whatever double -digit growth.
Sorry, can you just can you just help us what the base number would be?

Yugandhar Puvvala: It's actually like the base number would be around 480 plus. So like we expect a similar double -digit growth bec

ause this year of '27 onwards, we will not have the Revlimid. So we expect the base business to continue to grow in double digits.

Shyam Srinivasan: And any interesting launches coming up in this segment, Yugandhar? Anything to call out?

Yugandhar Puvvala: Yeah, it is at this juncture. It is too early for me to comment, Shyam, because of Eugia III. So , there are some interesting launches from other plants, but we are at this juncture keeping ourselves on watch for all the regulatory approvals for the plants so that in next quarter I can give more colour.

Shyam Srinivasan: Got it. Helpful. And just Swami, just QoQ, I know YoY there is a Revlimid in US total, but QoQ, there is some seasonality, is it? For why the QoQ revenues are down?

Swami Iyer: Yeah, typically the 4th Quarter is less than the 3rd Quarter, typically… the 2nd and 3rd Quarter. This is what we see. There are aberrations, of course. If the cold season extends to January, March, it could be higher, but otherwise , 2nd and 3rd Quarter are the best.

Shyam Srinivasan: So $30 million drop annually one can explain, just by seasonality.

Swami Iyer: Yes, that is one. And we also have some partners, we will also have to look at that, but broadly yes there is a seasonality.

Shyam Srinivasan: Understood. Thank you. My just last question to Dr. Satakarni. Dr. Satakarni, now we have all your large cap peers, like large peers, all talking about Biosimilar. So, Sun through the Organon deal has got it, Dr. Reddy's , Lupin have got it. I'm not asking for names, but I'm just saying, is this going to be an interesting phase where we have to now slug it out with some of your other peers? And is there something you will do differently to kind of get your whatever rightful share?

Satakarni Makkapati: It's interesting, Shyam, I mean, how can I, how can I comment on the slugfest that is going to unfold in the Biosimilar space, it's already happening in Europe. One of the previous questions from Nitin, I told the market dynamics is going to be so interes ting, the price erosion is going to be so interesting. The competition. Any product that you pick, there are about 10 to 11 players. What is important is to ensure that you have a basket of products that you can go to into the market, create a brand name, as long as they are continuing to be brands like in Canada and US, and make sure that your COG S setting is good enough to still give you a reasonable margin.

I don't think I can do anything differently than what I have done, the speed and agility with which we have looked at the last 7 -8 years in building these capabilities, I would like to sustain the momentum. And if that happens, I think we are in a good spa ce right now. The most important aspect for CuraTeQ is the execution of the US filings and can we execute it right first time? And if we do, I think we will be having a very different conversation.

Shyam Srinivasan: Got it, sir. Thank you and all the best.

Satakarni Makkapati : Thank you.

Moderator: Thank you. The next question is from Jigar Valia. Hi Jigar, requesting you to unmute yourself and ask the question.

Jigar Valia: I'm sorry. So firstly, congratulations on the decent set of numbers under the circumstances with API prices and freights, and I think your growth markets, etc., I think all helped API. So one is with regards to China and India. So , has China break -even helped in margins this time? And as far as India, I think it is about 76 crores a quarter. So , will this Khandelwal acquisition kind of… how much would that kind of contribute to the run -rate?

S. Subramanian : So, in terms of the China, as I said, last quarter we had a loss of around 7 million… last year, I'm sorry, last year. But certainly, this year will not only break -even, will contribute significantly. At least we are working to achieve a low double -

digit EBIT DA margin
for the year. That is what we are trying to do there.

In terms of the Khandelwal Labs, etc., it's a very decent acquisition and it is contributing to the EBITDA margin. And we expect overall; the entire domestic formulation business will grow in double -digit during this year.

Jigar Valia: Got it. So one is, so now only Unit III is the, amongst the larger unit, which is left for the EIR, is that right?

Yugandhar Puvvala: Yeah, Unit III is… Yeah, we are waiting and even Unit I of Eugia is also audited and we are waiting for that as well. There are two units in Eugia network we are waiting.

Jigar Valia: Helpful. Sir, just one more question if you can answer. So , if at all you can update on eczema or Polymist? And also what's the perspective with regards to repurposed drugs? You also mentioned of… Satakarni sir mentioned of the slugfest possible on the Biosimilar, but is there something which is getting evolving o n the repurposed drugs as well?

Yugandhar Puvvala: Sorry, Satakarni, would you like to take that question? I didn't understand.

Satakarni Makkapati: What is the question?

Jigar Valia: So, one was, would it be possible for you to update on eczema and Polymist? And also your thoughts with regards to repurposed drugs? You mentioned of the slugfest expected on the Biosimilar, but I don't see any of the larger companies probably warming up to repurposed drugs or these things or any of the generic companies also.

Satakarni Makkapati: I would answer the part two of the question. Part one of the question should be answered by the relevant CEO. What do you mean by drug repurposing is whether we are interested in the practice of finding a new therapeutic use for the existing drug? Is that what you meant by drug repurposing?

Jigar Valia: Yes, I think because a lot of it…

Satakarni Makkapati: I know what's happening around that. At this point of time, I'll get back with my Investor Relations again. But from the little I understand from our board strategy and all, at this point of time, we are not looking at any reprofiling or repositioning or repurposing of the drugs. That's still not part of our Aurobindo board's strategic initiatives. But we will look at this space closely. Maybe that's a differentiator at some point, right now not. But let me go back and correct myself if there is something happening somewhere and provide you an answer through the IR. Does that work for you?

Jigar Valia: Absolutely, sir.

Satakarni Makkapati: Yeah, thank you. Part one, can someone answer part one?

Yugandhar Puvvala: Frankly, we didn't understand the part one question of the Polymists.

Jigar Valia: Yeah. So is there any update on the eczema and Polymists that we can have?

Ashish Anvekar: Sorry. Jigar, this is Ashish here. Is your question on the eczema drug, which was approved?

Jigar Valia: Yes.

Ashish Anvekar. Yes. Yeah. So thank you. So we are right now looking into launching it as soon as possible. Most probably Quarter 2 of our fiscal year is when we are aiming to launch. So that's all I can say for now. But all the preparation work is going on right now to m ake sure that we launch this, our first NCE for Aurobindo in a very successful manner.

Jigar Valia: All right. Thanks a lot. And I am hoping that you will be upwards of 2,000 crore EBITDA in the coming quarter onwards and higher EBITDA levels also with the integration falling in place. Thank you. Thanks so much.

Moderator: Thank you. The next question is from Tarang Agrawal.

Tarang Agrawal: I got a couple of questions. Good morning and congrats on a decently firm performance. S ir in Europe, so you spoke about double -digit growth going forward. You mean constant currency or you meant in INR terms?

V. Muralidharan: Constant currency basis,

which I already reaffirmed. And this year we
achieved a double digit. And also our growth planning for the upcoming year revolves around our base business growth, plus new launches, annualized revenue on the FY26 launches and the upcoming FY27 launches. So , we are quite confident we will be able to achieve on constant currency basis.

Tarang Agrawal: Okay. Sir, if I look at the trajectory of this business, right, I mean, Aurobindo has been trying to build this business for the last 12 years. Something has really sort of pivoted in the last three, four years versus the decade before. And in a market wh ich is certainly not growing, especially with the suite of products that we are running with, what has changed in terms of your ability to drive this business, and at the speed and scale that you've been able to?

So just a couple of pointers. I mean, is there a lot more focus than before maybe? Were there some supply chain challenges? Has the market become more interesting with some players exiting? What is it? I mean, just wanted your aerial view in terms of… with out getting into some different granularities.

V. Muralidharan: Sure Tarang , I get the flavour of your question. First of all, thank you for your compliments.
And yes, one, Aurobindo has been an evolving organization. So , our understanding of the market and extremely, extremely well streamlined team across our footprint country is sitting in and understanding the market dynamics. And of course, as you rightly said, on the supply chain side, we have definitely done a lot of improvements by way of order processing, turnaround times, understanding the market, what shall I say, the upsides, or certain competition out of stock that can happen. All these things. It's a combination of several items. But at the same time, as you underlined, it's a very complex market. We are answerable to

multiple regulators. The expectations or challenges are increasing, whether it is nitrosamines or other compliance requirements.

But despite all, Aurobindo as a team, has been able to deliver. I would like to thank our management for the confidence reposed in Europe and constantly providing us new product opportunities, developing more and more products. So it's a combination of all these positives that's happening. And we are very confident this will be sustainable in the coming period as well.

Tarang Agrawal: Wonderful, that helps. Satakarni sir, on TheraNym, whatever progress that you spoke of, when you spoke about consistent delivery for Contract -1 in 2028 and then for Contract -2 from 2031 onwards, were you referring to calendar year or were you referring to financial year?

Satakarni Makkapati: I'm referring to the financial year, Tarang.

Tarang Agrawal: Okay, that's helpful. On US, on the eczema product, Mr. Anvekar, do we expect you to build a significant front end or would you be continuing with the current cohort that you have? And second, if we could get an update on what's happening with this Ryzneu ta. Where is that product? I think about one and a half years now since the approvals come through. So some update there would be helpful.

Ashish Anvekar: Yeah, sure, Tarang. So first of all, for the ADQUEY, which is the brand name for our eczema drug, we are going to build the suitable infrastructure as it is required because we will be in a competitive space, but in a very good competitive space. So we ha ve to invest in making sure that we are giving the brand the due attention and the resources which is required. Our current presence is in oncology, right , so we will be having a separate team which focuses on dermatology.

And for the Ryzneuta, though we had an approval for a year and a half, the product launch was delayed. And much of the scientific story is still being built. We have started getting some traction in the market now, but the story

from a brand perspective st ill needs to be built in
the marketplace. The market is very competitive, so it will take us some time for that product to be established. But we just want to make sure that the product has a basis of a scientific story, which is a longer -term story, rathe r than a short -term pricing story.

Tarang Agrawal: Got it. That's helpful. Swami sir, is $400 million a reasonable base for the US business, notwithstanding the seasonality going forward, ex -acquisitions and some of these NCEs contributing?

Swami Iyer: I didn't understand the question. You are saying $400 million is the base. Yeah, that's correct.

Tarang Agrawal: Because it came down to $387 million this quarter.

Swami Iyer: Yeah, it's reasonable to assume.

Tarang Agrawal: Got it. And last on Eugia, if you could give us a split for FY26 and FY25 between US and ex -US.

Yugandhar Puvvala: Yeah, it is anyway, because we don't give separate numbers, but it still contributes around 70% of the overall business. 30% comes from other than US. But going forward, we expect that to be a 60 -40.

Tarang Agrawal: Got it. And the 513 is the overall number, right? US as well as ex -US.

Yugandhar Puvvala: That's right.

Tarang Agrawal: Okay, wonderful. Thank you.

Satakarni Makkapati: Tarang, let me correct myself. I think I talked about 2028 and 2031 in my earlier commentary and guidance for Unit 1 and Unit 2 of CMO. If it is 2028 and 2031, then I am talking about calendar years and not financial year. My apologies.

Tarang Agrawal: Got it. Thank you.

Moderator: Thank you. Requesting management for the closing remarks.

Varun Mali: Thank you very much, everyone, for joining us on the call today. If you have any of your questions unanswered, please feel free to get in touch with the Investor Relations Team. The transcript of this call will also be uploaded on our website www.aurobind o.com in due course. Thank you once again and have a great day ahead.

Satakarni Makkapati: Thank you.

Moderator: Thank you very much to Aurobindo's management team. Ladies and gentlemen, on behalf of Aurobindo Pharma, that concludes today's conference. Thank you for joining us and you may now disconnect your line and exit the webinar. Thank you.

END OF TRANSCRIPT